

CS604- OPERATING SYSTEM

SOLVED SUBJECTIVE FOR FINAL EXAM

FALL SEMESTER 2012

QNo.1 Scan Algorithm is sometimes called the elevator algorithm, why?

Answer:-

The Scan algorithm is sometimes called the elevator algorithm, since the disk arm behaves like an elevator in a building servicing all the requests (people at floors), going up and then reversing to service the requests going down.

REF :: [handouts Page No. 244](#)

QNo.2 What is basic logic in FIFO page replacement algorithm?

Answer:-

The simplest page-replacement algorithm is a FIFO algorithm. A FIFO replacement algorithm associates with each page the time when that page was brought into memory. When a page must be replaced, the oldest page is chosen.

REF :: [handouts Page No. 199](#)

QNo.3 What is mounting? Name two types of mounting. Give your answer with respect to File System?

Answer:-

Mounting makes file systems, files, directories, devices, and special files available for use at a particular location. Mount point is the actual location from which the file system is mounted and accessed. You can mount a file or directory if you have access to the file or directory being mounted and write permission for the mount point

There are types of mounts:

1. Remote mount
2. Local mount

REF :: [handouts Page No. 226](#)

QNo.4 Write three main characteristics memory management System?

Answer:-

1. The purpose of memory management is to ensure fair, secure, orderly, and efficient use of memory.
2. The task of memory management includes keeping track of used and free memory space, as well as when, where, and how much memory to allocate and deallocate.
3. It is also responsible for swapping processes in and out of main memory

REF :: [handouts Page No. 151](#)

QNo.5 Summarize the tradeoffs among simple arrays, trees, and hash tables as implementations of a page table.

Answer:-

Arrays

Arrays, lists and tables are often allocated more memory than they actually need. An array may be declared 100 by 100 elements even though it is seldom larger than 10 by 10 elements.

Hash Tables

This is a common approach to handle address spaces larger than 32 bits. Usually open hashing is used. Each entry in the linked list has three fields: page number, frame number for the page, and pointer to the next element

REF :: handouts Page No. 173, 186

QNo.6 How to implement hold and wait which can ensure that a deadlock will not occur?

Answer:-

A process must be holding at least one resource and waiting to acquire additional resources that are currently being held by other processes.

REF :: handouts Page No. 129

QNo.7 List down 2 major benefits of virtual memory

Answer:-

1. Virtual Memory is the separation of user logical memory from physical memory. This separation allows an extremely large virtual memory to be provided for programmers when only a smaller physical memory is available.
2. Virtual memory makes the task of programming easier because the programmer need not worry about the amount of physical memory,

REF :: handouts Page No. 186

QNo.7 what are the possible system for the input redirection in the UNIX/LINUX system

Answer:-

Linux redirection features can be used to detach the default files from stdin, stdout, and stderr and attach other files with them for a single execution of a command. The act of detaching default files from stdin, stdout, and stderr and attaching other files with them is known as input, output, and error redirection.

Here is the syntax for input redirection:

command < input-file or command 0< input-file

REF :: handouts Page No. 55

QNo.8 what is the purpose of “stub” in dynamic linking, give answer with respect to memory

Answer:-

With dynamic linking, a stub is included in the image for each library-routine reference. This stub is a small piece of code that indicates how to locate the appropriate memory-resident library routine or how to load the library if the routine is not already present. During execution of a process, stub is replaced by the address of the relevant library code and the code is executed. If library code is not in memory, it is loaded at this time

REF :: handouts Page No. 155

QNo.9 Dynamic linking**Answer:-**

Dynamic linking requires potentially less time to load a program. Less disk space is needed to store binaries. However it is a time-consuming run-time activity, resulting in slower program execution.

[REF :: handouts Page No. 156](#)

QNo.10 what is use of mounting in file system**Answer:-**

Mounting makes file systems, files, directories, devices, and special files available for use at a particular location. Mount point is the actual location from which the file system is mounted and accessed.

[REF :: handouts Page No. 226](#)

QNo.10 How operating attacks the "no preemption" condition necessary for feedback in order to solve the problem of deadlock**Answer:-**

No preemption:

Resources cannot be preempted. That is, after using it a process releases a resource only voluntarily.

[REF :: handouts Page No. 129](#)

QNo.11 What is pager? Give answer with respect to virtual memory**Answer:-**

A pager is concerned with the individual pages of a process. Thus the term pager is used in connection with demand paging.

When a process is to be swapped in, the paging software guesses which pages would be used before the process is swapped out again. Instead of swapping in a whole process, the pager brings only those necessary pages into memory.

[REF :: handouts Page No. 187](#)

QNo.12 what does the following command do in the LINUX/UNIX operating system**Answer:-**

```
$mkdir ~/courses/cs604/program
```

Command creates the programs directory under your ~/courses/cs604 directory.

[REF :: handouts Page No. 26](#)

QNo.13 How you can differentiate between external and internal fragmentation**Answer:-**

Fragmentation occurs in a dynamic memory allocation system when many of the free blocks are too small to satisfy any request.

External Fragmentation: External Fragmentation happens when a dynamic memory allocation algorithm allocates some memory and a small piece is left over that cannot be effectively used. If too much external fragmentation occurs, the amount of usable memory is drastically reduced. Total memory space exists to satisfy a request, but it is not contiguous.

Internal Fragmentation: Internal fragmentation is the space wasted inside of allocated memory blocks because of restriction on the allowed sizes of allocated blocks. Allocated memory may be slightly larger than requested memory; this size difference is memory internal to a partition, but not being used

REF ::

http://wiki.answers.com/Q/What_is_the_difference_between_external_and_internal_fragmentation

QNo.14 how page fault frequency can be used as a method of thrashing.

Answer:-

Page fault frequency is another method to control thrashing. Since thrashing has a high page fault rate, we want to control the page fault frequency. When it is too high we know that the process needs more frames. Similarly if the page-fault rate is too low, then the process may have too many frames. The operating system keeps track of the upper and lower bounds on the page-fault rates of processes. If the page-fault rate falls below the lower limit, the process loses frames. If page-fault rate goes above the upper limit, process gains frames. Thus we directly measure and control the page fault rate to prevent thrashing.

REF :: handouts Page No. 211

QNo.15 Three major frame allocation schemes?

Answer:-

There are three major allocation schemes:

1. Fixed allocation

In this scheme free frames are equally divided among processes

2. Proportional Allocation

Number of frames allocated to a process is proportional to its size in this scheme.

3. Priority allocation

Priority-based proportional allocation

REF :: handouts Page No. 205

QNo.16 Consider the round robin technique .do u think that the deadlock or starvation can happen in the round robin tech scheduling

Answer:-

No I don't think so that the deadlock or starvation can happen in the round robin tech scheduling, because round-robin (RR) scheduling algorithm is designed especially for time-sharing systems. It is similar to FCFS scheduling but preemption is added to switch between processes. A small unit of time, called a time quantum (or time slice) is defined. The ready queue is treated as a circular queue. The CPU scheduler goes around the ready queue, allocating the CPU to each process for a time interval of up to 1 time quantum.

REF :: handouts Page No. 86

QNo.17 Explain the work of copy on write with respect to virtual memory.

Answer:-

Many child processes invoke the exec () system call immediately after creation, the copying of the parent's address space may be unnecessary. Alternatively we can use a technique known as copy on write. This works by allowing the parent and child processes to initially share the same pages. These shared pages are marked as copy-on-write pages, meaning that if either process writes to a shared page, a copy of the shared page is created. **REF :: handouts Page No. 194**

QNo.18 Context switching

Answer:-

Switching the CPU from one process to another requires saving of the context of the current process and loading the state of the new process, this is called context switching.

[REF :: handouts Page No. 31](#)

QNo.19 Basic logic in FIFO page replacement algorithm

Answer:-

The simplest page-replacement algorithm is a FIFO algorithm. A FIFO replacement algorithm associates with each page the time when that page was brought into memory. When a page must be replaced, the oldest page is chosen. Notice that it is not strictly necessary to record the time when a page is brought in. We can create a FIFO queue to hold all pages in memory. We replace the page at the head of the queue. When a page is brought into memory we insert it at the tail of the queue.

[REF :: handouts Page No. 199](#)

QNo.20 Formula to find size of page table,

Answer:-

Page table size = NP * PTES

Where NP is the number of pages in the process address space and PTES is the page table entry size

[REF :: handouts Page No. 166](#)

QNo.21 File control block

Answer:-

A file control block is a memory data structure that contains most of the attributes of a file. In UNIX, this data structure is called inode (for index node).

[REF :: handouts Page No. 233](#)

**QNo.21 One of the responsibilities of O.S is to use computer hardware efficiently, so look
Algorithm for disk scheduling,**

Answer:-

One of the responsibilities of the operating system is to use the computer system hardware efficiently. For the disk drives, meeting this responsibility entails having a fast access time and disk bandwidth.
Marks 3:

i. structure of 2-level page table,

ii. if a process exits but its threads are still running, will they continue?

[REF :: handouts Page No. 243](#)

**QNo.22 one advantage and one disadvantage of using a large block size to store file data
(NET),**

Answer:-

Advantage

Has lower overhead, so there is more room to store data.

Good for sequential access or very large rows

Permits reading a number of rows into the buffer cache with a single I/O (depending on row size and block size).

Disadvantage

Wastes space in the buffer cache, if you are doing random access to small rows and have a large block size. Not good for index blocks used in an OLTP

QNo.23 Three types of access modes and classes of users in UNIX protection, (P # 230)

Answer:-

UNIX recognizes three modes of access: read, write, and execute (r, w, x). The execute permission on a directory specifies permission to search the directory.

The three classes of users are:

- Owner: user is the owner of the file
- Group: someone who belongs to the same group as the owner
- Others: everyone else who has an account on the system

[REF :: handouts Page No. 230](#)

QNo.24 Possible criteria to decide that which process should be terminated while dead lock detection and recovery.

Answer:-

When a deadlock detection algorithm determines that a deadlock exists, several alternatives exist. One possibility is to inform the operator that a deadlock has occurred, and to let the operator deal with the deadlock manually. The other possibility is to let the system recover from the deadlock automatically. There are two options for breaking a deadlock. One solution is simply to abort one or more processes to break the circular wait. The second option is to preempt some resources from one or more of the deadlocked processes

[REF :: handouts Page No. 149](#)

QNo.25 what is mounting in the file system? And where is the mount point?

What is mounting? And what is Mount Point? (P#226)

Answer:-

Mounting makes file systems, files, directories, devices, and special files available for use at a particular location. Mount point is the actual location from which the file system is mounted and accessed. You can mount a file or directory if you have access to the file or directory being mounted and write permission for the mount point,

[REF :: handouts Page No. 226](#)

QNo.26 Define Roll in & Roll out with respect to swapping

Answer:-

A process needs to be in the memory to be executed. A process, however, can be swapped temporarily out of memory to a backing store, and then brought back into memory for continued execution. Backing store is a fast disk large enough to accommodate copies of all memory images for all users; it must provide direct access to these memory images. The system maintains a ready queue of all processes whose memory images are on the backing store or in memory and are ready to run. This technique is called roll out, roll in.

[REF :: handouts Page No. 159](#)

QNo.27 Explain the FIFO page algorithm with a scenario where the Belady's anomaly true

Answer:-

The problem with this algorithm is that it suffers from Belady's anomaly: For some page replacement algorithms the page fault rate may increase as the number of allocated 199 frames increases, whereas we would expect that giving more memory to a process would improve its performance.

REF :: handouts Page No. 199

QNo.28 Differentiate between dead lock avoidance and dead lock prevention

Answer:-

Deadlock Prevention:	Deadlock Avoidance:
• Preventing deadlocks by constraining how requests for resources can be made in the system and how they are handled (system design). • The goal is to ensure that at least one of the necessary conditions for deadlock can never hold.	• The system dynamically considers every request and decides whether it is safe to grant it at this point, • The system requires additional apriority information regarding the overall potential use of each resource for each process. • Allows more concurrency.

REF :: handouts Page No. 133

<http://www.cs.jhu.edu/~yairamir/cs418/os4/tsld011.htm>

QNo.29 Write one advantage and one disadvantage of using large size block

Answer:-

Advantages:-

If you use larger block then relatively less overhead. Per I/O you can fetch more data. This is very good for sequential access, or very large rows.

Disadvantages:-

Large block size is not good for index blocks used in an OLTP(Online Transaction Processing) type environment, because they increase block contention on the index leaf blocks.

REF :: <http://arjudba.blogspot.com/2008/06/advantages-and-disadvantages-of-using.html>

QNo.30 Does cooperating processes are helpful to the operating system

Answer:-

The concurrent processes executing in the operating system may be either independent processes or cooperating processes. A process is independent if it cannot affect or be affected by any other process executing in the system. Clearly any process that shares data with other processes is a cooperating process.

REF :: handouts Page No. 41

QNo.31 how page fault frequency model used to control the thrashing

Answer:-

Page fault frequency is another method to control thrashing. Since thrashing has a high page fault rate, we want to control the page fault frequency. When it is too high we know that the process needs more frames. Similarly if the page-fault rate is too low, then the process may have too many frames.

Establish “acceptable” page-fault rate

- If rate too low, process loses frame
- If rate too high, process gains frame

REF :: handouts Page No. 211

QNo.32 what is swap space?

Answer:-

The area on the disk where swapped out processes are stored is called the swap space.

REF :: handouts Page No. 34

QNo.32 writes the formula to calculate page table size

Answer:-

Page table size = $NP * PTES$, where NP is the number of pages in the process address space and PTES is the page table entry size (equal to |f| based on our discussion so far).

REF :: handouts Page No. 166

QNo.33 Name of two registers used in segmentation

Answer:-

Segment-table base register (STBR)

Segment-table length register (STLR) indicates

REF :: handouts Page No. 176

QNo.34 what is lazy analyzer that is use in virtual memory

Answer:-

When we want to execute a process, we swap it into memory. Rather than swapping the entire process into memory, however we use a lazy swapper

REF :: handouts Page No. 187

QNo.35 how to detect cycles in acyclic graph

Answer:-

A solution is to allow only links to files not subdirectories. Also every time a new link is added use a cycle detection algorithm to determine whether it is OK. If cycles are allowed, we want to avoid searching any component twice. A similar problem exists when we are trying to determine when a file can be deleted.

REF :: handouts Page No. 224

QNo.35 name three access modes use in file protection

Answer:-

1. Read
2. Write
3. Execute

REF :: handouts Page No. 178

QNo.36 how to detect and recover deadlock

Answer:-

One method is to allow the system to enter a deadlocked state, detect it, and recover.

[REF :: handouts Page No. 133](#)

QNo.37 how semaphore algorithm works in n-critical problem 5marks

Answer:-

We can use semaphores to deal with the n-process critical section problem. The n processes share a semaphore, **mutex** (standing for mutual exclusion) initialized to 1. Each process P_i is organized as follows:

```
do
{
wait(mutex);
Critical section
signal(mutex);
Remainder section
} while(1);
```

As was the case with the hardware-based solutions, this is not a good solution because even though it satisfies mutual exclusion and progress, it does not satisfy bounded wait.

In a uni-processor environment, to ensure atomic execution, while executing wait and signal, interrupts can be disabled

[REF :: handouts Page No. 109, 110](#)

QNo.38 some way to reduce external fragmentation 2marks

Answer:-

External fragmentation of disk (similar to external fragmentation of main memory due to segmentation). Disk defragmenter utility needs to be used for removing external fragmentation.

[REF :: handouts Page No. 235](#)

QNo.39 Four characteristic of deadlock prevention 2 marks

Answer:-

1. Mutual exclusion
2. Hold and Wait
3. No preemption
4. Circular Wait

[REF :: handouts Page No. 133 , 134](#)

QNo.39 is starvation and deadlock are same. Accept or reject with solid reason 3 marks

Answer:-

No! Two neighbors are eating simultaneously; it nevertheless must be rejected because it has the possibility of creating a deadlock.

A set of processes are said to be in a deadlock state if every process is waiting for an event that can be caused only by another process in the set and Starvation is infinite blocking caused due to unavailability of resources.

[REF :: handouts Page No. 120,113](#)

QNo.40 why we need medium term scheduling? 3marks

Answer:-

Medium-term scheduler, which removes processes from memory (and from active contention for the CPU) and thus reduces the degree of multiprogramming.

[REF :: handouts Page No. 34](#)

QNo.41 Difference between deadlock avoidance and deadlock (snowz) prevention? 3marks

Answer:-

1. **Deadlock prevention:** is a set of methods for ensuring that at least one of the necessary conditions cannot hold. These methods prevent deadlocks by constraining how processes can request for resources.
2. **Deadlock Avoidance:** This method of handling deadlocks requires that processes give advance additional information concerning which resources they will request and use during their lifetimes. With this information, it may be decided whether a process should wait or not.

[REF :: handouts Page No. 133](#)

QNo.42 what is lazy analyzer that is use in virtual memory

Answer:-

When we want to execute a process, we swap it into memory. Rather than swapping the entire process into memory, however we use a lazy swapper

[REF :: handouts Page No. 187](#)

QNo.43 List down 2 major benefits of virtual memory

Answer:-

1. Virtual Memory is the separation of user logical memory from physical memory. This separation allows an extremely large virtual memory to be provided for programmers when only a smaller physical memory is available.
2. Virtual memory makes the task of programming easier because the programmer need not worry about the amount of physical memory

[REF :: handouts Page No. 186](#)

QNo.44 Possible criteria to decide that which process should be terminated while dead lock detection and recovery

Answer:-

When a deadlock detection algorithm determines that a deadlock exists, several alternatives exist. One possibility is to inform the operator that a deadlock has occurred, and to let the operator deal with the deadlock manually. The other possibility is to let the system recover from the deadlock automatically. There are two options for breaking a deadlock.

1. One solution is simply to abort one or more processes to break the circular wait.
2. The second option is to preempt some resources from one or more of the deadlocked processes

[REF :: handouts Page No. 149](#)

QNo.44 Some times mkfifo call may be failure,write the reasons for failure if mkfifo call in Unix?

Answer:-

Some of the reasons for this call to fail are:

1. File with the given name exists
2. Pathname too long
3. A component in the pathname not searchable, non-existent, or non-directory
4. Destination directory is read-only
5. Not enough memory space available
6. Signal caught during the execution of mknod()

REF :: handouts Page No. 57

QNo.45 what factors are determine to choose a process for Termination?

Answer:-

Many factors determine which process is chosen, including:

1. What the priority of the process is
2. How long the process has computed, and how much longer the process will compute before completing its designated task.
3. How many and what type of resources the process has used
4. How many resources the process needs in order to complete
5. How many processes will need to be terminated
6. Whether the process is interactive or batch

REF :: handouts Page No. 148 , 149

QNo.46 An address that is generated by CPU what is called? (2)

Answer:-

An address generated by the CPU is commonly referred to as a logical address,

REF :: handouts Page No. 153

QNo.47 What steps are needed for page replacement?

Answer:-

Steps needed for page Replacement is

1. Find the location of the desire page on the disk
2. Find a free frame
 - a. If there is a free frame use it.
 - b. If there is no free frame ,use a page replacement algorithm to select a victim frame
3. read the desired page into the newly freed frame; change the page and frame tables
4. Restart the user Process.

REF :: handouts Page No. 197

QNo.48 Define mounting in UNIX)

Answer:-

Mounting makes file systems, files, directories, devices, and special files available for use at a particular location.

REF :: handouts Page No. 226

QNo.49 CPU send the user or application request to the kernel. How kernels work on the request and fulfill it.

Answer:-

There are four events that cause execution of a piece of code in the kernel.

These events are:

- a. Interrupt
- b. Trap
- c. System call
- d. Signal.

Some kernel code is executed to service the corresponding event

[REF :: handouts Page No. 14](#)

QNo.50 Write the steps for converting source code to executable form.

Answer:-

Translation of a source program in a high-level or assembly language involves compilation and linking of the program series of steps:

Compile/Assemble

↓

Link

↓

Load

↓

Execute

[REF :: handouts Page No. 152](#)

QNo.51 UNIX 3 modes of access. (Owner, group, others)

Answer:-

UNIX recognizes three modes of access: read, write, and execute (r, w, x). The execute permission on a directory specifies permission to search the directory.

The three classes of users are:

- Owner: user is the owner of the file
- Group: someone who belongs to the same group as the owner
- Others: everyone else who has an account on the system

[REF :: handouts Page No. 230](#)

QNo.51 Fg,bg commands

Answer:-

\$ bg

[1]+ find / -name foo -print 2> /dev/null &

\$ fg

find / -name foo -print 2> /dev/null

[REF :: handouts Page No. 66](#)

QNo.52 Disk scheduling SCAN and Look

Answer:-

In the C-Scan and C-Look algorithms, when the disk head reverses its direction, it moves all the way to the other end, without serving any requests, and then reverses again and starts serving requests. In other words, these algorithms serve requests in only one direction.

[REF :: handouts Page No. 247](#)

QNo.52 Hierarchical paging in Intel 80386

Answer:-

Most modern computers support a large logical address space: (232 to 264). In such an environment, the page table itself becomes excessively large

[REF :: handouts Page No. 171](#)

QNo.53 Load time and compile time linking, execution time linking (dynamic and static Linking)

Answer:-

Compile time: if you know at compile where the process will reside in memory, the absolute addresses can be assigned to instructions and data by the compiler.

Load time: if it is not known at compile time where the process will reside in memory, then the compiler must generate re-locatable code. In this case the final binding is delayed until load time.

Execution time: if the process can be moved during its execution from one memory segment to another, then binding must be delayed until run time. Special hardware must be available for this to work

The size of a process is limited to the size of physical memory. To obtain better memory space utilization, we can use dynamic loading

[REF :: handouts Page No. 155, 152](#)

QNo.54 Safe and unsafe state, safe sequence

Answer:-

A state is safe if the system can allocate resources to each process in some order and still avoid a deadlock. More formally a system is in a safe state only if there exists a safe sequence. A sequence of processes $\langle P_1, P_2, \dots, P_n \rangle$ is a safe sequence for the current allocation state if, for each P_i , the resources that P_i can still request can be satisfied by the currently available resources plus all the resources held by all the P_j with $j < i$. In this situation, if the resources that P_i needs are not immediately available, then P_i can wait until all P_j have finished. When they have finished, P_i can obtain all of its needed resources, complete its designated task, return its allocated resources and terminate. When P_i terminates, P_{i+1} can obtain its needed resources and terminate. If no such sequence exists, then the system is said to be unsafe.

[REF :: handouts Page No. 135](#)

QNo.55 Hold and wait condition for Deadlocks

Answer:-

A process must be holding at least one resource and waiting to acquire additional resources that are currently being held by other processes.

[REF :: handouts Page No. 129](#)

QNo.56 Difference between Bounded wait and progress condition

Answer:-

Process:-

If no process is executing in its critical section and some processes wish to enter their critical sections, then only those processes that are not executing in their remainder section can participate in the decision on which will enter its critical section next, and this selection cannot be postponed indefinitely.

Bounded Waiting:-

There exists a bound on the number of times that other processes are allowed to enter their critical sections after a process has made a request to enter its critical section and before that request is granted.

[REF :: handouts Page No. 99](#)

QNo.57 Define logical address

Answer:-

An address generated by the CPU is commonly referred to as a logical address,

[REF :: handouts Page No. 153](#)

QNo.58 Real time system definition

Answer:-

Real time systems are used when rigid time requirements are placed on the operation of a processor or the flow of data; thus it is often used as a control device in a dedicated application.

[REF :: handouts Page No. 6](#)

QNo.59 Issue with segmentation and solution

Answer:-

Segmentation may then cause external fragmentation (i.e. total memory space exists to satisfy a space allocation request for a segment, but memory space is not contiguous), when all blocks of memory are too small to accommodate a segment. In this case, the process may simply have to wait until more memory (or at least a larger hole) becomes available or until compaction creates a larger hole. Since segmentation is by nature a dynamic relocation algorithm, we can compact memory whenever we want. If we define each process to be one segment, this approach reduces to the variable sized partition scheme. T the other extreme, every byte could be put in its own segment and relocated separately. This eliminates external fragmentation altogether, however every byte would need a base register for its relocation, doubling memory use. The next logical step- fixed sized, small segments, is paging i.e. paged segmentation. Also it might latch a job in memory while it is involved in I/O. To prevent this I/O should be done only into OS buffers.

[REF :: handouts Page No. 179](#)

QNo.60 Problems in round robin with swapping 5 marks

Answer:-

Swapping is constrained by factors like quantum for RR scheduler and pending I/O for swapped out process. Assume that I/O operation was queued because the device was busy. Then if we were to swap out P1, and swap in process P2, the I/O operation might attempt to access memory that now belongs to P2. The solution to this problem are ever to swap out processes with pending I/O or to execute I/O in kernel space

REF :: handouts Page No. 158

QNo.61 Methods for process communication

Answer:-

A link is established automatically between every pair of processes that want to communicate. The processes need to know only each other's identity to communicate

- A link is associated with exactly two processes.
- Exactly one link exists between each pair of processes

REF :: handouts Page No. 44

QNo.61 five attributes of File 3 marks

Answer:-

1. File Descriptor
2. Per Process File Descriptor Table
3. File Table
4. Inode Table
5. File's contents

REF :: handouts Page No. 51

QNo.62 Mmap() command

Answer:-

"Normal" File I/O

```
fildes = open(...);
```

```
lseek(...);
```

```
read(fildes, buf, len);
```

```
/* use data in buf */
```

File I/O with mmap()

```
fildes = open(...)
```

```
address = mmap((caddr_t) 0, len, (PROT_READ | PROT_WRITE), MAP_PRIVATE, fildes, offset);
```

```
/* use data at address */
```

REF:: handouts Page No. 196

QNo.63 The maximum number of pages in process address space is one million and the total address size (p +d) of process address space is 32- bit with page size is 4096 bytes. Calculate the number of bits required for page number (p) and the number of bits required for offset (d)?

Answer:-

P = 12 bits

Off set = 5

Let the number of bits required = x

so, $2^x = 4096$

so, x =12

Offset = 5

$2^p = 4096$

$2^p = 2^{12}$

p =12

$2^d = 32$

$2^d = 2^5$

d =5

QNo.64 what are the three stages/times when the address is bound to instructions and data?

Answer:-

Address can be bound to instructions and data at different times, as discussed below briefly.

1. **Compile time:** if you know at compile where the process will reside in memory, the absolute addresses can be assigned to instructions and data by the compiler.
2. **Load time:** if it is not known at compile time where the process will reside in memory, then the compiler must generate re-locatable code. In this case the final binding is delayed until load time.
3. **Execution time:** if the process can be moved during its execution from one memory segment to another, then binding must be delayed until run time. Special hardware must be available for this to work.

REF:: handouts Page No. 152

QNo.64 What is mounting and explain It.?

Answer:-

Mounting makes file systems, files, directories, devices, and special files available for use at a particular location. Mount point is the actual location from which the file system is mounted and accessed. You can mount a file or directory if you have access to the file or directory being mounted and write permission for the mount point

There are types of mounts:

3. Remote mount
4. Local mount

REF :: handouts Page No. 226

QNo.65 what is Load Time?

Answer:-

if it is not known at compile time where the process will reside in memory, then the compiler must generate re-locatable code. In this case the final binding is delayed until load time.

REF :: handouts Page No. 226

QNo.66 what is Index Allocation Method?

Answer:-

Indexed allocation brings all the pointers to the block together into a disk block, known as the index block.

REF :: [handouts Page No. 236](#)

QNo.67 Choose Preemptive and Non-Preemptive Scheduling from the following;

First-Come-First-Served (FCFS) Scheduling

Shorted Job First (SJF) Scheduling

Shortest Remaining Time First (SRTF) Scheduling

Priority Scheduling

Round-Robin Scheduling

Multilevel Queues Scheduling

Multilevel Feedback Queues Scheduling

Answer:-

Preemptive and	Non-Preemptive
• Shortest Remaining Time First (SRTF) Scheduling • Round-Robin Scheduling	• First-Come, First Serve (FCFS or FIFO) • Shorted Job First (SJF) Scheduling

REF ::

http://academic.udayton.edu/SaverioPerugini/courses/cps346/lecture_notes/scheduling.html

QNo.68 How can u display the status of suspended and background processes in Unix/Linux shell.?

Answer:-

You can use the fg command to resume the execution of a suspended job in the foreground or move a background job into the foreground. Here is the syntax of the command.

fg [%job_id]

REF :: [handouts Page No. 65](#)

QNo.69 Consider a logical address space of eight pages of 1024 words each, mapped onto a Physical memory of 32 frames.

(a) How many bits are there in the logical address?

(b) How many bits are there in the physical address? (5marks)

Answer:-

Each page/frame holds 1K; we will need 10 bits to uniquely address each of those 1024 addresses. Physical memory has 32 frames and we need 5 bits to address each frame, requiring in total 5+10=15 bits. A logical address space of 64 pages requires 6 bits to address each page uniquely, requiring 16 bits in total.

REF :: <http://garryowen.csisdmsz.ul.ie/~cs4023/resources/sol11.pdf>

QNo.70 Drawbacks of semaphore (5marks)

Answer:-

- Simple algorithms require more than one semaphore
- This increases the complexity of semaphore solutions to such algorithm
- The programmer must keep track of all calls to wait and to signal the semaphore.
- Since semaphores can be tricky, can we create other constructs from them?

REF ::

<http://www.cs.colostate.edu/~cs551/CourseNotes/ConcurrentConstructs/DisAdvSems.html>

QNo.71 Address Generated by CPU

Answer:-

An address generated by the CPU is commonly referred to as a logical address,

REF :: handouts Page No. 153

QNo.72 What is pager with respect to virtual memory? 2 marks

Answer:-

Whereas a pager is concerned with the individual pages of a process. Thus the term pager is used in connection with demand paging.

REF :: handouts Page No. 187

QNo.73 Differ between physical address and virtual address? 3 marks

Answer:-

Real memory uses Physical addresses. These are the members that the memory chips react to on the bus. Virtual addresses are the logical addresses that refer to a process' address space. Thus, a machine with a 16-bit word can generate virtual addresses up to 64K, regardless of whether the machine has more or less memory than 64 KB

REF :: handouts Page No. 153

QNo.74 Define and briefly describe what is memory mapping system calls? 3calls

Answer:-

The memory mapping system calls can only support copy-on-write functionality allowing processes to share a file in read-only mode, but to have their own copies of any data they modify. So that access to the shared data is coordinated, the processes involved might use one of the mechanisms for achieving mutual exclusion.

mmap() System Call

In a UNIX system, mmap() system call can be used to request the operating system to memory map an opened file. The following code snippets show “normal” way of doing file I/O and file I/O with memory mapped files.

REF :: handouts Page No. 196

QNo.75 Consider a process having its segment 15 having 5096 bytes. The process generates a logical address (15, 3921). What page does the logical address refers to? (2 marks)

Answer:-

How many pages does the segment have? $\text{ceiling}[5096/1024]= 5$

What page does the logical address refers to? $\text{ceiling}[3921/1024]= 4$ (i.e., page number 3)

REF :: handouts Page No. 181

QNo.76 Disadvantage of dynamic loading?

Answer:-

Disadvantage:-

- However the run time activity involved in dynamic loading is a disadvantage.
- Dynamic programming does not require special support from the operating system

REF :: handouts Page No. 154

QNo.77 Look algorithm ? (2 Marks)

Answer:-

This algorithm is a version of SCAN. In this algorithm the arm only goes as far as the last request in each direction, then reverses direction immediately, serving requests while going in the other direction. That is, it looks for a request before continuing to move in a given direction.

REF :: handouts Page No. 246

QNo.78 Degree of multiprogramming when increased what effect is on CPU utilization? 3mar

Answer:-

Multi-programming increases CPU utilization by organizing jobs so that the CPU always has one to execute. The operating system keeps several jobs in memory simultaneously,

REF :: handouts Page No. 5

QNo.79 Source open software are helpful for testing algorithms as compared to pirated software?

Answer:-

Open source software is very often developed in a public, collaborative manner. Open source software is the most prominent example of open source development and often compared to (technically defined) user-generated content or (legally defined) open content movements

REF :: http://en.wikipedia.org/wiki/Open_source_software

QNo.80 Hardware required for swapping, paging and demand paging? 5 marks

Answer:-

Swapping

A process needs to be in the memory to be executed. A process, however, can be swapped temporarily out of memory to a backing store, and then brought back into memory for continued execution. Backing store is a fast disk large enough to accommodate copies of all memory images for all users; it must provide direct access to these memory images. The system maintains a ready queue of all processes whose memory images are on the backing store or in memory and are ready to run

Paging

Paging is a memory management scheme that permits the physical address space of a process to be non-contiguous. It avoids the considerable problem of fitting the various sized memory chunks onto the backing store, from which most of the previous memory-management schemes suffered. When some code fragments or data residing in main memory need to be swapped out, space must be found on the backing store. The fragmentation problems discussed in connection with main memory are also prevalent with backing store, except that access is much slower so compaction is impossible

Demand Paging

A demand paging system is similar to a paging system with swapping. Processes reside on secondary memory (which is usually a disk). When we want to execute a process, we swap it into memory. Rather than swapping the entire process into memory, however we use a lazy swapper. A lazy swapper never swaps a page into memory unless that page will be needed. Since we are now viewing a process as a sequence of pages rather than as one large contiguous address space, use of swap is technically incorrect. A swapper manipulates entire processes, whereas a pager is concerned with the individual pages of a process. Thus the term pager is used in connection with demand paging.

[REF :: handouts Page No. 158, 162, 186,](#)

QNo.80 Semaphores Algorithm? 5 marks

Answer:-

In this algorithm, we combine the ideas of the first two algorithms. The common data structures used by a cooperating process are:

boolean waiting[n];

boolean lock;

The structure of process P_i is:

```
do
{
    waiting[i] = true;
    key = true;
    while (waiting[i] && key)
        key = TestAndSet(lock);
    waiting[i] = false;
    Critical section
    j = (i+1) % n;
    while ((j!=i) && !waiting[j])
        j = (j+1)% n;
    if (j == i)
        lock = false;
    else
        waiting[j] = false;
    Remainder section
} while(1);
```

These data structures are initialized to false. To prove that the mutual exclusion requirement is met, we note that process P_i can enter its critical section only if either waiting[i] = false or key =

= false. The value of key can become false only if TestAndSet is executed. The first process to execute the TestAndSet instruction will find key= false; all others must wait. The variable waiting[i] can only become false if another process leaves its critical section; only one waiting[i] is set to false, maintaining the mutual exclusion requirement.

To prove the progress requirement is met, we note that the arguments presented for mutual exclusion also apply here, since a process exiting the critical section either sets lock to false or sets waiting[j] to false. Both allow a process that is waiting to enter its critical section to proceed.

To prove that the bounded waiting requirement is met, we note that, when a process leaves its critical section, it scans the array waiting in the cyclic ordering (i+1, i+2, ..., n-1, 0, 1, ..., i-1). It designates the first process it sees that is in its entry section with waiting[j]=true as the next one to enter its critical section. Any process waiting to do so will enter its critical section within n-1 turns

[REF :: handouts Page No. 107, 108](#)

QNo.81 Who generate physical address and logical address? 5 marks

Answer:-

An address generated by the CPU is commonly referred to as a logical address, where as an address seen by the memory unit—that is, the one loaded into the memory-address register of the memory—is commonly referred to as the physical address. In essence, logical data refers to an instruction or data in the process address space where as the physical address refers to a main memory location where instruction or data resides. The compile time and load time binding methods generate identical logical and physical addresses, where as the execution time binding method results in different physical and logical addresses. In this case we refer to the logical address as the virtual address. The set of all logical addresses generated by a program form the logical address space of a process; the set of all physical addresses corresponding to these logical addresses is a physical address space of the process. The total size of physical address space in a system is equal to the size of its main memory. The run-time mapping from virtual to physical addresses is done.

[REF :: handouts Page No. 153](#)

QNo.82 Write the names of common file structures. (2)

Answer:-

A file has certain defined structure characteristics according to its type. A few common types of file structures are:-

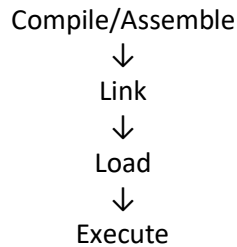
1. Simple Record Structures
2. Complex structures

[REF :: handouts Page No. 215](#)

QNo.83 Which part of compiler/assembler perform the task of taking one or more objects generated and assemble them in to a single executable program. (2)

Answer:-

This process generates the machine language executable code (also known as a binary image) for the give source program. To execute the binary code, it is loaded into the main memory and the CPU state is set appropriately. The whole process is shown in the following diagram.



REF :: handouts Page No. 152

QNo.84 Write the method through which Linus/Unix commands can communicate with each other. (2)

Answer:-

Answer \$mkdir ~/courses/cs604/program

Command creates the programs directory under your ~/courses/cs604 directory.

REF :: handouts Page No. 26

QNo.85 Which term is best suited for the situation where several process access and manipulate shared data concurrently and final value of data depends which process finishes last. (3)

Answer:-

A situation like this, where several processes access and manipulate the same data concurrently and the outcome of the manipulation depends on the particular order in which the access takes place, is called a race condition.

REF :: handouts Page No. 96

QNo.86 Possible criteria to decide that which process should be terminated

Answer:-

When a deadlock detection algorithm determines that a deadlock exists, several alternatives exist. One possibility is to inform the operator that a deadlock has occurred, and to let the operator deal with the deadlock manually. The other possibility is to let the system recover from the deadlock automatically. There are two options for breaking a deadlock. One solution is simply to abort one or more processes to break the circular wait. The second option is to preempt some resources from one or more of the deadlocked processes

REF :: handouts Page No. 149

QNo.87 Some times mkfifo call may be failure,write the reasons for failure if mkfifo call in Unix?

Answer:-

Some of the reasons for this call to fail are:

7. File with the given name exists
8. Pathname too long
9. A component in the pathname not searchable, non-existent, or non-directory
10. Destination directory is read-only
11. Not enough memory space available
12. Signal caught during the execution of mknod()

REF :: handouts Page No. 57

QNo.88 which factors are determine to choose a process for Termination?

Answer:-

Many factors determine which process is chosen, including:

7. What the priority of the process is
8. How long the process has computed, and how much longer the process will compute before completing its designated task.
9. How many and what type of resources the process has used
10. How many resources the process needs in order to complete
11. How many processes will need to be terminated
12. Whether the process is interactive or batch

REF :: handouts Page No. 148 , 149

QNo.89 How can you calculate size of page table, give formula? 2 marks

Answer:-

Page table size = NP * PTES , where NP is the number of pages in the process address space and PTES is the page table entry size (equal to |f| based on our discussion so far).

Page table size = 16 * 5 bits

REF :: handouts Page No. 165

QNo.90 Soft links in UNIX? 3 marks

Answer:-

Soft links take care of all the problems inherent in hard links. They are flexible. You may have soft links to directories and across file systems. However, UNIX has to support an additional file type, the link type, and a new file is created for every link, slowing down file operations.

REF :: handouts Page No. 225

QNo.91 A code was given and question was to tell whether it satisfies mutual exclusion?

An algorithm solves the mutual exclusion problem if the following hold:

– **Mutual Exclusion**

In every configuration of every execution, at most one process is in the critical section.

– **No Deadlock**

In every execution, if some process is in the entry section in some configuration, then there is a later configuration in which **some process is in the critical section**.

- Stronger Progress Property

– **No lockout (starvation-free)**

In every execution, if some processor is in the entry section in a configuration, then there is a later configuration in which that same processor is in the critical section

REF :: <http://www.csd.uoc.gr/~hy586/material/lectures/cs586-Section2.pdf>

QNo.92 A diagram was given and question was In fully LRU the concept of aging is used with the algorithm. What does keep track of R-bits at each clock tick? 5 marks

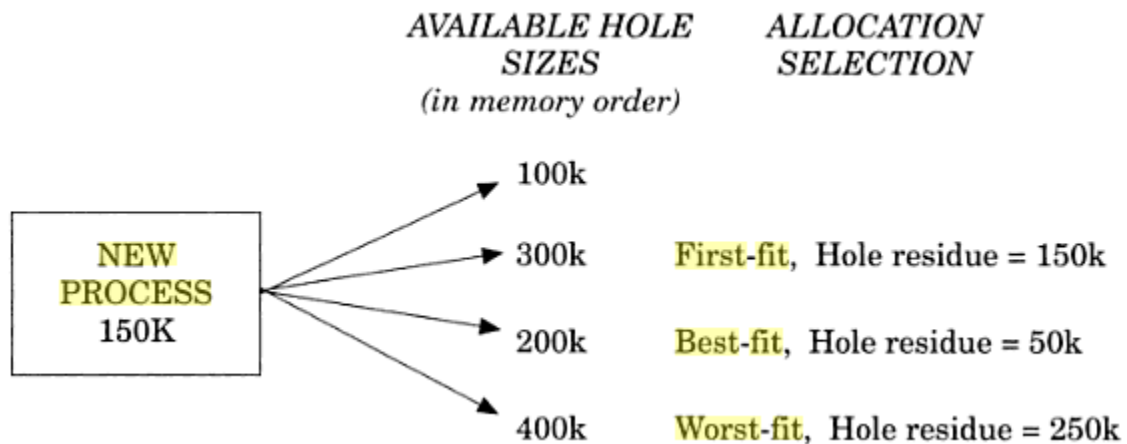
Answer:-

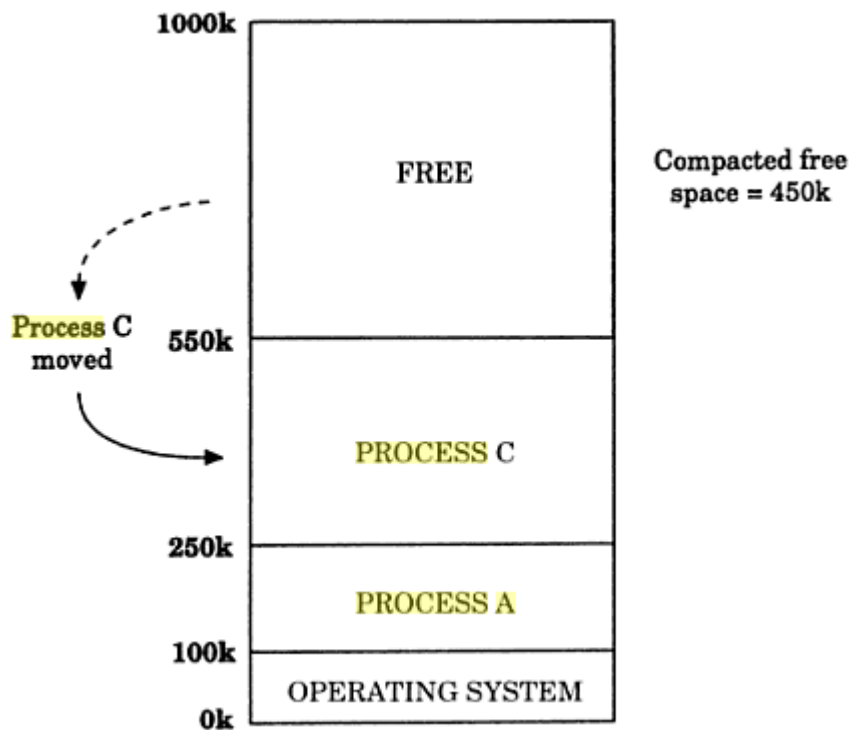
R bits	Page 0	Page 1	Page 2	Page 3
1110	10000000	10000000	10000000	00000000
1001	11000000	01000000	01000000	10000000
1100	11100000	10100000	00100000	01000000
1101	11110000	11010000	00010000	10100000
0010	01111000	01101000	10001000	01010000
1010	10111100	00110100	11000100	00101000
1100	11011110	10011010	01100010	00010100
0011	01101111	01001101	10110001	10001010

REF :: <http://www.cs.wichita.edu/~chang/lecture/cs540/homework/hwk3-sol.txt>

QNo.93 If a new process is to be loaded of size 25 k which whole size will be filled using best fit, First fit and worst fit? given hole memory location were given 20k, 15k, 40k, 60k, 10k,25k. 5 marks

Answer:-





Answer to question 2

Best-fit – 25K, First-fit – 40K, Worst-fit – 60K

REF ::

http://books.google.com.pk/books?id=JmkiE2Ut7ysC&pg=PA85&lpg=PA85&dq=If+a+new+process+is+to+be+loaded+of+size+25+k+which+whole+size+will+be+filled+using+best+fit,+cx`st+fit+and+worst+fit&source=bl&ots=CDtFpjfxg1&sig=TnWpbVD0hxbPV3_dALs7Z8Vp3eU&hl=en&sa=X&ei=fC0OUarKEuq4gTFoYCQBg&ved=0CC4Q6AEwAA#v=onepage&q=If%20a%20new%20process%20is%20to%20be%20loaded%20of%20size%2025%20k%20which%20whole%20size%20will%20be%20filled%20using%20best%20fit%2C%20First%20fit%20and%20worst%20fit&f=false

QNo.94 Differentiate between logical and physical address. (5)

Answer:-

Physical Address:

- # It is also called as MAC address or Ethernet Address or Layer 2 address.
- # This address is burnt in the network Adapter called NIC card.
- # This is a 48 bit address represented in hexadecimal format.
- # To find known MAC to unknown IP address we need a protocol called RARP-Reverse Address Resolution Protocol.
- # This address is used inside LAN networks i.e within a single network.
- # Example MAC address: 00-0d-65-ac-50-7f

Logical Address:

It is also called as Network address or layer 3 address.

It is a 32 bit address represented in 4 octets.

This address is used when two or more networks communicate with each other.

To find unknown IP from MAC address we need a protocol called ARP-Address Resolution Protocol.

This address has two components: Network part and Host part.

Example IP address: 192.168.1.10

REF :: <http://www.indiastudychannel.com/experts/20546-What-difference-between-physical-address.aspx>

QNo.95 Identify the necessary information that must be stored in process control block during the execution of program

Answer:-

Each process is represented in the operating system by a process control block (PCB) – also called a task control block

Process state: The state may be new, ready, running, and waiting, halted and so on.

Program counter: The counter indicates the address of the next instruction to be executed for this process.

CPU registers: The registers vary in number and type, depending on the computer architecture. They include accumulators, index registers, stack pointers and general-purpose registers, plus any condition code information. Along with the program counter, this state information must be saved when an interrupt occurs, to allow the process to be continued correctly afterwards.

CPU Scheduling information: This information includes a process priority, pointers to scheduling queues, and any other scheduling parameters.

Memory-management information: This information may include such information such as the value of the base and limit registers, the page tables, or the segment tables, depending on the memory system used by the operating system.

Accounting information: This information includes the amount of CPU and real time used, time limits, account numbers, job or process numbers, and so on.

I/O status information: The information includes the list of I/O devices allocated to the process, a list of open files, and so on.

REF :: [handouts Page No. 30](#)

Bounded Buffer is a buffer of _____ size

Variable

Fixed **P/41**

_____ is also called Swapper.

Long term

Short term

Medium term **P/34**

Swap space

Shared libraries and kernel modules are stored in _____ directory.

/bin

/dev

/boot

/lib **P/23**

_____ displays information about the top processes.

Is

Cs

Top **P/64**

Cd

Cooperating processes never share any data, code, memory or state.

True

False **P/2, 41, 97**

First _____ entries in Per Process File Descriptor Table are used as soon as the process is created.

1

2

3

4

When process opens its first file explicitly it will get descriptor number

1

2

3 Google

4

Taking the CPU from one process and giving the CPU to another process is termed as

Context Switching P/31

Dispatching

Swapping

Tracking

_____ scheduler selects the process from the job pool and put them in main memory.

Long term P/33

Short term

Medium term

Swapper

1. Linux OS can support multiple users at a time

a) True

b) False

2. The Operating system is a layer of software between _____ and _____.

a) hardware, software application P/1

- b) Kernel, hardware
- c) Dos, Windows
- d) Windows, Kernel

3. The major advantage of multi-programming system is

- a) More than one jobs can be processed at a given time
- b) CPU utilization can be increased
- c) Jobs can be completed quickly
- d) All of the options are correct P/7**

4. The main characteristic of a Real time system is

- a) Efficiency
- b) Large Virtual Memory
- c) Large secondary storage device
- d) Usability P/6**

5. Command-line interpreter is also called _____ in some operating systems.

- a) Kernel
- b) Shell P/13**
- c) Signal
- d) API

6. I/O instructions are Privileged Instructions.

- a) True P/8**
- b) False

7. In Linux directory structure, there is _____ root directory.

- a) 1 P/22**
- b) 2
- c) 3
- d) 4

8. Utilities used for system administration (halt, ifconfig, fdisk, etc.) are stored in _____ directory.

- a) /dev
- b) /boot
- c) /lib
- d) /sbin P/24**

9. rm and rmdir commands are used to _____ directory.

- a) Create
- b) Move
- c) Remove**
- d) Modify

10. You can use the **mv file1 file2** command to move _____

- a) file1 to file2.**
- b) file 2 to file 1
- c) this command will not work for moving files
- d) None of the option is correct.
- e) Both option **a** and **b** are correct

11. Taking the CPU from one process and giving the CPU to another process is termed as

- a) Context Switching P/31**
- b) Dispatching
- c) Swapping
- d) Tracking

12. _____ scheduler is also called Swapper.

- a) Long term
- b) Short term
- c) Medium term**
- d) Swap space

13. A Process A that has finished working, as well as its parent process has also finished its execution. In this state the process A will be called as _____ process.

- a) **Child**
- b) Thread
- c) Zombie
- d) Fork

14. Bounded Buffer is a buffer of _____ size

- a) variable
- b) **Fixed**

15. In _____ communication the process which wants to communicate with the other process must explicitly name the recipient and the sender.

- a) **Direct** **P/43**
- b) Indirect
- c) Automatic
- d) Self

16. In indirect inter process communication, a sender _____ mention the name of the recipient.

- a) does
- b) **does not**

17. The returned code to the child process after successful fork system call execution is

- a) 1
- b) 2
- c) 3
- d) **0**

18. If the fork system call fails, it returns

- a) 1

b) -1

c) 2

d) 0

19. When a process opens its first file explicitly it will get descriptor number

a) 1

b) 2

c) 3 **Google**

d) 4

20. In Unix/ Linux, by default the standard input file is attached to the

a) Mouse

b) Keyboard **P/52**

c) Light pen

d) Joystick

The file descriptor for Standard Input (stdin) is -----

0 **P/52**

1

2

3

The part of the program where the shared memory is accessed is called -----

Buffer

Critical section

Semaphore

None

Linux is only single user operating system

T
F

User mode can run the Privileged instructions

T
F

Google

_____algorithm is the optimal scheduling algorithm among all the non-preemptive scheduling algorithms.

SJF

Priority

FCFS

RR

A semaphore that cause *Busy-Waiting* is termed as _____.

Spinlock

P/111

Critical Section

Monitor

Critical Region

The TSL (TestAndSet instruction) which is the hardware solution to synchronization problem does not satisfy the _____condition, hence not considered to be a good solution.

Bounded waiting

P/106

None

Mutual exclusion

Progress

The goals of systems are maximizing user convenience and responsiveness, instead of maximizing the utilization of the CPU and peripheral devices.

Single user

P/4

Time sharing

Multi Programmed

Batched

In indirect communication processes can communicate only if they share a mailbox.

T
F

The -----system call is used to open or create a file.

Open ()

Google

Read ()

Write ()
Close ()

..... are used for communication between related processes on a system.

Pipe **P/49**
FIFO
None
Named Fifo

A _____ is a piece of code in a cooperating process in which the process may
Updates shared data (variable, file, database, etc.).

Critical section **P/97**
Critical Region
All are correct
Monitor

----- Command gives a snapshot of the current processes.

ps **P/63**
top
who
ls

-----command to resume the execution of a suspended job in the foreground

fg **P/65**
bg
jobs
kill

You can use the ----- command to display the status of suspended and
background processes

fg
bg **P/65**
jobs
kill

You can terminate a foreground process by pressing -----

<Ctrl-A>
<Ctrl-C> **P/66**
<Ctrl-Z>
None of the given options

In Unix/ Linux, by default the standard output file is attached to the
Select correct option:

File

Screen

P/52

Printer

Scanner

A time sharing system is

Multi tasking

Interactive

All of these

Multi user

The following requirement for solving critical section problem is known as ____.

“There exists a bound on the number of times that other processes are allowed to enter their critical sections after a process has made a request to enter its critical section and before that request is granted.”

Progress

Bounded Waiting

Mutual Exclusion

Critical Region

The bottom layer in the layered approach of Operating System is-----

User interface

Hardware

Kernel

None of the given options

_____directory includes essential system boot files including the kernel image.

Select correct option:

/bin

/boot

/dev

/etc

You can use the rm file1 command to _____file1.

Select correct option:

retrieve
remove
make
modify

_____command is used to change the directory.

Select correct option:

ls
cp
cd
mv

Kernel threads are supported directly by the operating system. The kernel performs the scheduling, creation, and management in ----- command display the status of a process.

Select correct option:

ls **ps**
gcc
cat

_____Command displays the contents of current working directory.

Select correct option:

Ls **P/25**
cs
mv

Linux uses _____directory to store system configuration files.

Select correct option:

/bin
/dev
/boot
/etc **P/23**

_____Commands in Linux is used to copy file

Select correct option:

ls

cp

mv

mkdir

P/27

_____directory includes essential system boot files including the kernel image.

Select correct option:

/bin

/boot

P/23

/dev

/etc

Swapper is also termed as Short term scheduler.

Select correct option:

True

False

The number of processes completed per unit time is called _____.

Select correct option:

Turn around time

Throughput

Response time

Dispatch latency

_____is used to request the OS by the process to take an I/O or initiating child process.

Select correct option:

System call

Interrupt

Trap

Signal

A parent process calling _____system call will be suspended until children process terminates.

Select correct option:

wait

fork

exit

exec

If your processor does not have two slots empty in Per Process File Descriptor Table, then your _____ system call will fail.

Select correct option:

Pipe

Read

Write

Open

The manual pages can be read in Linux using _____ command.

Select correct option:

man

wan

desc

help

All Threads within a process share the _____ address space.

Select correct option:

Same

Different

Taking the CPU from one process and giving the CPU to another process is termed as

1. Context switching

2. Dispatching

3. Swapping

4. Tracking

The correct command for compiling C program named program.c in Linux environment is

1. gcc program.c -o FirstPrgram P/28 Google

2. gcc -o FirstProgram program.c

3. gcc -z FirstProgram program.c

4. gcc program.c -m FirstPrgram

The hardware mechanism that enables a device to notify CPU is called an -----

Interrupt

Signal

Trap

Process

You can display the contents (names of files and directories) of a directory in UNIX/Linux directory structure with the ----- command.

l s

ls

none of the given options

The ----- system call suspends the calling process.

fork

wait

exec

exit

In -----addressing, the recipient is not required to name the sender.

Symmetric

Asymmetric

Both symmetric and asymmetric

None of the given options

The process of switching from one process to another is called latency.

1. True

2. False **P/31**

The priority of a process can be changed using _____ command.
Select correct option:

nice

P/91

cmd

cat

grep

The nice value helps in assigning _____ to a process.
Select correct option:

Priority

P/91

Weight

Time

Scheduling

You can use the -----command in UNIX to create a directory.

rmdir

mkdir

cp

gcc

The time it takes for the dispatcher to stop one process and start another running is known as the-----.

Dispatch latency

Scheduling

Context switching

None of the given options

First-Come, First-Served (FCFS) is a -----scheduling algorithm.

preemptive

non-preemptive

both preemptive and non- preemptive

none of the given options

The Shortest-Job-First Scheduling algorithm can be

Preemptive only

non-preemptive only

preemptive or non-preemptive.

None of the given options

1 MB or 1 megabyte is equivalent to----

1024 bytes

1024² bytes (may be this)

1024³ bytes

1000000 bytes

-----has a hierarchical file system structure.

DOS

Windows

UNIX

None of the given options

Files that start with a ----- in UNIX/Linux directory structure are known as hidden files.

.(dot)

(hash)

/ (slash)

~ (tilt)

The creating process is called a----- process while the new processes are called the ----- of that process

None of the given options

Children, parent

Parent, children

Zombie, single

-----buffer places no practical limit on the size of the buffer

Bounded

Unbounded

Both Unbounded & bounded

None of the given options

_____ is the basis of queuing theory which is branch of mathematics used to analyze systems involving queues and servers.
Select correct option:

Little's Formula

P/94

Deterministic Modeling

Queuing Theory

Queuing analysis

Kernel is responsible for scheduling the user level threads.

True **P/90 Google**

False

DOS is a single user operating system.

Select correct option:

True **Google**

False

The scheduling of _____ are done by the operating system.

Select correct option:

Kernel threads **P/70**

User level threads

Both Kernel and User Level thread

None of the give option

A major problem with priority scheduling algorithms is _____.

Select correct option:

Deadlock

Aging

Starvation **P/3**

None of these

A major problem with priority- scheduling algorithms is **indefinite blocking** (or **starvation**).

Round Robin algorithm is most suitable for _____.

Select correct option:

Time sharing system **P/85**

Real time systems and batch systems

Running Batch programs

Expert system

Which of the following is correct definition for wait operation?

► **wait(S) {**
while(S<=0) **P/108**

;// no o

S--;

}

► **wait(S) {**

S++;

}

► **wait(S) {**

while(S>=0)

;// no op

S--;

}

► **wait(S) {**

S--;

}



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**CS604 SOLVED MCQS MEGA FILE FOR
FINAL TERM SOLVED BY AWAIS**

Date 10th Feb 2013

_____ Commands in Linux is used to copy file

Is

Cp (p27)

Mv

Mkdir

The correct command for compiling C program named program.c in Linux environment is

Gcc program.c -o FirstPrgram (p28)

Gcc -o FirstProgram program.c

Gcc -z FirstProgram program.c

Gcc program.c -m FirstPrgram

Bottom of Form

Top of Form

Question # 1

_____ scheduler selects the process from the job pool and put them in main memory.

Select correct option:

Long term (p33)

Short term

Medium term

Swapper

Question # 2

The process id returned to the child process after successful fork system call execution is _____.

Select correct option:

0 (p36)

1

2

3

Question # 6

_____ displays information about the top processes.

Select correct option:

Ls

CS

Top (p64)

Cd

Question # 8

Using _____ system, we can create a new process in Linux.

Select correct option:

fork (p36)

Exec 2

Wait

Exit

Question # 3

_____ commands in Linux helps to create a new directory.

Select correct option:

Ls

Cp

Mv

Mkdir (p26)

Cooperating processes never share any data, code, memory or state.

Select correct option:

True

False (p41)

Question # 7

The manual pages can be read in Linux using _____ command.

Select correct option:

Man (p4)

Wan

Desc

Help

Question # 8

In UNIX/ Linux, by default the standard input file is attached to the _____

Select correct option:

Standard input: 0 (keyboard)

Standard output: 1 (display screen)

Standard error: 2 (display screen)

Mouse

Keyboard (p52)

Light pen

Joystick

Question # 2

Shared libraries and kernel modules are stored in _____ directory.

Select correct option:

/bin

/dev

/boot

/lib (p23)

Question # 7

Swapper is also termed as Short term scheduler.

Select correct option:

True

False (p34) (Medium term = Swapper) 3

Question # 10

You can use the mv file1 file2 command to move _____

Select correct option:

File1 to file2 (p27)

File 2 to file 1

This command will not work for moving files

None of the option is correct.

Question # 2

_____ is also called Swapper.

Select correct option:

Long term

Short term

Medium term (p34)

Swap space

Question # 3

_____ System call is used to write to a file or FIFO or any other IPC channel.

Select correct option:

Read

Write (p45)

Open

Fork

Question # 6

If your processor does not have two slots empty in Per Process File Descriptor Table, then your _____ system call will fail.

Select correct option:

The pipe () system call fails for many reasons, including the following:

-At least two slots are not empty in the PPFDT—too many files or pipes are open in the process

-Buffer space not available in the kernel

-File table is full

Pipe (p52)

Read

Write

Open

2. The Operating system is a layer of software between _____ and _____.

Hardware, software application

Kernel, hardware

Dos, Windows

Windows, Kernel

5. Command-line interpreter is also called _____ in some operating systems.

a) Kernel

b) Shell (p13)

c) Signal

d) API 4

6. I/O instructions are Privileged Instructions.

a) True (p8)

b) False

7. In Linux directory structure, there is _____ root directory.

a) 1 (p22)

b) 2

c) 3

d) 4

8. Utilities used for system administration (halt, ifconfig, fdisk, etc.) are stored in _____ directory.

a) /dev

b) /boot

c) /lib

D) /sbin (p24)

9. Rm and mkdir commands are used to _____ directory.

a) Create

b) Move

c) Remove (p27)

d) Modify

15. In _____ communication the process which wants to communicate with the other process must explicitly name the recipient and the sender.

a) Direct (p43)

b) Indirect

c) Automatic

d) Self

16. In indirect inter process communication, a sender _____ mention the name of the recipient.

a) does

b) does not (p43)

17. The returned code to the child process after successful fork system call execution is

a) 1

b) 2

c) 3

d) 0 (p32)

18. If the fork system call fails, it returns

a) 1

b) -1 (p32)

c) 2 5

d) 0

Question # 1

The problem with priority scheduling algorithm is _____.

Select correct option:

Deadlock

Starvation (p84)

Aging

Nice value

- A major problem with priority- scheduling algorithms is indefinite blocking (or starvation).
- Aging is solution to the problem of indefinite blockage of low-priority processes.

A major problem with priority scheduling algorithms is _____.

Select correct option:

Deadlock

Aging

Starvation (P # 84)

None of these

_____ is a solution to the problem of indefinite blockage of low-priority processes.

Starvation

Deadlock

Aging (p85)

None of the these

Question # 4

Batch programs are usually _____ programs.

Select correct option:

Interactive

Non-interactive (Google)

Foreground

Preemptive

Question # 2

All Threads within a process share the _____ address space.

Select correct option:

Same (p70)

Different

Question # 6

_____ scheduling allows a process to move between queues.

Select correct option:

Round Robin

First Come First Serve

Multilevel Feedback Queue (p90) 6

Shortest Remaining Time First

Question # 4

POSIX is a standard developed by _____

Select correct option:

ANSI

IEEE (Reference)

ISO

ACM

Question # 5

The nice value helps in assigning _____ to a process.

Select correct option:

Priority (Google)

Weight

Time

Scheduling

Question # 9

_____ Integer shows the highest priority of a process in CPU scheduling

Select correct option:

Small (p84)

Large

Question # 3

_____ Command display the status of a process.

Select correct option:

Ls

Ps (p63)

Gcc

Cat

In UNIX/ Linux, by default the standard output file is attached to the _____

Select correct option:

File

Screen (p52)

Printer

Scanner

The priority of a process can be changed using _____ command.

Select correct option:

Nice (p # 92)

cmd

cat

grep 7

Question # 8

_____ is a preemptive scheduling algorithm.

Select correct option:

First Come First Serve

Shortest Job First

Round Robin (p87)

None of these

- FCFS is a non-preemptive scheduling algorithm.
- The SJF algorithm may either be preemptive or non-preemptive.
- Preemptive SJF scheduling is sometimes called shortest-remaining-time-first scheduling.
- SJF is a special case of the general priority-scheduling algorithm.
- Priority scheduling can either be preemptive or non-preemptive.
- Round Robin is preemptive scheduling algorithm.
- Round-robin scheduling algorithm is designed especially for time-sharing systems.
- RR is similar to FCFS scheduling but preemption is added to switch between processes.

Question # 8

_____ is used in real time operating systems.

Select correct option:

Non-preemptive scheduling

Preemptive scheduling (Reference)

Dispatching scheduling

FCFS scheduling

Question # 10

The procedure “The time at which the process finished working MINUS the arrival time of the process MINUS CPU burst for that process” will help calculate the _____.

Select correct option:

Non-preemptive Shortest Job First scheduling

Preemptive Shortest Job first scheduling. (p82, 83)

FCFS

RR Scheduling

Non-Preemptive => Waiting time = Finish Time – Arrival Time

Preemptive => Waiting time = Finish Time – Arrival Time – Burst time

Question # 9

_____ scheduling algorithm is sometimes called shortest remaining time first scheduling algorithm.

Select correct option:

Non-preemptive SJF

Priority Scheduling

Preemptive Shortest Job First (P #83)

FCFS 8

_____ scheduling algorithm can be preemptive or non-preemptive.

First Come First Serve

Shortest Job First (P # 83)

Round Robin

Priority

Question # 7

Round Robin algorithm is similar to _____ scheduling but preemption is added to switch between processes.

Shortest job first

Shortest remaining time first

First come first serve (P # 86)

None of these

Question # 10

Round Robin algorithm is most suitable for _____.

Time sharing system (p86)

Real time systems and batch systems

Running batch programs

Expert system

Question # 1

Kernel is responsible for scheduling the user level threads.

True

False (Reference)

The kernel is responsible for scheduling the kernel threads, so it effectively schedules the user threads at the same time.

Question # 2

The priorities of processes in the _____ group remain fixed.

Select correct option:

Kernel (p # 91)

User

Question # 4

_____ is the basis of queuing theory which is branch of mathematics used to analyze systems involving queues and servers.

Little's formula (p # 94)

Deterministic theory

Queuing theory

Queuing analysis

_____ systems involving queues and servers

Little's formula (p # 94)

Deterministic Modeling 9

Queuing Theory

Queuing analysis

Question # 9

The scheduling of _____ are done by the operating system.

Kernel threads (p71)

User level threads

Both

None of these

- Kernel threads are supported directly by the operating system.

Question # 10

Taking the CPU from one process and giving the CPU to another process is termed as

Select correct option:

Context switching (p87)

Dispatching

Swapping

Tracking

Question # 10

The process of switching from one process to another is called latency

True

False

The process of switching from one process to another is called -----

Context switching (p87)

Scheduling

Quantum period

Latency

The time it takes for the dispatcher to stop one process and start another running is known as the **dispatch latency**.

The **rotational latency** is the additional time waiting for the disk to rotate the desired sector to the disk head.

I/O time is composed of seek, latency and transfer times. Transfer time is proportional to the amount transferred, and this argues for a small page size. However, latency and seek times usually dwarf transfer times.

Question # 12

The time it takes for the dispatcher to stop one process and start another running is known as the-----.

Dispatch latency (p80)

Scheduling

Context switching

None of the given options

Question No: 10

The hardware mechanism that enables a device to notify CPU is called an -----

Interrupt (p553 Operating Systems Concepts)

Signal

Trap

Process

Question # 1

Address Binding will be at _____ in Multiprogramming with Fixed Tasks (MFT)

Select correct option:

Run time

Load time (p161)

Dynamic time

None of the given options

Question # 2

In ----- technique, memory is divided into several fixed-size partitions.

Select correct option:

Swapping

Overlays

Multiprogramming with Fixed Tasks (MFT) (p160)

Multiprogramming with Variable Tasks (MVT)

Question # 4

-----holds the smallest legal physical memory address for a process

Select correct option:

Base register (p10)

Limit register

Index register

Stack pointers register

Question # 5

-----refers to the situation when free memory space exists to load a process in the memory but the space is not contiguous.

Select correct option:

Segmentation

Internal fragmentation

Swapping

External Fragmentation (p163)

Question # 7

Main Memory is _____ memory.

Select correct option:

-Volatile

Non-volatile

Permanent

Virtual 11

Overlays:

To enable a process to be larger than the amount of memory allocated to it, we can use overlays. The idea of overlays is to keep in memory only those instructions and data that are needed at any given time. When other instructions are needed, they are loaded into space occupied previously by instructions that are no longer needed.

Overlays are implemented by the _____

Operating system

Programmer (p157)

Kernel

Shell

Question # 13

-----keep in memory only those instructions and data that are needed at any given time.

Select correct option:

Fragmentation

Paging

Swapping

Overlays (p157)

Question # 10

Secondary Storage memory devices have _____ memory.

Select correct option:

Volatile

Permanent and non-volatile (p151)

Temporary

None of the options is correct

Question # 12

_____ Algorithm is used in Deadlock avoidance.

Select correct option:

Bakery

Banker's (p137)

Mutual exclusion

Safe Sequence

Question # 14

Addresses generated relative to part of program, not to start of physical memory are

Select correct option:

Relocatable (page334 Operation systems concepts)

Virtual

Symbolic

Physical

Question # 15 12

The run-time mapping from virtual to physical addresses is done by a piece of hardware in the CPU, called the -----

Select correct option:

Memory management unit (MMU) (p152)

CPU Scheduler

Registers

None of the given options

Question # 2

_____ Algorithm is used for solving n-process critical section problem.

Select correct option:

Bankers

Bakery (p103)

Babbles

None of the given

Question # 4

_____ is an integer variable accessible through wait and signal which is atomic operations

Select correct option:

Semaphore (p109)

Mutex

Busy waiting

Signal

Question No: 2

You can display the contents (names of files and directories) of a directory in UNIX/Linux directory structure with the ----- command.

Ll

s

Ls (p25)

None of the given options

Question No: 3

The ----- system call suspends the calling process.

Fork

Wait (p39)

Exec

Exit

Question No: 4

In -----addressing, the recipient is not required to name the sender.

Symmetric

Asymmetric (p44)

Both symmetric and asymmetric

None of the given options 13

Question No: 10

The main characteristic of a Real time system is

Efficiency (p7)

Large Virtual Memory

Large secondary storage device

Usability

Question No: 14

A is an integer variable that, apart from initialization is accessible only through two standard atomic operations: wait and signal.

Semaphore (p109)

Monitor

Critical region

Critical section

Question No: 1 MB or 1 megabyte is equivalent to----**1048576 bytes**

1024 bytes

1024₂ bytes Ref (Google)

1024₃ bytes

1000000 bytes

Question No: 2

----- spend more time doing IO than computations short CPU bursts

CPU bound processes

IO bound processes (p29)

None of the given options

With -----you use condition variables.

Semaphores

Read/Write Locks

Swaps

Monitor (p124)

Deadlocks can be described more precisely in terms of a directed graph called a system -----

Directed graph

Critical path

Resource allocation graph (p130)

Mixed graph

Object files and libraries are combined by a ----- program to produce the executable binary

Compiler

Linker (p428, 818 Operating system concepts)

Text editor 14

Loader

The set of all physical addresses corresponding to the logical addresses is a ----- of the process

Physical address space (p153)

Process address space

None of the given options

Logical address space

----- indicates size of the page table.

Translation look-aside buffers

Page-table length registers (PTLR) (p350 Operating system concepts)

Page-table base register (PTBR)

Page offset

Question

-----points to the page table.

Translation look-aside buffers

Page offset

Page-table length registers (PRLR)

Page-table base register (PTBR) (p347 OSC)

If validation bit is 0, it indicates a/an ----- state of segment.

Protected

Shared

Legal

Illegal (p178)

Question No: 11

In ----- allocation scheme free frames are equally divided among processes

Fixed Allocation (p205)

Proportional Allocation

Priority Allocation

None of the given options

----- is used to store data on secondary storage device, e.g., a source program(in C), an executable program.

Block Special File

Link File

Ordinary File (p218)

Directory

The ----- method requires each file to occupy a set of contiguous blocks on the disk.

Contiguous Allocation (p234)

Linked Allocation 15

Indexed Allocation

None of the given options

User mode can run the Privileged instructions

True

False (p8)

Privileged instructions can be used to perform hardware operations that a normal user process should not be able to perform, such as communicating with I/O devices. If a user process tries to execute a privileged instruction, a trap should be generated and process should be terminated prematurely.

_____ wastes CPU cycles and hence is a problem in real multiprogramming system.

Busy waiting (p256 OSC)

Spinlock

Critical section

Mutex

The size of pages and frames are same in logical memory and physical memory respectively.

True

False

Which command, Display permissions and some other attributes for prog1.c in your current directory?

Ls -l prog1.c

Ls -d prog1.c

Ls file prog1.c

Ls -l prog1.c /Directory

In the C-Scan and C-Look algorithms, when the disk head reverses its direction, it moves all the way to the other end, without serving any requests, and then reverses again and starts serving requests.

True

False

In paged segmentation, we divide every segment in a process into _____pages.

Fixed size (p180) 17

Variable size

Intel 80386 used paged segmentation with _____ level paging.

One

Two (p183)

Three

Four

The logical address of Intel 80386 is _____

36 bits

48 bits (p183)

64 bits

128 bits

Following is NOT true about Virtual memory.

Virtual memory help in executing bigger programs even greater in size that of main memory.

Virtual memory makes the processes to stuck when the collective size of all the processes becomes greater than the size of main memory.

Virtual memory also allows files and memory to be shared by several different processes through page sharing.

Virtual memory makes the task of programming easier because the programmer need not worry about the amount of physical memory,

The Swap instruction which is the hardware solution to synchronization problem does not satisfy the _____ condition, hence not considered to be a good solution.

Progress

Bounded waiting

Mutual exclusion

None of the given

Summarize the tradeoffs among simple arrays, trees, and hash tables as implementations of a page table.

A ----- (or an *exception*) is a software-generated interrupt caused either by an error (division by zero or invalid memory access) or by a user request for an operating system service.

Interrupt

Trap

Signal

Process

Which register holds the smallest legal physical memory address for a process?

Base register

Limit register

Status register

None of the given options

The -----semaphore provides mutual exclusion for accesses to the buffer pool and is initialized to the value 1. 18

Mutex

Binary

Counting

None of the given options

Binary semaphores are those that have only two values-----

0 and n

0 and 0

0 and 1

None of the given options

Physical memory is broken down into fixed-sized blocks, called----- and

Logical memory is divided into blocks of the same size, called -----

Frames, pages

Pages, Frames

Frames, holes

Holes, segments

A page table needed for keeping track of pages of the page table is called

2-level paging

Page directory

Page size

Page table size

The address generated by the CPU, after any indexing or other addressing-mode arithmetic, is called a -----address, and the address it gets translated to by the

MMU is called a -----address.

Virtual, physical

Hexadecimal, Binary,

Valid, invalid

Physical, Virtual

Question No: 11

Each page is a power of ----- bytes long in paging scheme.

2 (p163)

3

4

5

Question No: 12

_____ is a way to establish a connection between the file to be shared and the directory entries of the users who want to have access to this file.

Link (p229)

Directory

Common Group 19

Access Permission

When a _____ link is created, a directory entry for the existing file is created

Soft

None of the given options

Hard (p225)

Soft or Hard

Soft or Hard

wrong use of wait and signal operations (in context with semaphores) can cause _____ problem(s).

Mutual Exclusion

Deadlock

Bounded Waiting

All of the given options (p114)

If a system is not in a safe state, there can be no deadlocks.

True

False

In _____ page replace algorithm we will replace the page that has not been used for the longest period of time.

Counter based

Least Frequently Used

FIFO

LRU (p200)

An acyclic graph does not allow directories to have shared subdirectories and files.

True

False (p223)

A modification of free-list approach in free space management is to store the addresses of n free blocks in the first free block. Known as _____

Counting

Linked list

Bit vector

Grouping (p241)

In deadlock detection and recovery algorithm, a deadlock exists in the system if and only if the wait for graph contains a _____

Cycle 20

Graph

Edge

Node

Intel is basically designed for following Operating Systems except _____.

MULTICS

OS/2

Windows

Linux

The bottom layer in the layered approach of Operating System is-----

User interface

Hardware

Kernel

None of the given options

In which of the following operations, the scheduler is not called into play?

Process requests for I/O.

Process finishes execution.

Process finishes its time allotted.

All of the above through c

None of the through c above

Consider the following preemptive priority-scheduling algorithm based on dynamically changing priorities. Larger priority numbers imply higher priority. When a process is waiting for the CPU (in the ready queue but not running), its priority changes at a rate X when it is running, its priority changes at a rate Y . All processes are given a priority of 0 when they enter the ready queue. The parameters can be set to give many different scheduling algorithms. What is the algorithm that results from $Y > X > 0$?

LIFO

FCFS

Round Robin

None of the above

A CPU scheduling algorithm determines an order for the execution of its scheduled processes. Given n processes to be scheduled on one processor, how many possible different schedules are there? Give a formula in terms of n .

$n(n-1)$

n^2

$N!$

$N/2$

"To eliminate external fragmentation in segmentation the scheme used is"

Segmentation is a memory management scheme that supports _____?

Programmer's view of memory

System's view of memory

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Hardware's view of memory

None of the given

----- Register contains the size of the process

Base register

Index register

Limit register

Stack pointers register

Preventing the condition of _____ to happen, deadlocks can be prevented to happen

Critical Region

Circular wait

Monitors

Critical Section

Assume a logical address space of 16 pages of 1024 words, each mapped into a physical memory of 32 frames. Each word consists of 2 bytes. What will be the total number of bits required for p (page number)?

4 bits

8 bits

16 bits

32 bits

A dashed line is used to represent a _____ in Resource Allocation Graph

Claim edge

Request edge

Assignment edge

Allocation edge

Question # 1

The main memory is usually divided into partitions, one for _____ and other for _____ .

Select correct option:

Operating System, User processes

Operating system, CPU

Processes, Virtual Memory

Base Register, Limit Register

_____ is used in the detection and recovery mechanism to handle deadlocks. Select correct option:

Wait-for Graph

Resource allocation Graph

Circular Graph

Claim Edge Graph

_____ is caused due to un-used space in fixed size blocks/ pages. Select correct option: 22

Internal fragmentation External fragmentation

Paging

MVT

In Swapping technique of Memory Management, the total amount transfer time is directly proportional to the _____.

Select correct option:

Amount of memory swapped

Amount of space on backing store space on main memory

All the given options are correct

What do we name to an address that is generated by the CPU? Select correct option:

Logical address

Physical address Binary addresses

None of the given options

The -----scheme is not applicable to a resource allocation system with multiple instances of each resource type.

Select correct option:

Wait for graph

Resource allocation graph

Both Resource-allocation and wait-for graph

None of the given options

Memory protection in paging is achieved by associating _____ with each page. This bit indicates whether the page is in the process address space or not. Select correct option:

Protection bits

Counting bits

Paging table segment table

In Resource Allocation Graph, A _____ $P_i \rightarrow R_j$ indicates that process P_i may request resource R_j at some time in the future.

Select correct option:

Claim edge

Request edge

Assignment edge Allocation edge

_____ is caused due to un-used space in physical memory

Internal fragmentation External fragmentation 23

Paging

MVT

Every -----generated by the CPU is divided into two parts: a page number (p) and a page offset (d).

Select correct option: Page

Process address space Physical address

Logical address

What do we name to an address that is loaded into the memory-address register of the memory?

Select correct option: Logical address

Physical address

Binary addresses

None of the given options

Variable names are ----- addresses

Select correct option: Physical

Relocatable Relative

Symbolic

The collection of processes that is waiting on the disk to be brought into the memory for execution forms the -----

Select correct option:

Input queue

Output queue

Both input and output queue None of the given options

In Swapping technique of Memory Management, the total amount transfer time is directly proportional to the _____.

Select correct option:

Amount of memory swapped

Amount of space on backing store

Space on main memory

All the given options are correct

Question # 5

What do we name to an address that is generated by the CPU?

Select correct option:

Logical address

Physical address 24

Binary addresses

None of the given options

The run-time mapping from virtual to physical addresses is done by a piece of hardware in the CPU, called the -----

Select correct option:

Memory management unit (MMU)

CPU Scheduler

Registers

None of the given options

What do we name to an address that is loaded into the memory-address register of the memory?

Select correct option:

Logical address

Physical address

Binary addresses

None of the given options

If the system can allocate resources to each process in some order and still avoid a deadlock then it is said to be in _____ state

Safe

Un-Safe

Mutual

Starvation

_____ is a process for mapping a name to an address.

Addressing

Binding

Routing

Memory

When the address used in a program gets converted to an actual physical RAM address, it is called -----

Select correct option:

Execution

Loading

Address Binding

Compiling

-----holds the smallest legal physical memory address for a process

Select correct option:

Base register (p331)

Limit register

Index register

Stack pointers register 25

Main Memory is _____ memory.

Select correct option:

Volatile

Non-volatile

Permanent

Virtual

Question # 8

In _____, the library files are linked at load time.

Select correct option:

Static Linking

Dynamic Linking

The ----- is a single program that produces an object file

Select correct option:

Linker

Compiler (Ref)

Loader

Text editor

Cache is non-volatile memory.

Select correct option:

True

False

LRU page replacement algorithm can be implemented by

Select correct option:

Counter

Stack

Linked list

All of the given options (p201)

Question # 3

Assume a logical address space of 16 pages of 1024 words, each mapped into a physical memory of 32 frames. Each word consists of 2 bytes. What will be the total number of bits required for p (page number)?

4 bits (p166) No. of bits needed for p = ceiling $[\log_2 16]$ bits = 4 bits

8 bits

16 bits

32 bits

Question # 4

Assume a logical address space of 16 pages, each of 1024 words, each mapped into a physical memory of 32 frames. Each word consists of 2 bytes. What will be the total number of bits required for f (frames)?

Select correct option:

5 (p166) No. of bits needed for f = ceiling $[\log_2 32]$ bits = 5 bits 26

6

7

8

Question # 5

In _____ page replacement algorithm we will replace the page that has not been used for the longest period of time.

Select correct option:

Counter based

Least Frequently Used

FIFO

LRU (p200)

Question # 6

_____ is the separation of user logical memory from physical memory.

Select correct option:

ROM

Physical memory

Virtual Memory (p186)

None of the given options

Question # 8

Following are the advantages of Virtual memory EXCEPT

Select correct option:

Efficient process creation

Concept of memory mapped files

Low CPU consumption (p186)

Running large sized processes

Question # 9

A _____ system is similar to a paging system with swapping

Select correct option:

Context switching

Demand paging (p187)

Page fault

None of the given options

Question # 10

In _____ allocation scheme number of frames allocated to a process is proportional to its size .

Fixed Allocation

Proportional Allocation (p204)

Priority Allocation

None of the given options

Question # 2

The major criterion in the selection of a particular algorithm is that we want to 27

Select correct option:

Minimize the number of page faults. (p193)

Increase efficiency.

Reduce running time of page replacement algorithm.

Maximize the number of page faults.

_____ is the operating system's attempt to improve the computer system's Utilization and throughput.

Select correct option:

Exec

Fork

Demand Paging (p197)

Thrashing

Question # 7

To eliminate external fragmentation in segmentation the scheme used is _____.

Select correct option:

Fixed size partition scheme

Variable size partition scheme

Fixed size paging scheme

Variable size paging scheme

Question # 9

In a UNIX system, _____ system call can be used to request the operating system to memory map an opened file.

Select correct option:

mmap () (p196)

fork ()

exec ()

read ()

Question # 2

For some page replacement algorithms, the page fault rate may increase as the number of allocated frames _____.

Select correct option:

Constant

Decreased

Increased (p198)

All of the given

_____ is a variation of fork system call in several Unix operating system.

Select correct option:

vfork () (p194)

wfork ()

avfork ()

bfork () 28

The main criteria for Page Replacement in Optimal Page Replacement Algorithm is to Select correct option:

Replace that page which will not be used for the longest period of time. (p200)

Replace that page which will be required most frequently in the execution of a process

Replace the page which is biggest in size

Replace the page which is smaller in size

Question # 7

In pages segmentation, the logical address is legal if d is _____ segment length.

Select correct option:

Less than (p176)

Greater than

Equal to

Greater than or equal to

○ Segment number s is legal if $s < \text{STLR}$, and offset, d, is legal if $d < \text{limit or Segment Length}$.

The frame that has been modified during execution of a process is usually called _____ frame.

Select correct option:

Clean

Dirty (Reference)

Overwritten

Ideal

FIFO Page Replacement Algorithm has the lowest page fault rate

Select correct option:

True

False (p198, 200)

○ An optimal page-replacement algorithm has the lowest page fault rate.

When the process tries to access locations that are not in memory, the hardware traps the operating system. This is called as _____.

Select correct option:

Page Fault (p190)

Page replacement

Paging

Segmentation

Following schemes allow efficient implementations of page tables EXCEPT

Select correct option:

Hashed Page Table

Hierarchical / Multilevel Paging

Inverted Page Table

Binary Page Table (p171) 29

Question # 1

We want a page replacement algorithm with the _____ page-fault rate.

Select correct option:

Highest

Lowest (p199)

Normal

None of the given

Question # 10

In case of thrashing if CPU utilization is too low the operating system _____ the degree of multiprogramming.

Select correct option:

Increases (p208)

Decreases

Sometimes increases and sometimes decreases

None of the given options

It is **not possible** to run a program whose size is greater than the size of the main memory.

Select correct option:

True

False (Possible with Virtual Memory Concept)

Question # 6

An optimal page-replacement algorithm has the lowest page fault rate of all algorithms.

Select correct option:

True (p200)

False

A solution to the critical section problem must satisfy the following requirements except:

Progress

Mutual Exclusion

Bounded Waiting

Race Condition (p99)

The solution to Critical Section Problem is : Mutual Exclusion, Progress and Bounded Waiting.

Question # 10

A process is said to be in critical section if it executes code that manipulates shared data.

True

False

Question No: 7

Logical address is generated by:

CPU (Reference) 30

Compiler

Hard disk

None of these

Consider a UNIX system with **threshold priority** of 125. Assume two processes, P1 and P2, which came into the system at the same time. P1 has a **nice value** of 15 and 'recent CPU usage' 45 ticks. P2 has a nice value of 10 and „recent CPU usage“ 65 ticks. It is time for scheduling. Which of the two processes will be chosen for execution?

P1 because its recent CPU usage is less than that of P2's and, therefore, its priority is higher than P2's priority.

P2 because its nice value is smaller than that of P1's (Reference)

P2 because its priority number is smaller than that of P1's

P1 because its process ID is smaller than P2's process ID

None of the given choices

.

Question No: 2

What is spooling?

Ability of an OS to protect jobs from writing into the wrong memory location

Ability of an OS to do long term job scheduling

Ability of an OS to read jobs from cards onto the disk, and load a new job from the disk to empty memory partition

Ability of an OS to give priority to each job for execution

None of the given choices

☐ Spooling is the process of writing the contents of a print job to a file on disk. This file is called a *pool file*.

When the job requests the printer to output a line, that line is copied into a system buffer and is written to the disk. When the job is completed, the output is actually printed. This form of processing is called spooling.

Spooling overlaps the I/O of one job with the computation of other jobs.

Spooling is also used for processing data at remote sites.

Spooling has a direct beneficial effect on the performance of the system.

Question No: 3

To a computer operating system, a thread is

Trace of system calls made by a process.

Identifiable computation unit with state executing a task

Input/output stream associated with a process

All of the given choices

None of the given choices

A thread is a basic unit of CPU utilization; it comprises a thread ID, a program counter, a register set, and a stack.

A thread is a flow of control within a process.

A thread is a unit of code that can be scheduled by the operating system.

Question No: 4

Which component ensures that a process can execute only within its own address space?

I/O device

Memory-addressing hardware (p80 OSC)

Timer

Virtual memory

None of the given choices

Segmented paging incurs less internal fragmentation than pure process-level paging.

True

False (Reference)

Ambiguous question

Question No: 2

The Multi-Level Feedback Queue (MLFQ) scheduling algorithm is the same as Shortest-Job-First.

True

False (Reference)

Ambiguous question

a) In paging systems, external fragmentation cannot occur. **TRUE**

b) Race conditions cannot occur on a unprocessed. **FALSE**

c) SJF can be implemented as a priority algorithm, where the priority is determined by the arrival time of the job. **FALSE**

d) A process in the Ready state can only transition to Running or Exit states. **TRUE**

e) The two-phase locking protocol guarantees that concurrent transactions are deadlock-free.

FALSE

(References for a,b,c,d,e above)

Question # 6

A condition where a set of blocked processes each holding a resource and waiting to acquire a resource held by another process in the set is termed as _____.

Select correct option:

Deadlock (p128)

Starvation

Question # 7

Preventing a condition of _____ to happen, deadlocks can be prevented to happen.

Select correct option:

Deadlock Prevention

1. Mutual exclusion

2. Hold and Wait

3. No preemption

4. Circular Wait

Critical region

Circular wait (p134)

Monitors 32

Critical section

Question # 8

The following is NOT a classical problem of synchronization

Select correct option:

Bounded buffer problem

Reader writer problem

Dining philosopher's problem

Counting semaphore problem (p116)

Question # 9

The integer value of _____semaphores can range over an unrestricted integer domain.

Select correct option:

There are two kinds of semaphores:

- Counting semaphore whose integer value can range over an unrestricted integer domain.

- Binary semaphore whose integer value cannot be > 1 ; can be simpler to implement.

Counting (p115)

Binary

Mutex

Bounded buffer

Question # 10

The condition in which a set $\{P_0, P_1 \dots P_n\}$ of waiting processes must exist such that P_0 is waiting for a resource that is held by P_1 , P_1 is waiting for a resource that is held by P_2 , and so on, P_{n-1} is waiting for a resource held by P_n , and P_n is waiting for a resource held by P_0 . This condition is known as _____.

Select correct option:

Mutual exclusion

Hold and wait

No preemption

Circular wait (Reference)

Question # 8

Deadlock detection and recovery technique is exactly similar to deadlock avoidance technique to handle deadlock in the system.

Select correct option:

-True

-False

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Question # 9

In Overlay technique, we can overload any part of the program with the part of the program required needed recently.

Select correct option:

True

False

Question No: 8

Operating system is manages the use of hardware among the various application programs for the users.

True

False 33

Question No: 9

In shortest job first algorithm CPU schedule process according to the,
Priority wise

CPU Burst

Distribute CPU resources equally among all processes

All of these

Question No: 5

In UNIX, a file descriptor is:

A positive integer associated with an open file. Its value describes the type of data in the file and the file location on disk.

A positive integer used to index the per process file descriptor table to eventually access an open file's attributes, including its location.

A positive integer used to index the per process file descriptor table, which points to the anode of the file containing the executable image of the process on disk.

All of the given choices

None of the given choices

A system call

Is an entry point into the kernel code?

Allows a program to request a kernel service

Is a technique to protect I/O devices and other system resources

All of the these

Software may trigger an interrupt by executing a special operation called a system call (also called a monitor call).

Addresses generated *relative* to part of program, not to start of physical memory are

Virtual

Physical

Relocatable

Symbolic

The size of a page is defined by _____.

Select correct option:

CPU

Page Table

Physical Memory

Logical Memory

1. What scheduling policy will you use for each of the following cases? Explain your reasons for choosing them.

a. The processes arrive at large time intervals

b. The system's efficiency is measured by the percentage of jobs completed.

c. All the processes take almost equal amounts of time to complete. 34

Ans:

- a. FCFS
- b. STF
- c. FCFS or RR

More MCQs on Operating System

Multiple Choice Questions On Operating System Part-1

- 1) Routine is not loaded until it is called. All routines are kept on disk in a Relocatable load format. The main program is loaded into memory & is executed. This type of loading is called _____. 1 Static loading 2 Dynamic loading 3 Dynamic linking 4 Overlays Ans) 3
- 2) Which of the following is crucial time while accessing data on the disk? 1 Seek time 2 Rotational time 3 Transmission time 4 Waiting time Ans) 1 3) the host repeatedly checks if the controller is busy until it is not It is in a loop that status register's busy bit becomes clear. This is called _____ and a mechanism for the hardware controller to notify the CPU that it is ready is called _____. 1 Interrupt and Polling 2 Polling and Spooling 3 Polling and Interrupt 4 Deadlock and Starvation Ans) 3 4) Unix Operating System is an _____. 1 Time Sharing Operating System 2 Multi-User Operating System 3 Multi-tasking Operating System 4 All the Above Ans) 4 5) which of the following memory allocation scheme suffers from External fragmentation? 1 Segmentation 2 Pure demand paging 35

3 Swapping 4 Paging Ans) 1 6) Information about a process is maintained in a _____. 1 Stack 2 Translation Look aside Buffer 3 Process Control Block 4 Program Control Block Ans) 3 7) Distributed OS works on the _____ principle. 1 File Foundation 2 Single system image 3 Multi system image 4 Networking image Ans) 2 8) the problem of fragmentation arises in _____. 1 Static storage allocation 2 Stack allocation storage 3 Stack allocation with dynamic binding 4 Heap allocation Ans) 4 9) Which file system does DOS typically use ? 1 FAT16 2 FAT32 3 NTFS 4 WNFS Ans) 1 10) the program is known as _____ which interacts with the inner part of called kernel. 1 Compiler 2 Device Driver 3 Protocol 4 Shell Ans) 4 11) the time taken by the disk arm to locate the specific address of a sector for getting information is called _____. 1 Rotational Latency 2 Seek Time 3 Search Time 4 Response Time Ans) 2 36

12) Which file system does Windows 95 typically use ? 1 FAT16 2 FAT32 3 NTFS 4 LMFS
Ans) 2 13) Identify the odd thing in the services of operating system. 1 Accounting 2
Protection 3 Error detection and correction 4 Dead lock handling Ans) 3 14) Cryptography
technique is used in _____. 1 Polling 2 Job Scheduling 3 Protection 4 File Management
Ans) 3 15) Which of the following is not advantage of multiprogramming? 1 Increased
throughput 2 Shorter response time 3 Decreased operating system overhead 4 Ability to
assign priorities to jobs Ans) 3 16) In _____ OS, the response time is very critical. 1
Multitasking 2 Batch 3 Online 4 Real-time Ans) 4 17) An optimal scheduling algorithm in
terms of minimizing the average waiting time of a given set of processes is _____. 1
FCFS scheduling algorithm 2 Round robin scheduling algorithm 3 Shortest job - first
scheduling algorithm 4 None of the above Ans) 3 18) Real time systems are _____. 1
Primarily used on mainframe computers 37

2 Used for monitoring events as they occur 3 Used for program development 4 Used for real time interactive users Ans) 2 19) Which technique was introduced because a single job could not keep both the CPU and the I/O devices busy? 1 Time-sharing 2 SPOOLing 3 Preemptive scheduling 4 Multiprogramming Ans) 4 20) Inter process communication can be done through _____. 1 Mails 2 Messages 3 System calls 4 Traps Ans) 2 21) In Priority Scheduling a priority number (integer) is associated with each process. The CPU is allocated to the process with the highest priority (smallest integer = highest priority). The problem of, Starvation ? low priority processes may never execute, is resolved by _____. 1 Terminating the process. 2 Aging 3 Mutual Exclusion 4 Semaphore Ans) 2 22) CPU performance is measured through _____. 1 Throughput 2 MHz 3 Flaps 4 None of the above Ans) 1 23) PCB = 1 Program Control Block 2 Process Control Block 3 Process Communication Block 4 None of the above Ans) 2 24) Software is a program that directs the overall operation of the computer, facilitates its use and interacts with the user. What are the different types of this software ? 1 Operating system 38

2 Language Compiler 3 Utilities 4 All of the above Ans) 4 25) A _____ is a software that manages the time of a microprocessor to ensure that all time critical events are processed as efficiently as possible. This software allows the system activities to be divided into multiple independent elements called tasks. 1 Kernel 2 Shell 3 Processor 4 Device Driver Ans) 1 26) The primary job of the operating system of a computer is to _____. 1 Command Resources 2 Manage Resources 3 Provide Utilities 4 Be user friendly Ans) 2 27) With the round robin CPU scheduling in a time-shared system _____. 1 Using very large time slice degenerates in to first come first served algorithm 2 Using extremely small time slices improve performance 3 Using extremely small time slices degenerate in to last in first out algorithm 4 Using medium sized time slices leads to shortest request time first algorithm Ans) 1 28) Which of the following is a criterion to evaluate a scheduling algorithm? 1 CPU Utilization: Keep CPU utilization as high as possible. 2 Throughput: number of processes completed per unit time. 3 Waiting Time: Amount of time spent ready to run but not running. 4 All of the above Ans) 4 29) Which of the following is contained in Process Control Block (PCB)? 1 Process Number 2 List of Open files 3 Memory Limits 4 All of the Above Ans) 4 30) Super computers typically employ _____. 1 Real time Operating system 2 Multiprocessors OS 3 desktop OS 39

4 None of the above Ans) 2 31) Round robin scheduling is essentially the preemptive version of _____. 1 FIFO 2 Shortest job first 3 Shortes remaining 4 Longest time first Right Ans) 1 32) A page fault occurs 1 when the page is not in the memory 2 when the page is in the memory 3 when the process enters the blocked state 4 when the process is in the ready state Right Ans) 1 33) Which of the following will determine your choice of systems software for your computer ? 1 Is the applications software you want to use compatible with it ? 2 Is it expensive ? 3 Is it compatible with your hardware ? 4 Both 1 and 3 Right Ans) 4 34) Let S and Q be two semaphores initialized to 1, where P0 and P1 processes the following statements wait(S);wait(Q); ---; signal(S);signal(Q) and wait(Q); wait(S);---;signal(Q);signal(S); respectively. The above situation depicts a _____. 1 Semaphore 2 Deadlock 3 Signal 4 Interrupt Right Ans) 2 35) What is a shell ? 1 It is a hardware component 2 It is a command int:gasprerpreter 3 It is a part in compiler 4 It is a tool in CPU scheduling Right Ans) 2 36) Routine is not loaded until it is called. All routines are kept on disk in a relocatable load format. The main program is loaded into memory & is executed. This type of loading is called _____. 1 Static loading 2 Dynamic loading 3 Dynamic linking 4 Overlays 40

Right Ans) 3 37) In the blocked state 1 the processes waiting for I/O are found 2 the process which is running is found 3 the processes waiting for the processor are found 4 none of the above Right Ans) 1 38) What is the memory from 1K - 640K called ? 1 Extended Memory 2 Normal Memory 3 Low Memory 4 Conventional Memory Right Ans) 4 39) Virtual memory is _____. 1 An extremely large main memory 2 An extremely large secondary memory 3 An illusion of extremely large main memory 4 A type of memory used in super computers. Right Ans) 3 40) The process related to process control, file management, device management, information about system and communication that is requested by any higher level language can be performed by _____. 1 Editors 2 Compilers 3 System Call 4 Caching Right Ans) 3 41) If the Disk head is located initially at 32, find the number of disk moves required with FCFS if the disk queue of I/O blocks requests are 98,37,14,124,65,67. 1 310 2 324 3 315 4 321 Right Ans) 4 42) Multiprogramming systems _____. 1 Are easier to develop than single programming systems 2 Execute each job faster 3 Execute more jobs in the same time 4 Are used only on large main frame computers Right Ans) 3 41

43) Which is not the state of the process ? 1 Blocked 2 Running 3 Ready 4 Privileged Right Ans) 4 44) The solution to Critical Section Problem is : Mutual Exclusion, Progress and Bounded Waiting. 1 The statement is false 2 The statement is true. 3 The statement is contradictory. 4 None of the above Right Ans) 2 45) The problem of thrashing is effected scientifically by _____. 1 Program structure 2 Program size 3 Primary storage size 4 None of the above Right Ans) 1 46) The state of a process after it encounters an I/O instruction is _____. 1 Ready 2 Blocked/Waiting 3 Idle 4 Running Right Ans) 2 47) The number of processes completed per unit time is known as _____. 1 Output 2 Throughput 3 Efficiency 4 Capacity Right Ans) 2 48) _____ is the situation in which a process is waiting on another process, which is also waiting on another process ... which is waiting on the first process. None of the processes involved in this circular wait are making progress. 1 Deadlock 2 Starvation 3 Dormant 4 None of the above Right Ans) 1 49) Which of the following file name extension suggests that the file is Backup copy of another file ? 42

1 TXT 2 COM 3 BAS 4 BAK Right Ans) 4 50) Which technique was introduced because a single job could not keep both the CPU and the I/O devices busy? 1 Time-sharing 2 SPOOLing 3 Preemptive scheduling 4 Multiprogramming Right Ans) 4 51) A critical region 1 is a piece of code which only one process executes at a time 2 is a region prone to deadlock 3 is a piece of code which only a finite number of processes execute 4 is found only in Windows NT operation system Right Ans) 1 52) The mechanism that bring a page into memory only when it is needed is called _____. 1 Segmentation 2 Fragmentation 3 Demand Paging 4 Page Replacement Right Ans) 3 53) PCB = 1 Program Control Block 2 Process Control Block 3 Process Communication Block 4 None of the above Right Ans) 2 54) FIFO scheduling is _____. 1 Preemptive Scheduling 2 Non Preemptive Scheduling 3 Deadline Scheduling 4 Fair share scheduling Right Ans) 2 55) Switching the CPU to another Process requires to save state of the old process and loading new process state is called as _____. 1 Process Blocking 2 Context Switch 43

3 Time Sharing 4 None of the above Right Ans) 2 56) Which directory implementation is used in most Operating System? 1 Single level directory structure 2 Two level directory structure 3 Tree directory structure 4 Acyclic directory structure Right Ans) 3 57) The Banker's algorithm is used 1 to prevent deadlock in operating systems 2 to detect deadlock in operating systems 3 to rectify a deadlocked state 4 none of the above Right Ans) 1 58) A thread 1 is a lightweight process where the context switching is low 2 is a lightweight process where the context switching is high 3 is used to speed up paging 4 none of the above Right Ans) 1 59) _____ is a high level abstraction over Semaphore. 1 Shared memory 2 Message passing 3 Monitor 4 Mutual exclusion Right Ans) 3 60) A tree structured file directory system 1 allows easy storage and retrieval of file names 2 is a much debated unnecessary feature 3 is not essential when we have millions of files 4 none of the above Right Ans) 1 1) A 20-bit **address bus** allows access to a memory of capacity (a) 1 Mb (b) 2 Mb (c) 32Mb (d) 64 Mb Answer:- a). 2) On-chip cache has 44

- (a) Lower access time than RAM (b) larger capacity than off chip cache
(c) Its own data bus (d) become obsolete

Answer:- a).

3) A RAID system is useful because

- (a) It increases processor speed (b) increases disk storage capacity
(c) Increases disk storage capacity and availability (d) increases OS efficiency

Answer:- c).

4) Multiprogramming refers to

- (a) Having several programs in RAM at the same time (b) multitasking
(c) Writing programs in multiple languages (d) none of the previous

Answer:- a).

5) Multiprocessing is

- (a) Same as Multitasking (b) same as multiprogramming
(c) Multiuser (d) involves using more than one processor at the same time

Answer:- d).

6) Timesharing is the same as

- (a) Multitasking (b) multiprogramming
(c) Multiuser (d) none of the previous

Answer:- a).

7) The average memory access time for a machine with a cache hit rate of 90% where the cache access time is 10ns and the memory access time is 100ns is

- (a) 55ns (b) 45ns (c) 90ns (d) 19ns

Answer:- d).

8) The memory address register is used to store

- (a) Data to be transferred to memory
(b) Data that has been transferred from memory
(c) The address of a memory location
(d) An instruction that has been transferred from memory.

Answer:- c).

9) The memory data register is used to store

- (a) Data to be transferred to or from memory
(b) Data to be transferred to the stack
(c) The address of a memory location
(d) An instruction that has been transferred from memory

Answer:- a).

10) In accessing a disk block the longest delay is due to 45

(a) Rotation time (b) seek time (c) transfer time (d) clock speed.

Answer :- b).

11) Consider the following set of processes, with the length of the CPU-burst time given in milliseconds:

Process Burst Time Priority

P1 10 3

P2 1 1

P3 2 3

P4 1 4

P5 5 2

Assume that P1 is at the head of the ready queue and P5 is at the tail, and ignore the time for changing inter-processes. Using Round Robin scheduling algorithm (where the quantum $q = 1\text{ms}$) which is the average turnaround time?

a) $t_{av} = 12\text{ms}$ b) $t_{av} = 9.2\text{ms}$ c) $t_{av} = 7\text{ms}$ d) $t_{av} = 10.8\text{ms}$ e) None of these

Answer:- b)

12) There are 10 different processes running on a workstation. Idle processes are waiting for an input event in the input queue. Busy processes are scheduled with the Round-Robin timesharing method. Which out of the following quantum times is the best value for small response times, if the processes have a short runtime, e.g. less than 10ms?

A) $t_Q = 15\text{ms}$ **B)** $t_Q = 40\text{ms}$ **C)** $t_Q = 45\text{ms}$ **D)** $t_Q = 50\text{ms}$

Answer:- a).

13) Consider a swapping system in which memory consists of the following hole sizes in memory order:

H0 H1 H2 H3 H4 H5 H6 H7

10K 4KB 20KB 18KB 7KB 9KB 12KB 15KB

and a successive segment request of

a) 12 KB

b) 10KB

c) 9KB

Which of the following sentences is/are true?

a) First Fit algorithm allocates H2, H0, H3 for the mentioned request.

b) Best Fit algorithm allocates H2, H0, H3 for the mentioned request.

c) First Fit algorithm allocates H2, H6, H7 for the mentioned request.

d) Worst Fit algorithm allocates H2, H3, H6 for the mentioned request.

Answer:- a).

14) Page fault occurs when

a) The page is corrupted by application software.

b) The page is in memory.

c) The page is not in memory

d) One tries to divide a number by 0.

Answer:- c) 46

15) Determine the number of page faults when references to page occur in the following order: 1,2,4,5,2,1,2,4. assume that the main memory can accommodate 3 pages and the main memory already has the pages 1 and 2, with page 1 having been brought earlier than page 2. (LRU algorithm is used)

a) 3 b) 5 c) 4 d) none of these.

Answer:- c)

16) The page replacement policy that sometimes leads to more page faults when the size of the memory is increased is

a) FIFO b) LRU c) no such policy exists d) none of the above.

Answer:- a).

17) DIJKSTRA'S banking algorithm in an operating system, solves the problem of

a) Deadlock avoidance b) deadlock recovery

c) Mutual exclusion d) context switching.

Answer:- a)

18) Necessary conditions for deadlock are

a) Non pre-emption and circular wait b) mutual exclusion and partial allocation

c) Both a and b d) none of the above.

Answer:- c).

19) At a particular time, the value of counting semaphore is 10. it will become 7 after

a) 3 V operations b) 5P operations c) 5V and 2P operations

d) 13 P and 10 V operations.

Answer:- d).

20) Semaphores are used to solve the problem of

a) Race condition b) process synchronization

c) Both of above d) none of the above.

Answer: – b).

21) The size of virtual memory depends on

a) The size of the data bus b) the size of main memory

c) The size of address bus d) none of the above.

Answer:- c).

22) Suppose that a process is in 'BLOCKED' state waiting for some I/O service. When the service is completed, it goes to the

a) RUNNING state b) READY state c) SUSPENDED state d) TERMINATED state.

Answer:- b)

23) In real time operating systems, which of the following is the most suitable scheduling scheme?

a) round- robin b) FCFS c) pre-emptive scheduling d) random scheduling

answer:- c). 47

24) Which of the following is well suited for batch processing.

- a) Process control b) video game control
- c) Preparing pay bills of employees d) none of the above.

Answer:- c).

25) Which of the following page replacement algorithms suffers from belady's anomaly?

- a) Optimal replacement b) LRU
- c) FIFO d) both optimal replacement and FIFO.

Answer:- c).

True or False, circle T or F.

T a. A binary semaphore takes on numerical values 0 and 1 only.

T b. An atomic operation is a machine instruction or a sequence of instructions that must be executed to completion without interruption.

F c. Deadlock is a situation in which two or more processes (or threads) are waiting for an event that will occur in the future. (cannot occur)

T d. Starvation is a situation in which a process is denied access to a resource because of the competitive activity of other, possibly unrelated, processes. (denied access indefinitely, possibly infinitely)

F e. While a process is blocked on a semaphore's queue, it is engaged in busy waiting.

T f. Circular waiting is a necessary condition for deadlock, but not a sufficient condition. (a condition for the deadlock to occur)

F g. Mutual exclusion can be enforced with a general semaphore whose initial value is greater than 1. (equal to 1)

T F h. External fragmentation can occur in a paged virtual memory system. (question was too vague, either answer was accepted)

T i. External fragmentation can be prevented (almost completely) by frequent use of compaction, but the cost would be too high for most systems.

T j. A page frame is a portion of main memory.

F k. Once a virtual memory page is locked into main memory, it cannot be written to the disk.

(A locked page cannot be swapped out, but "swapped out" is more than "written to".)

F l. Pages that are shared between two or more processes can never be swapped out to the disk.

(sharing does not require locking)

F m. The allocated portions of memory using a buddy system are all the same size.

F n. Demand paging requires the programmer to take specific action to force the operating system to load a particular virtual memory page.

T o. Prepaging is one possibility for the fetch policy in a virtual memory system.

T p. The resident set of a process can be changed in response to actions by other processes.

F q. The working set of a process can be changed in response to actions by other processes.

F r. The translation look aside buffer is a software data structure that supports the virtual memory address translation operation. (hardware)

F s. In a symmetric multiprocessor, threads can always be run on any processor. (from the hardware's point of view only, this would be true, but the OS and user can put restrictions on processor assignment.)

F t. Thrashing will never be a problem if the system has 1 GB of real memory.

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MIDTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ Risk loving.
- ▶ Risk neutral.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ Risk averse.
 - ▶ Risk neutral.
 - ▶ Risk loving.
- ▶ All of the given options

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ▶ Is a statement of fact.
- ▶ Is a hypothesis used to test economic theory.
- ▶ **Is a statement of what ought to be, not what is.**
- ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ Scarcity, human behavior.
- ▶ **Social behavior, limited resources.**
- ▶ Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.

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- ▶ $P = AVC$.
- ▶ $AR = MR$.
- ▶ $P = MC$.

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

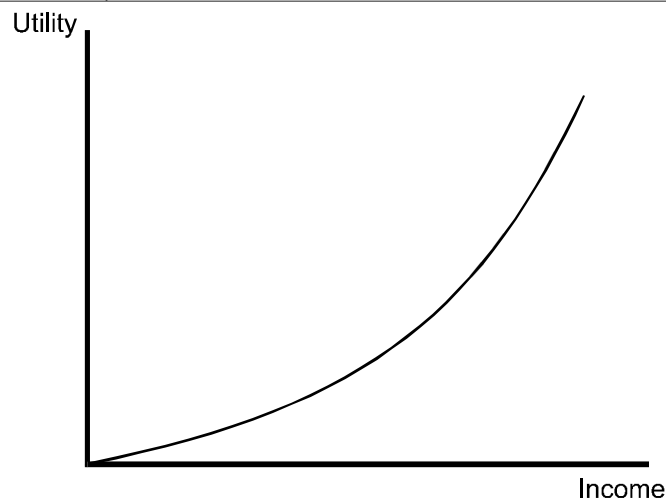
- ▶ **The price is greater than the marginal cost.**
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.
- ▶ **Diminishes as income increases.**
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

- ▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
- ▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as: <http://vustudents.ning.com>

- ▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 12 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.
- ▶ **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ **Oligopoly.**
- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

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- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ Monopolistically competitive.
- ▶ **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.
- ▶ **Charging different prices to different groups based upon differences in elasticity of demand.**

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges \$15 per hour for tennis lessons for children and \$30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ Marginal revenue is less than marginal cost.
- ▶ **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ They must intersect with TC cutting TR from below.
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ▶ **Demand for a product.**
- ▶ Firm's behavior.
- ▶ How firms should expand?
- ▶ Firm's profitability.

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Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labors and hold output constant is the:

- ▶ Law of diminishing marginal returns.
- ▶ Marginal rate of substitution.
- ▶ **Marginal rate of factor substitution.**
- ▶ Marginal rate of production.

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Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ **Two goods are substitutes or complements.**
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.

▶ The percentage change in quantity demanded is same as the percentage change in the price.

▶ **An increase in price will increase total revenue.**

▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

▶ A decrease in total revenue received by the course.

▶ **An increase in total revenue received by the course.**

▶ No change in total revenue received by the course.

▶ An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

▶ The economic perspective.

▶ Marginal analysis.

▶ Allocative efficiency.

▶ **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

▶ The economy's production possibilities curve will shift outward.

▶ The economy's production possibilities curve will become steeper.

▶ The economy will move downward along its production possibilities curve.

▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

▶ Produced factors of production.

▶ "Organizational" resources.

▶ Physical and mental abilities of people.

▶ **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

▶ Significant.

- ▶ Extensive.
- ▶ **Nonexistent.**
- ▶ Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.
- ▶ The behavior of individual firms and investors.
- ▶ **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

A.

Define “Law of supply” and explain it with a schedule and diagram.

B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: LAW OF SUPPLY: It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

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Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease

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Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

MIDTERM EXAMINATION

Fall 2009

ECO401- Economics (Session - 4)

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ "Naturally" occurring resources.

Question No: 2 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

- ▶ An increasingly steep negative slope.
- ▶ A decreasingly steep negative slope.

▶ **An increasingly steep positive slope.**

- ▶ A constant and negative slope.

Question No: 3 (Marks: 1) - Please choose one

When government sets the price of a good and that price is above the equilibrium price, the result will be: <http://vustudents.ning.com>

▶ **A surplus of the good.**

- ▶ A shortage of the good.
- ▶ An equilibrium.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ▶ An increase in the price of ink.

▶ **Less ink to be demanded at each price.**

- ▶ A decrease in the demand for pen.
- ▶ A rightward shift in the demand curve for ink.

Question No: 5 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 6 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ The supply curve shifts to the right.
- ▶ Output increases regardless of the market price and the supply curve shifts upward.
- ▶ **Output decreases and the market price also decrease.**
- ▶ The supply curve shifts to the left.

Question No: 7 (Marks: 1) - Please choose one

Sugar can be refined from sugar beets. When the price of those beets falls:

- ▶ The demand curve for sugar would shift right.
- ▶ The demand curve for sugar would shift left.
- ▶ **The supply curve for sugar would shift right.**
- ▶ The supply curve for sugar would shift left.

Question No: 8 (Marks: 1) - Please choose one



The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**
- ▶ Output.

Question No: 9 (Marks: 1) - Please choose one

Since the fish that are caught each day go bad very quickly, the daily catch will be offered for sale no matter what price it brings. As a result, we know that: <http://vustudents.ning.com>

- ▶ None of the given options.
- ▶ The daily supply curve for fish slopes upward.
- ▶ **The daily supply curve for fish is perfectly inelastic.**
- ▶ The daily supply curve for fish is perfectly elastic.

Question No: 10 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ▶ **Two prices and two quantities supplied.**
- ▶ The slope of the supply curve.
- ▶ The equilibrium price and quantity in the market.

- 
- The quantity supplied at two different prices, all else equal.

Question No: 11 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

- 50.
- **100.**
- 150.
- 200.

Question No: 12 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- Horizontal.
- Vertical.
- **Negative.**
- Positive.

Question No: 13 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

▶ -14.

▶ **14.**

▶ 83.

▶ 97.

Question No: 14 (Marks: 1) - Please choose one

Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

▶ Buy more pizzas and fewer jeans.

▶ **Buy fewer pizzas and more jeans.**

▶ Continue to buy the same quantities of pizza and jeans.

▶ Spend more time consuming pizza.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT an assumption of ordinal utility analysis?

▶ Consumers are consistent in their preferences.

▶ Consumers can measure the total utility received from any given basket of good.

▶ Consumers are non-satiated with respect to the goods they confront.

▶ **All of the given options are true.**

Question No: 16 (Marks: 1) - Please choose one

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Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **Decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 17 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

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▶ **Economies of scale.**

- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.

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► Isocost.

Question No: 19 (Marks: 1) - Please choose one

An isoquant curve shows:

► **All the alternative combinations of two inputs that yield the same maximum total product.**

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 20 (Marks: 1) - Please choose one

L-shaped isoquant:

► **Indicate that capital and labor cannot be substituted for each other in production.**

► Is impossible.

► Indicate that the firm could switch from one output to another costlessly.

► Indicate that the firm could not switch from one output to another.

Question No: 21 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

► **Demand for a product.**

- 
- ▶ Firm's behaviour.
 - ▶ How firms should expand?
 - ▶ Firm's profitability.

Question No: 22 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 23 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ **None of the given options.**

Question No: 24 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ **Has no substitutes at all.**

- ▶ Has no close substitutes.
- ▶ Can be easily duplicated.

Question No: 25 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

▶ Price = Marginal Cost.

- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 26 (Marks: 1) - Please choose one

The monopolist has no supply curve because:

▶ The quantity supplied at any particular price depends on the monopolist's demand curve.

- ▶ The monopolist's marginal cost curve changes considerably over time.
- ▶ The relationship between price and quantity depends on both marginal cost and average cost.
- ▶ Although there is only a single seller at the current price, it is impossible to know how many sellers would be in the market at higher prices.

Question No: 27 (Marks: 1) - Please choose one

In monopoly, which of the following is TRUE at the output level, where price = marginal cost?

▶ **The monopolist is maximizing profit.**

- ▶ The monopolist is not maximizing profit and should increase output.
- ▶ The monopolist is not maximizing profit and should decrease output.
- ▶ The monopolist is earning a positive profit.

Question No: 28 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

- ▶ Monopolists earn higher profits.
- ▶ **Monopolists produce high quality goods at higher prices.**
- ▶ Most of the “surplus” (producer + consumer surplus) accrues to monopolists.
- ▶ Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 29 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ **Engages in first-degree price discrimination.**

Question No: 30 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.

▶ Charging different prices to different groups based upon differences in elasticity of demand.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ The demand curve is tangent to marginal cost curve.
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.**
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 32 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.

▶ **An increase in the production of consumer goods.**

–

Question No: 33 (Marks: 1) - Please choose one

A demand schedule is best described as:

▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**

- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P, Q and Q, P .

Question No: 34 (Marks: 1) - Please choose one

A partial explanation for the inverse relationship between price and quantity demanded is that a: <http://vustudents.ning.com>

- ▶ Lower price shifts the supply curve to the left.
- ▶ Higher price shifts the demand curve to the left.
- ▶ **Lower price shifts the demand curve to the right.**
- ▶ Higher price reduces the real incomes of buyers.

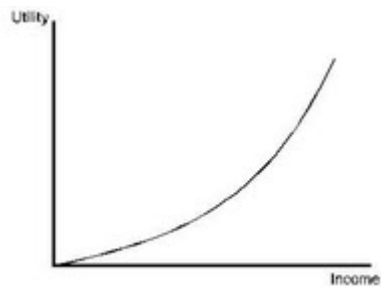
Question No: 35 (Marks: 1) - Please choose one

The total utility curve for a risk neutral person will be:

► **Straight line.**

- Convex.
- Concave.
- None of the given options.

Question No: 36 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- Increasing as income increases.
- Constant for all levels of income.
- **Diminishes as income increases.**

- ▶ None of the given options.

Question No: 37 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

- ▶ The price is greater than the marginal cost.
- ▶ **The price is greater than the marginal benefit.**
- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 38 (Marks: 1) - Please choose one

Which of the following is NOT a factor of production?

- ▶ Labour.
- ▶ Land.
- ▶ Capital.
- ▶ **Investment.**

Question No: 39 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

- ▶ The study of the aggregate level of economic activity.

► The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.

- The study of the cause of unemployment.
- The study of the cause of inflation.

Question No: 40 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- Greater than 0 but less than 1.
- Greater than 1.**
- Less than 0.
- Equal to 1.

Question No: 41 (Marks: 10)

A. Differentiate between risk and uncertainty.

B. What would the risk neutral person, risk averse person and risk loving person do in the following cases?

- If Odds Ratio > 1
- If Odds Ratio $= 1$
- If Odds Ratio < 1

C. You toss a coin, if head comes, you are given Rs. 200 and if tail comes, you have to pay Rs. 200. Will you play this game or not? Give your answer with brief explanation.

(Marks: 3+3+4)

Answers : A)



Risk and Uncertainty : Risk is when an outcome may or may not occur but its probability is known while uncertainty is when an outcome may or may not occur but its probability is not known.

Answers : B)

1) For risk neutral person

- If Odds Ratio > 1 , then he will definitely buy
- If Odds Ratio $= 1$, then he will be indifferent
- If Odds Ratio < 1 , then he might not buy as $OR < 1$

2) For risk averse person

- If Odds Ratio > 1 , then in this case as well he might decide not to buy.
- If Odds Ratio $= 1$, then he will definitely not buy
- If Odds Ratio < 1 , then he will definitely not buy

3) For risk loving person

- If Odds Ratio > 1 , then he will definitely buy
- If Odds Ratio $= 1$, then he will definitely buy
- If Odds Ratio < 1 , then in this case as well he might decide to buy.

Answers : C)

The tossing of a coin and the probability of a head appearing is 50% i.e. the odds of success are fair. So the option of $OR < 1$ and $OR > 1$ is not there. The only possibility is $OR = 1$ which means that the chances are not that bad. Now it depends on the fact that whether I am a risk averse, risk neutral or risk loving person. In case of fair odds both risk loving and risk neutral person might decide to play. So I will play this game as the amount of money involved is not that much and as far as my perception of it is concerned the marginal benefit of gaining 200 Rs is perceived by me as more than the marginal cost of losing the 200 Rs. So I would definitely play this game. Moreover the excitement of winning might overshadow my rational judgement and I would definitely decide to play by being carried away by excitement.

**MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)**

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ Risk loving.
- ▶ Risk neutral.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.

- ▶ Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ▶ Is a statement of fact.
- ▶ Is a hypothesis used to test economic theory.
- ▶ **Is a statement of what ought to be, not what is.**
- ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ Scarcity, human behavior.
- ▶ **Social behavior, limited resources.**
- ▶ Biological behavior, scarcity.

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Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.
- ▶ **$P = MC$.**

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A welfare loss occurs in monopoly where:

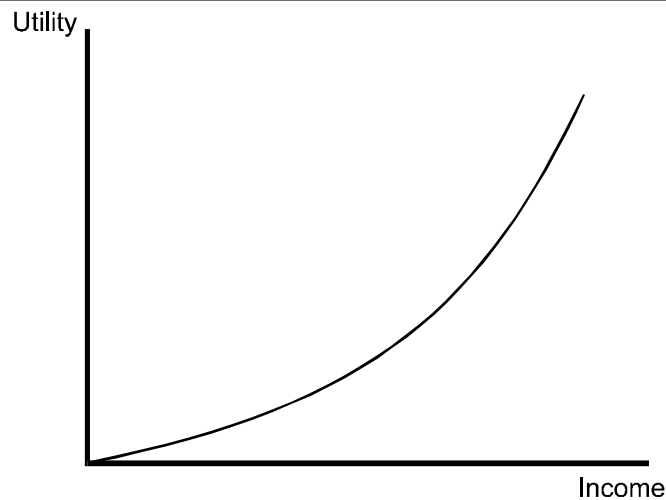
- ▶ **The price is greater than the marginal cost.**
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

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Figure

In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
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A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

- ▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
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If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

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- ▶ Complements.
- ▶ **Substitutes.**

- ▶ Inferior.

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Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.
- ▶ **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ **Oligopoly.**
- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
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The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
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- ▶ Charging each consumer the same two part tariff.
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An electric power company uses block pricing for electricity sales. Block pricing is an example of:

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A firm never operates:

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
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Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
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At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
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Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ **An implicit cost.**

- ▶ An opportunity cost.

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ▶ **Demand for a product.**
- ▶ Firm's behaviour.
- ▶ How firms should expand?
- ▶ Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

- ▶ Law of diminishing marginal returns.
- ▶ Marginal rate of substitution.
- ▶ **Marginal rate of factor substitution.**
- ▶ Marginal rate of production.

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If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ▶ **Decreasing returns to scale.**
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- ▶ Increasing returns to scale.
- ▶ Diseconomies of scale.

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At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

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Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
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According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ **Two goods are substitutes or complements.**
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

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Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

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Question No: 41 (Marks: 10)

C.

Define "Law of supply" and explain it with a schedule and diagram.

D. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: LAW OF SUPPLY: It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
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Time: 60 min

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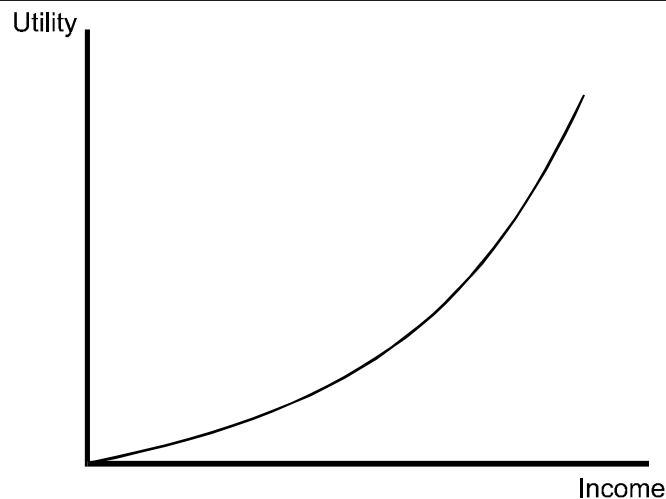
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MIDTERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 4)

Time: 60 min
Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following does NOT refer to macroeconomics?

- ▶ The study of the aggregate level of economic activity.
- ▶ The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
- ▶ The study of the cause of unemployment.
- ▶ The study of the cause of inflation.

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- ▶ Consumers can anticipate price changes.

Question No: 4 (Marks: 1) - Please choose one

The textbook for your class was not produced in a perfectly competitive industry because:

- ▶ There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.
- ▶ Upper-division microeconomics texts are not all alike.
- ▶ It is not costless to enter or exit the textbook industry.
- ▶ All of the given options.

Question No: 5 (Marks: 1) - Please choose one

If indifference curves cross, then:

- ▶ The assumption of a diminishing marginal rate of substitution is violated.
- ▶ The assumption of transitivity is violated.
- ▶ The assumption of completeness is violated.
- ▶ Consumers minimize their satisfaction.

Question No: 6 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

- ▶ The demand for houses has increased.
- ▶ The demand curve for houses must be upward-sloping.
- ▶ The supply of houses has increased.
- ▶ Housing construction costs must be decreasing.

Question No: 7 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ A higher price reduces quantity demanded.
- ▶ A lower price shifts the demand curve to the right.

Question No: 8 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ Oligopoly.
- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 9 (Marks: 1) - Please choose one

Which of the following markets is most likely to be oligopolistic?

- ▶ The market for corn.
- ▶ The market for aluminum.
- ▶ The market for colas.
- ▶ The market for ground coffees.

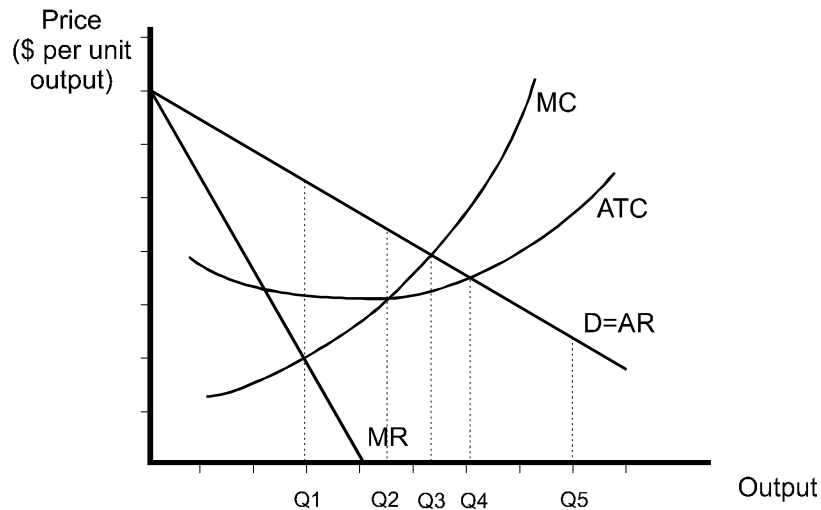
Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ Engages in first-degree price discrimination.

Question No: 11 (Marks: 1) - Please choose one

For the monopolist shown below, the profit maximizing level of output is:



- ▶ Q1.
- ▶ Q2.
- ▶ Q3.
- ▶ Q4.

Question No: 12 (Marks: 1) - Please choose one

If a monopolist sets his output such that marginal revenue, marginal cost and average total cost are equal, economic profit must be:

- ▶ Negative.
- ▶ Positive.
- ▶ Zero.
- ▶ Indeterminate from the given information.

Question No: 13 (Marks: 1) - Please choose one

Following are the disadvantages of monopoly EXCEPT:

- ▶ Monopolists earn higher profits.
- ▶ Monopolists produce high quality goods at higher prices.
- ▶ Most of the “surplus” (producer + consumer surplus) accrues to monopolists.
- ▶ Monopolists do not pay sufficient attention to increasing efficiency.

Question No: 14 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ▶ Demand for a product.
- ▶ Firm's behaviour.
- ▶ How firms should expand?
- ▶ Firm's profitability.

Question No: 15 (Marks: 1) - Please choose one

Increasing returns to scale in production means:

- ▶ More than twice as much of only one input is required to double output.
- ▶ Isoquants must be linear.
- ▶ More than 10% as much of all inputs are required to increase output 10%.
- ▶ Less than twice as much of all inputs are required to double output.

Question No: 16 (Marks: 1) - Please choose one

An isoquant curve shows:

- ▶ All the alternative combinations of two inputs that yield the same maximum total product.
- ▶ All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
- ▶ All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
- ▶ None of the given options.

Question No: 17 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods increases?

- ▶ It shift farther away from the origin of the graph.
- ▶ It shift inward, closer to the origin.
- ▶ It vanishes.
- ▶ It undergoes no change.

Question No: 18 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.
- ▶ Isocost.

Question No: 19 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

- ▶ Marginal physical product is greater than average physical product.
- ▶ Marginal physical product is less than average physical product.
- ▶ Marginal physical product is increasing.
- ▶ Marginal physical product is decreasing.

Question No: 20 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ A decreasing marginal rate of substitution.
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 21 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ Negative.
- ▶ Positive.

Question No: 22 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 50, 150, 300, and 500. The marginal cost of the second unit of output is:

- ▶ 50.
- ▶ 100.
- ▶ 150.
- ▶ 200.

Question No: 23 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ Downward-sloping.

Question No: 24 (Marks: 1) - Please choose one

The extra value that consumers receive above what they pay for that good is called:

- ▶ Producer surplus.
- ▶ Utility.
- ▶ Marginal utility.
- ▶ Consumer surplus.

Question No: 25 (Marks: 1) - Please choose one

Marginal utility is best described as:

- ▶ The total satisfaction gained from the total consumption of the good.
- ▶ The change in satisfaction from consuming one additional unit of the good.
- ▶ The additional satisfaction gained by consumption of the last good.
- ▶ The per unit satisfaction of the good consumed.

Question No: 26 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ An increase in total revenue received by the course.
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 27 (Marks: 1) - Please choose one

We know that the demand for a product is elastic:

- ▶ When price rises, total revenue rises.
- ▶ When price rises, total revenue falls.
- ▶ When income rises, quantity demanded rises.
- ▶ When income falls, quantity demanded rises.

Question No: 28 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 29 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

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- ▶ Two prices and two quantities supplied.
- ▶ The slope of the supply curve.
- ▶ The equilibrium price and quantity in the market.
- ▶ The quantity supplied at two different prices, all else equal.

Question No: 30 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ Income elasticity of demand.
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 31 (Marks: 1) - Please choose one

Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

- ▶ A surplus of credit.
- ▶ A shortage of credit.
- ▶ Greater profits for banks issuing credit.
- ▶ A perfectly inelastic supply of credit in the market place.

Question No: 32 (Marks: 1) - Please choose one

If both supply and demand increase simultaneously, the equilibrium:

- ▶ Price must rise and the equilibrium quantity must fall.
- ▶ Price must rise and the equilibrium quantity may either rise or fall.
- ▶ Quantity must rise and the equilibrium price may either rise or fall.
- ▶ Price must fall and the equilibrium quantity may either rise or fall.

Question No: 33 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ▶ A decrease in equilibrium price and an increase in quantity of meal.
- ▶ An increase in equilibrium price and quantity of meal.
- ▶ A decrease in equilibrium price and quantity of meal.
- ▶ An increase in equilibrium price and a decrease in quantity of meal.

Question No: 34 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ Inferior good.
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ▶ An increase in the price of ink.

- ▶ Less ink to be demanded at each price.
- ▶ A decrease in the demand for pen.
- ▶ A rightward shift in the demand curve for ink.

Question No: 36 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ There is a shortage of the product.
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 37 (Marks: 1) - Please choose one

When constructing a typical production possibilities curve, economists assume that:

- ▶ Economic resources are underutilized.
- ▶ Resources are equally productive in many alternative uses.
- ▶ All available resources are employed efficiently.
- ▶ Production technology is allowed to vary.

Question No: 38 (Marks: 1) - Please choose one

Our economy is characterized by:

- ▶ Unlimited wants and needs.
- ▶ Unlimited material resources.
- ▶ No energy resources.
- ▶ Abundant productive labor.

Question No: 39 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

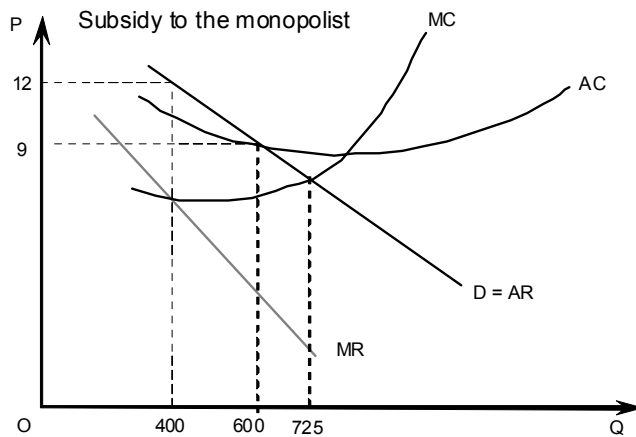
- ▶ Price is relatively unimportant as a means of allocating resources.
- ▶ Goods and services produced reflect consumer sovereignty.
- ▶ There is no incentive for people to work hard.
- ▶ All income is completely evenly distributed.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a normative statement?

- ▶ Intermediate microeconomics should be required of all economics majors in order to build a solid foundation in economic theory.
- ▶ The minimum wage should not be increased, because to do so would increase unemployment.
- ▶ Smoking should be restricted on all airline flights.
- ▶ All of the given options.

Question No: 41 (Marks: 10)



- According to the given graph, at which point allocative efficiency is achieved?
- Is the productive efficiency is also attained at the point of allocative efficiency? why
- At which point economist might make a loss and what will be the role of Government in this regard?
- At which point monopolist is able to get allocative efficiency as well as productive efficiency?

(Marks: 2.5+2.5+2.5+2.5)

MIDTERM EXAMINATION

Spring 2009

ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ **Risk loving.**
- ▶ Risk neutral.
- ▶ None of the given options

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ **Risk averse.**
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ▶ Is a statement of fact.

- 
- ▶ Is a hypothesis used to test economic theory.
 - ▶ **Is a statement of what ought to be, not what is.**
 - ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ **Scarcity, human behavior.**
- ▶ Social behavior, limited resources.
- ▶ Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.
- ▶ **$P = MC$.**

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

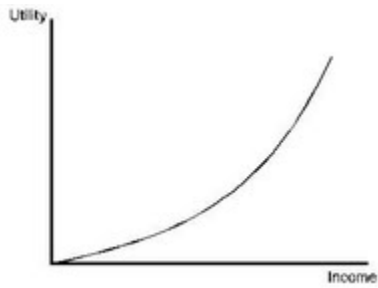
- ▶ **The price is greater than the marginal cost.**
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



In figure given above, the marginal utility of income is:

- ▶ Increasing as income increases.
- ▶ Constant for all levels of income.
- ▶ **Diminishes as income increases.**
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

- ▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.
- ▶ **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**
- ▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

Question No: 11 (Marks: 1) - Please choose one
A demand schedule is best described as:

- ▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**
- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P, Q and Q, P .

Question No: 12 (Marks: 1) - Please choose one
Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one
Which of the following would most likely shift the production possibilities curve for a nation outward?

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.
- ▶ **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose one
The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ **Oligopoly.**
- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one
A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ Monopolistically competitive.
- ▶ **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.
- ▶ **Charging different prices to different groups based upon differences in elasticity of demand.**

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges \$15 per hour for tennis lessons for children and \$30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

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- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

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Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ Marginal revenue is less than marginal cost.
- ▶ **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5 .
- ▶ **$5 + (200/Q)$.**
- ▶ None of the given options.

[Reference Q.No. 23](#)

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.

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- ▶ An implicit cost.
- ▶ **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one
Costs determine all of the following EXCEPT:

- ▶ **Demand for a product.**
- ▶ Firm's behaviour.
- ▶ How firms should expand?
- ▶ Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one
The rate at which a firm can substitute capital for labour and hold output constant is the:

- ▶ Law of diminishing marginal returns.
- ▶ Marginal rate of substitution.
- ▶ **Marginal rate of factor substitution.**
- ▶ Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one
If a simultaneous and equal percentage decrease in the use of all physical inputs leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one
At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 31 (Marks: 1) - Please choose one
Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.

- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one
According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one
Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ **Two goods are substitutes or complements.**
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one
Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one
Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one
Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 38 (Marks: 1) - Please choose one
Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one
In pure capitalism, the role of government is best described as:

- ▶ Significant.
- ▶ Extensive.
- ▶ **Nonexistent.**
- ▶ Limited.

Question No: 40 (Marks: 1) - Please choose one
Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.
- ▶ The behavior of individual firms and investors.
- ▶ **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

A. Define "Law of supply" and explain it with a schedule and diagram.

B. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: LAW OF SUPPLY: It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95

3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in future price	Increase	Rightward shift	Decrease	Increase
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

MIDTERM EXAMINATION

Fall 2009

ECO401- Economics (Session - 2)

Ref No:

Time: 60 min

Marks: 50

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Question No: 1 (Marks: 1) - Please choose one

In pure capitalism, freedom of enterprise means that:

- ▶ Businesses are free to produce products that consumers want.
- ▶ Consumers are free to buy goods and services that they want.
- ▶ Resources are distributed freely to businesses.
- ▶ Government is free to direct the actions of businesses.

Question No: 2 (Marks: 1) - Please choose one

The demand curve for chicken is downward-sloping. Suddenly the price of chicken rises from Rs.130 per kg to Rs.140 per kg. This will cause:

- ▶ The demand curve for chicken to shift to the left.
- ▶ The demand curve for chicken to shift to the right.
- ▶ Quantity demanded of chicken to increase.
- ▶ Quantity demanded of chicken to decrease.

Question No: 3 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

- ▶ As the price increases, consumers demand less.



▶ As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.

▶ None of the given options.

▶ As the price increases, so do costs.

Question No: 4 (Marks: 1) - Please choose one

If the quantity supplied of oranges exceeds the quantity demanded then:

▶ There is a shortage of oranges.

▶ Market forces will cause the price to fall.

▶ Market forces will cause the price to rise.

▶ The market is in equilibrium.

Question No: 5 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

▶ Period of falling farm prices due to unusually good harvests.

▶ Substantial increase in farm productivity due to applications of new technology in

agriculture.

▶ National security crisis leading to major shortages of essential goods.

▶ Period of extraordinary large surpluses of farm goods.

Question No: 6 (Marks: 1) - Please choose one



Assume that the government sets a ceiling on the interest rate that banks charge on loans. If the ceiling is set below the market equilibrium interest rate, the result will be:

- ▶ A surplus of credit.
- ▶ A shortage of credit.
- ▶ Greater profits for banks issuing credit.
- ▶ A perfectly inelastic supply of credit in the market place.

Question No: 7 (Marks: 1) - Please choose one

In order to calculate the price elasticity of supply, you need to know:

- ▶ Two prices and two quantities supplied.
- ▶ The slope of the supply curve.
- ▶ The equilibrium price and quantity in the market.
- ▶ The quantity supplied at two different prices, all else equal.

Question No: 8 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.



Question No: 9 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- ▶ Use.
- ▶ Pleasure.
- ▶ Utility.
- ▶ Satisfaction.

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Question No: 10 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ Downward-sloping.

Question No: 11 (Marks: 1) - Please choose one

If your demand price for one unit of a good is \$100 and the market price is \$75, your consumer's surplus is:

- ▶ \$25.
- ▶ \$50.
- ▶ \$75.
- ▶ \$100.

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Question No: 12 (Marks: 1) - Please choose one

Other things being equal, expected income can be used as a direct measure of well-being:

- ▶ No matter what a person's preference to risk.
- ▶ If and only if individuals are not risk-loving.
- ▶ If and only if individuals are risk averse.
- ▶ If and only if individuals are risk neutral.

Question No: 13 (Marks: 1) - Please choose one

If diminishing marginal utility holds and a person consumes less of a good then which of the following will happen; all else being equal?

- ▶ Marginal utility will decline.
- ▶ The price of the good will rise.
- ▶ Marginal utility will rise.
- ▶ Expenditure on the good will increase.

Question No: 14 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ Indifference curves slope upwards.

- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 15 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ▶ The consumer's indifference curve must be positively sloped.
- ▶ The consumer's indifference curve must be convex with respect to the origin of the graph.
- ▶ The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.
- ▶ All of the given options.

Question No: 16 (Marks: 1) - Please choose one

An indifference curve is:

- ▶ A collection of market baskets that are equally desirable to the consumer.
- ▶ A collection of market baskets that the consumer can buy.
- ▶ A curve whose elasticity is constant for every price.
- ▶ A curve which passes through the origin and includes all of the market baskets that the consumer regards as being equivalent.

Question No: 17 (Marks: 1) - Please choose one



Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ Encourage workers to retire earlier.

Question No: 18 (Marks: 1) - Please choose one

The substitution effect of a wage increase will lead a person to:

- ▶ Work more.
- ▶ Take more leisure.
- ▶ Not change anything.
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following statements about indifference curves is NOT correct?

- ▶ Indifference curves are generally negatively sloped.
- ▶ Without utility being quantifiable we can say that one indifference curve is higher than (or preferred to) another but we cannot say by how much.
- ▶ Two indifference curves cannot intersect unless they are identical throughout.

- 
- ▶ Two different indifference curves can intersect but only once.

Question No: 20 (Marks: 1) - Please choose one

The income effect of a price change:

- ▶ Is always positive.
- ▶ Is always negative.
- ▶ May be positive or negative.
- ▶ Is associated with a change in nominal income.

Question No: 21 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

- ▶ An inferior good.
- ▶ A substitute good.
- ▶ An independent good.
- ▶ A normal good.

Question No: 22 (Marks: 1) - Please choose one

Which of the following statements describes the presence of diminishing returns holding at least one factor constant?

- ▶ The marginal product of a factor is positive and rising.

- 
- ▶ The marginal product of a factor is positive but falling.
 - ▶ The marginal product of a factor is falling and negative.
 - ▶ The marginal product of a factor is constant.

Question No: 23 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ Increasing marginal costs.
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 24 (Marks: 1) - Please choose one

An isocost line reveals the:

- ▶ Cost of inputs needed to produce along an isoquant.
- ▶ Cost of inputs needed to produce along an expansion path.
- ▶ Input combinations that can be purchased with a given outlay of funds.
- ▶ Output combinations that can be produced with a given outlay of funds.

Question No: 25 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- ▶ Demand for a product.

- 
- ▶ Firm's behaviour.
 - ▶ How firms should expand?
 - ▶ Firm's profitability.

Question No: 26 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ Marginal revenue is less than marginal cost.
- ▶ Marginal revenue is greater than marginal cost.

Question No: 27 (Marks: 1) - Please choose one

In which market structure, each firm produces an identical product and there is freedom of entry and exit?

- ▶ Monopoly.
- ▶ Oligopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 28 (Marks: 1) - Please choose one

For a monopolist, changes in demand will lead to changes in:

- ▶ Price with no change in output.

- 
- ▶ Output with no change in price.
 - ▶ Both price and quantity.
 - ▶ None of the given options.

Question No: 29 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ The market price.
- ▶ The first-degree price.
- ▶ The block price.

Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ▶ The fact that price exceeds marginal cost.
- ▶ Excess capacity.
- ▶ Product diversity.
- ▶ The fact that long-run average cost is not minimized.

Question No: 31 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward?

- 
- ▶ A reduction in unemployment.
 - ▶ An increase in the production of capital goods.
 - ▶ A reduction in discrimination.
 - ▶ An increase in the production of consumer goods.

Question No: 32 (Marks: 1) - Please choose one

You observe that the price of houses and the number of houses purchased both rise over the course of the year. You conclude that:

- ▶ The demand for houses has increased.
- ▶ The demand curve for houses must be upward-sloping.
- ▶ The supply of houses has increased.
- ▶ Housing construction costs must be decreasing.

Question No: 33 (Marks: 1) - Please choose one

If the income elasticity of demand is $1/2$, the good is:

- ▶ A luxury.
- ▶ A normal good (but not a luxury).
- ▶ An inferior good.
- ▶ A Giffen good.



Question No: 34 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

- ▶ Products are differentiated.
- ▶ There is freedom of entry and exit into the industry in the long run.
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 35 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 36 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ The firm's output is a small fraction of the entire industry's output.

- 
- ▶ The short run market price is determined solely by the firm's technology.

Question No: 37 (Marks: 1) - Please choose one

The basic difference between oligopoly and monopolistic competition is that.

- ▶ Products are differentiated in oligopoly.
- ▶ There are no barriers to entry in oligopoly.
- ▶ There are barriers to entry in oligopoly.
- ▶ An oligopoly includes downward sloping demand curves facing the firm.

Question No: 38 (Marks: 1) - Please choose one

Because of unusually warm weather, the supply of strawberries has substantially increased. This statement indicates that:

- ▶ The demand for strawberries will necessarily rise.
- ▶ The equilibrium quantity of strawberries will fall.
- ▶ The quantity of strawberries that will be available at various prices has increased.
- ▶ The price of strawberries will fall.

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Question No: 39 (Marks: 1) - Please choose one

The marginal rate of substitution between food and shelter for a given point on an indifference curve:

- ▶ Is equal to the absolute value of the slope of the indifference curve at that point.

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► Is equal to the rate at which the consumer is willing to exchange the two goods in the market place.

► Reflects the relative values the consumer attaches to the two good.

► Is described, in part, by each of the given statements.

Question No: 40 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 100,300, 600, 1000.The marginal cost of the third unit of output is:

► 100.

► 150.

► 200.

► 300.

Question No: 41 (Marks: 10)

Following table shows the price and quantity demanded of a good.

Price	Quantity demanded
2.5	400
5	200
10	100
20	50
40	25

a) Calculate the total revenue from this table.

b) Interpret whether the demand is elastic, inelastic or unitary elastic and why?

c) What will be the shape of demand curve according to the above table? Draw the graph.

MIDTERM EXAMINATION

Spring 2009

ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

An individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ Risk loving.
- ▶ Risk neutral.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 3 (Marks: 1) - Please choose one

A normative economic statement:

- ▶ Is a statement of fact.
- ▶ Is a hypothesis used to test economic theory.
- ▶ **Is a statement of what ought to be, not what is.**
- ▶ Is a statement of what will occur if certain assumptions are true.

Question No: 4 (Marks: 1) - Please choose one

Economics is different from other social sciences because it is primarily concerned with the study of _____, it is similar to other social sciences because they are all concerned with the study of _____.

- ▶ Limited resources, market behavior.
- ▶ Scarcity, human behavior.
- ▶ **Social behavior, limited resources.**
- ▶ Biological behavior, scarcity.

Question No: 5 (Marks: 1) - Please choose one

Because of the relationship between a perfectly competitive firm's demand curve and its marginal revenue curve, the profit maximization condition for the firm can be written as:

- ▶ $P = MR$.
- ▶ $P = AVC$.
- ▶ $AR = MR$.

► $P = MC$.

Question No: 6 (Marks: 1) - Please choose one

A welfare loss occurs in monopoly where:

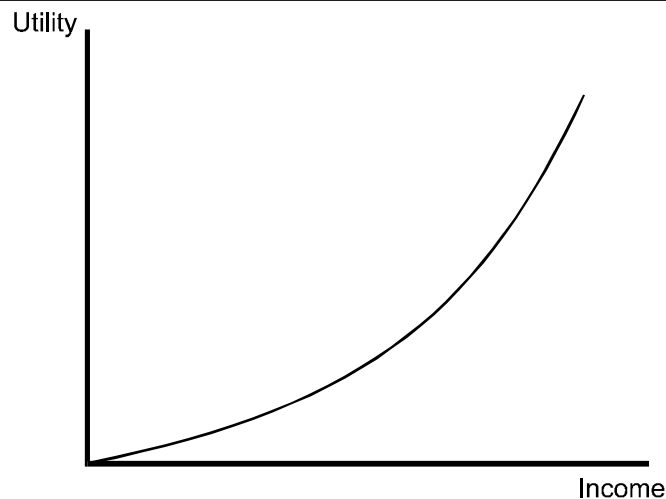
- **The price is greater than the marginal cost.**
- The price is greater than the marginal benefit.
- The price is greater than the average revenue.
- The price is greater than the marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- Consumers know their preferences.
- Consumers know their income levels.
- Consumers know the prices available.
- **Consumers can anticipate price changes.**

Question No: 8 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- Increasing as income increases.
- Constant for all levels of income.
- **Diminishes as income increases.**
- None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A consultant for Mattel (the producer of Barbie) reports that their long run average cost curve is decreasing. In other words, he is saying that:

▶ The firm has increasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.

▶ The firm has decreasing returns to scale and the law of diminishing marginal productivity does not apply to this firm.

▶ **The firm has increasing returns to scale but the law of diminishing marginal productivity may still apply to this firm.**

▶ The firm has decreasing returns to scale but nonetheless the law of diminishing marginal productivity may still apply to this firm.

Question No: 10 (Marks: 1) - Please choose one

If the cross price elasticity of demand between two goods X and Y is positive; it means that goods are:

- ▶ Independent.
- ▶ Complements.
- ▶ **Substitutes.**
- ▶ Inferior.

Question No: 11 (Marks: 1) - Please choose one

A demand schedule is best described as:

▶ **A numerical tabulation of the quantity demanded of a good at different prices, ceteris paribus.**

▶ A graphical representation of the law of demand.

▶ A systematic listing of all the variables that might conceivably bring about a change in demand.

▶ A symbolic representation of the law of demand: P, Q and Q, P .

Question No: 12 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

▶ A higher price reduces demand.

▶ A lower price reduces demand.

▶ **A higher price reduces quantity demanded.**

▶ A lower price shifts the demand curve to the right.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would most likely shift the production possibilities curve for a nation outward? <http://vustudents.ning.com>

- ▶ A reduction in unemployment.
- ▶ An increase in the production of capital goods.
- ▶ A reduction in discrimination.
- ▶ **An increase in the production of consumer goods.**

Question No: 14 (Marks: 1) - Please choose one

The primary use of the kinked-demand curve is to explain price rigidity in:

- ▶ **Oligopoly.**
- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Monopolistic competition.

Question No: 15 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ **Any of the given are possible.**

Question No: 16 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ Monopolistically competitive.
- ▶ **Oligopolistic.**

Question No: 17 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 18 (Marks: 1) - Please choose one

Third-degree price discrimination involves:

- ▶ Charging each consumer the same two part tariff.
- ▶ Charging lower prices the greater the quantity purchased.
- ▶ The use of increasing block rate pricing.
- ▶ **Charging different prices to different groups based upon differences in elasticity of demand.**

Question No: 19 (Marks: 1) - Please choose one

A tennis pro charges \$15 per hour for tennis lessons for children and \$30 per hour for tennis lessons for adults. The tennis pro is practicing:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ All of the given options.

Question No: 20 (Marks: 1) - Please choose one

An electric power company uses block pricing for electricity sales. Block pricing is an example of:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ Block pricing is not a type of price discrimination.

Question No: 21 (Marks: 1) - Please choose one

A firm never operates:

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 22 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 23 (Marks: 1) - Please choose one

If current output is less than the profit-maximizing output then which of the following must be TRUE?

- ▶ Total revenue is less than total cost.
- ▶ Average revenue is less than average cost.
- ▶ **Marginal revenue is less than marginal cost.**

- **Marginal revenue is greater than marginal cost.**

Question No: 24 (Marks: 1) - Please choose one

At the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- **They must intersect with TC cutting TR from below.**
- They must intersect with TC cutting TR from above.
- They must be tangent to each other.
- They must have the same slope.

Question No: 25 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the average total cost?

- $5Q$.
- 5.
- $5 + (200/Q)$.
- **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- A fixed cost.
- A variable cost.
- An implicit cost.
- **An opportunity cost.**

Question No: 27 (Marks: 1) - Please choose one

Costs determine all of the following EXCEPT:

- **Demand for a product.**
- Firm's behaviour.
- How firms should expand?
- Firm's profitability.

Question No: 28 (Marks: 1) - Please choose one

The rate at which a firm can substitute capital for labour and hold output constant is the:

- Law of diminishing marginal returns.
- Marginal rate of substitution.
- **Marginal rate of factor substitution.**
- Marginal rate of production.

Question No: 29 (Marks: 1) - Please choose one

If a simultaneous and equal percentage decrease in the use of all physical inputs

leads to a larger percentage decrease in physical output, a firm's production function is said to exhibit:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ Diseconomies of scale.

Question No: 30 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 31 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 32 (Marks: 1) - Please choose one

According to the utility model of consumer demand, the law of diminishing marginal utility indicates that the demand curve is:

- ▶ Vertical.
- ▶ U-shaped.
- ▶ Upward-sloping.
- ▶ **Downward-sloping.**

Question No: 33 (Marks: 1) - Please choose one

Cross-price elasticity measures whether:

- ▶ Goods are normal or inferior.
- ▶ **Two goods are substitutes or complements.**
- ▶ Demand is elastic or inelastic.
- ▶ Supply is steeper than demand or vice versa.

Question No: 34 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**

- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 36 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Question No: 37 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 38 (Marks: 1) - Please choose one

Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ **"Naturally" occurring resources.**

Question No: 39 (Marks: 1) - Please choose one

In pure capitalism, the role of government is best described as:

- ▶ Significant.
- ▶ Extensive.
- ▶ **Nonexistent.**
- ▶ Limited.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.
- ▶ The behavior of individual firms and investors.
- ▶ **The behavior of individual consumers and behavior of individual firms and investors.**

Question No: 41 (Marks: 10)

G.

Define “Law of supply” and explain it with a schedule and diagram.

H. What are the factors which cause the shift in market supply curve?

(Marks: 6+4)

ANSWER: LAW OF SUPPLY: It states that as the price goes up the quantity supplied also goes up and when price falls quantity supplied also falls.

Schedule for Supply:

Price (Rs.)	Quantity supplied
5	100
4	95
3	80
2	60
1	40

Factors Causing Shift in Supply Curve:

There are various factors causing shift in market supply curve which are as follows:

Factors changing supply	Effect on supply	Direction of Shift in supply	Equilibrium Price	Equilibrium quantity
Increase in number of suppliers	Increase	Rightward shift	Decrease	Increase
Decrease in number of suppliers	Decrease	Leftward shift	Increase	Decrease
Improved technology	Increase	Rightward shift	Decrease	Increase
Declined technology	Decrease	Leftward shift	Increase	Decrease
Increase in future price	Decrease	Leftward shift	Increase	Decrease
Decrease in	Increase	Rightward shift	Decrease	Increase



future price				
Increase in resources' price	Decrease	Leftward shift	Increase	Decrease
Decrease in resources' price	Increase	Rightward shift	Decrease	Increase

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Question No: 1 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Risk loving.

Question No: 2 (Marks: 1) - Please choose one

Assume that the current market price is below the market clearing level. We would expect:

- ▶ A surplus to accumulate.
- ▶ Downward pressure on the current market price.
- ▶ Upward pressure on the current market price.
- ▶ Lower production during the next time period.

Question No: 3 (Marks: 1) - Please choose one

The "perfect information" assumption of perfect competition includes all of the following EXCEPT:

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ Consumers can anticipate price changes.

Question No: 4 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ Inferior good.

Question No: 5 (Marks: 1) - Please choose one

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The correlation between an asset's real rate of return and its risk (as measured by its standard deviation) is usually:

- ▶ Positive.
- ▶ Strictly linear.
- ▶ Flat.
- ▶ Negative.

Question No: 6 (Marks: 1) - Please choose one
Insurance companies operate under the principle of:

- ▶ Law of large numbers.
- ▶ Law of small numbers.
- ▶ Law of zero numbers.
- ▶ All of the given options.

Question No: 7 (Marks: 1) - Please choose one
A demand schedule is best described as:

- ▶ A numerical tabulation of the quantity demanded of a good at different prices, *ceteris paribus*.
- ▶ A graphical representation of the law of demand.
- ▶ A systematic listing of all the variables that might conceivably bring about a change in demand.
- ▶ A symbolic representation of the law of demand: P,Q and Q, P.

Question No: 8 (Marks: 1) - Please choose one

A firm in monopolistic competition does not achieve minimum efficient scale because:

- ▶ It is not a monopoly.
- ▶ It is in competition with other firms.
- ▶ It is operating on the downward-sloping part of the average cost curve.
- ▶ It produces at the minimum average cost.

Question No: 9 (Marks: 1) - Please choose one

Which of the following is NOT regarded as a source of inefficiency in monopolistic competition?

- ▶ The fact that price exceeds marginal cost.
- ▶ Excess capacity.
- ▶ Product diversity.
- ▶ The fact that long-run average cost is not minimized.

Question No: 10 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ Engages in first-degree price discrimination.

Question No: 11 (Marks: 1) - Please choose one

The break-even point occurs when:

- ▶ Price < Average Variable Cost.
- ▶ Price < Average Total Cost.
- ▶ Price = Average Total Cost.
- ▶ Price > Average Variable Cost.

Question No: 12 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ Long-run average total cost curve is positively sloped.
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 13 (Marks: 1) - Please choose one

Which of the following is an example of a natural monopoly?

- ▶ The trademark protecting Gatorade.
- ▶ The talents of Tom Hanks.
- ▶ The local water company.
- ▶ The patent on an Intel processor.

Question No: 14 (Marks: 1) - Please choose one

A monopoly occurs when:

- ▶ Each firm produces a product that is slightly different from the other firms.
- ▶ One firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
- ▶ There are many firms producing the same product.
- ▶ All of the given options.

Question No: 15 (Marks: 1) - Please choose one

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If current output is less than the profit-maximizing output then the next unit produced:

- ▶ Will decrease profit.
- ▶ Will increase cost more than it increases revenue.
- ▶ Will increase revenue more than it increases cost.
- ▶ Will increase revenue without increasing cost.

Question No: 16 (Marks: 1) - Please choose one

The total cost (TC) of producing computer software diskettes (Q) is given as: $TC = 200 + 5Q$. What is the variable cost?

- ▶ 200.
- ▶ 5Q.
- ▶ 5.
- ▶ $5 + (200/Q)$.

Question No: 17 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

- ▶ Average cost.
- ▶ Marginal cost.
- ▶ Fixed cost.
- ▶ Variable cost.

Question No: 18 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

- ▶ Output.
- ▶ Capital expenditures.
- ▶ Wages.
- ▶ Time.

Question No: 19 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ▶ Output is being produced at minimum cost.
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 20 (Marks: 1) - Please choose one

A negatively sloped isoquant implies:

- ▶ Products with negative marginal utilities.
- ▶ Products with positive marginal utilities.
- ▶ Inputs with negative marginal products.
- ▶ Inputs with positive marginal products.

Question No: 21 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ Increasing marginal costs.
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 22 (Marks: 1) - Please choose one

In economics, the “long run” is a time period in which:

- ▶ All inputs are variable.
- ▶ All inputs are paid for.
- ▶ All outputs are determined.
- ▶ All loans are repaid.

Question No: 23 (Marks: 1) - Please choose one

The following table shows a firm’s Total Product of labor. What is the Marginal Product of labor between 20 and 30 units of labor?

Table

Quantity of Labor	Total Product
0	0
10	100
20	230
30	340
40	410
50	460

- ▶ 340 units.
- ▶ 220 units.
- ▶ 11 units.
- ▶ 110 units.

Question No: 24 (Marks: 1) - Please choose one

If Average Physical Product (APP) is increasing then which of the following must be true?

- ▶ Marginal physical product is greater than average physical product.
- ▶ Marginal physical product is less than average physical product.
- ▶ Marginal physical product is increasing.
- ▶ Marginal physical product is decreasing.

Question No: 25 (Marks: 1) - Please choose one

Assume Leisure is a normal good. If income effect exceeds substitution effect then a wage decrease will lead a person to:

- ▶ Decrease hours of work.
- ▶ Increase hours of work.
- ▶ Not change anything.
- ▶ All of the given options.

Question No: 26 (Marks: 1) - Please choose one

If a market basket is changed by adding more to at least one of the goods, then every consumer will:

- ▶ Rank the market basket more highly after the change.
- ▶ Rank the market basket more highly before the change.
- ▶ Rank the market basket just as desirable after the change.
- ▶ Be unable to decide whether he prefers the first market basket to the second or the second to the first.

Question No: 27 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 28 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ It would shift outward.

Question No: 29 (Marks: 1) - Please choose one

Suppose the first four units of an output produced incur corresponding total costs of 400, 700, 900, and 1000. The marginal cost of the fourth unit of output is:

- ▶ 50.
- ▶ 100.
- ▶ 150.
- ▶ 200.

Question No: 30 (Marks: 1) - Please choose one

Consumers will maximize satisfaction when:

- ▶ The price of each good is exactly equal to the price of every other good consumed.
- ▶ The price of each good is exactly equal to the total utility derived from the consumption of every other good.
- ▶ The marginal utility of the last dollar spent on each good is exactly equal to the marginal utility of the last dollar spent on any other good.
- ▶ Marginal utility is equal to average utility.

Question No: 31 (Marks: 1) - Please choose one

Marginal utility is best described as:

- ▶ The total satisfaction gained from the total consumption of the good.
- ▶ The change in satisfaction from consuming one additional unit of the good.
- ▶ The additional satisfaction gained by consumption of the last good.
- ▶ The per unit satisfaction of the good consumed.

Question No: 32 (Marks: 1) - Please choose one

Cross price elasticity between coffee and tea is 1.5. It means that:

- ▶ Given a 1% increase in coffee price, we would expect a 1.5% increase in tea demand.
- ▶ Given a 1% increase in coffee price, we would expect a 1.5% decrease in tea demand.
- ▶ Given 1% increase in coffee price, there will be no change in tea demand.
- ▶ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 34 (Marks: 1) - Please choose one

A price ceiling might be an appropriate government response to a:

- ▶ Period of falling farm prices due to unusually good harvests.
- ▶ Substantial increase in farm productivity due to applications of new technology in agriculture.
- ▶ National security crisis leading to major shortages of essential goods.
- ▶ Period of extraordinary large surpluses of farm goods.

Question No: 35 (Marks: 1) - Please choose one

Assume that steak and potatoes are complements. When the price of steak goes up, the demand curve for potatoes:

- ▶ Shifts to the left.
- ▶ Shifts to the right.
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 36 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ Shifting the supply curve to the right.
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 37 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ Consumer preferences.
- ▶ The level of profits of firms.

Question No: 38 (Marks: 1) - Please choose one

Which of the following might be considered to be a characteristic of a planned economy?

- ▶ Price is relatively unimportant as a means of allocating resources.
- ▶ Goods and services produced reflect consumer sovereignty.
- ▶ There is no incentive for people to work hard.
- ▶ All income is completely evenly distributed.

Question No: 39 (Marks: 1) - Please choose one

Which of the following is a positive statement?

- ▶ When the price of a good goes up, consumers buy less of it.
- ▶ When the price of a good goes up, firms produce more of it.
- ▶ When the Federal government sells bonds, interest rates rise and private investment is reduced.
- ▶ All of the given options.

Question No: 40 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.

- 
- ▶ The behavior of individual firms and investors.
 - ▶ The behavior of individual consumers and behavior of individual firms and investors.

Question No: 41 (Marks: 10)

- a. _____
- What is the relationship between average physical product and marginal physical product in three cases if:**
- i. **Marginal physical product is equal to average physical product.**
The average physical product will not change.
 - ii. **Marginal physical product is above the average physical product.**
The average physical product will also increase.
 - iii. **Marginal physical product is below the average physical product.**
The average physical product will also fall

FINALTERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 2)

Ref No:
Time: 120 min
Marks: 87

Student Info	
StudentID:	
Center:	
ExamDate:	2/22/2010 12:00:00 AM

Question No: 1 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ The consumer would not spend any additional income to buy more of that good.
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ **Total utility is also zero.**

Question No: 5 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

- ▶ Risk loving.
- ▶ **Risk neutral.**
- ▶ Risk averse.
- ▶ Insufficient information for a decision.

Question No: 6 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive, then:

- ▶ **Price < Average Total Cost.**
- ▶ Price > Average Total Cost.
- ▶ Price < Average Variable Cost.

- ▶ Price = Marginal Cost.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 9 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 10 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 11 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

- ▶ The amount of factors of production (such as labor and capital) increases.
- ▶ The amount of factors of production (such as labor and capital) decreases.
- ▶ **Prices of inputs (such as wages or oil prices) increase.**
- ▶ Prices of inputs (such as wages or oil prices) decrease.

Question No: 13 (Marks: 1) - Please choose one

During periods of high unemployment, the preferred policy of Keynesian economics is:

- ▶ A recessionary gap.
- ▶ **Expansionary fiscal policy.**
- ▶ Contractionary monetary policy.
- ▶ Waiting for self-correction to work.

Question No: 14 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 15 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.
- ▶ The real exchange rate.
- ▶ **All of the given options.**

Question No: 16 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ **An increase in official international reserves.**
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ A decline in official international reserves.

Question No: 17 (Marks: 1) - Please choose one

Which of the following may cause an increase in national income?

- ▶ **Rise in exports.**
- ▶ Rise in imports.
- ▶ Fall in consumer spending.
- ▶ Increase in saving.

Question No: 18 (Marks: 1) - Please choose one

The principle which states that a change in investment causes a magnified change in income is termed as the:

- ▶ Water paradox.
- ▶ Paradox of thrift.
- ▶ **Accelerator effect.**
- ▶ Multiplier effect.

Question No: 19 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.
- ▶ Equal to 1.

Question No: 20 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

- ▶ **V and Q are assumed to be constant.**
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 22 (Marks: 1) - Please choose one

What will be the impact of a decrease in the money supply in an economy?

- ▶ Interest rate increases, investment and GDP reduce.
- ▶ Interest rate increases, investment increases and GDP reduce.

- ▶ Interest rate reduces, investment and GDP increase.
- ▶ **Interest rate reduces, investment and GDP reduce.**

Question No: 23 (Marks: 1) - Please choose one

A growing country is one with:

- ▶ **Rising GNP at constant prices.**
- ▶ Rising GNP at current prices.
- ▶ Constant GNP at constant prices.
- ▶ None of the given options.

Question No: 24 (Marks: 1) - Please choose one

According to Classical economists, macroeconomic equilibrium will occur in an economy if:

- ▶ Savings = Investment
- ▶ Government spending = Taxes
- ▶ Exports = Imports
- ▶ **All of the given conditions hold.**

Question No: 25 (Marks: 1) - Please choose one

The process of converting a stream of future incomes and expenses into a present value is known as:

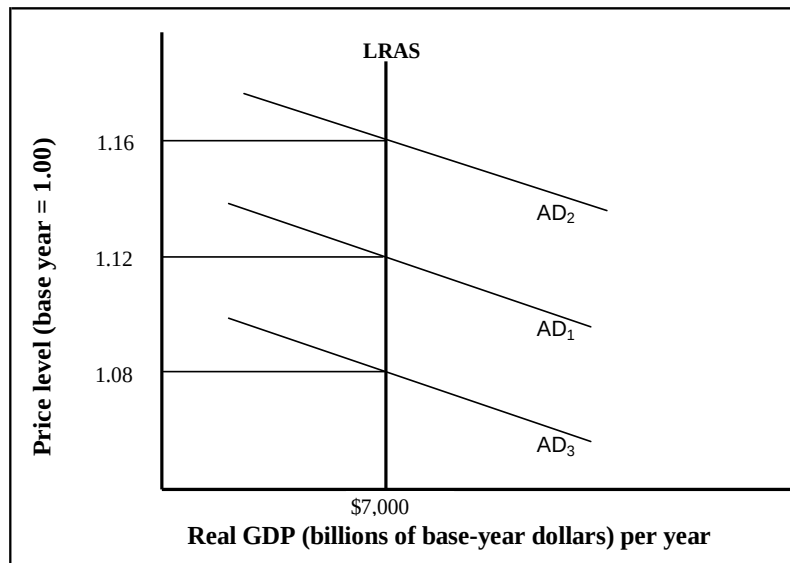
- ▶ **Discounting.**
- ▶ Compounding.
- ▶ Hyperbolic discounting.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the best example of a public good?

- ▶ A cup of coffee.
- ▶ A monthly magazine.
- ▶ A haircut.
- ▶ **An interstate highway.**

Question No: 27 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ All of the given options.

Question No: 28 (Marks: 1) - Please choose one

The Keynesian revolution in macroeconomics was that:

- ▶ Capitalist economies were self-correcting.
- ▶ A gold standard was not necessary to control inflation.
- ▶ Unemployment can be viewed as being voluntary.
- ▶ **Government has a role in maintaining full employment.**

Question No: 29 (Marks: 1) - Please choose one

The natural rate of unemployment is likely to fall if:

- ▶ Unemployment benefits increase.
- ▶ Income tax increases.
- ▶ **More training is available for the unemployed.**
- ▶ Geographical immobility increases.

Question No: 30 (Marks: 1) - Please choose one

The relationship between inflation and unemployment is usually that:

- ▶ **Unemployment changes do not directly lead to changes in inflation, but inflation changes may cause changes in unemployment.**
- ▶ As unemployment falls, nothing happens to inflation.
- ▶ As unemployment falls, inflation falls.
- ▶ As unemployment falls, inflation increases.

Question No: 31 (Marks: 1) - Please choose one

When agents base their decisions on their expectations about inflation, it is known as:

- ▶ Quantity theory of money.
- ▶ **Money illusion.**
- ▶ Demand pull inflation.
- ▶ Cost push inflation.

Question No: 32 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ **\$20.**

Question No: 33 (Marks: 1) - Please choose one

Economic growth occurs when there is an increase in:

- ▶ Wage rates.
- ▶ The inflation rate.
- ▶ **Aggregate demand.**
- ▶ The productive capacity of an economy.

Question No: 34 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.
- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

Question No: 35 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

- ▶ **The average propensity to save.**
- ▶ The interaction of supply and demand.
- ▶ The law of comparative costs.
- ▶ The rate of capital accumulation.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

- ▶ Improved rate of capital formation.
- ▶ **Increase in money supply.**

- ▶ Increase in investment in education and training.
- ▶ Rapid technical progress.

Question No: 37 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

- ▶ Output per worker will grow more rapidly than before.
- ▶ The level of output per worker will be higher than before.
- ▶ The amount of capital per worker will be the same as before.
- ▶ **All of the given options.**

Question No: 38 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ **Higher standard of living.**

Question No: 39 (Marks: 1) - Please choose one

A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

- ▶ Value-added tax.
- ▶ Regressive tax.
- ▶ **Proportional tax.**
- ▶ Progressive tax.

Question No: 40 (Marks: 1) - Please choose one

The taxes on alcohol, tobacco, and gasoline are categorized as:

- ▶ Sales tax.
- ▶ **Excise tax.**
- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
- II. Cash in your hand.
- III. Checking deposits.
- ▶ **I and III.**
- ▶ II and III.
- ▶ I only.
- ▶ II only.

Question No: 42 (Marks: 1) - Please choose one

Which of the following is TRUE about credit cards?

- ▶ It is not money.
- ▶ It is not money, because they can't be used to purchase goods and services.
- ▶ It is considered to be money.
- ▶ **It is counted as a part of M2 but not M1.**

Question No: 43 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- ▶ Small.
- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 44 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**
- ▶ Unchanged.
- ▶ Zero.

Question No: 45 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- ▶ **The balance of trade.**
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- ▶ **Higher rates of population growth.**
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE about low income countries?

- ▶ Their production level is low.
- ▶ **All of the given are true.**
- ▶ Their savings are low.
- ▶ Their investment level is low.

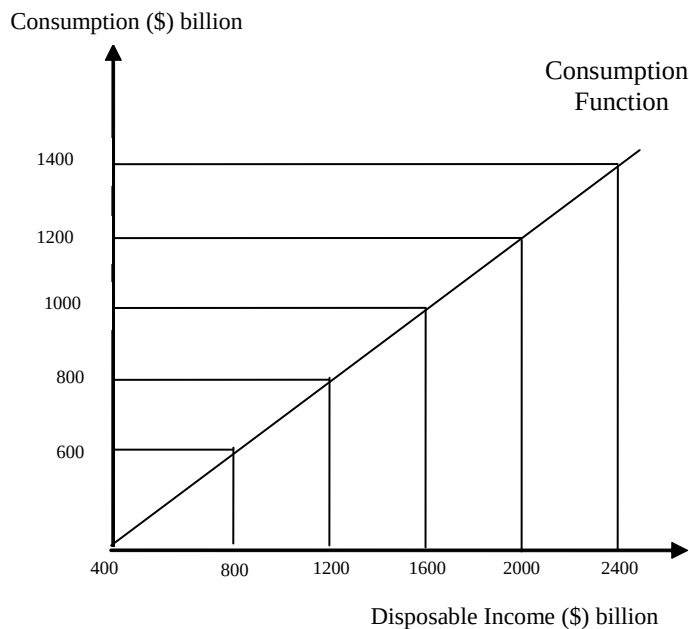
Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- ▶ **Vicious circle of poverty.**
- ▶ High level of investment.

- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume is:

- ▶ 0.25.
- ▶ **0.50.**
- ▶ 0.60.
- ▶ 0.67.

Question No: 50 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

- ▶ **The demand curve for computers shifts to the right.**
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.
- ▶ The supply curve for computers shifts to the left.

Question No: 51 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ **It will cause domestic producers competing with the imports to face huge losses.**
- ▶ It will cause the supply curve to shift to the left.

- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

- ▶ **The assumption of a diminishing marginal rate of substitution will be violated.**
- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.
- ▶ Consumers will minimize their satisfaction.

Question No: 54 (Marks: 1) - Please choose one

When there are diminishing returns holding at least one factor constant then:

- ▶ The marginal product of a factor is positive and rising.
- ▶ The marginal product of a factor is positive but falling.
- ▶ The marginal product of a factor is falling and negative.
- ▶ **The marginal product of a factor is constant.**

Question No: 55 (Marks: 3)

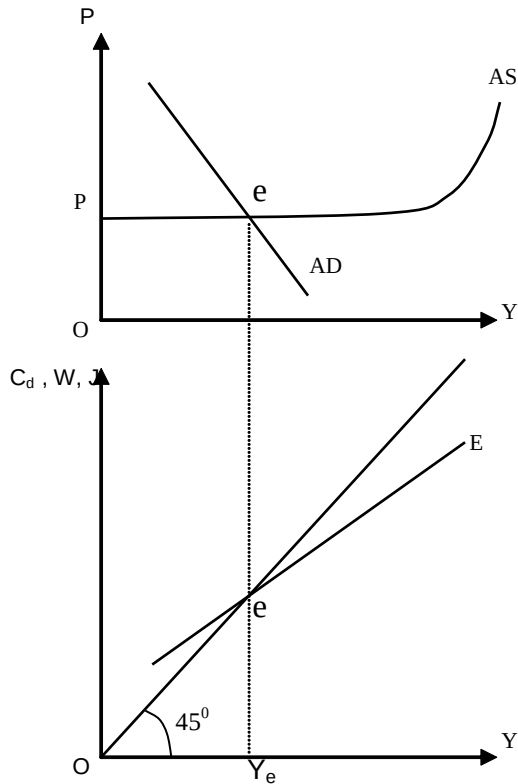
According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?

Answer No: 55

Keynes introduced demand-pull theory which emphasizes strongly the intervention of government into economy.

According to him economy may be boosted up by increasing expenditure. In the initial stage government can inject money in the form of investment and higher wage rate to the government employees. This will create higher demand which in return result in more investment by firms.

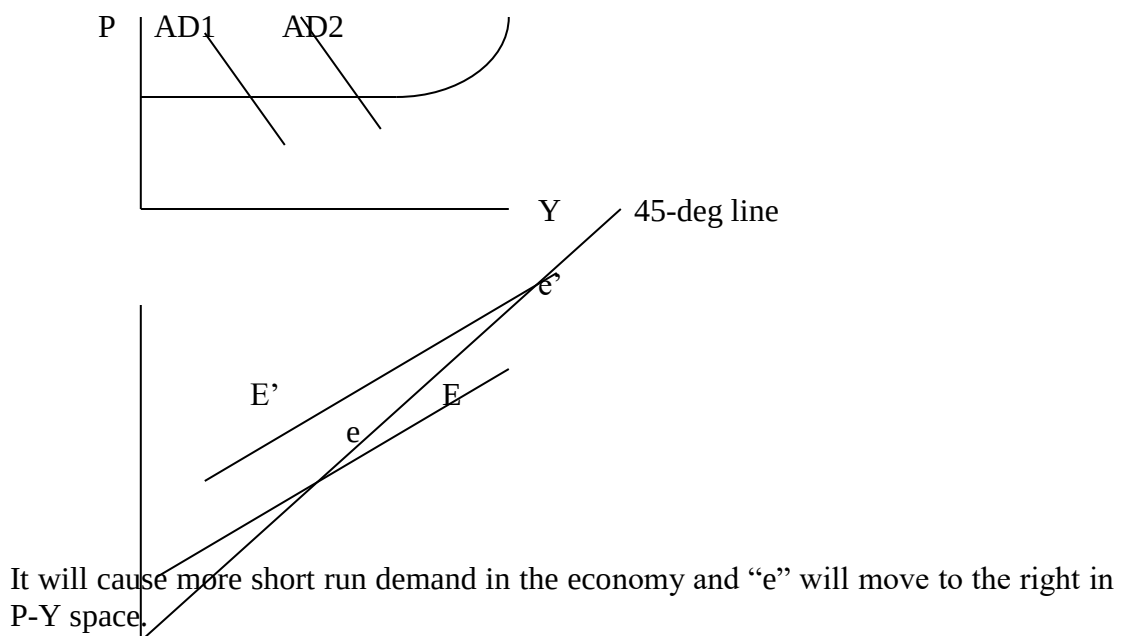
Question No: 56 (Marks: 5)



In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

- a) If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.

Answer No: 56 (a)



It will increase the consumption part of injection as well and “e” will move upward and right in W.J-Y space.

AD will curve will move to right in P-Y space resulting increasing short run output “Y”.

b) Is there any multiplier effect? How it works in this case?

Answer No:56 (b)

Yes, multiplier effect exists there.

Keynes multiplier $1/mps$ is the variable which determines the injection level to create an hypothetical desired output.

(Marks: 3+2)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Answer No: 57

These are also called IMF’s Stabilization Policies. These were concluded from neoclassical economics, known since 1990.

The objective of IMF was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and

external balance (sustainable BOP and external debt position).

The approach was “stabilization” through “demand” management.

There are three tools of this policy as follows!

- Tight Monetary Policy
- Tight Fiscal Policy
- Devaluation

IMF Policies effected LIC’s badly. There was a very high criticism on above said policies. The main points of criticism were as follows!

- **Short-term policy conflicts**
- **Devaluation** could raise prices of imports.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector.
- **Stabilization hurts the poor** expenditure cuts almost always fall partly on the social sectors.

Question No: 58 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) = 100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.

Answer No: 58 (a)

$$MV = PQ$$

$$100 \times V = 3 \times 200$$

$$V = 600 / 100$$

$$V = 6$$

- b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) = 100. Calculate the missing figure.

Answer No: 58 (b)

$$MV = PQ$$

$$M \times 4 = 5 \times 100$$

$$M = 500 / 4$$

$$M = 125$$

- c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

Answer No: 58 (c)

$$MV = PQ$$

$$200 \times 7 = P \times 700$$

$$P = 1400 / 700$$

$$P = 2$$

- d) Money supply (M) = 150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

Answer No: 58 (d)

$$MV = PQ$$

$$150 \times 8 = 3 \times Q$$

$$Q = 1200 / 3$$

$$Q = 400$$

(Marks: 2.5 each)

Question No: 59 (Marks: 10)

International monetary fund (IMF) suggests policies of stabilization “through demand management” to reduce poverty from developing countries. Discuss those policies. Were these policies successful? If not, give reasons.

FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 5)
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Question No: 1 (Marks: 1) - Please choose one

more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

As

Question No: 2 (Marks: 1) - Please choose one

production function:

- ▶ Relates inputs with output.
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ **All of the given options.**

A

Question No: 3 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 4 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 5 (Marks: 1) - Please choose one

compared to existing firms, a new firm entering in monopolist market has:

- ▶ **High costs.**
- ▶ Low costs.

As

- ▶ Equal costs.
- ▶ None of the given options.

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Question No: 6 (Marks: 1) - Please choose one

_____ The
maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 7 (Marks: 1) - Please choose one

_____ The
market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 8 (Marks: 1) - Please choose one

_____ Price exceeds marginal revenue in which of the following market structure(s)?

- ▶ Differentiated oligopoly and monopoly only.
- ▶ Standardized oligopoly and pure competition only.
- ▶ Monopolistic competition and monopoly only.
- ▶ **Monopolistic competition, oligopoly and monopoly.**

Question No: 9 (Marks: 1) - Please choose one

_____ For
a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

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Question No: 10 (Marks: 1) - Please choose one

_____ Unlike the classical economists, Keynes believed that the economy could get stuck in the short run for a significant period of time because of:

- ▶ **Insufficient aggregate supply.**

- ▶ **Insufficient aggregate demand.**
- ▶ Quick self correcting mechanism.
- ▶ Government purchases of too many goods and services.

Question No: 11 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 12 (Marks: 1) - Please choose one

assumption of classical economics is:

An

- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ **Supply creates its own demand.**
- ▶ Investment and saving are seldom equal.

Question No: 13 (Marks: 1) - Please choose one

real interest rate will increase:

The

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ **If there is an excess demand for loanable funds in the financial markets.**
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

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Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 15 (Marks: 1) - Please choose one

Endogenous growth theory was developed in:

- ▶ 1980.
- ▶ 1965.
- ▶ 1970.
- ▶ 1950.

Question No: 16 (Marks: 1) - Please choose one

Per capita income is obtained by dividing national income by:

Per

- ▶ Total labor force in the country.
- ▶ Unemployed youth in the country.
- ▶ None of the given options.
- ▶ Total population of that country.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is deducted from Gross National Product to get Net National Product?

- ▶ Indirect taxes.
- ▶ Depreciation.
- ▶ Direct taxes.
- ▶ Transfer payments.

Question No: 18 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

In

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

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Question No: 19 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

The

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 20 (Marks: 1) - Please choose one

Those who hold the classical view of the labour market are likely to believe that:

- ▶ Monetary but not fiscal policy will have an effect on output and employment.
- ▶ Fiscal but not monetary policy will have an effect on output and employment.
- ▶ Both monetary and fiscal policy will have an effect on output and employment.
- ▶ Neither monetary nor fiscal policy will have an effect on output and employment.

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
- ▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 22 (Marks: 1) - Please choose one

What will be the primary result of inflation in an economy?

- ▶ A rise in personal wealth.
- ▶ A rise in wages.
- ▶ A decline in prices.
- ▶ A decline in the value of money.

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Question No: 23 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 24 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn

worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ $1000+1500+2500 = \text{Rs. } 5000$
- ▶ $1000+500+2500 = \text{Rs. } 4000$
- ▶ $1000+500+1000 = \text{Rs. } 2500$
- ▶ $1000+1500+1000 = \text{Rs. } 3500$

Question No: 25 (Marks: 1) - Please choose one

Which of the following is NOT an item of public consumption?

- ▶ Expenditure on health.
- ▶ Expenditure on education.
- ▶ Expenditure on general administration.
- ▶ Expenditure for transfer payments.

Question No: 26 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ The labor force minus the number of people employed.

Question No: 28 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

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Question No: 29 (Marks: 1) - Please choose one

If
net exports are positive, this implies that the country has:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 30 (Marks: 1) - Please choose one

The
rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ Higher standard of living.

Question No: 31 (Marks: 1) - Please choose one

A
tax on the accounting profits of corporations is known as:

- ▶ Sales tax.
- ▶ Excise tax.
- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 32 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.
- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ Store of value.

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Question No: 33 (Marks: 1) - Please choose one

What will be the impact of an increase in the money supply?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the LM curve downward (to the right) and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.

Question No: 34 (Marks: 1) - Please choose one

curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 35 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- ▶ **The balance of trade.**
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 36 (Marks: 1) - Please choose one

In

which of the following conditions, a current account deficit exists?

- ▶ When net exports are positive.
- ▶ **When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.**
- ▶ When a country has a trade deficit.
- ▶ When an economy buys less from foreigners than it sells to them.

Question No: 37 (Marks: 1) - Please choose one

Economists define economic growth as:

- ▶ Changes in real GDP from year to year that occur as aggregate demand and short-run aggregate supply change.
- ▶ An increase in the standard of living of a nation.
- ▶ An increase in nominal GDP combined with price stability.
- ▶ **The process through which the economy's potential output is increased.**

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Question No: 38 (Marks: 1) - Please choose one

What will be the impact if agriculture sector is neglected in the development process?

- ▶ It can lead to insufficient savings.
- ▶ It can lead to shortage of foreign exchange.
- ▶ It can lead to lower levels of production.
- ▶ **All of the given conditions can happen.**

Question No: 39 (Marks: 1) - Please choose one

In

which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
- ▶ When there are many firms producing the same product.
- ▶ In all of the given situations.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is not the property of production function?

- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ Marginal product at all levels is increasing.
- ▶ Relates inputs with output.

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Question No: 41 (Marks: 1) - Please choose one

long as all prices remain constant, a decrease in money income results in:

As

- ▶ An increase in the slope of the budget line
- ▶ A decrease in the slope of the budget line
- ▶ An increase in the intercept of the budget line
- ▶ A decrease in the intercept of the budget line

Question No: 42 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

- ▶ It shifts farther away from the origin of the graph.
- ▶ It shift inward.
- ▶ It shifts outward.
- ▶ None of the given options.

Question No: 43 (Marks: 1) - Please choose one

Monopoly profits can be invested in

- ▶ Advertisement.
- ▶ Research and development.
- ▶ Human resource development.
- ▶ Expansion of the market.

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Question No: 44 (Marks: 1) - Please choose one

The

characteristics of a monopolistically competitive market are almost the same as in

- ▶ Monopoly.
- ▶ Oligopoly.
- ▶ **Perfect competition.**
- ▶ Duopoly.

Question No: 45 (Marks: 1) - Please choose one

The multiplier is a related concept which formalizes the output response to:

- ▶ Saving.
- ▶ **Investment.**
- ▶ Taxes.
- ▶ Inflation.

Question No: 46 (Marks: 1) - Please choose one

Factor income from abroad like worker remittances, dividends and interest has positive impact on:

- ▶ **Current account balance.**
- ▶ Capital account balance.
- ▶ Trade balance.
- ▶ Unemployment.

Question No: 47 (Marks: 1) - Please choose one

Continuous technology progress is a necessary condition for the high rate of:

- ▶ Inflation reduction.
- ▶ **Economic growth.**
- ▶ Population growth.
- ▶ Employment.

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Question No: 48 (Marks: 1) - Please choose one

Expansionary fiscal policy includes:

- ▶ Increasing taxes and increasing government purchases.
- ▶ Raising interest rates, increasing taxes, and decreasing transfer payments.
- ▶ **Decreasing taxes and increasing government expenditures.**
- ▶ Raising interest rates, decreasing taxes, and decreasing government spending.

Question No: 49 (Marks: 3)

Differentiate between real exchange rate and nominal exchange rate.

Question No: 50 (Marks: 3)

Discuss the basic functions of money.

Question No: 51 (Marks: 5)

What will be the impact of following factors on Marginal Propensity to Consume?

- ☞ A fall in the rate of income tax.
- ☞ People anticipate that the rate of inflation is about to rise.
- ☞ The government redistributes income from the rich to the poor.
- ☞ The government gives the subsidies.
- ☞ If the assets of the people increase.

(Marks: 1 for each)

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Question No: 52 (Marks: 5)

Explain the difference between current account and capital account.

Question No: 53 (Marks: 5)

Assume that the reserve requirement ratio (rr) of United Bank Limited (UBL) is 15% and bank's initial deposit is \$2500.

- a. By using this information, make initial balance sheet of MCB.
- b. Calculate money multiplier.

(Marks: 3+2)

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FINALTERM EXAMINATION
Fall 2008
ECO401- Economics (Session - 3)

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

_____ To
calculate the price elasticity of demand, you need to know _____ point(s)
on the _____ demand curve.

- ▶ One, same.
- ▶ Two, same.
- ▶ One, opposite.
- ▶ Two, opposite.

Question No: 2 (Marks: 1) - Please choose one

_____ Governments protect domestic industries from foreign competition by _____.

- ▶ Encouraging agreements like NAFTA.
- ▶ Using tariff and non tariff barriers.
- ▶ Discouraging union membership.
- ▶ Keeping the minimum wage low.

Question No: 3 (Marks: 1) - Please choose one

_____ To
make the equation of exchange in the quantity theory of money:

- ▶ V and Q are assumed to be constant.
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 4 (Marks: 1) - Please choose one

_____ In
the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ V is the number of times each dollar is spent per year.
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 5 (Marks: 1) - Please choose one

_____ What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 6 (Marks: 1) - Please choose one

Disposable income is:

- ▶ Total income plus transfer payments.
- ▶ Total income minus saving.
- ▶ Total income plus net taxes.
- ▶ **Total income minus net taxes.**

Question No: 7 (Marks: 1) - Please choose one

How should monetary policy be used during recessions?

- ▶ Decrease money supply to increase interest rate and increase aggregate demand.
- ▶ Increase money supply to increase interest rate and increase aggregate demand.
- ▶ **Decrease money supply to decrease interest rate and increase aggregate demand.**
- ▶ Increase money supply to decrease interest rate and increase aggregate demand.

Question No: 8 (Marks: 1) - Please choose one

Which of the following policy options would simultaneously increase interest rates and decrease output?

- ▶ **The central bank sells bonds through open market operations.**
- ▶ The federal government increases its defense purchases.
- ▶ The central bank expands the money supply.
- ▶ The federal government increases the tax rate.

Question No: 9 (Marks: 1) - Please choose one

increase in the money supply will cause interest rates to: An

- ▶ **Rise.**
- ▶ Fall.
- ▶ Remain unchanged.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 11 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ **Expenditure and tax revenue.**
- ▶ Increase in unemployment.
- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.

Question No: 12 (Marks: 1) - Please choose one

expansionary fiscal policy can: An

- ▶ Raise the national debt.
- ▶ **Decrease the national debt.**
- ▶ Have no effect on national debt.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ **The Golden Rule output level.**

Question No: 14 (Marks: 1) - Please choose one

If the prices of all goods and services rise during the year:

- ▶ Real GDP may fall.
- ▶ Nominal GDP must fall.
- ▶ Nominal GDP may increase.
- ▶ **Real GDP must rise.**

Question No: 15 (Marks: 1) - Please choose one

Is Gross Domestic Product (GDP) an accurate measure of a country's well being?

- ▶ Yes, it is the best measure of national well being.
- ▶ Yes, provided we use real GDP and not nominal GDP.
- ▶ **Uncertain, depending on whether GDP is rising or falling.**
- ▶ No, it is not.

Question No: 16 (Marks: 1) - Please choose one

Economic activity moves from a trough into a period of ----- until it reaches a ----- and then into a period of -----.

- ▶ Expansion; trough; recession
- ▶ Recession; trough; expansion
- ▶ **Expansion; peak; recession**
- ▶ Recession; peak; expansion

Question No: 17 (Marks: 1) - Please choose one

Phillips curve will shift to the right:

The

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ **If there is a favorable supply shock.**

Question No: 18 (Marks: 1) - Please choose one

decrease in the natural rate of unemployment will:

A

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 19 (Marks: 1) - Please choose one

unemployment rate is equal to:

The

- ▶ Number of employed / labour force x 100.
- ▶ Number of unemployed / labour force.
- ▶ **(Number of unemployed / labour force) x 100.**
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.
- ▶ **0.8.**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ **Capital.**
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ The balance in your savings account.
- ▶ **Your monthly consumption on food items.**
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 23 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP) is measured:

- ▶ At base year prices.
- ▶ At current year prices.
- ▶ At a constant output level but at current prices.
- ▶ **As the difference between the current year's GDP and last year's GDP.**

Question No: 24 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 25 (Marks: 1) - Please choose one

According to classical economics, the economy was unlikely to experience:

- ▶ **Full employment.**
- ▶ Flexible wages and prices.
- ▶ Equality between saving and investment.
- ▶ High rates of unemployment.

Question No: 26 (Marks: 1) - Please choose one

primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 27 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ From 1930s to 1970s.
- ▶ **Since 1970s.**

Question No: 28 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 29 (Marks: 1) - Please choose one

Which of the following will lead to an increase in aggregate demand?

- ▶ An increase in government tax revenues.
- ▶ An increase in household savings.
- ▶ **An increase in business capital investment.**
- ▶ An increase in demand for imports.

Question No: 30 (Marks: 1) - Please choose one

aggregate supply curve is the relationship between:

- ▶ The price level and the real domestic output purchased.
- ▶ **The price level and the real domestic output produced.**
- ▶ The price level which producers are willing to accept and the price level purchasers are willing to pay.

- ▶ The real domestic output purchased and the real domestic output produced.

Question No: 31 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 32 (Marks: 1) - Please choose one

Cartels are:

- ▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ Considered as part of monopolistic competition.

Question No: 33 (Marks: 1) - Please choose one

"The situation in which two or more firms set their prices and output according to a plan agreed upon between them in order to divide the market among themselves". Which of the following best describes this situation?

- ▶ Strategic interaction.
- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ **Collusion.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ Cartel.
- ▶ Market sharing monopoly.
- ▶ **Natural monopoly.**

Question No: 35 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ **A decrease in output level and an increase in price.**
- ▶ A decrease in output level and no change in price.
- ▶ Neither a change in output level nor a change in price.

Question No: 36 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 37 (Marks: 1) - Please choose one

welfare loss occurs in monopoly where:

A

- ▶ The price is greater than the marginal cost.
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ **The price is greater than the marginal revenue.**

Question No: 38 (Marks: 1) - Please choose one

monopoly, which of the following is NOT true?

In

- ▶ **Products are differentiated.**
- ▶ There is freedom of entry and exit into the industry in the long run.
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 39 (Marks: 1) - Please choose one

Graphically, the Marginal Cost curve cuts through the Average Total Cost curve at:

- ▶ The lowest point on the MC curve.
- ▶ The highest point on the MC curve.
- ▶ **The lowest point on the ATC curve.**
- ▶ The middle of the upward-sloping portion of the total cost curve.

Question No: 40 (Marks: 1) - Please choose one

current output is less than the profit-maximizing output then which of the following must be TRUE?

If

- ▶ Total revenue is less than total cost.

- ▶ Average revenue is less than average cost.
- ▶ **Marginal revenue is less than marginal cost.**
- ▶ Marginal revenue is greater than marginal cost.

Question No: 41 (Marks: 1) - Please choose one

A

production function:

- ▶ **Relates inputs with output.**
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ All of the given options.

Question No: 42 (Marks: 1) - Please choose one

A

normal good can be defined as one which consumers purchase more of as:

- ▶ Prices fall.
- ▶ Prices rise.
- ▶ Incomes fall.
- ▶ **Incomes increase.**

Question No: 43 (Marks: 1) - Please choose one

If a

market basket is changed by adding more to at least one of the goods, then every consumer will:

- ▶ Rank the market basket more highly after the change.
- ▶ Rank the market basket more highly before the change.
- ▶ **Rank the market basket just as desirable after the change.**
- ▶ Be unable to decide whether he prefers the first market basket to the second or the second to the first.

Question No: 44 (Marks: 1) - Please choose one

The

concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ **Risk loving.**

Question No: 45 (Marks: 1) - Please choose one

Law

of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ **Negative.**
- ▶ Positive.

Question No: 46 (Marks: 1) - Please choose one

The

extra value that consumers receive above what they pay for that good is called:

- ▶ Producer surplus.
- ▶ Utility.
- ▶ Marginal utility.
- ▶ **Consumer surplus.**

Question No: 47 (Marks: 1) - Please choose one

If a

decrease in price increases the total revenue then:

- ▶ **Demand is elastic.**
- ▶ Demand is inelastic.
- ▶ Supply is elastic.
- ▶ Supply is inelastic.

Question No: 48 (Marks: 1) - Please choose one

The

concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 49 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

- ▶ **An increasingly steep negative slope.**
- ▶ A decreasingly steep negative slope.
- ▶ An increasingly steep positive slope.
- ▶ A constant and negative slope.

Question No: 50 (Marks: 1) - Please choose one

economy is characterized by: Our

- ▶ **Unlimited wants and needs.**
- ▶ Unlimited material resources.
- ▶ No energy resources.
- ▶ Abundant productive labor.

Question No: 51 (Marks: 5)

Define foreign exchange markets. Also give some examples of foreign exchange markets.

Foreign exchange markets:

The foreign exchange market is a specific system of a country for a foreign trade and currency exchange. For example, if Pakistan imports a product from USA, Pakistan will buy dollars from rupees, so Pakistan exchanged its currency in foreign market.

Foreign markets depend on imports, exports and currency exchanged process. By these ways two countries exchange their markets.

Question No: 52 (Marks: 10)

What will be the role of government in the foreign exchange market in the following cases?

a. If the supply curve of dollars shifts to the right due to rise in exports.

if the supply curve of dollars shifts to the right due to rise in exports, the government role in foreign markets will be very good. Because due to rise in exports government will exchange money and they will gain high price against its currency. The government will increase its exports so it raises the price of its currency in foreign exchange.

b. If the demand curve for dollars shifts to right due to rise in imports.

If the demand curves for dollars shifts to right due to rise in imports, the government should decrease the imports rate to save the currency from falling its price. Basically rise in imports decreases the price of currency in foreign exchange markets. So government will slow down the imports and will try to increase its own products to complete the necessary requirement of the country.

(Marks:5+5)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Fiscal policy:

Fiscal policy is basically a government policy for expenses, imports, exports of goods, benefits from unemployment, interest on debts etc.

Expansionary fiscal policy:

When there is an increase in government spending, there will be more interest rate of bank loan which government has borrowed for spending.

Contractionary fiscal policy:

In this policy the aggregate demand rises due to increase in unemployment rate of country. Unemployment rise the government expenditures.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

A.

If there is a gradual increase in the saving rate over time, would this lead to sustained economic growth? Give your answer with brief explanation.

Definitely, it will increase economic growth rate. As we save more and more money or goods from spendings. Our economical position becomes good. If we have much more savings we can invest it in a good business or production. This savings will produce more goods and and may be more people will be employed in this process. So our country will develop gradually. By this way we will be able to increase our growth rate economically.

B. If this is true, why do people not increase their rate of saving?

Some times People are afraid because of decrease in saving rate and from low exchange rate. They don't put their money in banks. And they sometimes don't invest. For a good economical growth extra time is required which more people don't want to wait. Sometimes the savings rate from banks is too low.

C. If there is a higher participation rate and GDP per capita rises, would output per worker also rise? Give your answer with brief explanation.

Yes, because when the rate of GDP per capita rises, there will be more and more chances for employment and the life of people will become standard. They will increase the salaries and wages of workers. By this way the workers will be motivated and they will produce more output.

(Marks:4+3+3)

FINALTERM EXAMINATION

Spring 2009

ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 3 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.

- ▶ The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

- ▶ As the price increases, consumers demand less.
- ▶ As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
- ▶ None of the given options.
- ▶ As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ The supply curve shifts to the right.
- ▶ Output increases regardless of the market price and the supply curve shifts upward.
- ▶ Output decreases and the market price also decrease.
- ▶ The supply curve shifts to the left.

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

solution= $Ped = \frac{\% \text{ change in } Q \text{ demand}}{\% \text{ change in } Q \text{ Price}} = \frac{10\%}{12\%} = 0.5$
where $e > 1$ elastic

$e < 1$ inelastic

- ▶ Perfectly elastic.

- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from \$15 to \$17 and quantity demanded decreases by 20%. We can conclude:

- ▶ Demand is unitary elastic.
- ▶ Demand is elastic.
- ▶ The elasticity of demand is 2.
- ▶ Total revenue will decrease.

Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ Satisfaction.

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ The consumer would not spend any additional income to buy more of that good.

- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

- ▶ An inferior good.
- ▶ A substitute good.
- ▶ An independent good.
- ▶ A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- ▶ Decreasing marginal costs.
- ▶ Increasing marginal costs.
- ▶ Decreasing average variable costs.
- ▶ Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.

► Isocost.

Question No: 13 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- Output is being produced at minimum cost.
- Output is not being produced at minimum cost.
- The two products are being produced at the medium input cost to the firm.
- The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of: **mid question**

- **A fixed cost.**
- A variable cost.
- An implicit cost.
- An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- Has perfect substitutes.
- Has no substitutes at all.
- **Has no close substitutes.**
- Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ▶ Cournot model.
- ▶ Cobweb model.
- ▶ Dominant firm model.
- ▶ **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

- ▶ Each firm considers its rival's output to be fixed.
- ▶ Each firm considers its rival's price to be fixed.
- ▶ **Each firm believes rival will match all price changes.**
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ **Cartel members have substantial cost advantages over non-member producers.**
- ▶ The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

- ▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

- ▶ **Has self-correcting mechanisms. (no sure)**
- ▶ Can only be graphed with a horizontal curve.
- ▶ Never needs correction.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

- ▶ Short-run aggregate market.
- ▶ Production possibilities.
- ▶ Imperfect competition.
- ▶ Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ **The classical dichotomy / monetary neutrality effects.**
- ▶ The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

▶ **As firms increase their level of output, the cost of producing an extra unit increases.**

▶ An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.

▶ Any increase in aggregate demand causes the output of producers to fall because the general price level rises.

- ▶ None of the given options.

Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

► **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**

► Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

► Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

► Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

► **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**

► Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

► **Three.**

► Four.

- ▶ Five.
- ▶ Six.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ The balance in your savings account.
- ▶ **Your monthly consumption on food items.**
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ **Capital.**
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

$\text{delta consumption} / \text{delta income} = 40/50 = .8$

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.

► 0.8.

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

- Real exchange rate.
- The production function.
- Real price level.
- Real interest rate.

Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

- A deflationary gap.
- Hysteresis.
- Hyperinflation.
- An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

- The number of people employed minus the number of people unemployed.
- **The number of people employed plus the number of people unemployed.**
- Just the number of people employed.

- ▶ The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ Recession; deflation.
- ▶ Expansion; deflation.
- ▶ Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ **If there is a decrease in the natural rate of unemployment.**
- ▶ If there is a favorable supply shock.

Question No: 41 (Marks: 1) - Please choose one

If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

- ▶ Appreciate.
- ▶ **Depreciate.**
- ▶ Not effect.
- ▶ All of the given are possible.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

- ▶ Market on which currencies of various nations are traded for one another.
- ▶ Price of one unit of foreign good in terms of domestic good.
- ▶ **Price of one unit of foreign currency in terms of domestic currency.**
- ▶ All of the given options.

Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ **Private sector resource deficit + Government budget deficit.**
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

In the exogenous growth model, if investment exceeds depreciation, the capital stock will -----
- and output will----- until the steady state is attained.

▶ **Increase; increase.**

- ▶ Increase; decrease.
- ▶ Decrease; decrease.
- ▶ Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

- ▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
- ▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
- ▶ **In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.**
- ▶ All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

- ▶ Reduce net exports and therefore increase aggregate demand.
- ▶ Raise net exports and therefore decrease aggregate demand.
- ▶ Reduce net exports and therefore decrease aggregate demand.
- ▶ **Raise net exports and therefore increase aggregate demand.**

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

- ▶ Hyperinflation caused by excessive demand.
- ▶ Nervous investors selling all their shares, causing the stockmarket to crash.
- ▶ **Unemployed workers not taking available jobs.**
- ▶ Women being kept out of jobs traditionally held by men.

Question No: 51 (Marks: 5)

Briefly discuss the concept of comparative advantage with the help of example.

Question No: 52 (Marks: 10)

A. Differentiate between Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS).

B. Suppose a household has the consumption function (C) presented in the figure given below:

- a. Find consumption when disposable income is \$8,000 and \$10,000.
- b. Find consumption when disposable income is \$ 6,000. How can a household consume more than its disposable income?
- c. What is true for every point on the 45° line?

(Marks: 4+6)

Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.

(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.
- b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.
- c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.
- d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

(Marks: 2.5 each)

FINAL TERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 4)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ If
the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

_____ The
cross price elasticity of demand for complementary goods is:

- ▶ Less than 0.
- ▶ Equal to 0.
- ▶ Greater than 0.
- ▶ **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

_____ Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **Decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

isoquant curve shows:

An

► All the alternative combinations of two inputs that yield the same maximum total product.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► Fixed costs and variable costs.

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A

firm is charging a different price for each unit purchased by a consumer. This is called:

► First-degree price discrimination.

► Second-degree price discrimination.

► Third-degree price discrimination.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► A higher price reduces quantity demanded.

► A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

If a

sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1 .

► Elasticity of demand is > 1 .

► Demand is upward-sloping.

► Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► **Wage.**

- Interest rate.
- Price of output.
- Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- Price level and quantity are flexible.
- Prices would get stuck at a low level.
- The long run aggregate supply would shift to the left.

► **Prices and wages are flexible.**

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

► **Direct use by the consumers.**

- Further processing.
- The term do not exist.
- None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

► **A change in consumption to a change in disposable income.**

- A change in consumption to total disposable income at a specific income level.
- Total consumption to total disposable income at a specific income level.
- Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- Average propensity to save.
- Average propensity to consume.
- **Marginal propensity to save.**

- ▶ Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

- ▶ Structural Unemployment.
- ▶ Regional Unemployment.
- ▶ **Frictional Unemployment.**
- ▶ Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

- ▶ **An increase in costs of production.**
- ▶ An increase in productive capacity.
- ▶ An increase in the level of direct taxation.
- ▶ An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

- ▶ Increase Government expenditure and decrease taxes to decrease aggregate demand.
- ▶ Increase Government expenditure and decrease taxes to increase aggregate demand.
- ▶ Decrease Government expenditure and increase taxes to increase aggregate demand.
- ▶ **Decrease Government expenditure and increase taxes to decrease aggregate demand.**

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ Can be normal or inferior.
- ▶ **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ **Both prices and output to rise.**
- ▶ Prices to fall and output to remain unchanged.
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Which of the following is TRUE according to classical economists?

▶ **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**

- ▶ Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
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Why calculations of Gross Domestic Product (GDP) count only final goods and services?

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Why a \$1 increase in government spending will have a larger impact upon national income than a \$1 tax cut?

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Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

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- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
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marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ **ΔC to ΔY_d is 0.95.**
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When MPC is 0.80 and APC is 0.95 then MPS is:

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The optimum tax rate in which government revenue is maximized lies somewhere between:

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What questions are related with explanation? What questions are related with what ought to be?

- ▶ Positive, negative.
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In which of the following conditions, a firm will never operate?

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

A. Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

a) What is interest parity condition?

b) When does this condition hold?

c) What is the equation of this condition?

d) What will happen if the equality of the condition does not hold?

(Marks: 2+2+2+4)

FINAL TERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 4)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ If
the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

_____ The
cross price elasticity of demand for complementary goods is:

- ▶ Less than 0.
- ▶ Equal to 0.
- ▶ Greater than 0.
- ▶ **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

_____ Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **Decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

isoquant curve shows:

An

► All the alternative combinations of two inputs that yield the same maximum total product.

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► Fixed costs and variable costs.

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A

firm is charging a different price for each unit purchased by a consumer. This is called:

► First-degree price discrimination.

► Second-degree price discrimination.

► Third-degree price discrimination.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► A higher price reduces quantity demanded.

► A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

If a

sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1 .

► Elasticity of demand is > 1 .

► Demand is upward-sloping.

► Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► **Wage.**

- Interest rate.
- Price of output.
- Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- Price level and quantity are flexible.
- Prices would get stuck at a low level.
- The long run aggregate supply would shift to the left.

► **Prices and wages are flexible.**

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

► **Direct use by the consumers.**

- Further processing.
- The term do not exist.
- None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

► **A change in consumption to a change in disposable income.**

- A change in consumption to total disposable income at a specific income level.
- Total consumption to total disposable income at a specific income level.
- Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- Average propensity to save.
- Average propensity to consume.
- **Marginal propensity to save.**

- ▶ Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

- ▶ Structural Unemployment.
- ▶ Regional Unemployment.
- ▶ **Frictional Unemployment.**
- ▶ Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

- ▶ **An increase in costs of production.**
- ▶ An increase in productive capacity.
- ▶ An increase in the level of direct taxation.
- ▶ An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

- ▶ Increase Government expenditure and decrease taxes to decrease aggregate demand.
- ▶ Increase Government expenditure and decrease taxes to increase aggregate demand.
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- ▶ **Decrease Government expenditure and increase taxes to decrease aggregate demand.**

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ Can be normal or inferior.
- ▶ **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

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In which of the following conditions, a firm will never operate?

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

A. Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

a) What is interest parity condition?

b) When does this condition hold?

c) What is the equation of this condition?

d) What will happen if the equality of the condition does not hold?

(Marks: 2+2+2+4)

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FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**

Lesson # 4

- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 2 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.

▶ **An increase in price will increase total revenue.**

P 28

- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ **All of the given options.**

Question No: 4 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ **Indifference curves slope downwards.**
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 5 (Marks: 1) - Please choose one

consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

If a

- ▶ The consumer's indifference curve must be positively sloped.

► The consumer's indifference curve must be convex with respect to the origin of the graph.

► **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.**

► All of the given options.

Question No: 6 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

► Flatter.

► **Steeper.**

► Identical.

► None of the given options.

Question No: 7 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

► **All inputs are variable.**

► All inputs are paid for.

► All outputs are determined.

► All loans are repaid.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

► Price equals marginal cost.

► Marginal revenue and average total cost.

► Price equals marginal revenue.

► **None of the given options.**

The profit maximizing level of output is found by equating its marginal revenue with its marginal cost, which is the same profit maximizing condition that a perfectly competitive firm uses to determine its equilibrium level of output. Indeed, the condition that marginal revenue equal marginal cost is used to determine the profit maximizing level of output of every firm, regardless of the market structure in which the firm is operating.

Question No: 9 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

► **Price = Marginal Cost.**

► Price = Average Total Cost.

► Average Total Cost = Marginal Cost.

► Price < Marginal Cost.

Question No: 10 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.
- ▶ Only normal profits are earned.
- ▶ **Production losses exceed fixed costs.**
- ▶ Fixed costs are zero.

Question No: 11 (Marks: 1) - Please choose one

Loud music from a neighbor's party is:

- ▶ **A negative externality whether or not you like it.**
- ▶ A positive externality whether or not you like it.
- ▶ A positive externality if you like the music and a negative externality if you don't.
- ▶ A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 13 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ **Unemployment benefits reduce the cost of job search.**
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) - Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

- ▶ Cyclically unemployed.
- ▶ Employed.
- ▶ **Structurally unemployed.**

- ▶ Frictionally unemployed.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

▶ **The capital account.**

- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Reference:

http://wps.prenhall.com/bp_hubbard_econ_2/85/21856/5595147.cw/-/5595174/index.html

Question#10

Question No: 16 (Marks: 1) - Please choose one

increase in "per capita" national income implies that:

An

- ▶ Everyone in the nation is enjoying a better standard of living.
- ▶ The population has increased.
- ▶ **National income has risen faster than the population has risen.**
- ▶ The distribution of income has improved.

Reference:

<http://www.ecoteacher.asn.au/devel2/devel2.htm>

Question No: 17 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

- ▶ **Interest rate rises and investment falls.**
- ▶ Interest rate rises and velocity of circulation also rises.
- ▶ Higher interest rates encourage the central bank to increase the money supply.
- ▶ Interest rate falls and exports rise.

Question No: 18 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

▶ **The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.**

▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 19 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

► The dollar can now purchase more yen.

► The US trade balance with the Japanese economy has improved.

► The yen can now purchase more dollars.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from US\$1=104 yen to US\$1=110 yen. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

► The dollar has depreciated relative to the yen.

Question No: 20 (Marks: 1) - Please choose one

The Marginal Propensity to Save (MPS) is:

► One Minus Marginal Propensity to Consume (MPC).

► Saving divided by consumption.

► The slope of the consumption function (or line).

► The proportion of disposable income used for consumption.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.

► It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.

► It is the result of market power and production costs.

► None of the given statements is true.

Question No: 22 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► The supply of non-cartel members is very price elastic.

Question No: 23 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

▶ **V and Q are assumed to be constant.**

- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 24 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

▶ **If labor force is fully employed.**

- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 25 (Marks: 1) - Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

- ▶ Trade restriction.
- ▶ **Quota.**
- ▶ Import restriction.
- ▶ Legislative restriction.

Question No: 26 (Marks: 1) - Please choose one

GNP is a good indicator of:

▶ **The total payment of factor owners.**

- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

Question No: 27 (Marks: 1) - Please choose one

demand for factors of production is derived from:

- ▶ Money market.
- ▶ **Goods market.**
- ▶ Stock market.
- ▶ Financial market.

The

Question No: 28 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

► The income effect of higher income dominates the substitution effect of higher wages.

► The substitution effect of higher income dominates the income effect of higher wages.

► The income effect of higher income dominates the price effect of higher wages.

► None of the given options.

Question No: 29 (Marks: 1) - Please choose one

The discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

► Future value.

► Net present value.

► Discounted value.

► Disposal value.

Question No: 30 (Marks: 1) - Please choose one

Information products are also known as:

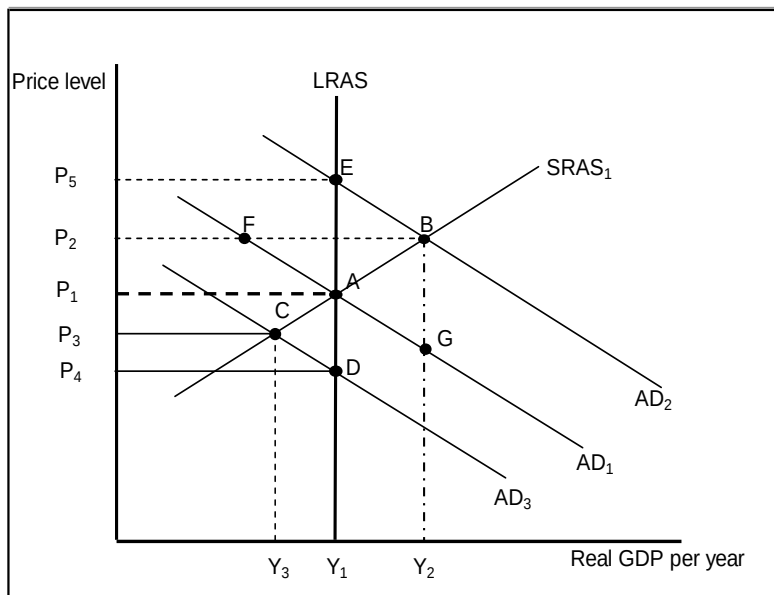
► Inferior products.

► Superior products.

► Internet products.

► Expensive products.

Question No: 31 (Marks: 1) - Please choose one



Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

- ▶ Real GDP remains at Y_1 but the price level falls to P_3 .
- ▶ The quantity of real GDP demanded falls resulting in a movement from point A to point F.
- ▶ **Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3 .**
- ▶ The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a cost of rising unemployment?

- I. Output foregone.
- II. Unemployment compensation that must be paid.
- III. Rising inflation that erodes the value of money.
- ▶ I, II, and III.
- ▶ **I and II.**
- ▶ I and III.
- ▶ II and III.

Question No: 33 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ **That the price level is rising at an increasing rate.**
- ▶ That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) - Please choose one

Economic growth occurs by an outward shift of:

- ▶ **The production possibility frontier.**
- ▶ The gross domestic barrier.
- ▶ The marginal consumption frontier.
- ▶ The minimum efficient scale.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

- ▶ **Continuous technology progress.**
- ▶ High rate of population growth.
- ▶ Development of urban centers.
- ▶ Expansion of railways.

Question No: 36 (Marks: 1) - Please choose one

government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**

The

- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ▶ Moral suasion.
- ▶ Reserve requirements.
- ▶ The discount rate.
- ▶ **Open market operations.**

Question No: 38 (Marks: 1) - Please choose one

When the comparative advantage in production of a good does occur?

- ▶ When a country can produce that good using fewer resources than other countries.
- ▶ When a country can produce that good at a greater opportunity cost than other countries.
- ▶ **When a country can produce that good at a lower opportunity cost than other countries.**
- ▶ When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Question No: 39 (Marks: 1) - Please choose one

A

quota is defined as:

- ▶ A restriction on exports.
- ▶ A unit tax imposed on a product.
- ▶ A limit on the quantity of a good that can be exported.
- ▶ **A limit on the quantity of a good that can be imported.**

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

- ▶ **The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.**
- ▶ The agricultural sector is by far the largest producer and the most productive sector in low-income countries.
- ▶ Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.
- ▶ The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

Question No: 41 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 42 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ▶ **10.**
- ▶ 20.
- ▶ 30.
- ▶ 40.

Question No: 43 (Marks: 1) - Please choose one

_____ If
marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

- ▶ Expand output.
- ▶ Do nothing without information about your fixed costs.
- ▶ Expand output until marginal revenue equals zero.
- ▶ **Reduce output until marginal revenue equals marginal cost.**

Question No: 44 (Marks: 1) - Please choose one

_____ The
average annual income per head for all the inhabitants of the country is known as:

- ▶ Gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- ▶ **Per capita income.**

Question No: 45 (Marks: 1) - Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- ▶ **Real gross domestic product.**
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 46 (Marks: 1) - Please choose one

_____ The

principle which states that a change in income causes a magnified change in investment is termed as the:

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- ▶ **Accelerator effect.**

Question No: 47 (Marks: 1) - Please choose one

_____ If central bank increased the money supply, then what will be happen to IS curve?

- ▶ **IS curve will Shifts rightward.**
- ▶ IS curve will Shifts leftward.
- ▶ IS curve will remain unaffected.
- ▶ IS curve will become vertical.

Question No: 48 (Marks: 1) - Please choose one

_____ The value of world trade has increased -----over the period of 1930-2000.

- ▶ **20 fold**
- ▶ 10 fold
- ▶ 5 fold
- ▶ 14 fold

Question No: 49 (Marks: 3)

_____ Write down the functions of commercial banks.

Question No: 50 (Marks: 3)

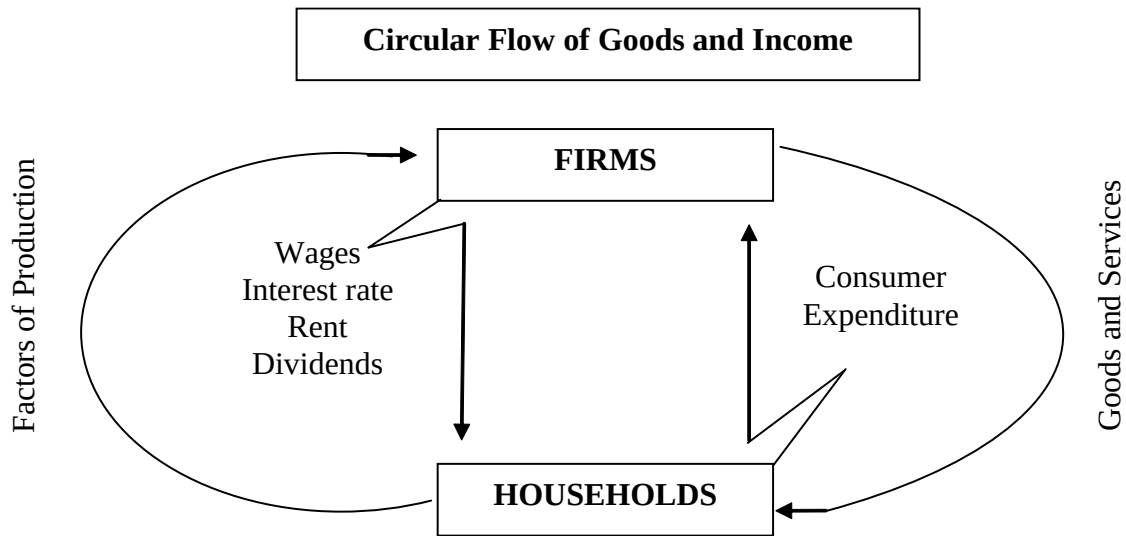
_____ How the growth rate of output is determined in the exogenous growth model?

Question No: 51 (Marks: 5)

_____ Why is taxation necessary? What are the principles of taxation?

Question No: 52 (Marks: 5)

_____ Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.



Question No: 53 (Marks: 5)

Explain the difference between current account and capital account.

FINAL TERM EXAMINATION

Spring 2010

ECO401- Economics

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ **Income elasticity of demand.**
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ **Encourage workers to retire earlier.**

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ **Hire more labor.**
- ▶ Hire less labor.
- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

An increase in the wage rate:

- ▶ **Will usually lead to more people employed.**
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.
- ▶ **The real exchange rate.**
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ **The business and government sectors.**

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ **Cartel members have substantial cost advantages over non-member producers.**
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

Labor	Total output
1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ **60.**

Question No: 15 (Marks: 1) - Please choose one

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ **The classical dichotomy / monetary neutrality effects.**

- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

▶ Because it is difficult to measure the prices of intermediate goods produced.

▶ **Because these are the only goods and services that are purchased in an economy.**

▶ Because counting all goods and services would lead to double-counting of many activities.

▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

▶ Personal saving and private investment.

▶ Personal saving and personal consumption.

▶ Personal consumption and personal income.

▶ **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

▶ M has no effect on the price level.

▶ **V is the number of times each dollar is spent per year.**

▶ Q is the real price level.

▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

▶ **If labor force is fully employed.**

▶ If price level is stable.

▶ If trade balance is zero.

▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

▶ A higher output level than before.

▶ **The same output level as before.**

▶ A lower output level than before.

- ▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ **The same steady state.**
- ▶ Their own steady state.
- ▶ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ **With economic fluctuations; it increases during bad times and decreases during good times.**
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**

- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ **3%.**
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ **Demand curve.**
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ **Investment curve.**

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In a period of recession, credit creation is:

- ▶ **Small.**
- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ **If it can produce a good at a lower opportunity cost than other nations.**
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- ▶ **Substantial rise in product per capita.**
- ▶ Increased productivity per unit of labor input.
- ▶ Increasing use of modern scientific knowledge.
- ▶ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- ▶ Total spending on good Y to rise.
- ▶ Total spending on good Y to fall.
- ▶ Total spending on good Y to remain unchanged.
- ▶ **An indeterminate effect on total spending on good Y.**

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Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

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Which of the following will happen if two indifference curves cross each other?

▶ **The assumption of a diminishing marginal rate of substitution will be violated.**

- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.
- ▶ Consumers will minimize their satisfaction.

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Constant returns to scale imply that by:

- ▶ **Increasing the inputs by 1% leads to a 0.75% increase in output.**
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Average total costs are the sum of:

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- ▶ Monopoly.
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If a 7% price reduction causes quantity demanded to rise by 10% then:

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- ▶ Demand is elastic.
- ▶ **Demand is perfectly elastic.**
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Which of the following is not a component of aggregate demand?

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- ▶ Investment expenditures.
- ▶ **Government expenditures.**
- ▶ Household income.

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Balance of payment is an accounting record of a country's transactions with:

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How an economy will be affected if money supply is increased in the country?

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The demand for money to buy bonds is called:

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profits repatriated to
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Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1". What is meant by this statement?

When we draw in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Rupee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foregin exchange market
US \$ - UK POUND Foregin exchange market

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What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

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FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ The economy will move from a point inside to a point closer to its production possibilities curve.

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Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ Income elasticity of demand.
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ 2 percent increase in the quantity of boots demanded.
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ Encourage workers to retire earlier.

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ Marginal revenue minus marginal cost.
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ Has no close substitutes.
- ▶ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ Long-run average total cost curve is positively sloped.
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ Hire more labor.
- ▶ Hire less labor.
- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

An increase in the wage rate:

- ▶ Will usually lead to more people employed.
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ Supply creates its own demand.
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.

- ▶ The real exchange rate.
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ The business and government sectors.

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

Labor	Total output
1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ 60.

Reference:

5th worker MPL = $41 - 38 = 3$
 $3 \times 20 = 60$

Question No: 15 (Marks: 1) - Please choose one

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ The classical dichotomy / monetary neutrality effects.

- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

- ▶ Because it is difficult to measure the prices of intermediate goods produced.
- ▶ Because these are the only goods and services that are purchased in an economy.
- ▶ Because counting all goods and services would lead to double-counting of many activities.
- ▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

- ▶ Personal saving and private investment.
- ▶ Personal saving and personal consumption.
- ▶ Personal consumption and personal income.
- ▶ Personal consumption and private investment.

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

- ▶ M has no effect on the price level.
- ▶ V is the number of times each dollar is spent per year.
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- ▶ If labor force is fully employed.
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.

- ▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ The same steady state.
- ▶ **Their own steady state.**
- ▶ The Golden Rule steady state.

Reference:

<http://www.econ.ucdavis.edu/faculty/amtaylor/teaching/ecn101/samplemidterm.pdf>

Question#16

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ With economic fluctuations; it increases during bad times and decreases during good times.
- ▶ **Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.**
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ 3%.
- ▶ 10%.
- ▶ 7%.
- ▶ **13%.**

Reference:

Domestic interest rate = Foreign interest rate + Expected depreciation

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ **Laffer curve.**
- ▶ Demand curve.
- ▶ Supply curve.
- ▶ Investment curve.

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FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 1)

Ref No:
Time: 90 min
Marks: 69

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- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.

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An increase in the wage rate:

- ▶ **Will usually lead to more people employed.**
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.
- ▶ **The real exchange rate.**
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ **The business and government sectors.**

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ **Cartel members have substantial cost advantages over non-member producers.**
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

Labor	Total output
1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ **60.**

Question No: 15 (Marks: 1) - Please choose one

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.

- ▶ The wealth effect.
- ▶ **The classical dichotomy / monetary neutrality effects.**
- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

- ▶ Because it is difficult to measure the prices of intermediate goods produced.
- ▶ **Because these are the only goods and services that are purchased in an economy.**
- ▶ Because counting all goods and services would lead to double-counting of many activities.
- ▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

- ▶ Personal saving and private investment.
- ▶ Personal saving and personal consumption.
- ▶ Personal consumption and personal income.
- ▶ **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

- ▶ M has no effect on the price level.
- ▶ **V is the number of times each dollar is spent per year.**
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- ▶ **If labor force is fully employed.**
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.

- ▶ **The same output level as before.**
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ **The same steady state.**
- ▶ Their own steady state.
- ▶ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ **With economic fluctuations; it increases during bad times and decreases during good times.**
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ **3%.**
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ **Demand curve.**
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.

► **Investment curve.**

Question No: 32 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- **Small.**
- Heavy.
- Unchanged.
- Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- Money Market.
- **Goods Market.**
- Labor Market.
- Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- If it can produce a good at a higher opportunity cost than other nations.
- **If it can produce a good at a lower opportunity cost than other nations.**
- If it can produce a good by using less resources than other nations.
- If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- **Substantial rise in product per capita.**
- Increased productivity per unit of labor input.
- Increasing use of modern scientific knowledge.
- All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- Total spending on good Y to rise.
- Total spending on good Y to fall.
- Total spending on good Y to remain unchanged.
- **An indeterminate effect on total spending on good Y.**

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- Shifts to the left.
- **Shifts to the right.**
- Remains constant.

- ▶ Shifts to the right initially and then returns to its original position.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

▶ **The assumption of a diminishing marginal rate of substitution will be violated.**

- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.
- ▶ Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- ▶ **Increasing the inputs by 1% leads to a 0.75% increase in output.**
- ▶ Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- ▶ Increasing the inputs by 2% leads to a 4% increase in output.
- ▶ None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

- ▶ **Fixed costs and marginal costs**
- ▶ Average variable costs and marginal costs
- ▶ Average fixed costs and average variable costs
- ▶ Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Oligopoly.
- ▶ **None of the given options.**

Question No: 42 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- ▶ Demand is inelastic.
- ▶ Demand is elastic.
- ▶ **Demand is perfectly elastic.**
- ▶ Total revenue will remain constant.

Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

- ▶ Consumption spending.
- ▶ Investment expenditures.
- ▶ **Government expenditures.**
- ▶ Household income.

Question No: 44 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

- ▶ 0.75
- ▶ 0.50
- ▶ 0.25
- ▶ **1.00**

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

- ▶ Lies above full-employment.
- ▶ None of the given options.
- ▶ Lies below full-employment.
- ▶ **Gravitated around a full-employment.**

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

- ▶ South Asian countries.
- ▶ Middle East.
- ▶ **Rest of the world.**
- ▶ USA and China.

Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ Interest rate reduces, investment and GDP increases.
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

The demand for money to buy bonds is called:

- ▶ Transactions demand for money.
- ▶ Precautionary demand for money.
- ▶ Speculative demand for money.
- ▶ **All of the given options.**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1".What is meant by this statement?

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foregin exchange market
US \$ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

Land is best described as:

- ▶ Produced factors of production.
- ▶ "Organizational" resources.
- ▶ Physical and mental abilities of people.
- ▶ **"Naturally" occurring resources.**

Question No: 2 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**
- ▶ Output.

Question No: 3 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ A decrease in total revenue received by the course.
- ▶ **An increase in total revenue received by the course.**
- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 4 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 5 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.

- ▶ None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Fixed costs are fixed with respect to changes in:

- ▶ **Output.**
- ▶ Capital expenditures.
- ▶ Wages.
- ▶ Time.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When a firm charges each customer the maximum price that the customer is willing to pay, the firm:

- ▶ Engages in a discrete pricing strategy.
- ▶ Charges the average reservation price.
- ▶ Engages in second-degree price discrimination.
- ▶ **Engages in first-degree price discrimination.**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ The demand curve is tangent to marginal cost curve.
- ▶ **The demand curve is tangent to average cost curve.**
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 10 (Marks: 1) - Please choose one

Which one of the following characteristics is common in monopolistic competition and oligopoly?

- ▶ Free entry and exit from the industry.

- ▶ Strategic behavior.
- ▶ Standardized products.
- ▶ **Advertising.**

Question No: 11 (Marks: 1) - Please choose one

Value of Marginal Product of Labor (VMP_L) is equal to:

- ▶ MPP_L / P_i .
- ▶ MPP_L .
- ▶ P_i .
- ▶ **$MPP_L \times P_i$.**

Question No: 12 (Marks: 1) - Please choose one

According to classical economics, the economy was unlikely to experience:

- ▶ Full employment.
- ▶ **Flexible wages and prices.**
- ▶ Equality between saving and investment.
- ▶ High rates of unemployment.

Question No: 13 (Marks: 1) - Please choose one

Say's Law is a proposition underlying classical economics stating that:

- ▶ **Supply creates its own demand.**
- ▶ Leakages are greater than injections.
- ▶ Unemployment is a common condition.
- ▶ Consumption expenditures are a function of disposable income.

Question No: 14 (Marks: 1) - Please choose one

assumption of classical economics is:

An

- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ **Supply creates its own demand.**
- ▶ Investment and saving are seldom equal.

Question No: 15 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ **Recession; deflation.**
- ▶ Expansion; deflation.

- ▶ Recession; inflation.

Question No: 16 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP) equals:

- ▶ Nominal GDP minus net exports.
- ▶ **Nominal GDP divided by the GDP deflator.**
- ▶ Nominal GDP multiplied by the GDP deflator.
- ▶ GDP minus depreciation.

Question No: 17 (Marks: 1) - Please choose one

Which of the following statements is TRUE?

- ▶ **Net National Product = Gross National Product – Depreciation.**
- ▶ Net National Product = National Income.
- ▶ Net National Product = Disposable Personal Income.
- ▶ Net National Product = Personal Income.

Question No: 18 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?

- ▶ $MT = PV$.
- ▶ $VT = PM$.
- ▶ **$MV = PQ$.**
- ▶ $MY = VP$.

Question No: 19 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

- ▶ 45.
- ▶ Infinity.
- ▶ **1.**
- ▶ 0.

Question No: 20 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.
- ▶ **The extent to which any firm can influence the price of the product.**
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 21 (Marks: 1) - Please choose one

An

individual whose attitude towards risk is known as:

- ▶ Risk averse.
- ▶ **Risk loving.**
- ▶ Risk neutral.
- ▶ None of the given options.

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the "Capital widening"?

- ▶ More capital per unit of labour.
- ▶ **More capital and more labour but with the same amount of capital per unit of labour.**
- ▶ Increasing the usage of existing capital.
- ▶ Importing capital from the developed world.

Question No: 23 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 24 (Marks: 1) - Please choose one

Public education creates:

- ▶ Asymmetric information.
- ▶ External costs.
- ▶ Internal costs.
- ▶ **External benefits.**

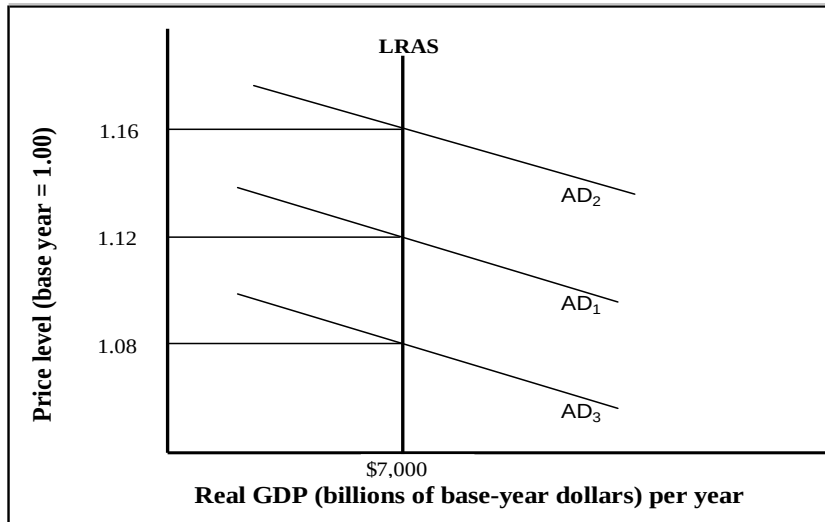
Question No: 25 (Marks: 1) - Please choose one

A

graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- ▶ **Aggregate demand curve.**
- ▶ Average price level.
- ▶ Circular flow model.
- ▶ GDP curve.

Question No: 26 (Marks: 1) - Please choose one



Refer to the above figure, if the real GDP is \$7,000 billion and the implicit price deflator is 1.16, what is the value of nominal GDP?

- ▶ \$6,034 billion.
- ▶ **\$8,120 billion.**
- ▶ \$9,120 billion.
- ▶ Cannot be determined from the given information.

Question No: 27 (Marks: 1) - Please choose one

Let L equal the size of the labor force, E the number of employed workers, and U the number of unemployed workers. The unemployment rate is equal to:

- ▶ $(L + E)/L$.
- ▶ **U/L .**
- ▶ $1 + (E/L)$.
- ▶ All of the given options.

Question No: 28 (Marks: 1) - Please choose one

The natural rate of unemployment is likely to fall if:

- ▶ Unemployment benefits increase.
- ▶ Income tax increases.
- ▶ **More training is available for the unemployed.**
- ▶ Geographical immobility increases.

Question No: 29 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

- ▶ Domestic and foreign incomes.
- ▶ Relative price levels.

- ▶ Domestic and foreign trade policies.
- ▶ **Producers' expectations about future prices.**

Question No: 30 (Marks: 1) - Please choose one

Which of the following can happen in a boom period?

- ▶ Unemployment is likely to fall.
- ▶ Prices are likely to fall.
- ▶ Demand is likely to fall.
- ▶ **Imports are likely to grow.**

Question No: 31 (Marks: 1) - Please choose one

taxes on alcohol, tobacco, and gasoline are categorized as:

- ▶ Sales tax.
- ▶ **Excise tax.**
- ▶ Corporate income tax.
- ▶ Personal income tax.

The

Question No: 32 (Marks: 1) - Please choose one

item which serves as a medium of exchange is known as:

- ▶ Gold.
- ▶ Capital.
- ▶ Silver.
- ▶ **Money.**

The

Question No: 33 (Marks: 1) - Please choose one

country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ **If it can produce a good at a lower opportunity cost than other nations.**
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

A

Question No: 34 (Marks: 1) - Please choose one

tariff is defined as:

- ▶ A restriction on exports.
- ▶ **A tax placed on an imported product.**
- ▶ A limit on the amount of a good or service that can be exported.
- ▶ A limit on the amount of a good or service that can be imported.

A

Question No: 35 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ **Developing countries.**
- ▶ High income countries.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is (are) the characteristic(s) of high income countries as compared to low income countries?

- I. Lower rates of population growth.
 - II. Greater income inequality.
 - III. A large proportion of the labor force in agriculture.
 - IV. Higher rates of investment.
- ▶ I only.
 - ▶ I and II.
 - ▶ II and IV.
 - ▶ **I and IV.**

Question No: 37 (Marks: 1) - Please choose one

which of the following conditions, a welfare loss occurs in monopoly?

In

- ▶ Where the price is greater than the marginal cost.
- ▶ Where the price is greater than the marginal benefit.
- ▶ Where the price is greater than the average revenue.
- ▶ **Where the price is greater than the marginal revenue.**

Question No: 38 (Marks: 1) - Please choose one

average physical product (APP) is decreasing then which of the following must be true?

If

- ▶ Marginal physical product is more than the average physical product.
- ▶ **Marginal physical product is less than the average physical product.**
- ▶ Marginal physical product is decreasing.
- ▶ Marginal physical product is increasing.

Question No: 39 (Marks: 1) - Please choose one

When different prices are charged to customers who purchase different quantities, this is an example of

- ▶ **Second-degree price discrimination.**
- ▶ First-degree price discrimination.

- ▶ Monopoly.
- ▶ Perfect competition.

Question No: 40 (Marks: 1) - Please choose one

Which of the following may cause a decrease in national income?

- ▶ **Increase imports.**
- ▶ Decrease unemployment.
- ▶ Decreasing exports.
- ▶ None of the given options.

Question No: 41 (Marks: 1) - Please choose one

relationship between interest rate and consumption is:

The

- ▶ Positive.
- ▶ **Negative.**
- ▶ Zero.
- ▶ Indeterminate.

Question No: 42 (Marks: 1) - Please choose one

principle which states that a change in income causes a magnified change in investment is termed as the:

The

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- ▶ **Accelerator effect.**

Question No: 43 (Marks: 1) - Please choose one

Hysteresis refers to the permanent effects of a:

- ▶ **Temporary change.**
- ▶ Structural change.
- ▶ Cyclical change.
- ▶ Political change.

Question No: 44 (Marks: 1) - Please choose one

Factor income from abroad like worker remittances, dividends and interest has positive impact on:

- ▶ **Current account balance.**
- ▶ Capital account balance.
- ▶ Trade balance.
- ▶ Unemployment.

Question No: 45 (Marks: 1) - Please choose one

growth rate of any country's real GDP can be:

- ▶ Negative or positive.
- ▶ positive or zero.
- ▶ Negative or zero.
- ▶ **Negative or positive or zero.**

Question No: 46 (Marks: 1) - Please choose one

Endogenous growth theory is also known as:

- ▶ Neo-classical growth theory.
- ▶ **New growth theory.**
- ▶ Classical growth model.
- ▶ Keynesian growth model.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is not the World Bank's structural reform policy?

- ▶ FDI liberalization.
- ▶ Trade liberalization.
- ▶ Financial liberalization.
- ▶ **Same monetary policy for all countries.**

Question No: 48 (Marks: 1) - Please choose one

common characteristics of a developing country is:

- ▶ High growth rate.
- ▶ High literacy rate.
- ▶ Skilled labor.
- ▶ **High unemployment rate.**

Question No: 49 (Marks: 3)

what point, the equilibrium occurs in the foreign exchange market?

Question No: 50 (Marks: 3)

What are the reasons that poor countries remained poor?

Question No: 51 (Marks: 5)

the government increase it's spending e.g. increases the wages of the government servant, how it will affect on consumption, production and hiring of new employees?

The

The

At

If

Question No: 52 (Marks: 5)

Explain the difference between appreciation and depreciation of currency.

Question No: 53 (Marks: 5)

Differentiate among M_0 , M_1 and M_2 components of money supply.

FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

budget line is the boundary between:

- ▶ Preferred and non preferred consumption combinations.
- ▶ **Affordable and unaffordable consumption combinations.**
- ▶ Income and expenditure.
- ▶ One point on a budget line.

The

Question No: 2 (Marks: 1) - Please choose one

supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ **Its marginal cost curve above the minimum point of the average variable cost curve.**
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

The

Question No: 3 (Marks: 1) - Please choose one

price taker is:

- ▶ A firm that accepts different prices from different customers.
- ▶ A monopolistically competitive firm.
- ▶ **A firm that cannot influence the market price.**
- ▶ An oligopolistic firm.

A

Question No: 4 (Marks: 1) - Please choose one

good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

The

Question No: 5 (Marks: 1) - Please choose one

schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

A

- ▶ Supply schedule.
- ▶ Demand schedule.
- ▶ Quantity supplied schedule.

▶ Quantity demanded schedule.

Question No: 6 (Marks: 1) - Please choose one

textbook for your class was not produced in a perfectly competitive industry because:

▶ There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.

▶ Upper-division microeconomics texts are not all alike.

▶ It is not costless to enter or exit the textbook industry.

▶ All of the given options.

Question No: 7 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

▶ Has self-correcting mechanisms.

▶ Can only be graphed with a horizontal curve.

▶ Never needs correction.

▶ None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Unlike the classical economists, Keynes believed that the economy could get stuck in the short run for a significant period of time because of:

▶ Insufficient aggregate supply.

▶ Insufficient aggregate demand.

▶ Quick self correcting mechanism.

▶ Government purchases of too many goods and services.

Question No: 9 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

▶ Supply creates its own demand.

▶ Prices and wages are inflexible.

▶ Self-correction takes a long time.

▶ Consumption expenditures depend on disposable income.

Question No: 10 (Marks: 1) - Please choose one

Phillips curve will shift to the right:

The

A

The

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 11 (Marks: 1) - Please choose one

_____ If a Japanese radio priced at 2,000 yen can be purchased for \$10, the exchange rate is:

- ▶ 200 yen per dollar.
- ▶ 20 yen per dollar.
- ▶ 20 dollars per yen.
- ▶ None of the given options.

Question No: 12 (Marks: 1) - Please choose one

_____ If the prices of all goods and services rise during the year:

- ▶ Real GDP may fall.
- ▶ Nominal GDP must fall.
- ▶ Nominal GDP may increase.
- ▶ Real GDP must rise.

Question No: 13 (Marks: 1) - Please choose one

_____ Gross domestic product (GDP) is the market value of:

- ▶ All transactions in an economy during one-year period.
- ▶ All goods and services exchanged in an economy during one-year period.
- ▶ All final goods and services exchanged in an economy during one-year period.
- ▶ All final goods and services produced in a domestic economy during one-year period.

Question No: 14 (Marks: 1) - Please choose one

_____ Which of the following does NOT refer to macroeconomics?

- ▶ The study of the aggregate level of economic activity.
- ▶ The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms.
- ▶ The study of the cause of unemployment.
- ▶ The study of the cause of inflation.

Question No: 15 (Marks: 1) - Please choose one

Marginal Propensity to Save (MPS) is:

- ▶ One Minus Marginal Propensity to Consume (MPC).
- ▶ Saving divided by consumption.
- ▶ The slope of the consumption function (or line).
- ▶ The proportion of disposable income used for consumption.

Question No: 16 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

- ▶ These are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ These are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ These are considered as part of monopolistic competition.

Question No: 17 (Marks: 1) - Please choose one

Those who hold the classical view of the labour market are likely to believe that:

- ▶ Monetary but not fiscal policy will have an effect on output and employment.
- ▶ Fiscal but not monetary policy will have an effect on output and employment.
- ▶ Both monetary and fiscal policy will have an effect on output and employment.
- ▶ Neither monetary nor fiscal policy will have an effect on output and employment.

Question No: 18 (Marks: 1) - Please choose one

Suppose the balance of payment is in deficit in an economy. The government of that economy will take all of the following actions EXCEPT:

- ▶ Devalue the currency.
- ▶ Reduce the interest rates.
- ▶ Restrict the consumer spending.
- ▶ Restrict the imports.

Question No: 19 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ A producer has the comparative advantage on both products.
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 20 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

- ▶ Two countries produce the same goods at the same costs.
- ▶ Two countries produce different goods at different costs.
- ▶ Two countries are isolated.
- ▶ Two countries have the same markets.

Question No: 21 (Marks: 1) - Please choose one

GNP is a good indicator of:

- ▶ The total payment of factor owners.
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

Question No: 22 (Marks: 1) - Please choose one

a study of the long term growth of the economy, we use:

- ▶ Real GNP.
- ▶ Nominal GNP.
- ▶ Personal income.
- ▶ Disposable personal income.

For

Question No: 23 (Marks: 1) - Please choose one

Total national consumption consists of:

- ▶ Private consumption.
- ▶ Public consumption.
- ▶ Exports.
- ▶ Private and public consumption.

Question No: 24 (Marks: 1) - Please choose one

there is an increase in consumer's confidence, ceteris paribus, then which of the following will happen?

- ▶ Consumption function will shift downward.
- ▶ Consumption function will shift upward.
- ▶ Saving function will shift upward.
- ▶ Consumption function will remain the same.

If

Question No: 25 (Marks: 1) - Please choose one

Information products are also known as:

- ▶ Inferior products.
- ▶ Superior products.

- ▶ Internet products.
- ▶ Expensive products.

Question No: 26 (Marks: 1) - Please choose one

Public education creates:

- ▶ Asymmetric information.
- ▶ External costs.
- ▶ Internal costs.
- ▶ External benefits.

Question No: 27 (Marks: 1) - Please choose one

the long run, the price level is determined by:

- ▶ Aggregate demand.
- ▶ Aggregate supply.
- ▶ The government.
- ▶ Money supply.

In

Question No: 28 (Marks: 1) - Please choose one

the definition of labor force, economists include:

- ▶ Only people who are working full-time.
- ▶ People who are not working but are actively looking for a job and people who are working.
- ▶ People who are working.
- ▶ None of the given options.

In

Question No: 29 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

Question No: 30 (Marks: 1) - Please choose one

the long run, sustained inflation is due to:

- ▶ A one-time increase in money growth.
- ▶ A continuous increase in the money growth rate.
- ▶ A continuous increase in aggregate demand.
- ▶ The rising price of oil.

In

Question No: 31 (Marks: 1) - Please choose one

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

- ▶ Revaluation.
- ▶ Devaluation.
- ▶ Appreciation.
- ▶ Depreciation.

Question No: 32 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

- ▶ It will result in a movement up along the aggregate demand curve.
- ▶ It will reduce aggregate supply.
- ▶ It will reduce aggregate demand.
- ▶ It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 33 (Marks: 1) - Please choose one

Endogenous growth model is also known as:

- ▶ AK Model.
- ▶ Exogenous growth model.
- ▶ Best growth model.
- ▶ All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Contractionary fiscal policy includes:

- ▶ Increasing taxes and increasing government purchases.
- ▶ Raising interest rates, increasing taxes, and decreasing transfer payments.
- ▶ Increasing taxes and decreasing government expenditures.
- ▶ Raising interest rates, decreasing taxes, and decreasing government spending.

Question No: 35 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ Investment curve.

Question No: 36 (Marks: 1) - Please choose one

tax on individual's income is known as:

- ▶ Sales tax.
- ▶ Excise tax.

- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 37 (Marks: 1) - Please choose one

The price of Nokia 3110 cell phone is Rs. 8000. What is the function of money in this context?

- ▶ A medium of exchange.
- ▶ A means of payment.
- ▶ A unit of account.
- ▶ A measure of quality.

Question No: 38 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.

Question No: 39 (Marks: 1) - Please choose one

If money supply is fixed by the central bank then in interest rate-money supply space, money supply curve will be:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ Negatively sloped.
- ▶ Positively sloped.

Question No: 40 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- ▶ Shifts to the left.
- ▶ Shifts to the right.
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 41 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

- ▶ There will be a surplus to accumulate.

- ▶ There will be downward pressure on the current market price.
- ▶ There will be upward pressure on the current market price.
- ▶ There will be lower production during the next time period.

Question No: 42 (Marks: 1) - Please choose one

What is TRUE about the relationship between average product (AP) and marginal product (MP)?

- ▶ If AP exceeds MP, then AP is falling.
- ▶ If AP is at a maximum, then MP is also at maximum.
- ▶ If AP = MP, then total product is at a maximum.
- ▶ If Total Product is declining, then AP is negative.

Question No: 43 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ▶ Decreasing returns to scale.
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

If firms are not of equal size in oligopoly, then quotas can be allocated according to the of each firm.

- ▶ Marginal revenue
- ▶ Marginal cost
- ▶ Average variable cost
- ▶ Average cost

Question No: 45 (Marks: 1) - Please choose one

Optimal mix of resources is decided by

- ▶ The price mechanism.
- ▶ Producers.
- ▶ Consumers.
- ▶ Government.

Question No: 46 (Marks: 1) - Please choose one

When the slope of a demand curve is infinity, elasticity of demand is

- ▶ Zero elastic.
- ▶ Unit elastic.
- ▶ Less elastic.
- ▶ More elastic.

Question No: 47 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

- ▶ 0.80
- ▶ 1.20
- ▶ 0.50
- ▶ 1.25

Reference:

<http://www.s-cool.co.uk/alevel/economics/aggregate-demand-and-aggregate-supply/the-45-degree-diagram.html>

Question No: 48 (Marks: 1) - Please choose one

If prices are held constant, an increase in money supply will cause MS/P to:

- ▶ Shift to the right.
- ▶ Shift to the left.
- ▶ Stay as it is.
- ▶ None of the given options.

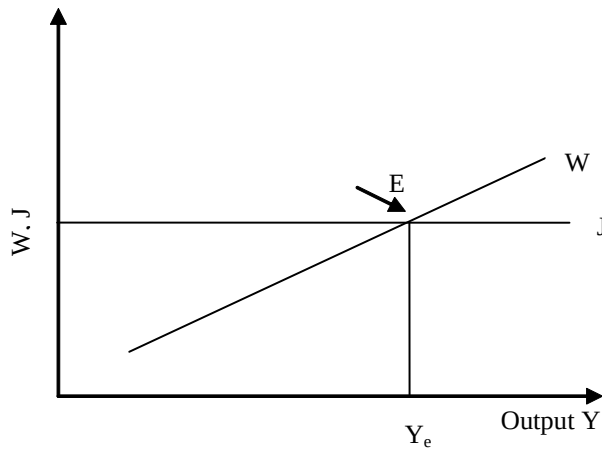
Question No: 49 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why? Discuss.

Question No: 50 (Marks: 3)

What are the different borrowing options available to the government for reducing the fiscal deficit?

Question No: 51 (Marks: 5)



What actually the Keynesian paradox of thrift states? In the above figure, economy is in equilibrium at point E where withdrawals are equal to leakages. Keeping Keynes's paradox of thrift arguments in mind, what will happen to output, consumption and investment level if people start saving more suddenly.

Question No: 52 (Marks: 5)

Differentiate between fixed exchange rate and floating exchange rate.

Question No: 53 (Marks: 5)

Some economists suggest "growth through trade strategy" to tackle the problem of poverty of under developed countries.

- a) What is the basic theme of this strategy?
- b) Why this strategy is not so much successful?
- c) What is the proposed solution presented to tackle the drawback of this strategy?

(Marks: 2+1.5+1.5)

FINAL TERM EXAMINATION

Fall 2009

ECO401- Economics

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

► **Increasing opportunity cost for both goods.**

- Increasing opportunity cost for good X but not for good Y.
- Increasing opportunity cost for good Y but not for good X.
- Constant opportunity cost for both goods.

The shape of a production possibility curve commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- A decrease in equilibrium price and an increase in quantity of meal.
- An increase in equilibrium price and quantity of meal.
- **A decrease in equilibrium price and quantity of meal.**
- An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

► **Changes in demand are proportionately greater than changes in price.**

- Changes in demand are equal to changes in price.
- None of the given options.
- Changes in demand are proportionately smaller than changes in price.

For elastic demand curve, firm does not increase its prices. Because as prices increases, quantity Demanded decreases much larger. Decrease in quantity demanded is greater than the increase in prices. So firm will earn less revenue. So TR decreases as price increases.

Question No: 4 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- Use.
- Pleasure.
- **Utility.**
- Satisfaction.

Utility is a numerical representation of a preference ranking

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.
- ▶ **It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.**

The price consumption curve (PCC) traces out the optimal choice of consumption at different prices. The PCC can be used to derive the demand curve, which shows the relationship between price & quantity demanded.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

marginal profit is the term used to refer to total when marginal cost is subtracted from marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ **Its marginal cost curve above the minimum point of the average total cost curve.**

A perfectly competitive firm's supply curve is that portion of its marginal cost curve that lies above the minimum of the average variable cost curve.

Question No: 8 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

- ▶ The reservation price to each customer.
- ▶ **Different prices for different blocks of the same good or service.**
- ▶ Different groups of customers different prices for the same products.
- ▶ Each customer the maximum price that he or she is willing to pay.

Second degree price discrimination, allows the supplier to set different prices to the different groups and capture a larger portion of the total market surplus.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Question No: 10 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 11 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
A good for which the "income elasticity of demand" is >0 & <1
- ▶ The good is a luxury.
A good for which the "income elasticity of demand" is >1 .

- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Goods for which the "quantity demanded" of one good does not depend upon the price of the other. (i.e. Pencils & cars). The "cross elasticity of demand" will be 0.

Question No: 12 (Marks: 1) - Please choose one

Consumption spending, investment expenditures, government expenditures and net exports are:

- ▶ The components of household income.
- ▶ The components of aggregate supply.

▶ **The components of aggregate demand**

- ▶ The components of government revenue.

AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

- ▶ Minimum wages.
- ▶ **Flexible wages and prices.**
- ▶ Extended periods of unemployment.
- ▶ Inequality between saving and investment.

Question No: 15 (Marks: 1) - Please choose one

The real interest rate will increase:

- ▶ **If there is an excess supply of loanable funds in the financial markets.**
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

- ▶ Changes in government expectations of future output growth.
- ▶ Changes in household's expectations about future output growth.
- ▶ Changes in household's expectations about future risk.
- ▶ **Changes in investor's expectations about future profits.**

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

M1 includes currency held by the public, plus travelers' checks, demand deposits, other checkable deposits (including negotiable order of withdrawal (NOW) accounts, Automatic Transfer Service (ATS) accounts, and credit union share draft accounts).

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- ▶ Comparative advantage.
- ▶ Comparative disadvantage.
- ▶ **Absolute advantage.**
- ▶ Absolute disadvantage.

Absolute advantage.: Capability of one producer to produce a given good using fewer resources than any other producer.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

A currency is said to depreciate in value if its exchange rate decreases, such as a decrease in the exchange rate of dollars from 0.5 pounds per dollar to 0.33 pounds per dollar. Currency depreciation makes exports from the country relatively less expensive resulting in more exports and usually fewer imports.

Question No: 21 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ The dollar can now purchase more yen.
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ **The yen can now purchase more dollars.**
- ▶ The dollar has depreciated relative to the yen.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from US\$1=104 yen to US\$1=110 yen. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

In the Keynesian cross model, the aggregate expenditure line has a slope of:

- ▶ 1.
- ▶ 0.
- ▶ Infinity.
- ▶ **Less than 1.**

In the Keynesian cross model If we draw a graph with expenditure on the vertical axis, we can see that the Expenditure line should have a slope of (<1),

Question No: 24 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.
- ▶ Equal to 1. unit elastic

If $P_{ed} > 1$, then demand responds more than proportionately to a change in price i.e. demand is elastic.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

- ▶ These are considered as part of monopolistic competition.
- ▶ these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**

► These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

- Raise price but not restrict output.
- Raise price and restrict output but not attain the monopoly profit.
- **Raise price and restrict output and therefore attain the monopoly profit.**
- Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

- Real GDP includes only goods; nominal GDP includes goods and services.
- **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- Real GDP is equal to nominal GDP multiplied by the CPI.

Nominal GDP: The total market value, measured in current prices,

Real GDP: The total market value, measured in constant prices

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

- Real GDP and nominal GDP will both remain constant.
- Real GDP will remain constant and nominal GDP will reduce by half.
- **Real GDP will remain constant and nominal GDP will double.**
- Real GDP will double and nominal GDP will remain constant.

Question No: 29 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.9, then the value of multiplier will be equal to:

- 2.
- 5.
- 8.
- 10.

NO IDEA... MAY BE WRONGE QUESTION

Question No: 30 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ **1000+1500+2500 = Rs. 5000**
- ▶ 1000+500+2500 = Rs. 4000
- ▶ 1000+500+1000 = Rs. 2500
- ▶ 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

- ▶ Payment made to housewife.
- ▶ Pocket allowance to children.
- ▶ Maintenance allowance to old parents.
- ▶ **All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

- ▶ Competitive markets do not achieve equitable outcomes.
- ▶ Competitive markets do not achieve efficient outcomes.
- ▶ Government takes steps to intervene in markets.
- ▶ **All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- ▶ **Aggregate demand curve.**
- ▶ Average price level.
- ▶ Circular flow model.
- ▶ GDP curve.

The aggregate demand curve illustrates the relationship between economic goods demanded and the price level, assuming all else is held constant (that is, under aceteris paribus assumption).

Question No: 35 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

- ▶ The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The aggregate demand and the short-run aggregate supply curves.
- ▶ The aggregate demand and the long-run aggregate supply curves.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. **Government spending.**
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ **III only.**

Question No: 37 (Marks: 1) - Please choose one

In the long run, the output level is determined by:

- ▶ Aggregate demand.
- ▶ **Aggregate supply.**
- ▶ The government.
- ▶ Household income.

Long run aggregate supply (LRAS): LRAS shows total planned output when both prices and average wage rates can change - it is a measure of a country's potential output and the concept is linked strongly to that of the **production possibility frontier**

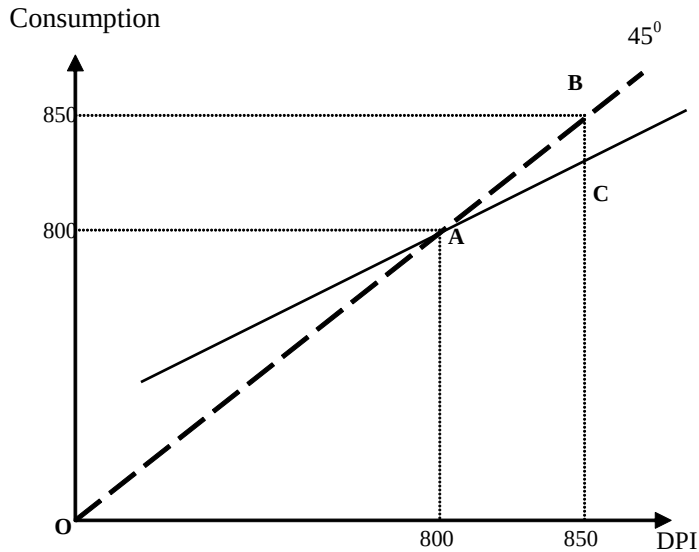
Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ **$1 - \text{MPS} = \text{MPC}$**
- ▶ $1 + \text{MPS} = \text{MPC}$
- ▶ $1 / \text{MPS} = \text{MPC}$
- ▶ $1 \times \text{MPS} = \text{MPC}$

(MPS) is the fraction of the additional dollar of disposable income that is Saved. Thus, $\text{MPC} = 1 - \text{MPS}$.

Question No: 39 (Marks: 1) - Please choose one



The above figure shows disposable personal income on the horizontal axis and consumption per period on the vertical axis. Which of the following is TRUE at every point on the 45-degree line?

- ▶ The value of disposable income equals the sum of personal saving and consumption.
- ▶ The value of disposable income equals consumption.
- ▶ The value of disposable income equals personal saving.
- ▶ The value of disposable income and consumption equals 1.

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- ▶ Reduce the real value of income tax free allowances.
- ▶ Reduce government spending on capital projects.
- ▶ Raise Value Added Tax (VAT).
- ▶ **Start public job training programs.**

Question No: 41 (Marks: 1) - Please choose one

In the long run, sustained inflation is due to:

- ▶ A one-time increase in money growth.
- ▶ **A continuous increase in the money growth rate.**
- ▶ A continuous increase in aggregate demand.
- ▶ The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

The situation when a country imports more than it exports is known as:

- ▶ **A trade deficit.**
- ▶ A trade surplus.
- ▶ An expansion.
- ▶ A recession.

A negative balance of trade, i.e. imports exceed exports. opposite of trade surplus.

Question No: 43 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**
- ▶ Public investment.

Question No: 44 (Marks: 1) - Please choose one

The government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 45 (Marks: 1) - Please choose one

In general, personal income taxes:

- ▶ Rise automatically during a recession.
- ▶ **Rise automatically during an expansion.** Not sure
- ▶ Fall automatically during an expansion.
- ▶ Remains same in all phases of economic fluctuations.

Question No: 46 (Marks: 1) - Please choose one

A tax on individual's income is known as:

- ▶ Sales tax.
- ▶ . Excise tax
- ▶ Corporate income tax.
- ▶ **Personal income tax.**

Personal income tax: A tax on individual income. This is the primary source of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE for banks?

- ▶ **They deal with money only.**
- ▶ They deal with shares and assets.
- ▶ They not only deal with money but also create money.
- ▶ They deal with money but do not create money.

Question No: 48 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**

- ▶ Unchanged.
- ▶ Zero.

Question No: 49 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.** Not sure

Question No: 50 (Marks: 1) - Please choose one

To determine whether an economy's output is growing or shrinking, one must keep track of:

- ▶ Changes in nominal GDP.
- ▶ Changes in the growth rate of nominal GDP.
- ▶ Changes in the general price level.
- ▶ **Changes in real GDP.**

Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.).

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

The demand curve shifts left. Rail and airline travel are substitutes. If the price of a substitute declines, then the demand curve for the substitute product shifts to the left.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ▶ A reduction in unemployment.
- ▶ **An increase in the production of capital goods.**
- ▶ A reduction in discrimination.
- ▶ All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

- ▶ Negative.
- ▶ **Positive.**
- ▶ Zero.
- ▶ Indeterminate from the given information.

As profit is maximized at the point where $MR = MC$, Depending upon the level of **AC at the point where $MR=MC$** , the monopolist might be earn supernormal profits, breaking even or minimizing short run losses.

Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time.

Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

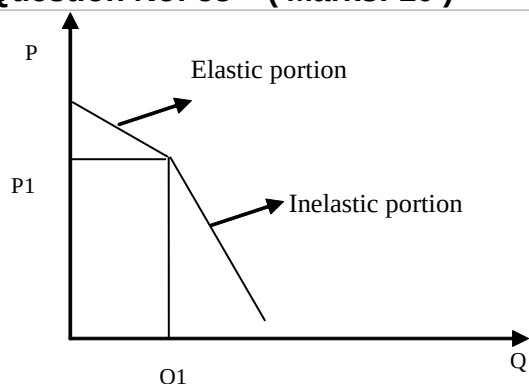
Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital.

The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500

Notes and coins = Rs. 800

Credit to government = Rs. 200

Government and commercial bank deposits = Rs. 300

Credit to private sector = Rs. 700

Liquidity paper = Rs. 300

Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution: (this question solved by kash again)

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800
Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

- ▶ All of the given options.

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- ▶ Excess supply.
- ▶ Equilibrium.
- ▶ **Excess demand.**

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**
- ▶ Output.

Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

- ▶ -14.
- ▶ **14.**
- ▶ 83.
- ▶ 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ **Price equals marginal cost.**
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

- ▶ **High costs.**
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

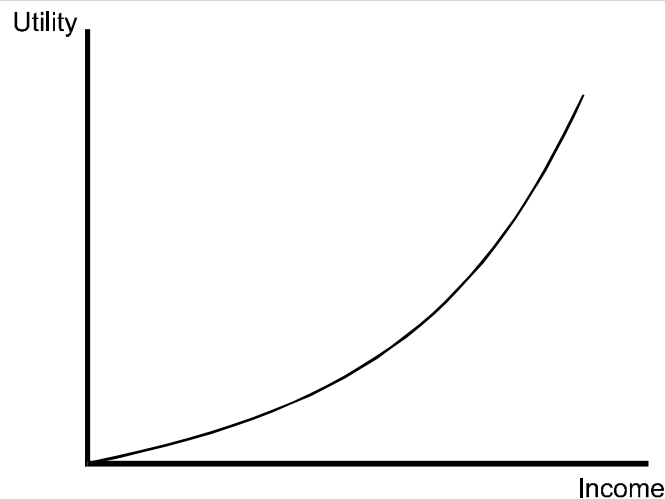
- ▶ Collusion.
- ▶ Price discrimination.
- ▶ Two-part tariff.
- ▶ **Bundling.**

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ The good is a luxury.
- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ **Increasing as income increases.**
- ▶ Constant for all levels of income.
- ▶ Diminishes as income increases.
- ▶ None of the given options.

Question No: 14 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

In monopoly, which of the following is NOT true?

- ▶ Products are differentiated.
- ▶ **There is freedom of entry and exit into the industry in the long run.**
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ A decrease in output level and an increase in price.
- ▶ **A decrease in output level and no change in price.**
- ▶ Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ **Cartel.**
- ▶ Market sharing monopoly.
- ▶ Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

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In the complete classical model, a rightward shift of the labor supply curve will:

- ▶ Decrease the price level and increase the nominal wage.
- ▶ Decrease the nominal wage and increase the price level.
- ▶ Decrease both the price level and the nominal wage.
- ▶ **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ▶ An increase in the rate of inflation.
- ▶ A decrease in government expenditures.
- ▶ A decrease in investment spending.
- ▶ **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ▶ **Keynesian.**
- ▶ New classical.
- ▶ Old classical.
- ▶ New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ **From 1930s to 1970s.**
- ▶ Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

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Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ▶ Direct use by the consumers.
- ▶ **Further processing.**
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ **The balance in your savings account.**
- ▶ Your monthly consumption on food items.
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ Capital.
- ▶ **The amount of money held by the public.**
- ▶ Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

All other things remain the same, Gross Domestic Product (GDP) will rise if:

- ▶ Imports rises.
- ▶ Exports falls.
- ▶ **Durable goods consumption rises.**
- ▶ Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

- ▶ 1.0.
- ▶ **0.8.**
- ▶ $5/7 = 0.71$.
- ▶ $6/7.8 = 0.77$.

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.
- ▶ **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.
- ▶ **0.8.**

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ **Number of unemployed / labour force.**
- ▶ (Number of unemployed / labour force) x 100.
- ▶ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

- ▶ **Inverse relationship between the rate of inflation and unemployment rate.**
- ▶ Inverse relationship between the nominal and real wage.
- ▶ Direct relationship between unemployment and demand-pull inflation.
- ▶ Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

Is Gross Domestic Product (GDP) an accurate measure of a country's well being?

- ▶ Yes, it is the best measure of national well being.
- ▶ **Yes, provided we use real GDP and not nominal GDP.**
- ▶ Uncertain, depending on whether GDP is rising or falling.
- ▶ No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

- ▶ **Is nominal GDP adjusted for changes in the price level.**
- ▶ Is also called nominal GDP.
- ▶ Measures GDP minus depreciation of capital.
- ▶ Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ **A lower output level than before.**
- ▶ The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A currency appreciation:

- ▶ **Reduces aggregate demand and increases aggregate supply.**
- ▶ Reduces both aggregate demand and aggregate supply.
- ▶ Increases aggregate demand and reduces aggregate supply.
- ▶ Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

- ▶ Is income received by individuals during a given year.
- ▶ Is the income individuals have available for spending during a given year.
- ▶ Equals national income minus indirect taxes.
- ▶ **Is the sum of wages plus interest received by individuals during a given year.**

Question No: 41 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

- Real GDP includes only goods; nominal GDP includes goods and services.
- **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

- $GNP = GDP - \text{Net income from abroad.}$
- **$GNP = GDP + \text{Net income from abroad.}$**
- $GNP = NNP - \text{Net income from abroad.}$
- $GNP = NNP + \text{Net income from abroad.}$

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

- All transactions in an economy during one-year period.
- All goods and services exchanged in an economy during one-year period.
- All final goods and services exchanged in an economy during one-year period.
- **All final goods and services produced in a domestic economy during one-year period.**

Question No: 45 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following shows the Fisher equation of exchange?

- ▶ $MT = PV$.
- ▶ $VT = PM$.
- ▶ $MV = PQ$.
- ▶ $MY = VP$.

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

- ▶ Overvalued exchange rate.
- ▶ Undervalued exchange rate.
- ▶ Fixed exchange rate.
- ▶ **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ **V is the number of times each dollar is spent per year.**
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

Question No: 49 (Marks: 1) - Please choose one

In Keynesian economics, equilibrium can occur:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ Only at full employment level.
- ▶ Only at levels less than full employment.
- ▶ Only at levels greater than full employment.
- ▶ **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

- ▶ Only the amount demanded of capital decreases.
- ▶ Only the amount demanded of labor decreases.
- ▶ **Only the amount demanded of capital increases.**
- ▶ The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper ads, tv commercials etc. The firms do not take into account the nuisance faced by people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

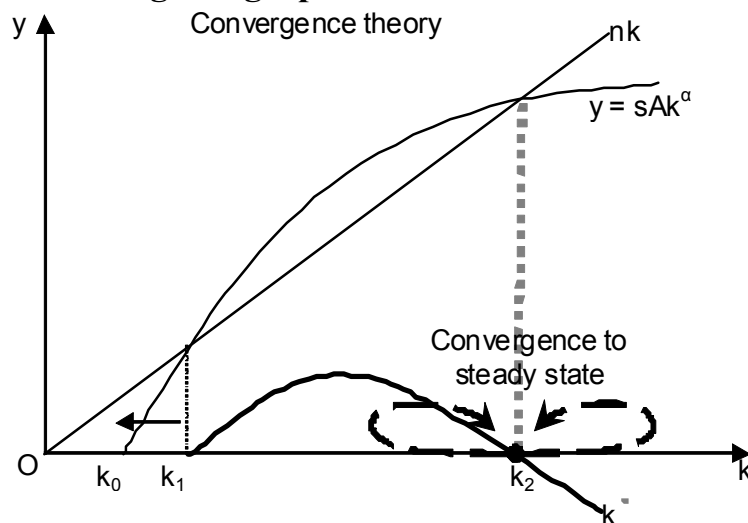
Question No: 52 (Marks: 10)

A. _____
What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.



(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

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Difference between Contractionary and Expansionary Fiscal Policy:

Contractionary Fiscal Policy	Expansionary Fiscal Policy
In contractionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

These theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor:** decrease in expenditure always badly effects the poor which can then cause political instability.

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FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ **Complementary good.**
- ▶ **Normal good.**
- ▶ **None of the given options.**

Question No: 2 (Marks: 1) - Please choose one

Suppose your local public golf course increases the greens fees for using the course. If the demand for golf is relatively inelastic, you would expect:

- ▶ **A decrease in total revenue received by the course.**
- ▶ **An increase in total revenue received by the course.**

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- ▶ No change in total revenue received by the course.
- ▶ An increase in the amount of golf played on the course.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ The consumer would not spend any additional income to buy more of that good.
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ **Total utility is also zero.**

Question No: 5 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ Risk loving.
- ▶ **Risk neutral.**
- ▶ Risk averse.
- ▶ Insufficient information for a decision.

Question No: 6 (Marks: 1) - Please choose one

At any given point on an indifference curve, the absolute value of the slope equals:

- ▶ Unity--otherwise there would be no indifference.
- ▶ **The marginal rate of substitution.**
- ▶ The consumer's marginal utility.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

If at the profit-maximizing quantity, profits are positive, then:

- ▶ **Price < Average Total Cost.**
- ▶ Price > Average Total Cost.
- ▶ Price < Average Variable Cost.
- ▶ Price = Marginal Cost.

Question No: 8 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 9 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 10 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.

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Question No: 11 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

- Wage.
- Interest rate.
- Price of output.
- Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

- The amount of factors of production (such as labor and capital) increases.
- The amount of factors of production (such as labor and capital) decreases.
- **Prices of inputs (such as wages or oil prices) increase.**
- Prices of inputs (such as wages or oil prices) decrease.

Question No: 13 (Marks: 1) - Please choose one

During periods of high unemployment, the preferred policy of Keynesian economics is:

- ▶ A recessionary gap.
- ▶ **Expansionary fiscal policy.**
- ▶ Contractionary monetary policy.
- ▶ Waiting for self-correction to work.

Question No: 14 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 15 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.
- ▶ The real exchange rate.
- ▶ **All of the given options.**

Question No: 16 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ A decline in official international reserves.

Question No: 17 (Marks: 1) - Please choose one

Which of the following may cause an increase in national income?

- ▶ Rise in exports.
- ▶ Rise in imports.
- ▶ Fall in consumer spending.
- ▶ Increase in saving.

Question No: 18 (Marks: 1) - Please choose one

The principle which states that a change in investment causes a magnified change in income is termed as the:

- ▶ Water paradox.
- ▶ Paradox of thrift.
- ▶ Accelerator effect.

Question No: 19 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- Greater than 0 but less than 1.
- **Greater than 1.**
- Less than 0.
- Equal to 1.

Question No: 20 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- They must intersect with TC cutting TR from below.
- They must intersect with TC cutting TR from above.
- They must be tangent to each other.
- They must have the same slope.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

- **V and Q are assumed to be constant.**
- The money supply is assumed to be produced by the banking system and not exclusively in currency.
- The quantity of money is assumed to determine the amount of Real GDP.

- ▶ M and P are considered constant.

Question No: 22 (Marks: 1) - Please choose one

What will be the impact of a decrease in the money supply in an economy?

- ▶ Interest rate increases, investment and GDP reduce.
- ▶ Interest rate increases, investment increases and GDP reduce.
- ▶ Interest rate reduces, investment and GDP increase.
- ▶ **Interest rate reduces, investment and GDP reduce.**

Question No: 23 (Marks: 1) - Please choose one

A growing country is one with:

- ▶ **Rising GNP at constant prices.**
- ▶ Rising GNP at current prices.
- ▶ Constant GNP at constant prices.
- ▶ None of the given options.

Question No: 24 (Marks: 1) - Please choose one

According to Classical economists, macroeconomic equilibrium will occur in an economy if:

- ▶ Savings = Investment
- ▶ Government spending = Taxes
- ▶ Exports = Imports
- ▶ **All of the given conditions hold.**

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Question No: 25 (Marks: 1) - Please choose one

The process of converting a stream of future incomes and expenses into a present value is known as:

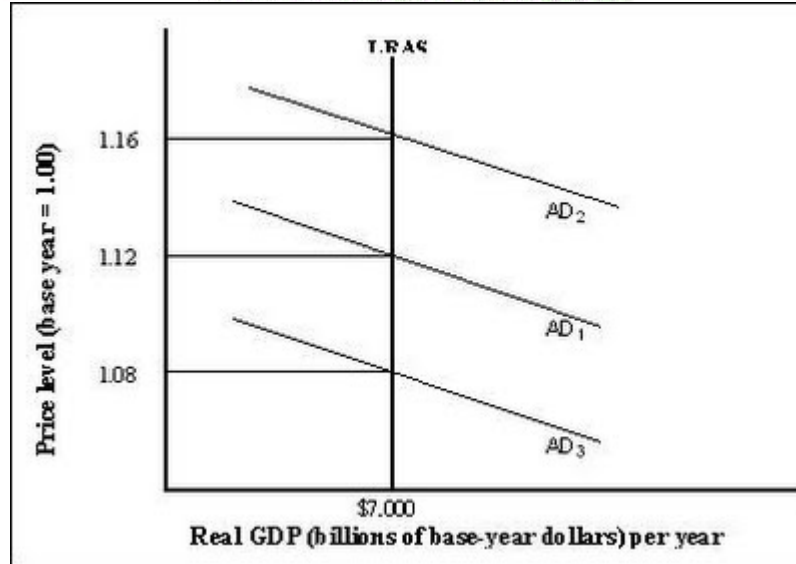
- ▶ **Discounting.**
- ▶ **Compounding.**
- ▶ **Hyperbolic discounting.**
- ▶ **None of the given options.**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the best example of a public good?

- ▶ **A cup of coffee.**
- ▶ **A monthly magazine.**
- ▶ **A haircut.**
- ▶ **An interstate highway.**

Question No: 27 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ All of the given options.

Question No: 28 (Marks: 1) - Please choose one

The Keynesian revolution in macroeconomics was that:

- ▶ Capitalist economies were self-correcting.
- ▶ A gold standard was not necessary to control inflation.
- ▶ Unemployment can be viewed as being voluntary.
- ▶ Government has a role in maintaining full employment.

Question No: 29 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The natural rate of unemployment is likely to fall if:

- ▶ Unemployment benefits increase.
- ▶ Income tax increases.
- ▶ **More training is available for the unemployed.**
- ▶ Geographical immobility increases.

Question No: 30 (Marks: 1) - Please choose one

The relationship between inflation and unemployment is usually that:

- ▶ **Unemployment changes do not directly lead to changes in inflation, but inflation changes may cause changes in unemployment.**
- ▶ As unemployment falls, nothing happens to inflation.
- ▶ As unemployment falls, inflation falls.
- ▶ As unemployment falls, inflation increases.

Question No: 31 (Marks: 1) - Please choose one

When agents base their decisions on their expectations about inflation, it is known as:

- ▶ Quantity theory of money.
- ▶ **Money illusion.**
- ▶ Demand pull inflation.
- ▶ Cost push inflation.

Question No: 32 (Marks: 1) - Please choose one

Disposable Personal Income	Consumption
\$	\$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ \$20.

Question No: 33 (Marks: 1) - Please choose one

Economic growth occurs when there is an increase in:

- ▶ Wage rates.
- ▶ The inflation rate.
- ▶ **Aggregate demand.**
- ▶ The productive capacity of an economy.

Question No: 34 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.
- ▶ Foreign aid.
- ▶ Domestic savings.

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Question No: 35 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

- **The average propensity to save.**
- The interaction of supply and demand.
- The law of comparative costs.
- The rate of capital accumulation.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

- Improved rate of capital formation.
- **Increase in money supply.**
- Increase in investment in education and training.
- Rapid technical progress.

Question No: 37 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

- Output per worker will grow more rapidly than before.
- The level of output per worker will be higher than before.
- The amount of capital per worker will be the same as before.
- **All of the given options.**

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Question No: 38 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ **Higher standard of living.**

Question No: 39 (Marks: 1) - Please choose one

A tax in which people pay the same percentage of income in taxes regardless of their incomes is called:

- ▶ Value-added tax.
- ▶ Regressive tax.
- ▶ **Proportional tax.**
- ▶ Progressive tax.

Question No: 40 (Marks: 1) - Please choose one

The taxes on alcohol, tobacco, and gasoline are categorized as:

- ▶ Sales tax.
- ▶ **Excise tax.**
- ▶ Corporate income tax.
- ▶ Personal income tax.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
 - II. Cash in your hand.
 - III. Checking deposits.
- I and III.
- II and III.
- I only.
- II only.

Question No: 42 (Marks: 1) - Please choose one

Which of the following is TRUE about credit cards?

- It is not money.
- It is not money, because they can't be used to purchase goods and services.
- It is considered to be money.
- It is counted as a part of M2 but not M1.

Question No: 43 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- Small.
- Heavy.
- Unchanged.

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Question No: 44 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- Small.
- Heavy.
- Unchanged.
- Zero.

Question No: 45 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- The balance of trade.
- The macroeconomic consequences of financial flows associated with international trade.
- International investment opportunities for American multinational corporations.
- The relationships among world currency dealers.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- Higher rates of population growth.
- Greater government control.
- A larger share of income used for investment.
- A smaller proportion of the labor force in agriculture.

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Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE about low income countries?

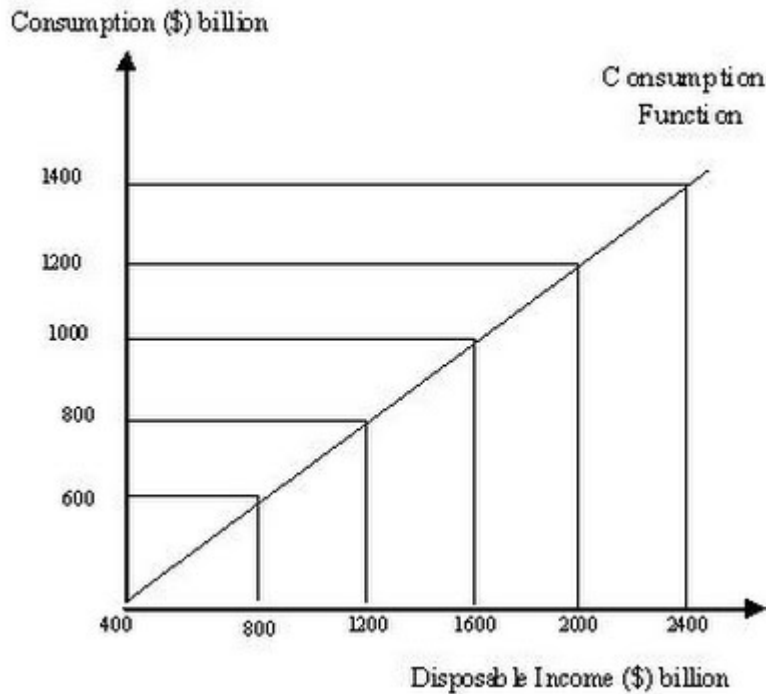
- ▶ Their production level is low.
- ▶ **All of the given are true.**
- ▶ Their savings are low.
- ▶ Their investment level is low.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- ▶ **Vicious circle of poverty.**
- ▶ High level of investment.
- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume is:

- ▶ 0.25.
- ▶ 0.50.
- ▶ 0.60.
- ▶ 0.67.

Question No: 50 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

- ▶ The demand curve for computers shifts to the right.
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.

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- ▶ The supply curve for computers shifts to the left.

Question No: 51 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ **It will cause domestic producers competing with the imports to face huge losses.**
- ▶ It will cause the supply curve to shift to the left.
- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

- ▶ **The assumption of a diminishing marginal rate of substitution will be violated.**
- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.

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- ▶ Consumers will minimize their satisfaction.

Question No: 54 (Marks: 1) - Please choose one

When there are diminishing returns holding at least one factor constant then:

- ▶ The marginal product of a factor is positive and rising.
- ▶ The marginal product of a factor is positive but falling.
- ▶ The marginal product of a factor is falling and negative.
- ▶ **The marginal product of a factor is constant.**

Question No: 55 (Marks: 3)

According to Keynesian school of thought, what should be the role of government in order to bring the economy out of depression?

Answer No: 55

Keynes introduced demand-pull theory which emphasizes strongly the intervention of government into economy.

According to him economy may be boosted up by increasing expenditure. In the initial stage government can inject money in the form of investment and higher wage rate to the government employees. This will create higher demand which in return result in more investment by firms.

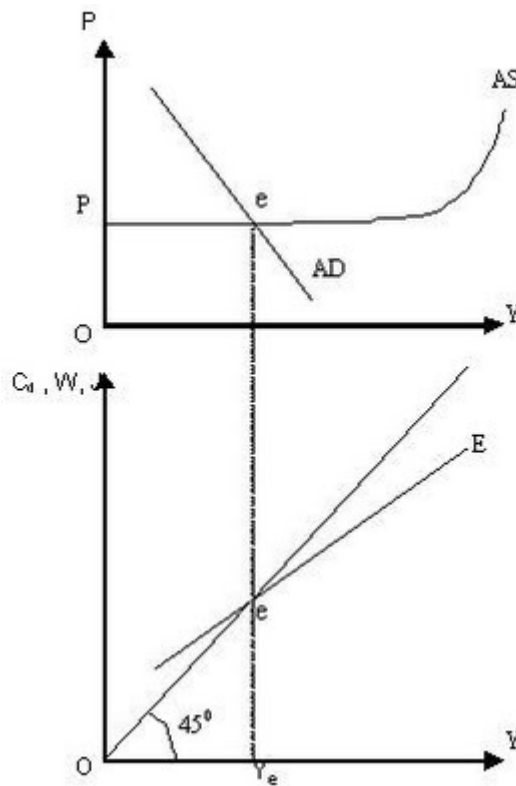
Question No: 56 (Marks: 5)

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In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

- a) If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.

Answer No: 56 (a)



It will cause more short run demand in the economy and “e” will move to the right in P-Y space.

It will increase the consumption part of injection as well and “e” will move upward and right in W.J-Y space.

AD curve will move to right in P-Y space resulting increasing short run output “Y”.

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b) Is there any multiplier effect? How it works in this case?

Answer No:56 (b)

Yes, multiplier effect exists there.

Keynes multiplier $1/mps$ is the variable which determines the injection level to create an hypothetical desired output.

(Marks: 3+2)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Answer No: 57

These are also called IMF's Stabilization Policies. These were concluded from neoclassical economics, known since 1990.

The objective of IMF was to ensure both through internal balance (supply=demand, i.e. low inflation, full employment) and

external balance (sustainable BOP and external debt position).

The approach was "stabilization" through "demand" management.

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There are three tools of this policy as follows!

- Tight Monetary Policy
- Tight Fiscal Policy
- Devaluation

IMF Policies effected LIC's badly. There was a very high criticism on above said policies. The main points of criticism were as follows!

- **Short-term policy conflicts**
- **Devaluation** could raise prices of imports.
- **Demand-reduction policies** are anti-growth: increased taxation can stifle the productive sector.
- **Stabilization hurts the poor** expenditure cuts almost always fall partly on the social sectors.

Question No: 58 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) = 100, Price (P) = 3 and real output (Q) = 200.
Calculate the missing figure.

Answer No: 58 (a)

$$MV = PQ$$

$$100 \times V = 3 \times 200$$

$$V = 600 / 100$$

$$V = 6$$

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b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) = 100.
Calculate the missing figure.

Answer No: 58 (b)

$$MV = PQ$$

$$M \times 4 = 5 \times 100$$

$$M = 500 / 4$$

$$M = 125$$

c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.

Answer No: 58 (c)

$$MV = PQ$$

$$200 \times 7 = P \times 700$$

$$P = 1400 / 700$$

$$P = 2$$

d) Money supply (M) = 150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

Answer No: 58 (d)

$$MV = PQ$$

$$150 \times 8 = 3 \times Q$$

$$Q = 1200 / 3$$

$$Q = 400$$

(Marks: 2.5 each)

Question No: 59 (Marks: 10)

International monetary fund (IMF) suggests policies of stabilization “through demand management” to reduce poverty from developing countries. Discuss those policies. Were these policies successful? If not, give reasons.

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.

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- ▶ Opportunity cost.

Question No: 2 (Marks: 1) - Please choose one

A good for which income and quantity demanded are inversely related is known as:

- ▶ Inferior good.
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

An increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

Price floor results in:

- ▶ All of the given options.
- ▶ Excess supply.

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► Equilibrium.

► Excess demand.

Question No: 5 (Marks: 1) - Please choose one

The price elasticity of demand measures the responsiveness of quantity demanded to:

► Quantity demanded.

► Quantity supplied.

► Price.

► Output.

Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

► -14.

► 14.

► 83.

► 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ **None of the given options.**

The profit maximizing level of output is found by equating its marginal revenue with its marginal cost, which is the same profit maximizing condition that a perfectly competitive firm uses to determine its equilibrium level of output. Indeed, the condition that marginal revenue equal marginal cost is used to determine the profit maximizing level of output of *every firm, regardless of the market structure* in which the firm is operating.

Question No: 9 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

As compared to existing firms, a new firm entering in monopolist market has:

- ▶ High costs.
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

- ▶ Collusion.
- ▶ Price discrimination.

► Two-part tariff.

► **Bundling.**

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- The good is a necessity.
- The good is a luxury.
- **The good is a Giffen good.**
- None of the given options.

Question No: 13 (Marks: 1) - Please choose one

Figure

In figure given above, the marginal utility of income is:

- **Increasing as income increases.**
- Constant for all levels of income.
- Diminishes as income increases.
- None of the given options.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 14 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

- ▶ Products are differentiated.
- ▶ **There is freedom of entry and exit into the industry in the long run.**
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ A decrease in output level and an increase in price.
- ▶ **A decrease in output level and no change in price.**
- ▶ Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ **Cartel.**
- ▶ Market sharing monopoly.
- ▶ Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

In the complete classical model, a rightward shift of the labor supply curve will:

- ▶ Decrease the price level and increase the nominal wage.
- ▶ Decrease the nominal wage and increase the price level.
- ▶ Decrease both the price level and the nominal wage.
- ▶ **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ▶ An increase in the rate of inflation.
- ▶ A decrease in government expenditures.
- ▶ A decrease in investment spending.
- ▶ **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ▶ **Keynesian.**
- ▶ New classical.
- ▶ Old classical.
- ▶ New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.

► From the late 1700s to the early 1900s.

► From 1930s to 1970s.

► Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

► Monetarism.

► Rational expectations.

► **Keynesian economics.**

► Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

► Both prices and output to rise.

► Prices to fall and output to remain unchanged.

► Both prices and output to fall.

► **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ▶ Direct use by the consumers.
- ▶ **Further processing.**
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ **The balance in your savings account.**
- ▶ Your monthly consumption on food items.

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- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ Capital.
- ▶ **The amount of money held by the public.**
- ▶ Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

All other things remain the same, Gross Domestic Product (GDP) will rise if:

- ▶ Imports rises.
- ▶ Exports falls.
- ▶ **Durable goods consumption rises.**
- ▶ Military spending falls.

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

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- ▶ 1.0.
- ▶ 0.8.
- ▶ $5/7 = 0.71$.
- ▶ $6/7.8 = 0.77$.

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.
- ▶ **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ **Number of unemployed / labour force.**
- ▶ (Number of unemployed / labour force) x 100.
- ▶ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

- ▶ **Inverse relationship between the rate of inflation and unemployment rate.**
- ▶ Inverse relationship between the nominal and real wage.
- ▶ Direct relationship between unemployment and demand-pull inflation.
- ▶ Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

Is Gross Domestic Product (GDP) an accurate measure of a country's well being?

- ▶ Yes, it is the best measure of national well being.
- ▶ **Yes, provided we use real GDP and not nominal GDP.**
- ▶ Uncertain, depending on whether GDP is rising or falling.
- ▶ No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

- ▶ **Is nominal GDP adjusted for changes in the price level.**
- ▶ Is also called nominal GDP.
- ▶ Measures GDP minus depreciation of capital.
- ▶ Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

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If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ **A lower output level than before.**
- ▶ The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

A currency appreciation:

- ▶ **Reduces aggregate demand and increases aggregate supply.**
- ▶ Reduces both aggregate demand and aggregate supply.
- ▶ Increases aggregate demand and reduces aggregate supply.
- ▶ Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.

- ▶ Paper currency, coins and check writing deposits.
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

- ▶ Is income received by individuals during a given year.
- ▶ Is the income individuals have available for spending during a given year.
- ▶ Equals national income minus indirect taxes.
- ▶ Is the sum of wages plus interest received by individuals during a given year.

Question No: 41 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.

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► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

- Real GDP includes only goods; nominal GDP includes goods and services.
- **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

- $GNP = GDP - \text{Net income from abroad.}$
- **$GNP = GDP + \text{Net income from abroad.}$**
- $GNP = NNP - \text{Net income from abroad.}$
- $GNP = NNP + \text{Net income from abroad.}$

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

- ▶ All transactions in an economy during one-year period.
- ▶ All goods and services exchanged in an economy during one-year period.
- ▶ All final goods and services exchanged in an economy during one-year period.
- ▶ **All final goods and services produced in a domestic economy during one-year period.**

Question No: 45 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?

- ▶ $MT = PV$.
- ▶ $VT = PM$.
- ▶ **$MV = PQ$.**
- ▶ $MY = VP$.

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

- ▶ Overvalued exchange rate.

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- ▶ Undervalued exchange rate.
- ▶ Fixed exchange rate.
- ▶ **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ **V is the number of times each dollar is spent per year.**
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

- ▶ 45.
- ▶ Infinity.
- ▶ **1.**
- ▶ 0.

Question No: 49 (Marks: 1) - Please choose one

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In Keynesian economics, equilibrium can occur:

- ▶ Only at full employment level.
- ▶ Only at levels less than full employment.
- ▶ Only at levels greater than full employment.
- ▶ **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

- ▶ Only the amount demanded of capital decreases.
- ▶ Only the amount demanded of labor decreases.
- ▶ **Only the amount demanded of capital increases.**
- ▶ The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper ads, tv commercials etc. The firms do not take into account the nuisance faced by

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people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

Question No: 52 (Marks: 10)

A. What conclusions are derived from exogenous growth theory?

ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- ☐ The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.
- ☐ If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.

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(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contractionary Fiscal Policy	Expansionary Fiscal Policy
In contractionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

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(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- ☐ **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- ☐ **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- ☐ **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor:** decrease in expenditure always badly effects the poor which can then cause political instability

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 3 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ There is a shortage of the product.
- ▶ **There is a surplus of the product.**
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

- ▶ As the price increases, consumers demand less.
- ▶ **As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.**
- ▶ None of the given options.
- ▶ As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ **The supply curve shifts to the right.**
- ▶ Output increases regardless of the market price and the supply curve shifts upward.
- ▶ Output decreases and the market price also decrease.

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- ▶ The supply curve shifts to the left.

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

solution= $Ped = \% \text{ change in } Q \text{ demand} / \% \text{ change in } Q \text{ Price} = 10\% / 12\% = 0.5$
where $e > 1$ elastic

$e < 1$ inelastic

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from \$15 to \$17 and quantity demanded decreases by 20%. We can conclude:

- ▶ Demand is unitary elastic.
- ▶ Demand is elastic.
- ▶ The elasticity of demand is 2.
- ▶ Total revenue will decrease.

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Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ **Satisfaction.**

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

- ▶ **The consumer would not spend any additional income to buy more of that good.**
- ▶ Consumption of additional units would have positive marginal utility.
- ▶ Total utility is minimized.
- ▶ Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

▶ **An inferior good.**

▶ A substitute good.

▶ An independent good.

▶ A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

▶ Decreasing marginal costs.

▶ **Increasing marginal costs.**

▶ Decreasing average variable costs.

▶ Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

▶ Budget constraint.

▶ Expenditure set.

▶ Isoquant.

▶ **Isocost.**

Question No: 13 (Marks: 1) - Please choose one

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When an isocost line is just tangent to an isoquant, we know that:

- ▶ Output is being produced at minimum cost.
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of:

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ Has no close substitutes.

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- ▶ Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ▶ Cournot model.
- ▶ Cobweb model.
- ▶ Dominant firm model.
- ▶ **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

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- ▶ Each firm considers its rival's output to be fixed.
- ▶ Each firm considers its rival's price to be fixed.
- ▶ Each firm believes rival will match all price changes.
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

- ▶ Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.

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- ▶ Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

- ▶ Has self-correcting mechanisms.
- ▶ Can only be graphed with a horizontal curve.
- ▶ Never needs correction.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

- ▶ Short-run aggregate market.
- ▶ Production possibilities.

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- ▶ Imperfect competition.
- ▶ Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ The classical dichotomy / monetary neutrality effects.
- ▶ The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

- ▶ As firms increase their level of output, the cost of producing an extra unit increases.
- ▶ An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.
- ▶ Any increase in aggregate demand causes the output of producers to fall because the general price level rises.
- ▶ None of the given options.

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Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.

▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

▶ Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.

▶ Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

▶ Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

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▶ Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

▶ **Three.**

▶ Four.

▶ Five.

▶ Six.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

▶ The value of the house in which you live.

▶ The balance in your savings account.

▶ **Your monthly consumption on food items.**

▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

▶ Government debt.

▶ **Capital.**

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► The amount of money held by the public.

► Inventory investment.

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

delta consumption/ delta income =40/50=.8

► 0.2.

► 0.4.

► 0.6.

► **0.8.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

► Real exchange rate.

► The production function.

► Real price level.

► Real interest rate.

Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

- ▶ A deflationary gap.
- ▶ Hysteresis.
- ▶ Hyperinflation.
- ▶ An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ The number of people employed plus the number of people unemployed.
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.

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- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ Recession; deflation.
- ▶ Expansion; deflation.
- ▶ Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ **If there is a favorable supply shock.**

Question No: 41 (Marks: 1) - Please choose one

If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

- ▶ Appreciate.
- ▶ **Depreciate.**
- ▶ Not effect.
- ▶ All of the given are possible.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

- ▶ Market on which currencies of various nations are traded for one another.
- ▶ Price of one unit of foriegn good in terms of domestic good.
- ▶ **Price of one unit of foriegn currency in terms of domestic currency.**
- ▶ All of the given options.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ Private sector resource deficit + Government budget deficit.
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

In the exogenous growth model, if investment exceeds depreciation, the capital stock will ----- and output will----- until the steady state is attained.

- ▶ Increase; increase.
- ▶ Increase; decrease.
- ▶ Decrease; decrease.
- ▶ Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

► Endogenous growth theory is a monetary theory whereas the Solow theory is a

real theory.

► Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.

► In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.

► All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

- Reduce net exports and therefore increase aggregate demand.
- Raise net exports and therefore decrease aggregate demand.
- Reduce net exports and therefore decrease aggregate demand.
- Raise net exports and therefore increase aggregate demand.

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- Paper currency and coins.
- Paper currency, coins and check writing deposits.

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- ▶ Paper currency, coins, check writing deposits and savings deposits.

▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

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- ▶ Hyperinflation caused by excessive demand.
- ▶ Nervous investors selling all their shares, causing the stockmarket to crash.
- ▶ Unemployed workers not taking available jobs.
- ▶ Women being kept out of jobs traditionally held by men.

Question No: 51 (Marks: 5)

Briefly discuss the concept of comparative advantage with the help of example.

Question No: 52 (Marks: 10)

A. Differentiate between Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS).

B. Suppose a household has the consumption function (C) presented in the figure given below:

- a. Find consumption when disposable income is \$8,000 and \$10,000.
- b. Find consumption when disposable income is \$ 6,000. How can a household consume more than its disposable income?
- c. What is true for every point on the 45^0 line?

(Marks: 4+6)

Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.

(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.
- b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.
- c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.
- d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

(Marks: 2.5 each)

FINALTERM EXAMINATION ECO401- Economics (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

Microeconomics is the branch of economics that deals with which of the following topics?

- ▶ The behavior of individual consumers.
- ▶ Unemployment and interest rates.
- ▶ The behavior of individual firms and investors.
- ▶ The behavior of individual consumers and behavior of individual firms and investors.

Question No: 2 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ Consumer preferences.
- ▶ The level of profits of firms.

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Question No: 3 (Marks: 1) - Please choose one

Ceteris paribus means:

- ▶ Equal access to public transportation.
- ▶ Other things being equal.
- ▶ Other things not being equal.
- ▶ All things considered.

Question No: 4 (Marks: 1) - Please choose one

A new technology which reduces costs for firms:

- ▶ Shifts the supply curve to the right.
- ▶ Shifts the supply curve to the left.
- ▶ Reduces the equilibrium quantity.
- ▶ Raises the equilibrium price.

Question No: 5 (Marks: 1) - Please choose one

If a 12% price reduction causes quantity demanded to rise by 12% then:

- ▶ Demand is inelastic.

- ▶ Demand is elastic.
- ▶ Demand is perfectly elastic.
- ▶ Total revenue will remain constant.

Question No: 6 (Marks: 1) - Please choose one

A risk-averse individual has:

- ▶ A diminishing marginal utility of income.
- ▶ An increasing marginal utility of risk.
- ▶ An increasing marginal utility of income.
- ▶ A diminishing marginal utility of risk.

Question No: 7 (Marks: 1) - Please choose one

The break-even point occurs when:

- ▶ Price < Average Variable Cost.
- ▶ Price < Average Total Cost.
- ▶ Price = Average Total Cost.
- ▶ Price > Average Variable Cost.

Question No: 8 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Discrimination based upon the quantity consumed is referred to as:

- ▶ Second degree price discrimination.
- ▶ Third-degree price discrimination.
- ▶ First-degree price discrimination.
- ▶ All of the given options.

Question No: 9 (Marks: 1) - Please choose one

Which of the following can be thought of as a barrier to entry?

- ▶ Scale economies.
- ▶ Patents.
- ▶ Strategic actions by incumbent firms.
- ▶ All of the given options.

verified by **eemaan**

Question No: 10 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

- ▶ Elasticity of demand is < 1 .
- ▶ Elasticity of demand is > 1 .
- ▶ Demand is upward-sloping.

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▶ Demand is perfectly inelastic.

Question No: 11 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

▶ Products are differentiated.

▶ There is freedom of entry and exit into the industry in the long run.

▶ The firm is a price maker.

▶ There is one main seller.

Question No: 12 (Marks: 1) - Please choose one

Keynesian economics was largely developed to address the economic problems of the:

▶ Bank panic of 1907.

▶ Stagflation of 1970s.

▶ Great Depression of 1930s.

▶ English industrial revolution of the late 1700s.

Question No: 13 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

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- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ From 1930s to 1970s.
- ▶ Since 1970s.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

- ▶ Minimum wages.
- ▶ Flexible wages and prices.
- ▶ Extended periods of unemployment.
- ▶ Inequality between saving and investment.

Question No: 15 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ The number of people employed plus the number of people unemployed.
- ▶ Just the number of people employed.

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- ▶ The whole population.

Question No: 16 (Marks: 1) - Please choose one

The record of a country's transactions in goods, services and assets with the rest of the world is its:

- ▶ Current account.
- ▶ Balance of trade.
- ▶ **Capital account.**
- ▶ Balance of payments.

Question No: 17 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.
- ▶ **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.**

Question No: 18 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following is deducted from Gross National Product to get Net National Product?

- ▶ Indirect taxes.
- ▶ Depreciation.
- ▶ **Direct taxes.**
- ▶ Transfer payments.

Question No: 19 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 20 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.

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▶ The household sector after taxes.

▶ The business and government sectors.

Question No: 21 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

▶ Market demand for the good is relatively inelastic.

▶ The cartel supplies all of the world's output of the good.

▶ Cartel members have substantial cost advantages over non-member producers.

▶ The supply of non-cartel members is very price elastic.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is TRUE about the principle of multiplier?

▶ Any increase in aggregate spending that causes the aggregate demand curve to shift will result in a larger increase in national income.

▶ In the long run, the aggregate demand curve becomes relatively flat as the economy approaches full employment.

▶ Any increase in national income will result in a larger increase in aggregate spending.

▶ For any given increase in income, there will be a less than proportional increase in consumer spending.

Question No: 23 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

- ▶ Personal saving and private investment.
- ▶ Personal saving and personal consumption.
- ▶ Personal consumption and personal income.
- ▶ Personal consumption and private investment.

Question No: 24 (Marks: 1) - Please choose one

Which of the following best describes the deflation?

- ▶ It is an increase in the overall level of economic activity.
- ▶ It is an increase in the overall price level.
- ▶ It is a decrease in the overall level of economic activity.
- ▶ It is a decrease in the overall price level.

Question No: 25 (Marks: 1) - Please choose one

All of the following are the problems in the calculation of national income EXCEPT:

- ▶ Double counting.
- ▶ Improper records.
- ▶ Differences in the incomes of the individuals.
- ▶ Problem of exclusion and inclusion.

Question No: 26 (Marks: 1) - Please choose one

This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

- ▶ **Rs. 700 billion.**
- ▶ Rs. 650 billion.
- ▶ Rs. 600 billion.
- ▶ Rs. 300 billion.

Question No: 27 (Marks: 1) - Please choose one

Which of the following best describes the “savings”?

- ▶ **It is that part of income which is not consumed.**
- ▶ It is that part of income which is not spent.
- ▶ It is that part of income which is paid out to others.
- ▶ It is that part of income which is hoarded.

Question No: 28 (Marks: 1) - Please choose one

According to Keynesians, macroeconomic equilibrium will occur in an economy if:

- ▶ Aggregate demand = Aggregate supply.
- ▶ Aggregate expenditures = Aggregate output.
- ▶ Withdrawals = Injections.
- ▶ **All of the given conditions hold.**

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Question No: 29 (Marks: 1) - Please choose one

The demand for factors of production is derived from:

- ▶ Money market.
- ▶ Goods market.
- ▶ **Stock market.**
- ▶ Financial market.

Question No: 30 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 31 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

- ▶ Horizontal wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of capital.
- ▶ Horizontal wage rate lines and the marginal revenue product of capital.

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Question No: 32 (Marks: 1) - Please choose one

The rate at which the future incomes are discounted is known as:

- ▶ Interest rate.
- ▶ Inflation rate.
- ▶ **Discount rate.**
- ▶ Reserve requirement rate.

Question No: 33 (Marks: 1) - Please choose one

National defense is a good example of:

- ▶ **Public good.**
- ▶ Inferior good.
- ▶ Giffen good.
- ▶ Private good.

Question No: 34 (Marks: 1) - Please choose one

Suppose net exports decreases by \$100 million due to a slump in foreign economies. If the value of multiplier is 2, what will happen to the domestic aggregate demand curve?

- ▶ Since less will be produced, the aggregate demand does not shift. The aggregate supply curve shifts to the left by \$100 million at each price level.
- ▶ It shifts to the left by \$50 million at each price level.

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- ▶ It shifts to the left by \$100 million at each price level.
- ▶ It shifts to the left by \$200 million at each price level.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ Accelerator coefficient = Marginal capital / output ratio.
- ▶ Accelerator coefficient > Marginal capital / output ratio.
- ▶ Accelerator coefficient < Marginal capital / output ratio.
- ▶ None of the given options.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the best measure of the economic cost of higher unemployment?

- ▶ The loss of potential exports for the economy.
- ▶ The loss of tax revenue.
- ▶ The increase in social security benefits paid by the government.
- ▶ The output of goods and services the unemployed workers could have produced.

Question No: 37 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ A reduction in the number of new entrants into the labor force.

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- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ An increase in the level of unemployment compensation paid to unemployed workers.

Question No: 38 (Marks: 1) - Please choose one

Evidence suggests that all countries with very high _____ also have very high _____.

- ▶ Inflation rates; money growth rates.
- ▶ Unemployment rates; GDP growth rates.
- ▶ GDP growth rates; government budget deficits.
- ▶ Government budget deficits; inflation rates.

Question No: 39 (Marks: 1) - Please choose one

In the equation of exchange, if velocity is stable in the long run then:

- ▶ $\% \Delta V = 0$.
- ▶ $\% \Delta V = 1$.
- ▶ $\% \Delta V$ is a positive constant value > 0 .
- ▶ $\% \Delta V = \text{infinity}$.

Question No: 40 (Marks: 1) - Please choose one

Disposable Personal Income	Consumption
\$	\$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ \$20.

Question No: 41 (Marks: 1) - Please choose one

The act of increasing the price of one country's currency in terms of other currencies by the government is known as:

- ▶ Revaluation.
- ▶ Devaluation.
- ▶ Appreciation.
- ▶ Depreciation.

Question No: 42 (Marks: 1) - Please choose one

If net exports are negative, this implies that the country has a:

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- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 43 (Marks: 1) - Please choose one

If net exports are positive, this implies that the country has:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 44 (Marks: 1) - Please choose one

A change from \$1.00 = Rs. 82.00 to \$1.00 = Rs. 80.00 represents:

- ▶ An appreciation of the dollar.
- ▶ An appreciation of the rupee.
- ▶ Depreciation of the rupee.
- ▶ None of the given options.

Question No: 45 (Marks: 1) - Please choose one

Which of the following determines a country's rate of growth?

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ The average propensity to save.
- ▶ The interaction of supply and demand.
- ▶ The law of comparative costs.
- ▶ The rate of capital accumulation.

Question No: 46 (Marks: 1) - Please choose one

Permanent growth rate depends on the saving rate and technological progress in which of the following models?

- ▶ Endogenous growth model.
- ▶ Exogenous growth model.
- ▶ Rostow's growth model.
- ▶ None of the given options.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is a largest component of M1?

- ▶ Checking deposits.
- ▶ Credit card balances.
- ▶ Debit card balances.
- ▶ Savings deposits.

Question No: 48 (Marks: 1) - Please choose one

In which of the following conditions, a current account deficit exists?

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- ▶ When net exports are positive.
- ▶ When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.
- ▶ When a country has a trade deficit.
- ▶ When an economy buys less from foreigners than it sells to them.

Question No: 49 (Marks: 1) - Please choose one

What is TRUE about economic growth in general?

- ▶ Economic growth has a greater impact on people's welfare in high income countries than in low income countries.
- ▶ In low income countries, economic growth makes rich people richer and poor people poorer.
- ▶ Economic growth makes most people, including most poor people, better off.
- ▶ Economic growth worsens income inequality in the short-run but is successful in the long run.

Question No: 50 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ The demand curve for airline travel shifts left.
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

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Question No: 51 (Marks: 1) - Please choose one

What will happen if there is an increase in the raw material costs, other things remaining the same?

- ▶ The supply curve will shift to the left.
- ▶ The supply curve will shift to the right.
- ▶ Output will increase regardless of the market price and the supply curve will shift upward.
- ▶ Output will decrease and the market price will also decrease.

Question No: 52 (Marks: 1) - Please choose one

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ It will cause domestic producers competing with the imports to face huge losses.
- ▶ It will cause the supply curve to shift to the left.
- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

Suppose there are two goods A and B. What will happen to the budget line if prices of both goods increase by the same percentage?

- ▶ It will shift parallel to the left.

- ▶ It will shift parallel to the right.
- ▶ It will pivot about the x axis.
- ▶ It will pivot about the y axis.

Question No: 54 (Marks: 1) - Please choose one

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ $5Q$.
- ▶ 5 .
- ▶ $5 + (200/Q)$.
- ▶ None of the given options.

Question No: 55 (Marks: 3)

It is said that growth is an important macroeconomic issue. Why? Discuss.

Question No: 56 (Marks: 5)

Mention the situations in which imposing a tax is better than not imposing it.

Question No: 57 (Marks: 5)

Consider the following table. Find out the GNP and NNP from this information.

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Items	Amount (billion rupees)
Personal consumption expenditures	458
Gross domestic private investment	169
Government expenditure on goods and services	78
Gross domestic public investment	27
Exports surplus	15
Net foreign investment	17
Depreciation cost	28

Question No: 58 (Marks: 10)

Discuss the causes of low per capita income in Pakistan. How can the standard of living of the people of Pakistan be raised? Suggest suitable measures in this context.

Question No: 59 (Marks: 10)

(A) Mention the factors which could cause a downward shift of the LM curve

(B) Discuss the joint equilibrium in goods and money market with the help of graph.

FINALTERM EXAMINATION ECO401- Economics (Session - 4)

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Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

▶ **There is a shortage of the product.**

▶ There is a surplus of the product.

▶ The product is a normal good.

▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

▶ Less than 0.

▶ Equal to 0.

▶ Greater than 0.

▶ **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

▶ Increase hours of work.

▶ **Decrease hours of work.**

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- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

▶ **Economies of scale; constant returns to scale.**

- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

An isoquant curve shows:

▶ **All the alternative combinations of two inputs that yield the same maximum total product.**

- ▶ All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
- ▶ All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
- ▶ None of the given options.

Question No: 6 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1 .

► Elasticity of demand is > 1 .

► Demand is upward-sloping.

► Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► Wage.

► Interest rate.

► Price of output.

► Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

► Price level and quantity are flexible.

► Prices would get stuck at a low level.

► The long run aggregate supply would shift to the left.

► Prices and wages are flexible.

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Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

► **Direct use by the consumers.**

- Further processing.
- The term do not exist.
- None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

► **A change in consumption to a change in disposable income.**

- A change in consumption to total disposable income at a specific income level.
- Total consumption to total disposable income at a specific income level.
- Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- Average propensity to save.
- Average propensity to consume.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Marginal propensity to save.**

► Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

► Structural Unemployment.

► Regional Unemployment.

► **Frictional Unemployment.**

► Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

► **An increase in costs of production.**

► An increase in productive capacity.

► An increase in the level of direct taxation.

► An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

► An increase in official international reserves.

► A positive statistical discrepancy.

► A negative statistical discrepancy.

► **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

► Increase Government expenditure and decrease taxes to decrease aggregate demand.

► Increase Government expenditure and decrease taxes to increase aggregate demand.

► Decrease Government expenditure and increase taxes to increase aggregate demand.

► **Decrease Government expenditure and increase taxes to decrease aggregate demand.**

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

► Must be inferior.

► Must be giffen.

► Can be normal or inferior.

► **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

► **Both prices and output to rise.**

- Prices to fall and output to remain unchanged.
- Both prices and output to fall.
- Prices to rise and output to remain unchanged.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE according to classical economists?

► **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**

- Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.
- Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 22 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

- Because it is difficult to measure the prices of intermediate goods produced.
- Because these are the only goods and services that are purchased in an economy.

► **Because counting all goods and services would lead to double-counting of many activities.**

- Because one cannot calculate the quantities of intermediate goods produced.

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Question No: 23 (Marks: 1) - Please choose one

----- plays an important role in making sure that the economy reaches and stays at equilibrium at the potential output level.

- ▶ Real exchange rate.
- ▶ The production function.
- ▶ Real price level.
- ▶ **Real interest rate.**

Question No: 24 (Marks: 1) - Please choose one

Why a \$1 increase in government spending will have a larger impact upon national income than a \$1 tax cut?

- ▶ Because the government prints the currency it spends.
- ▶ **Because not all of the tax cut is spent.**
- ▶ Because when taxes are cut, government spending is also cut.
- ▶ Because taxes are an injection into the system.

Question No: 25 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank of Pakistan.**
- ▶ National bank of Pakistan.
- ▶ Finance minister of Pakistan.
- ▶ World bank.

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Question No: 26 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

- ▶ Two countries produce the same goods at the same costs.
- ▶ **Two countries produce different goods at different costs.**
- ▶ Two countries are isolated.
- ▶ Two countries have the same markets.

Question No: 27 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

▶ **1000+1500+2500 = Rs. 5000**

- ▶ 1000+500+2500 = Rs. 4000
- ▶ 1000+500+1000 = Rs. 2500
- ▶ 1000+1500+1000 =Rs. 3500

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines “subsidies”?

- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
- ▶ Payment by companies to share holders.
- ▶ **Payment by Government to business enterprises without buying any goods and services.**

Question No: 29 (Marks: 1) - Please choose one

National product at market prices incorporate:

► **Prices which buyers actually pay.**

- Payments made to the factor owners.
- Costs incurred in producing goods and services.
- Costs minus subsidies.

Question No: 30 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

► **ΔC to ΔY_d is 0.95.**

- C / Y_d is 0.95.
- ΔY_d to ΔC is 0.95.
- Y_d / C is 0.95.

Question No: 31 (Marks: 1) - Please choose one

When MPC is 0.80 and APC is 0.95 then MPS is:

► **0.20 and APS is 0.05.**

- 0.05 and APS is 0.20.
- 0.20 and APS is 0.20.
- 0.05 and APS is 0.05.

Question No: 32 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following are leakages from the circular flow?

- ▶ Consumption and saving.
- ▶ **Saving and imports.**
- ▶ Imports and exports.
- ▶ Exports and savings.

Question No: 33 (Marks: 1) - Please choose one

The time that a laborer uses for relaxation and all activities other than work or necessary sleep is known as:

- ▶ Free time.
- ▶ **Leisure.**
- ▶ Time not used for earning.
- ▶ All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The government supports research in basic science because:

- ▶ It is a public good.
- ▶ External costs are created.
- ▶ **Internal benefits are created.**
- ▶ Free markets would do so otherwise.

Question No: 36 (Marks: 1) - Please choose one

In classical theory, excess supply of a product would be associated with:

- ▶ Rising interest rates.
- ▶ Falling interest rates.
- ▶ **Rising price for the product.**
- ▶ Falling price for the product.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

- ▶ Domestic and foreign incomes.
- ▶ Relative price levels.
- ▶ Domestic and foreign trade policies.
- ▶ **Producers' expectations about future prices.**

Question No: 38 (Marks: 1) - Please choose one

A trade surplus occurs when:

► A country's firms open more stores abroad than foreign firms open in the country.

► A country sells more abroad than it purchases from abroad.

► Foreign firms open more stores in a country than the country opens in foreign countries.

► A country purchases more from abroad than other countries purchase from it.

Question No: 39 (Marks: 1) - Please choose one

A change from \$1.00 = Rs. 80.00 to \$1.00 = Rs. 85.00 represents:

► Depreciation of the dollar.

► An appreciation of the dollar.

► An appreciation of the rupee.

► None of the given options.

Question No: 40 (Marks: 1) - Please choose one

There is an increase in the economy's potential output when there is:

► An increase in government spending.

► A decrease in government spending.

► An increase in the economy's capital stock.

► An increase in the economy's depreciation rate.

Question No: 41 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Be poorer than countries with lower population growth.**

- Grow slower than countries with lower population growth.
- Grow higher than countries with lower population growth.
- Have lower marginal products of capital than countries with lower population growth.

Question No: 42 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- High birth rates only.
- Low death rates only.
- **High birth rate and low death rate.**
- Higher standard of living.

Question No: 43 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

- Efficiency.
- **Equity.**
- Progressive tax.
- Regressive tax.

Question No: 44 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► **Laffer curve.**

- Demand curve.
- Supply curve.
- Investment curve.

Question No: 45 (Marks: 1) - Please choose one

The optimum tax rate in which government revenue is maximized lies somewhere between:

- 0% and 1%.
- **0% and 50%.**
- 50% and 100%.
- 0% and 100%.

Question No: 46 (Marks: 1) - Please choose one

Money is defined as an item that:

► **Serves as a medium of exchange for goods and services.**

- Can be converted into silver with relatively little loss in value.
- Can be converted into gold with relatively little loss in value.
- Facilitates a connecting link between credit instruments and debt instruments.

Question No: 47 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- Quota.

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► Tariff.

- Non-tariff barrier.
- Trade embargo.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- Higher per capita income.
- Vicious circle of poverty.**
- High level of investment.
- High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

- It can be used if and only if individuals are not risk-loving.
- It can be used if and only if individuals are risk averse.
- It can be used if and only if individuals are risk neutral.
- It can be used no matter what a person's preference to risk.**

Question No: 50 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

- Positive, negative.
- Negative, normative.

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► Normative, positive.

► **Positive, normative.**

Question No: 51 (Marks: 1) - Please choose one

What will happen to the demand for product X, if there is an increase in consumer's income?

- It will necessarily remain unchanged.
- It will shift to the right if X is a complementary good.
- **It will shift to the right if X is a normal good.**
- It will shift to the right if X is an inferior good.

Question No: 52 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- **Output is being produced at minimum cost.**
- Output is not being produced at minimum cost.
- The two products are being produced at the medium input cost to the firm.
- The two products are being produced at the highest input cost to the firm.

Question No: 53 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- **Decreasing returns to scale.**
- Constant returns to scale.

- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a firm will never operate?

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

A. Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- a) What is interest parity condition?
- b) When does this condition hold?
- c) What is the equation of this condition?
- d) What will happen if the equality of the condition does not hold

ECO401- Economics (Session - 3)

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ The economy will move from a point inside to a point closer to its production possibilities curve.

Question No: 2 (Marks: 1) - Please choose one

If both supply and demand increase simultaneously, the equilibrium:

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► **Price must rise and the equilibrium quantity must fall.**

- Price must rise and the equilibrium quantity may either rise or fall.
- Quantity must rise and the equilibrium price may either rise or fall.
- Price must fall and the equilibrium quantity may either rise or fall.

Question No: 3 (Marks: 1) - Please choose one

A normal good can be defined as one which consumers purchase more of as:

- Prices fall.
- Prices rise.
- Incomes fall.

► **Incomes increase.**

Question No: 4 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

► **Economies of scale.**

- Diseconomies of scale.

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- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

Question No: 5 (Marks: 1) - Please choose one

Incremental cost is the same concept as:

- ▶ Average cost.
- ▶ **Marginal cost.**
- ▶ Fixed cost.
- ▶ Variable cost.

Question No: 6 (Marks: 1) - Please choose one

Graphically, marginal revenue is defined as:

- ▶ The slope of a line from the origin to a point on the total revenue curve.
- ▶ **The slope of a line from the origin to the end of the total revenue curve.**
- ▶ The slope of the total revenue curve at a given point.
- ▶ The vertical intercept of a line tangent to the total revenue curve at a given point.

Question No: 7 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 8 (Marks: 1) - Please choose one

The maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Question No: 10 (Marks: 1) - Please choose one

Monopolistically competitive firms have monopoly power because they:

- ▶ Are great in number.
- ▶ Have freedom of entry.
- ▶ Are free to advertise.
- ▶ Face downward sloping demand curves.

Question No: 11 (Marks: 1) - Please choose one

The market structure in which there is interdependence among firms is:

- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ Perfect competition.
- ▶ Monopoly.

Question No: 12 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

► Hire more labor.

- Hire less labor.
- Maintain the same employment.
- Decrease output.

Question No: 13 (Marks: 1) - Please choose one

Which of the following would cause the short run aggregate supply curve to shift to the left but have no effect over the long run aggregate supply curve?

► The amount of factors of production (such as labor and capital) increases.

► The amount of factors of production (such as labor and capital) decreases.

► Prices of inputs (such as wages or oil prices) increase.

► Prices of inputs (such as wages or oil prices) decrease.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ Capital.
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 15 (Marks: 1) - Please choose one

The circular flow principle guarantees that in equilibrium:

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.
- ▶ The level of aggregate demand will be equal to real Gross Domestic Product.
- ▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ Unemployment benefits reduce the cost of job search.

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- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 17 (Marks: 1) - Please choose one

The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ The number of people employed plus the number of people unemployed.
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 18 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ Number of unemployed / labour force.
- ▶ (Number of unemployed / labour force) x 100.
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

M1 component of money supply consists of:

▶ Paper currency and coins.

▶ Paper currency, coins and check writing deposits.

▶ Paper currency, coins, check writing deposits and savings deposits.

▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 20 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.

▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.

▶ The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 21 (Marks: 1) - Please choose one

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To obtain the Net Domestic Product (NDP), start with Gross Domestic Product and subtract:

► Depreciation.

- Depreciation and indirect business taxes.
- Depreciation, indirect business taxes and corporate profits.
- Depreciation, indirect business taxes, corporate profits and social insurance contributions.

Question No: 22 (Marks: 1) - Please choose one

Fixed exchange rates may be preferred to floating exchange rates because with fixed exchange rates:

► There is greater stability of the exchange rate which encourages trade and investment.

- There is less likely to be a balance of payment deficit.
- There is less need for a country to hold large reserves of foreign currency.
- Interest rates can be used to meet domestic policy objectives such as keeping growth stable.

Question No: 23 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 4, the Marginal Propensity to Consume (MPC) is:

▶ 0.20.

▶ 0.25.

▶ 0.50.

▶ 0.75.

Question No: 24 (Marks: 1) - Please choose one

Usually the shape of production possibilities curve is:

▶ Concave.

▶ Convex.

▶ Linear.

▶ Positive.

Question No: 25 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

▶ Market demand for the good is relatively inelastic.

▶ The cartel supplies all of the world's output of the good.

▶ Cartel members have substantial cost advantages over non-member producers.

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- ▶ The supply of non-cartel members is very price elastic.

Question No: 26 (Marks: 1) - Please choose one

“Decreases in aggregate demand decrease real output but leave the price level largely unaffected”. This is the point of view of which of the following schools of thought?

- ▶ Monetarist school of thought.
- ▶ New Classical school of thought.
- ▶ Real business cycle school of thought.
- ▶ Keynesian school of thought.

Question No: 27 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

- ▶ Because it is difficult to measure the prices of intermediate goods produced.
- ▶ Because these are the only goods and services that are purchased in an economy.
- ▶ Because counting all goods and services would lead to double-counting of many activities.
- ▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 28 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Suppose that your income increases from \$80,000 to \$100,000 and your consumption increases from \$80,000 to \$95,000. Your Marginal Propensity to Consume (MPC) is:

▶ 0.20.

▶ 0.45.

▶ 0.75.

▶ 0.80.

Question No: 29 (Marks: 1) - Please choose one

Which of the following event will lead towards cost-push inflation and therefore stagflation?

▶ An increase in taxes on individuals.

▶ A decrease in real interest rates.

▶ A union settlement that increases wage levels.

▶ An increase in government purchases.

Question No: 30 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

▶ Its currency will appreciate.

▶ Its currency will depreciate.

▶ There will be no effect on its currency.

► All of the given options can be possible.

Question No: 31 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- A higher output level than before.
- The same output level as before.
- A lower output level than before.
- The Golden Rule output level.

Question No: 32 (Marks: 1) - Please choose one

Which of the following statements best describes the difference between endogenous growth theory and the Solow growth theory?

- Endogenous growth theory is a monetary theory whereas the Solow theory is a real theory.
- Endogenous growth theory assumes diminishing returns to capital and the Solow theory assumes constant returns.
- In endogenous growth theory, economies with the same technology and saving rate need not converge to the same steady state as in the Solow model.
- All of the given options are correct.

Question No: 33 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

▶ State bank of Pakistan.

- ▶ National bank of Pakistan.
- ▶ Finance minister of Pakistan.
- ▶ World bank.

Question No: 34 (Marks: 1) - Please choose one

What is the effect of double counting in national income calculations?

▶ Underestimation of national product.

▶ Overestimation of national product.

- ▶ Distortions in national product.
- ▶ Misleading conclusions about national product.

Question No: 35 (Marks: 1) - Please choose one

Which of the following best defines “subsidies”?

- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
- ▶ Payment by companies to share holders.

▶ Payment by Government to business enterprises without buying any goods and services.

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Question No: 36 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

▶ **Horizontal wage rate lines and the marginal revenue product of labour.**

▶ Vertical wage rate lines and the marginal revenue product of labour.

▶ Vertical wage rate lines and the marginal revenue product of capital.

▶ Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 37 (Marks: 1) - Please choose one

A movement along the aggregate demand curve is called a:

▶ Change in aggregate demand.

▶ Change in the aggregate quantity of goods and services demanded.

▶ Determinant of aggregate demand.

▶ **Revealed expenditure on aggregate demand.**

Question No: 38 (Marks: 1) - Please choose one

In the long run, the price level is determined by:

▶ Aggregate demand.

▶ Aggregate supply.

▶ The government.

▶ **Money supply.**

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Question No: 39 (Marks: 1) - Please choose one

The simple Keynesian aggregate supply curve is:

- ▶ Upward sloping as real GDP increases.
- ▶ Horizontal at GDP levels below full employment.
- ▶ Based on the concept that all unemployment is voluntary.
- ▶ Downward sloping as real GDP increases.

Question No: 40 (Marks: 1) - Please choose one

In the equation of exchange, if velocity is stable in the long run then:

- ▶ $\% \Delta V = 0$.
- ▶ $\% \Delta V = 1$.
- ▶ $\% \Delta V$ is a positive constant value > 0 .
- ▶ $\% \Delta V = \text{infinity}$.

Question No: 41 (Marks: 1) - Please choose one

Which of the following is TRUE for the equation $MV = PQ$?

- ▶ M is the money supply.
- ▶ V is the velocity.
- ▶ Q is the real output level.
- ▶ All of the given options.

Question No: 42 (Marks: 1) - Please choose one

The increase in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

- ▶ Revaluation.
- ▶ Devaluation.
- ▶ **Appreciation.**
- ▶ Depreciation.

<http://groups.google.com/group/vuZs>

Question No: 43 (Marks: 1) - Please choose one

The decrease in the price of one country's currency in terms of other currencies due to the market forces of demand and supply is known as:

- ▶ Revaluation.
- ▶ Devaluation.
- ▶ Appreciation.
- ▶ **Depreciation.**

Question No: 44 (Marks: 1) - Please choose one

As a definition of economic growth, an increase in real capita income is preferable to an increase in simply real GNP, because:

- ▶ Total GNP measures overall progress while per capita GNP measures improvement in productivity.

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▶ Total GNP measures goods and services produced while per capita GNP shows improvement in efficiency.

▶ Total GNP figures estimate the value of a country's total output while per capita GNP accounts for population growth and shows the availability per person of goods and services.

▶ All of the given options.

Question No: 45 (Marks: 1) - Please choose one

Suppose that a country is in a steady state condition. It implements policies to increase the saving rate of its economy. What will be TRUE at the new steady state level?

- ▶ Output per worker will grow more rapidly than before.
- ▶ The level of output per worker will be higher than before.
- ▶ The amount of capital per worker will be the same as before.

▶ All of the given options.

Question No: 46 (Marks: 1) - Please choose one

The government has a balanced budget if:

▶ Its total revenues are equal to its total expenditures.

- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 47 (Marks: 1) - Please choose one

Tax on wages, rent, interest, and profit, is known as:

▶ Direct tax.

- ▶ Indirect tax.
- ▶ Progressive tax.
- ▶ Regressive tax.

Question No: 48 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- ▶ Quota.
- ▶ Tariff.**
- ▶ Non-tariff barrier.
- ▶ Trade embargo.

Question No: 49 (Marks: 1) - Please choose one

Which of the following is an example of a tariff?

- ▶ A limit on the total number of Honda cars that can be imported from Japan.
- ▶ A regulation specifying that each imported Honda car must meet certain emission exhaust guidelines.
- ▶ A tax of \$500 on each Honda car imported from Japan.**
- ▶ A tax of 10% of the value of each Honda car purchased in Japan.

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Question No: 50 (Marks: 1) - Please choose one

Which of the following is (are) the characteristic(s) of high income countries as compared to low income countries?

- I. Lower rates of population growth.
- II. Greater income inequality.
- III. A large proportion of the labor force in agriculture.
- IV. Higher rates of investment.

- ▶ I only.
- ▶ I and II.
- ▶ II and IV.
- ▶ I and IV.

Question No: 51 (Marks: 1) - Please choose one

The price elasticity of supply for most products differs due to capacity constraints. Which of the following is TRUE in this context?

- ▶ It is same in the long run and the short run.
- ▶ It is greater in the long run than in the short run.
- ▶ It is greater in the short run than in the long run.
- ▶ It is too uncertain to be estimated.

Question No: 52 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

What will be the impact of a ban on foreign firms from selling in the domestic market?

- ▶ It will cause domestic producers competing with the imports to face huge losses.
- ▶ **It will cause the supply curve to shift to the left.**
- ▶ It will cause the supply curve to shift to the right.
- ▶ It will have no effect on the domestic market.

Question No: 53 (Marks: 1) - Please choose one

What is meant by the term utility?

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ **Satisfaction.**

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a welfare loss occurs in monopoly?

- ▶ Where the price is greater than the marginal cost.
- ▶ Where the price is greater than the marginal benefit.
- ▶ Where the price is greater than the average revenue.
- ▶ **Where the price is greater than the marginal revenue.**

Question No: 55 (Marks: 3)

Briefly discuss the concept of Pareto Efficiency.

Question No: 56 (Marks: 5)

According to the values given in the following table, calculate the injections at each level of output.

Output (Y)	Saving (S)	Gross Imports (M)	Gross investment (I)	Gross exports (X)	Govt. Expenditures (G)	Taxes (T)
650	80	80	104	97	116	10
700	90	80	119	97	116	10
750	100	80	130	97	116	10
800	110	80	139	97	116	10
900	120	80	146	97	116	10

(Marks: 1 for each)

Question No: 57 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Question No: 58 (Marks: 10)

What is meant by marginal disutility of work? From the information given below, calculate the marginal cost and average cost at each level of output.

Online Economics Course			
Output	Total Cost	Marginal Cost	Average Cost
50	60,000	?	?
100	60,000	?	?
150	60,000	?	?
200	60,000	?	?
250	60,000	?	?
300	60,000	?	?

(Marks: 2+8)

Question No: 59 (Marks: 10)

Show the impact of following policies on IS-LM framework with the help of diagrams.

- a) Expansionary monetary policy.**
- b) Expansionary fiscal policy.**

**FINAL TERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 3)**

**Ref No: 1148947
Time: 120 min**

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Question No: 1 (Marks: 1) - Please choose one

If the quantity supplied of oranges exceeds the quantity demanded then:

- ▶ There is a shortage of oranges.
- ▶ Market forces will cause the price to fall.
- ▶ Market forces will cause the price to rise.
- ▶ The market is in equilibrium.

Question No: 2 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ A decreasing marginal rate of substitution.
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 3 (Marks: 1) - Please choose one

Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

- ▶ Buy more pizzas and fewer jeans.
- ▶ Buy fewer pizzas and more jeans.
- ▶ Continue to buy the same quantities of pizza and jeans.
- ▶ Spend more time consuming pizza.

Question No: 4 (Marks: 1) - Please choose one

As long as all prices remain constant, an increase in money income results in:

- ▶ An increase in the slope of the budget line.
- ▶ A decrease in the slope of the budget line.
- ▶ An increase in the intercept of the budget line.
- ▶ A decrease in the intercept of the budget line.

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Question No: 5 (Marks: 1) - Please choose one

Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ Fixed costs and variable costs.
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 8 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ Any of the given are possible.

Question No: 9 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.

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- ▶ Upward sloping due to the law of marginal utility.
- ▶ Downward sloping due to the law of diminishing returns.
- ▶ Downward sloping due to the law of supply.

Question No: 10 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ Factors of production (such as labor and capital) increase.
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 11 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ Supply creates its own demand.
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ Direct use by the consumers.
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.
- ▶ Marginal propensity to consume.

Question No: 14 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The investment demand curve shows the relationship between the levels of:

- ▶ Investment and consumption.
- ▶ Consumption and interest rate.
- ▶ Investment and interest rate.
- ▶ Investment and saving.

Question No: 15 (Marks: 1) - Please choose one

The circular flow principle guarantees that in equilibrium:

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.
- ▶ The level of aggregate demand will be equal to real Gross Domestic Product.
- ▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

The real interest rate will increase:

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 17 (Marks: 1) - Please choose one

The trend of unemployment over the last forty years is:

- ▶ A decrease in unemployment.
- ▶ It has remained largely unchanged.
- ▶ An increase in unemployment.
- ▶ It is too difficult to tell so don't bother.

Question No: 18 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

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Question No: 19 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ Private sector resource deficit + Government budget deficit.
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.
- ▶ Expenditure and tax revenue.
- ▶ Increase in unemployment.

Question No: 21 (Marks: 1) - Please choose one

In Keynesian economics, an inflationary gap results if:

- ▶ Aggregate expenditures are less than aggregate production.
- ▶ Aggregate expenditures are greater than aggregate production.
- ▶ Aggregate expenditures are equal to aggregate production.
- ▶ There are no changes in inventories.

Question No: 22 (Marks: 1) - Please choose one

The accelerator is a related concept which formalizes the investment response to:

- ▶ Consumption.
- ▶ Interest rate.
- ▶ Output.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

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Question No: 24 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ The firm's output is a small fraction of the entire industry's output.
- ▶ The short run market price is determined solely by the firm's technology.

Question No: 25 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ Risk loving.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Rational.

Question No: 26 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

- ▶ Its currency will appreciate.
- ▶ Its currency will depreciate.
- ▶ There will be no effect on its currency.
- ▶ All of the given options can be possible.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements best reflects the implication of law of comparative advantage?

- ▶ Trade between two countries is always to the advantage of both.
- ▶ Trade between two countries can be to the advantage of both even though one may be more productively efficient at producing everything.
- ▶ Trade between two countries is to the advantage of both if countries import only those goods that they are incapable of producing themselves.

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► Trade between two countries is beneficial to both if the exporter uses less resource than the importer would use to produce the same quantity of goods.

Question No: 29 (Marks: 1) - Please choose one

Firm A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200. Which figure has to be used for finding the economy's product?

- Rs. 500 of firm A.
- Rs. 700 of firm B.
- **Rs. 1200 of firm C.**
- Total of all three Rs. 2400.

Question No: 30 (Marks: 1) - Please choose one

The largest contribution in value terms to Pakistan GNP is made by:

- Construction sector.
- Organized industries.
- Unorganized industries.
- **Agriculture sector.**

Question No: 31 (Marks: 1) - Please choose one

National income figures are:

- Very exact.
- Practically exact.
- **Only estimates.**
- Wrong.

Question No: 32 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

- ΔC to ΔY_d is 0.95.
- **C / Y_d is 0.95.**
- ΔY_d to ΔC is 0.95.
- Y_d / C is 0.95.

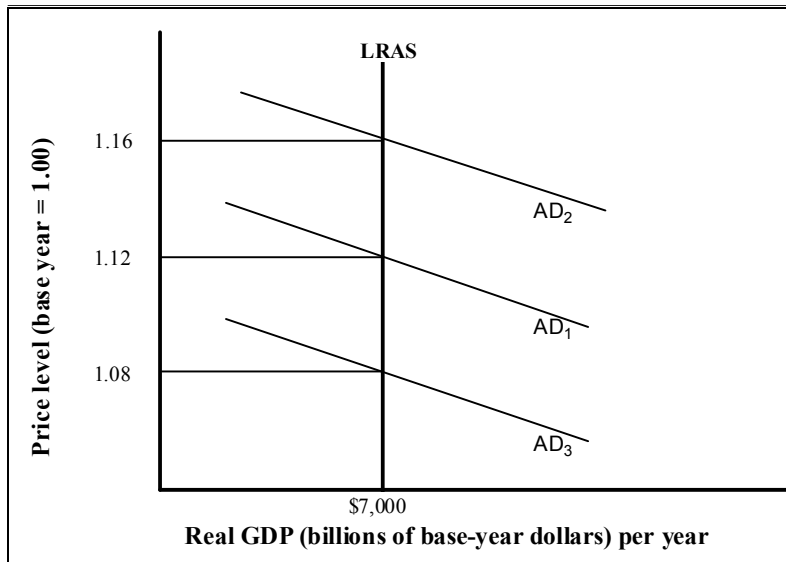
Question No: 33 (Marks: 1) - Please choose one

Which of the following describes the four sources of aggregate demand?

- Consumption, private investment, taxes, and expenditures.
- Consumption, private investment, wage increases, and government expenditures.
- Consumption, private investment, expenditures, and net exports.
- **Consumption, private investment, government purchases, and net exports.**

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Question No: 34 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ All of the given options.

Question No: 35 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 36 (Marks: 1) - Please choose one

The short run in macroeconomic analysis is a period:

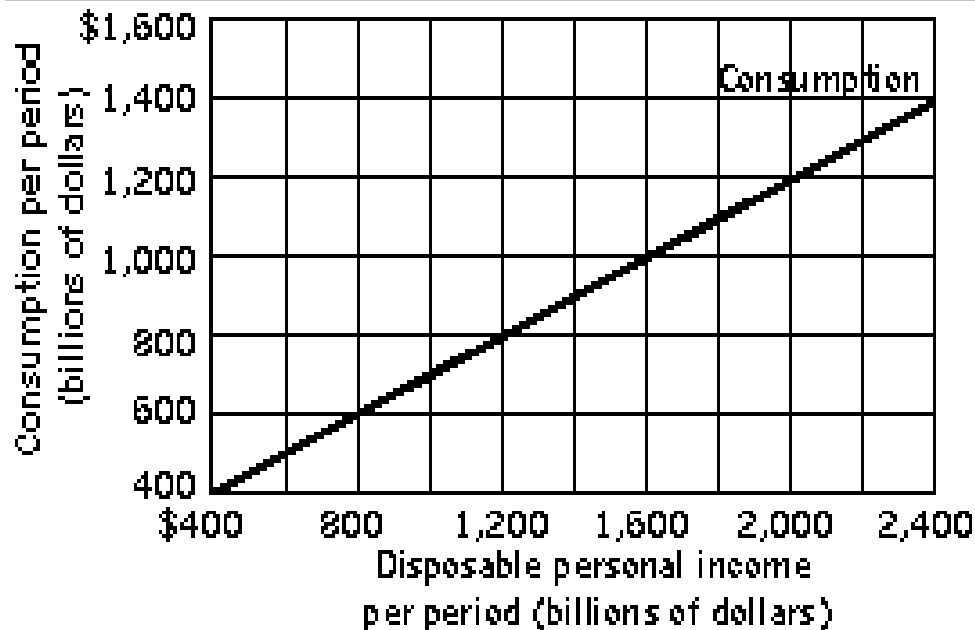
- ▶ In which wages and some other prices do not respond to changes in economic conditions.
- ▶ In which full wage and price flexibility and market adjustment have been achieved.
- ▶ Of less than 12 months.
- ▶ In which all macroeconomic variables are fixed.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ **$1 - \text{MPS} = \text{MPC}$**
- ▶ $1 + \text{MPS} = \text{MPC}$
- ▶ $1 / \text{MPS} = \text{MPC}$
- ▶ $1 \times \text{MPS} = \text{MPC}$

Question No: 38 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$1,200 billion, consumption is:

- ▶ \$600 billion.
- ▶ \$800 billion.
- ▶ \$1,200 billion.
- ▶ **\$2,000 billion.**

Question No: 39 (Marks: 1) - Please choose one

Unemployment generally ----- when the "real" GDP grows rapidly.

- ▶ Remains the same.
- ▶ Decreases.
- ▶ **Increases.**
- ▶ All of the above are possible.

Question No: 40 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

- ▶ **Consumer tastes for domestic and foreign goods.**

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- ▶ Prices of goods at home and abroad.
- ▶ Costs of transporting goods from country to country.
- ▶ All of the given options.

Question No: 41 (Marks: 1) - Please choose one

Free trade is favoured because:

- ▶ Countries have less work to do.
- ▶ It leads to greater world efficiency i.e. resources are better utilized.
- ▶ Wealthier countries gain an advantage over underdeveloped countries.
- ▶ All countries gain from tariff imposition.

Question No: 42 (Marks: 1) - Please choose one

Devaluation is done to:

- ▶ Encourage exports.
- ▶ Discourage exports.
- ▶ Encourage imports.
- ▶ Encourage inflation.

Question No: 43 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

- ▶ It will result in a movement up along the aggregate demand curve.
- ▶ It will reduce aggregate supply.
- ▶ It will reduce aggregate demand.
- ▶ It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 44 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
- II. Cash in your hand.
- III. Checking deposits.
- ▶ I and III.
- ▶ II and III.
- ▶ I only.
- ▶ II only.

Question No: 45 (Marks: 1) - Please choose one

Which of the following is (are) primary function (s) of a central bank?

- IV. Act as a regulator of banks.
- V. Issue government bonds.

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VI. Set monetary policy.

- ▶ I only.
- ▶ I and III.
- ▶ I and II.
- ▶ I, II and III.

Question No: 46 (Marks: 1) - Please choose one

What will be the impact of an increase of \$1 in government purchases?

- ▶ It will shift the expenditure line upward by \$1.
- ▶ It will shift the IS curve to the right by $\$1 / (1 - MPC)$.
- ▶ It will not shift the LM curve.
- ▶ All of the given options.

Question No: 47 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

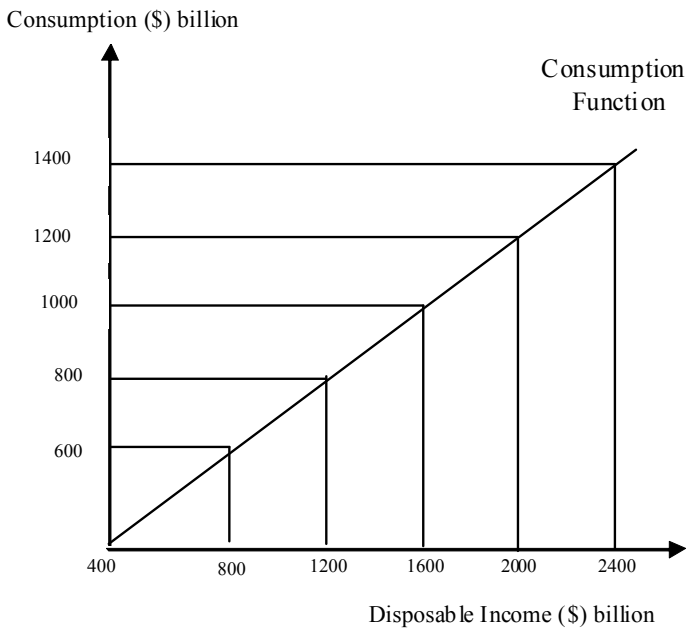
- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ Developing countries.
- ▶ High income countries.

Question No: 48 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- ▶ Higher rates of population growth.
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$2,000 billion:

- ▶ Personal saving is \$1,200 billion.
- ▶ Consumption is \$1,600 billion.
- ▶ Saving is \$800 billion.
- ▶ Consumption is \$800 billion.

Question No: 50 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ▶ One.
- ▶ Two.
- ▶ Three.
- ▶ Four.

Question No: 51 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ▶ It means that some resources are always unemployed.
- ▶ It means that an economy can produce more of one thing only by producing less of something else.
- ▶ It means that opportunity costs are constant.
- ▶ It means that business can sell more when prices are low.

Question No: 52 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

- ▶ There will be a surplus to accumulate.
- ▶ There will be downward pressure on the current market price.
- ▶ There will be upward pressure on the current market price.
- ▶ There will be lower production during the next time period.

Question No: 53 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

- ▶ For an inferior good.
- ▶ A substitute good.
- ▶ For an independent good.
- ▶ For a normal good.

Question No: 54 (Marks: 1) - Please choose one

Which of the following is TRUE about the marginal product of labour in any production process?

- ▶ It is total output divided by total labour inputs.
- ▶ It is total output minus the total capital stock.
- ▶ It is the change in total output resulting from a 'small' change on the labour input.
- ▶ It is total output produced by labour inputs.

Question No: 55 (Marks: 3)

What are the different components of aggregate demand? Discuss briefly.

Aggregate demand is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and services in the economy that will be purchased at all possible price levels. There are four components of aggregate demand which are most important:

1. **Consumption:** Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time.
2. **Investment:** Investment (I) or gross capital formation is any economic activity that forgoes consumption today with an eye to increase output in future.
3. **Net Exports:** It is net demand from rest of world for country's output.
4. **Government Spending:** These are gross investments and consumption expenditure done by government.

Question No: 56 (Marks: 5)

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Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Difference between GNP and NNP:

- GNP is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country.

$$\text{GNP} = \text{GDP} + \text{net factor income from abroad}$$

- NNP is same application as NDP (National Domestic Product) which equal to GDP minus depreciation. Here, deprecation is amount which spends on capital goods that measure GNP. In other words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers.

Question No: 57 (Marks: 5)

Some economists suggest “growth through resource transfer” and “growth through stabilization and reforms” strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Growth through resource transfer:

The businesses core resources transfer strategies are having close effect on customer satisfaction, production performance, and personnel expertise of the non-financial performance of business performances; but, these strategies show minor influences on the variance breadth of costs, sales performance, and development performance of business performances. For the growth of it, larger effect exists on the transfer of expertise, organizational learning, reputation and innovation of core resources. However, this strategy shows minor effect on the transfer of brand, management skills, interpersonal relationship, and management.

Growth through stabilization and reforms:

A stabilization strategy centers on addressing people's basic needs and opportunities at the local level by improving their access to basic services, by expanding economic opportunities and by promoting political/civic empowerment. Livelihood, for the purposes of this strategy, is defined as the combination of factors in a community that have a direct impact on the quality of individuals' lives. Those factors include the elements in a community that affect citizen well-being, prosperity, and future choices, such as income, health, education, security, water, small infrastructure and citizen participation.

Question No: 58 (Marks: 10)

(A) Following are the items of balance sheet of bank A

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Loans = 80
Deposits = 100
Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

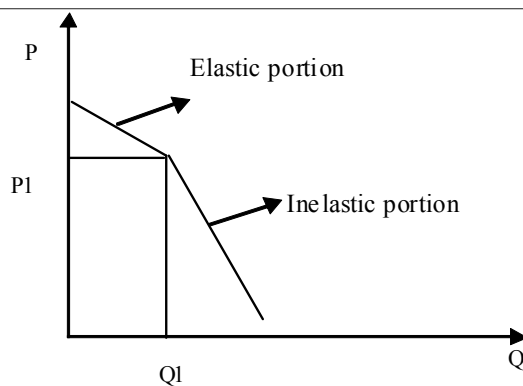
(B) Following are the items of balance sheet of bank A

Loans = 60
Deposits = 110
Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

(Marks: 5+5)

Question No: 59 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

FINAL TERM EXAMINATION ECO401- Economics

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

The shape of a production possibility curve commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ▶ A decrease in equilibrium price and an increase in quantity of meal.
- ▶ An increase in equilibrium price and quantity of meal.
- ▶ **A decrease in equilibrium price and quantity of meal.**
- ▶ An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

- ▶ **Changes in demand are proportionately greater than changes in price.**
- ▶ Changes in demand are equal to changes in price.
- ▶ None of the given options.
- ▶ Changes in demand are proportionately smaller than changes in price.

For elastic demand curve, firm does not increase its prices. Because as prices increases, quantity Demanded decreases much larger. Decrease in

quantity demanded is greater than the increase in prices. So firm will earn less revenue. So TR decreases as price increases.

Question No: 4 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- ▶ Use.
- ▶ Pleasure.
- ▶ **Utility.**
- ▶ Satisfaction.

Utility is a numerical representation of a preference ranking

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.
- ▶ **It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.**

The price consumption curve (PCC) traces out the optimal choice of consumption at different prices. The PCC can be used to derive the demand curve, which shows the relationship between price & quantity demanded.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

marginal profit is the term used to refer to total when marginal cost is subtracted from marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

A perfectly competitive firm's supply curve is that portion of its marginal cost curve that lies above the minimum of the average variable cost curve.

Question No: 8 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

- ▶ The reservation price to each customer.
- ▶ Different prices for different blocks of the same good or service.
- ▶ Different groups of customers different prices for the same products.
- ▶ Each customer the maximum price that he or she is willing to pay.

Second degree price discrimination, allows the supplier to set different prices to the different groups and capture a larger portion of the total market surplus.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Question No: 10 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 11 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ **A good for which the "income elasticity of demand" is >0 & <1**
- ▶ The good is a luxury.
- ▶ **A good for which the "income elasticity of demand" is >1 .**
- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Goods for which the "quantity demanded" of one good does not depend upon the price of the other. (i.e. Pencils & cars). The "cross elasticity of demand" will be 0.

Question No: 12 (Marks: 1) - Please choose one

Consumption spending, investment expenditures, government expenditures and net exports are:

- ▶ The components of household income.
- ▶ The components of aggregate supply.
- ▶ **The components of aggregate demand**
- ▶ The components of government revenue.

AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

- ▶ Minimum wages.
- ▶ **Flexible wages and prices.**
- ▶ Extended periods of unemployment.
- ▶ Inequality between saving and investment.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Question No: 15 (Marks: 1) - Please choose one

The real interest rate will increase:

▶ **If there is an excess supply of loanable funds in the financial markets.**

- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

- ▶ Changes in government expectations of future output growth.
- ▶ Changes in household's expectations about future output growth.
- ▶ Changes in household's expectations about future risk.
- ▶ **Changes in investor's expectations about future profits.**

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.

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► Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

M1 includes currency held by the public, plus travelers' checks, demand deposits, other checkable deposits (including negotiable order of withdrawal (NOW) accounts, Automatic Transfer Service (ATS) accounts, and credit union share draft accounts).

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- Comparative advantage.
- Comparative disadvantage.
- **Absolute advantage.**
- Absolute disadvantage.

Absolute advantage.: Capability of one producer to produce a given good using fewer resources than any other producer.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- An increase in the price of imported computers.
- A fall in the purchasing power of US tourists in London.
- **A fall in the price of imported computers.**
- An increase in the purchasing power of UK tourists overseas.

A currency is said to depreciate in value if its exchange rate decreases, such as a decrease in the exchange rate of dollars from 0.5 pounds per dollar to 0.33 pounds per dollar. Currency depreciation makes exports from the country relatively less expensive resulting in more exports and usually fewer imports.

Question No: 21 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ The dollar can now purchase more yen.
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ **The yen can now purchase more dollars.**
- ▶ The dollar has depreciated relative to the yen.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from $\text{US\$1} = 104 \text{ yen}$ to $\text{US\$1} = 110 \text{ yen}$. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

In the Keynesian cross model, the aggregate expenditure line has a slope of:

- ▶ 1.
- ▶ 0.
- ▶ Infinity.
- ▶ **Less than 1.**

In the Keynesian cross model If we draw a graph with expenditure on the vertical axis, we can see that the Expenditure line should have a slope of (<1).

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Question No: 24 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.
- ▶ Equal to 1.

If $P_{ed} > 1$, then demand responds more than proportionately to a change in price i.e. demand is elastic.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

- ▶ These are considered as part of monopolistic competition.
- ▶ these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

- ▶ Raise price but not restrict output.
- ▶ Raise price and restrict output but not attain the monopoly profit.
- ▶ **Raise price and restrict output and therefore attain the monopoly profit.**
- ▶ Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

- ▶ Real GDP includes only goods; nominal GDP includes goods and services.
- ▶ **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- ▶ Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- ▶ Real GDP is equal to nominal GDP multiplied by the CPI.

Nominal GDP: The total market value, measured in current prices,
Real GDP: The total market value, measured in constant prices

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

- ▶ Real GDP and nominal GDP will both remain constant.
- ▶ Real GDP will remain constant and nominal GDP will reduce by half.
- ▶ **Real GDP will remain constant and nominal GDP will double.**
- ▶ Real GDP will double and nominal GDP will remain constant.

Question No: 29 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.9, then the value of multiplier will be equal to:

- ▶ 2.
- ▶ 5.
- ▶ 8.
- ▶ **10.**

NO IDEA... MAY BE WRONG QUESTION

Question No: 30 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C

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manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ **1000+1500+2500 = Rs. 5000**
- ▶ 1000+500+2500 = Rs. 4000
- ▶ 1000+500+1000 = Rs. 2500
- ▶ 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

- ▶ Payment made to housewife.
- ▶ Pocket allowance to children.
- ▶ Maintenance allowance to old parents.
- ▶ **All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

- ▶ Competitive markets do not achieve equitable outcomes.
- ▶ Competitive markets do not achieve efficient outcomes.
- ▶ Government takes steps to intervene in markets.
- ▶ **All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- ▶ **Aggregate demand curve.**
- ▶ Average price level.

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- ▶ Circular flow model.
- ▶ GDP curve.

The aggregate demand curve illustrates the relationship between economic goods demanded and the price level, assuming all else is held constant (that is, under aceteris paribus assumption).

Question No: 35 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

- ▶ The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The aggregate demand and the short-run aggregate supply curves.
- ▶ The aggregate demand and the long-run aggregate supply curves.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- V. Wages.
- VI. Raw materials costs.
- VII. Government spending.
- VIII. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
- ▶ I and III only.
- ▶ I, III, and IV.
- ▶ III only.

Question No: 37 (Marks: 1) - Please choose one

In the long run, the output level is determined by:

- ▶ Aggregate demand.
- ▶ **Aggregate supply.**
- ▶ The government.
- ▶ Household income.

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Long run aggregate supply (LRAS): LRAS shows total planned output when both prices and average wage rates can change – it is a measure of a country's potential output and the concept is linked strongly to that of the **production possibility frontier**

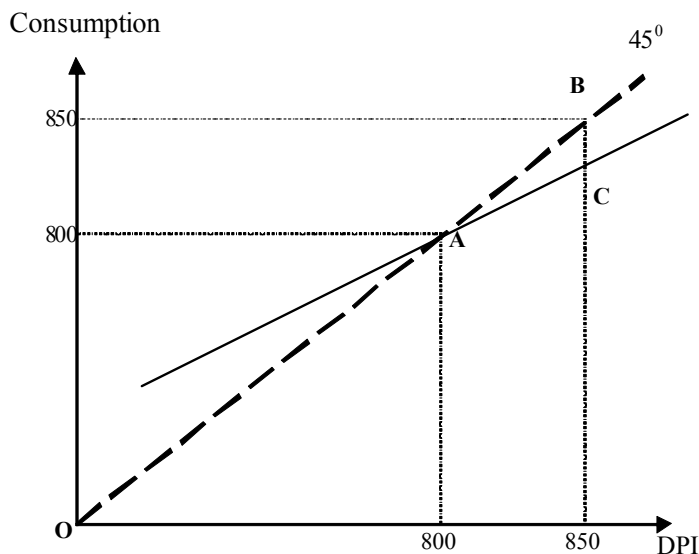
Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ $1 - \text{MPS} = \text{MPC}$
- ▶ $1 + \text{MPS} = \text{MPC}$
- ▶ $1 / \text{MPS} = \text{MPC}$
- ▶ $1 \times \text{MPS} = \text{MPC}$

(MPS) is the fraction of the additional dollar of disposable income that is Saved. Thus, $\text{MPC} = 1 - \text{MPS}$.

Question No: 39 (Marks: 1) - Please choose one



The above figure shows disposable personal income on the horizontal axis and consumption per period on the vertical axis. Which of the following is TRUE at every point on the 45-degree line?

- ▶ The value of disposable income equals the sum of personal saving and consumption.

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- ▶ The value of disposable income equals consumption.
- ▶ The value of disposable income equals personal saving.
- ▶ The value of disposable income and consumption equals 1.

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- ▶ Reduce the real value of income tax free allowances.
- ▶ Reduce government spending on capital projects.
- ▶ Raise Value Added Tax (VAT).
- ▶ **Start public job training programs.**

Question No: 41 (Marks: 1) - Please choose one

In the long run, sustained inflation is due to:

- ▶ A one-time increase in money growth.
- ▶ **A continuous increase in the money growth rate.**
- ▶ A continuous increase in aggregate demand.
- ▶ The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

The situation when a country imports more than it exports is known as:

- ▶ **A trade deficit.**
- ▶ A trade surplus.
- ▶ An expansion.
- ▶ A recession.

A negative balance of trade, i.e. imports exceed exports, opposite of trade surplus.

Question No: 43 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**
- ▶ Public investment.

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Question No: 44 (Marks: 1) - Please choose one

The government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 45 (Marks: 1) - Please choose one

In general, personal income taxes:

- ▶ Rise automatically during a recession.
- ▶ **Rise automatically during an expansion.**
- ▶ Fall automatically during an expansion.
- ▶ Remains same in all phases of economic fluctuations.

Question No: 46 (Marks: 1) - Please choose one

A tax on individual's income is known as:

- ▶ Sales tax.
- ▶ . Excise tax
- ▶ Corporate income tax.
- ▶ **Personal income tax.**

Personal income tax: A tax on individual income. This is the primary source of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE for banks?

- ▶ **They deal with money only.**
- ▶ They deal with shares and assets.
- ▶ They not only deal with money but also create money.
- ▶ They deal with money but do not create money.

Question No: 48 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**
- ▶ Unchanged.
- ▶ Zero.

Question No: 49 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 50 (Marks: 1) - Please choose one

To determine whether an economy's output is growing or shrinking, one must keep track of:

- ▶ Changes in nominal GDP.
- ▶ Changes in the growth rate of nominal GDP.
- ▶ Changes in the general price level.
- ▶ **Changes in real GDP.**

Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.).

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

The demand curve shifts left. Rail and airline travel are substitutes. If the price of a substitute declines, then the demand curve for the substitute product shifts to the left.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ▶ A reduction in unemployment.
- ▶ **An increase in the production of capital goods.**
- ▶ A reduction in discrimination.
- ▶ All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

- ▶ Negative.
- ▶ **Positive.**
- ▶ Zero.
- ▶ Indeterminate from the given information.

As profit is maximized at the point where $MR = MC$, Depending upon the level of AC at the point where $MR=MC$, the monopolist might be earn supernormal profits, breaking even or minimizing short run losses.

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Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time. Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

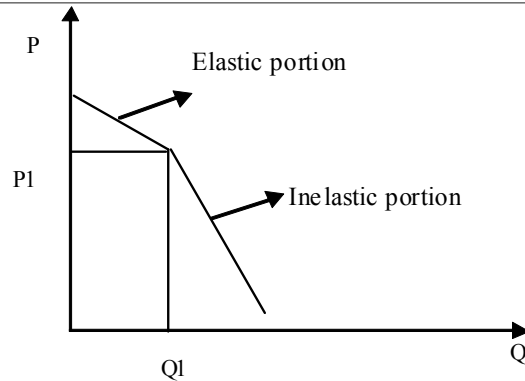
Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital. The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

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Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500

Notes and coins = Rs. 800

Credit to government = Rs. 200

Government and commercial bank deposits = Rs. 300

Credit to private sector = Rs. 700

Liquidity paper = Rs. 300

Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800

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Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

FINALTERM EXAMINATION ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

If pen and ink are complements, then an increase in the price of pen will cause:

- ▶ An increase in the price of ink.
- ▶ **Less ink to be demanded at each price.**
- ▶ A decrease in the demand for pen.
- ▶ A rightward shift in the demand curve for ink.

Question No: 2 (Marks: 1) - Please choose one

A market is said to be in equilibrium when:

- ▶ Demand equals output.
- ▶ There is downward pressure on price.
- ▶ **The amount consumers wish to buy at the current price equals the amount producers wish to sell at that price.**
- ▶ All buyers are able to find sellers willing to sell to them at the current price.

Ref: A market is said to be in equilibrium when both buyers and sellers are satisfied.

Question No: 3 (Marks: 1) - Please choose one

As more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.

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- ▶ Is negative as long as marginal utility is decreasing.

Question No: 4 (Marks: 1) - Please choose one

A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ **Any of the given are possible.**

Question No: 5 (Marks: 1) - Please choose one

A monopolistically competitive firm in the long run equilibrium:

- ▶ Will make negative profit.
- ▶ **Will make zero profit.**
- ▶ Will make positive profit.
- ▶ Any of the given are possible.

Ref: A monopolistically competitive firm in the long run will always break even, or earn only normal profit ensured by entry and exit of firms.

Question No: 6 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 7 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ The good is a luxury.
- ▶ **The good is a Giffen good.**

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- ▶ None of the given options.

Ref: <http://www.cengage.co.uk/nicholson/students/mcqs/ch04.htm>

Question No: 8 (Marks: 1) - Please choose one

The textbook for your class was not produced in a perfectly competitive industry because:

- ▶ There are so few firms in the industry that market shares are not small, and firm's decisions have an impact on market price.
- ▶ Upper-division microeconomics texts are not all alike.
- ▶ It is not costless to enter or exit the textbook industry.
- ▶ All of the given options.

Question No: 9 (Marks: 1) - Please choose one

In monopoly, which of the following is NOT true?

▶ Products are differentiated.

- ▶ There is freedom of entry and exit into the industry in the long run.
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 10 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

▶ An increase in output level and a decrease in price.

- ▶ A decrease in output level and an increase in price.
- ▶ A decrease in output level and no change in price.
- ▶ Neither a change in output level nor a change in price.

Question No: 11 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

▶ Wage.

- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

Question No: 12 (Marks: 1) - Please choose one

The aggregate supply curve is the relationship between:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ The price level and the real domestic output purchased.
- ▶ **The price level and the real domestic output produced.**
- ▶ The price level which producers are willing to accept and the price level purchasers are willing to pay.
- ▶ The real domestic output purchased and the real domestic output produced.

Ref: http://economics.uakron.edu/faculty/ghosh/2009/prinmacro/Chapter13_AggregateSupplyandDemand.pdf

Question No: 13 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 14 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ **Capital.**
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 16 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

- ▶ **The real exchange rate.**
- ▶ All of the given options.

Question No: 17 (Marks: 1) - Please choose one
Real GDP is equal to:

- ▶ **Nominal GDP – Inflation.**
- ▶ Nominal GDP + Inflation.
- ▶ Nominal GDP/ Inflation.
- ▶ Inflation / Nominal GDP.

Question No: 18 (Marks: 1) - Please choose one
If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

- ▶ GNP = GDP – Net income from abroad.
- ▶ **GNP = GDP + Net income from abroad.**
- ▶ GNP = NNP – Net income from abroad.
- ▶ GNP = NNP + Net income from abroad.

Question No: 19 (Marks: 1) - Please choose one
In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is true about supply curve under monopoly?

- ▶ It is same as the competitive market supply curve.
- ▶ **It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.**
- ▶ It is the result of market power and production costs.
- ▶ None of the given statements is true.

Question No: 21 (Marks: 1) - Please choose one

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After the collusion, oligopolists are able to:

- ▶ Raise price but not restrict output.
- ▶ Raise price and restrict output but not attain the monopoly profit.
- ▶ **Raise price and restrict output and therefore attain the monopoly profit.**
- ▶ Restrict output but not raise price.

Question No: 22 (Marks: 1) - Please choose one

Which of the following event will lead towards cost-push inflation and therefore stagflation?

- ▶ **An increase in taxes on individuals.**
- ▶ A decrease in real interest rates.
- ▶ A union settlement that increases wage levels.
- ▶ An increase in government purchases.

Question No: 23 (Marks: 1) - Please choose one

Double counting in national income refers to:

- ▶ Counting a product more than once.
- ▶ **Counting a product at the final stage of output process.**
- ▶ Counting both as product and as factor payment.
- ▶ Counting both as real goods and as money flow.

Ref: http://www.google.com.pk/url?sa=t&source=web&ct=res&cd=1&ved=0CAYQFjAA&url=http%3A%2F%2Fwww.wiziq.com%2Fonline-tests%2F5920-general-economics&rct=j&q=%22Double+counting+in+national+income%22&ei=bk2CS8-jDp-psQa3ooi2BA&usg=AFQjCNGe57Z8IFrowykOmkW_qwWwZuMOOg

Question No: 24 (Marks: 1) - Please choose one

For knowing the spending capacity of the household sector, we have to use the concept of:

- ▶ **National income.**
- ▶ Personal income.
- ▶ Private income.
- ▶ Personal disposable income.

Question No: 25 (Marks: 1) - Please choose one

For a study of the long term growth of the economy, we use:

WARNING: Askari Team is not responsible for any mistake or wrong answer. All students reading and using this document may check and confirm the answers at their own.

► Real GNP.

- Nominal GNP.
- Personal income.
- Disposable personal income.

Ref: http://books.google.com.pk/books?id=tugDAAAAMBAJ&pg=PT81&pg=PT81&dq=%22For+a+study+of+the+long+term+growth+of+the+economy,+we+use%22&source=bl&ots=_HLRcpeuvr&sig=2xoGxoF9ij6Xnhpl0etubXCDi0o&hl=en&ei=YE6CS-XQJpfgsAbvxITaBA&sa=X&oi=book_result&ct=result&resnum=1&ved=0CAcQ6AEwAA#v=onepage&q=%22For%20a%20study%20of%20the%20long%20term%20growth%20of%20the%20economy%2C%20we%20use%22&f=false

Question No: 26 (Marks: 1) - Please choose one

Which of the following is an example of a leakage?

- Saving.
- Investment.
- Exports.**
- Government expenditures.

Question No: 27 (Marks: 1) - Please choose one

Total product of labor per day is shown in the following table and the price of the product is \$10/unit. What is the value of the marginal product of labor (VMPL) of the 3rd worker?

Labor	Total Product
1	10
2	25
3	35
4	40
5	41

- 5.
- 10.**
- 50.
- 100.

Question No: 28 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

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► The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.

► The short-run aggregate supply and the long-run aggregate supply curves.

► **The aggregate demand and the short-run aggregate supply curves.**

► The aggregate demand and the long-run aggregate supply curves.

Ref: <http://www.flatworldknowledge.com/pub/1.0/principles-macroeconomics/29991>

Question No: 29 (Marks: 1) - Please choose one

What is the interest rate effect that explains why the aggregate demand curve slopes downward?

► It refers to the effect of changes in the price level on quantity of investment demanded which in turn affects interest rates.

► It refers to the effect of interest rates on borrowing which in turn affects consumption spending.

► **It refers to the effect of changes in the price level on interest rates which in turn affects the quantity of investment demanded.**

► It refers to the shifts in aggregate demand when interest rates change.

Question No: 30 (Marks: 1) - Please choose one

In the classical world, you could always get a job if you:

► Had a good education.

► Worked in an industry that was recession proof.

► Had unemployment in the manufacturing sector.

► **Would accept a lower wage.**

Question No: 31 (Marks: 1) - Please choose one

The level of output produced when the labor market is in equilibrium is called:

► Target output.

► Product market equilibrium output.

► **Full-employment output.**

► Natural output.

Question No: 32 (Marks: 1) - Please choose one

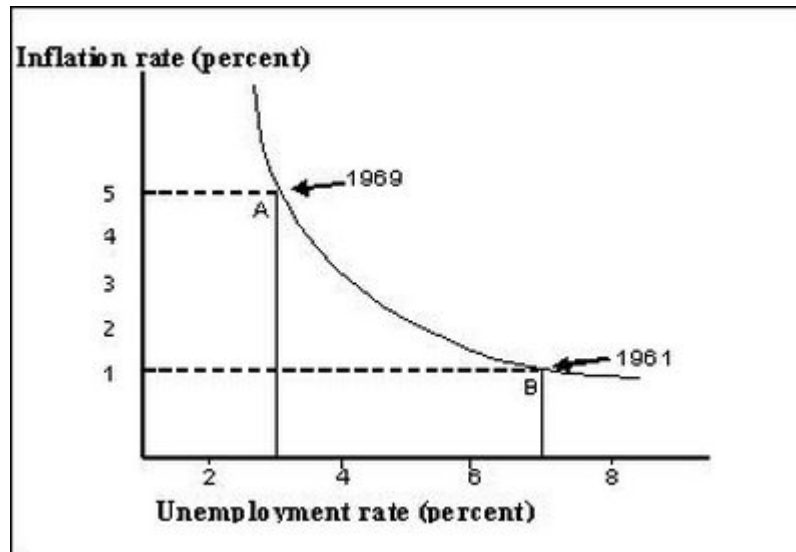
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Which of the following economists came up with a theory regarding the tradeoff between unemployment and inflation?

► **A.W. Phillips.**

- John Maynard Keynes.
- Joseph Schumpeter.
- Milton Friedman.

Question No: 33 (Marks: 1) - Please choose one



Refer to the above figure, moving from B to A shows a tradeoff of:

Refer to the above figure, moving from B to A shows a tradeoff of:

- More unemployment for less inflation.
- **Less unemployment for more inflation.**
- A fixed amount of unemployment for more inflation.
- Less unemployment for less inflation.

Question No: 34 (Marks: 1) - Please choose one

Falling inflation means:

- That the price level is falling from one period to the next.

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- ▶ That the price level is falling at a decreasing rate.
- ▶ That the price level is falling at an increasing rate.
- ▶ **That the price level is increasing at a decreasing rate.**

Question No: 35 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$300, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ **\$0.**
- ▶ \$20.

Question No: 36 (Marks: 1) - Please choose one

The real exchange rate is defined as the:

- ▶ **Market exchange rate adjusted for prices.**
- ▶ Market exchange rate adjusted for interest rates.
- ▶ Market exchange rate.
- ▶ Exchange rate determined by the government.

<http://groups.google.com/group/vuZs>

Question No: 37 (Marks: 1) - Please choose one

The interest rate parity is the basic identity that relates which of the following?

- ▶ **Interest rates and exchange rates.**
- ▶ Interest rates and inflation rate.
- ▶ Exchange rates and inflation rate.
- ▶ Discount rate and inflation rate.

Question No: 38 (Marks: 1) - Please choose one

Suppose there is a steady state condition in an economy with no population growth. In which condition, the steady-state level of capital per worker will increase?

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- ▶ When the amount of investment per worker decreases.
- ▶ When the depreciation rate increases.
- ▶ **When the saving rate increases.**
- ▶ In all of the given options.

Question No: 39 (Marks: 1) - Please choose one

“Government collects zero revenue if the tax rate is 0% and if the tax rate is 100%.” Which of the following best describes this statement?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ **Laffer curve.**
- ▶ Investment curve.

Question No: 40 (Marks: 1) - Please choose one

A tax on the accounting profits of corporations is known as:

- ▶ Sales tax.
- ▶ Excise tax.
- ▶ **Corporate income tax.**
- ▶ Personal income tax.

Question No: 41 (Marks: 1) - Please choose one

Which of the following shows the functions of money?

- ▶ **A conductor of economic activity, a medium of exchange, and a store of value.**
- ▶ A medium of exchange, a store of value, and a factor of production.
- ▶ A store of value, a medium of exchange, and a determinant of investment.
- ▶ A store of value, a unit of account, and a medium of exchange.

Question No: 42 (Marks: 1) - Please choose one

Which of the following best describes a bank's reserves?

- ▶ The minimum value of assets it must have.
- ▶ The amount of gold it is required to have as reserves against loans.
- ▶ **The value of federal securities it is required to have as reserves against loans.**

► Deposits that bank has accepted from customers but have not loaned out.

Question No: 43 (Marks: 1) - Please choose one

The special importance of banks among the financial institutions arises from:

- Their large and heavy transactions.
- Their position as suppliers of money.
- Their power to create money.

► **Their influence on the economy.**

Question No: 44 (Marks: 1) - Please choose one

Which of the following will be TRUE if real income rose and the interest rate fell following an increase in government purchases?

- IS curve must be vertical.
- LM curve must be vertical.

► **Central Bank must have increased the money supply at the same time.**

► Central Bank must have decreased the money supply at the same time.

Question No: 45 (Marks: 1) - Please choose one

If money supply is fixed by the central bank then in interest rate-money supply space, money supply curve will be:

- Horizontal.
- Vertical.
- Negatively sloped.

► **Positively sloped.**

Question No: 46 (Marks: 1) - Please choose one

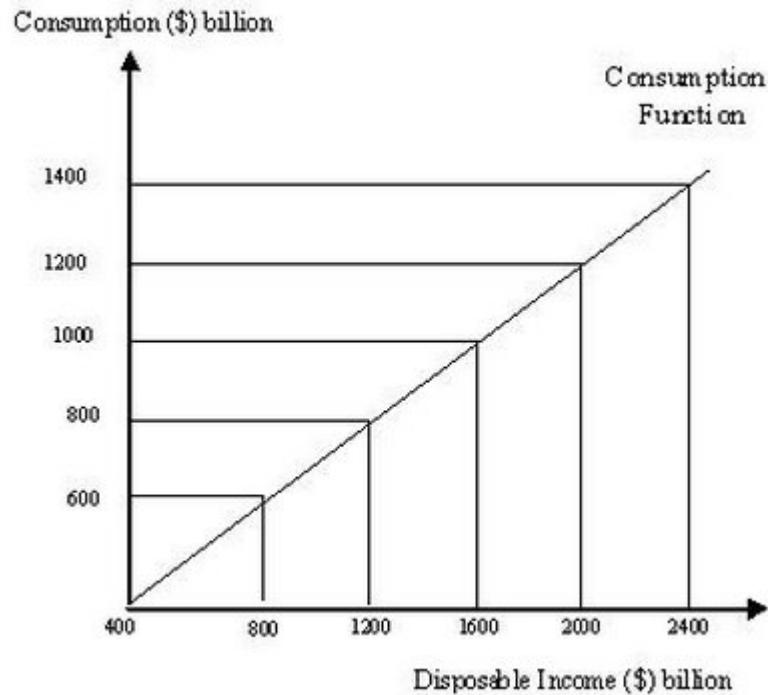
Why agriculture sector has an important role to play in the development process?

- Because a balanced approach to growth is necessary.
- Because the vast majority of an under developed country is engaged in agriculture.

► **Because agriculture may be a major bottleneck in the process of development.**

► Because of all of the given options.

Question No: 47 (Marks: 1) - Please choose one



Refer to the above figure, the marginal propensity to consume is:

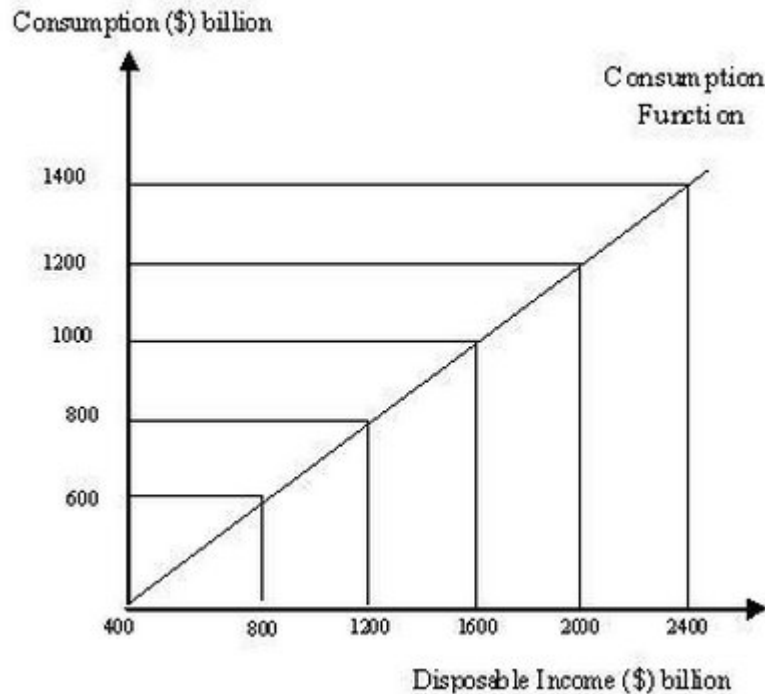
► 0.25.

► 0.50.

► 0.60.

► 0.67.

Question No: 48 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$2,000 billion:

- ▶ Personal saving is \$1,200 billion.
- ▶ Consumption is \$1,600 billion.
- ▶ **Saving is \$800 billion.**
- ▶ Consumption is \$800 billion.

Question No: 49 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ▶ It means that some resources are always unemployed.
- ▶ **It means that an economy can produce more of one thing only by producing less of something else.**
- ▶ It means that opportunity costs are constant.
- ▶ It means that business can sell more when prices are low.

Question No: 50 (Marks: 1) - Please choose one

Which of the following is TRUE for a Giffen good?

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- ▶ Its marginal utility is zero.
- ▶ **Its demand curve is perfectly elastic.**
- ▶ Its substitution effect is positive.
- ▶ Its demand curve is positively sloped.

Question No: 51 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- ▶ **Output is being produced at minimum cost.**
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Ref: http://econweb.rutgers.edu/besedes/sample_exam2_intermediate.pdf

Question No: 52 (Marks: 1) - Please choose one

Which of the following is TRUE about L-shaped isoquant?

- ▶ It indicates that the firm could switch from one output to another costlessly.
- ▶ It indicates that the firm could not switch from one output to another.
- ▶ **It indicates that capital and labor cannot be substituted for each other in production.**
- ▶ It is impossible.

Question No: 53 (Marks: 1) - Please choose one

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the fixed cost?

- ▶ 5Q.
- ▶ 5.
- ▶ $5 + (200/Q)$.
- ▶ **200.**

Question No: 54 (Marks: 1) - Please choose one

The total cost (TC) function is given as: $TC = 200 + 5Q$. What is the average total cost?

- ▶ 5Q.

► 5.

► **5 + (200/Q).**

► None of the given options.

Question No: 55 (Marks: 3)

Define consumption function. Write down the determinants of consumption.

Consumption and Consumption Function:

Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time. Consumption is the most stable and important component of aggregate demand, accounting for about two-thirds to three-fourths of GDP in most countries.

The consumption function is a schedule relating total consumption to personal disposable income. It usually takes the form $C = a + bY_d = a + b(Y - T)$, where a is the minimum level of consumption that must take place even if Y_d is zero, and b is the marginal propensity to consume.

Determinants of consumption

Thus there are two determinants of consumption (namely income and taxation, which will not cause saving to rise if consumption is caused to fall.

Question No: 56 (Marks: 5)

The paradox of thrift is demonstrated algebraically by equating leakages and injections. Suppose the Saving function is specified as $S = -\$10 \text{ billion} + 0.2Y$, Gross imports equal \$70 billion, Investment is \$100 billion and Gross exports equal \$70 billion. Calculate the equilibrium level of output by using leakages-injections approach.

Question No: 57 (Marks: 5)

Country	Commodity	Amount that can be produced in 1 year
USA	Cotton	40 units
	Food	60 units
UK	Cotton	30 units
	Food	20 units

A. Consider there is no international trade. See the above table and answer which country has absolute advantage in which

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product?

B. Draw the production possibility frontiers for USA and UK.

(Marks: 2+3)

Question No: 58 (Marks: 10)

A. From the information given below, calculate the following:

- Nominal GDP in year 1
- Nominal GDP in year 2
- Growth rate in nominal GDP

	Year 1	Year 2
Apples produced	100	150
Chicken produced	100	140
Cost per apple (Rs.)	2	4
Cost per chicken (Rs.)	4	6

B. Suppose that in the economy of Pakistan, the Real Gross National Product in 1987 was 1483 billion. In 1988, Real Gross National Product was 1510 billion. Calculate the growth rate of real Gross National Product from this information.

(Marks: 6+4)

Question No: 59 (Marks: 10)

(A) Following table shows the income earned by different factors of production.

Serial #	Rewards	Amount (billion rupees)
1	Wages and salaries	150.52
2	Interest on bonds and loans	50.63
3	Rent of properties	100.12
4	Profit	125.84
5	Corporate profit tax	50.26
6	Undistributed corporate profit	30.32
7	Contributions for social security	20.20

Find out the national income from this information.

(B) Although GDP provide us a good estimate about the overall production of the economy, but still it has some flaws. Discuss those flaws.



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FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 3)

Time: 90 min
Marks: 69

Asslam O Alikum

Eco 401 current paper solved with reference by Afaaq, Adeel and Shani bhai

Remember Us In Your Prayers

Best regard's

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0346-5329264***

If u like me than raise your hand with me

If not than raise ur standard

That's about me ... !

Question No: 1 (Marks: 1) - Please choose one

At the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

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Question No: 2 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ **Negative.**
- ▶ Positive.

Question No: 3 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

- ▶ Risk loving.
- ▶ **Risk neutral.**
- ▶ Risk averse.

- ▶ Insufficient information for a decision.

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Question No: 4 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 5 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

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Question No: 6 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

- ▶ Supply schedule.
- ▶ **Demand schedule.**
- ▶ Quantity supplied schedule.
- ▶ Quantity demanded schedule.

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Question No: 7 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 8 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.

▶ **Normative issues.**

- ▶ Micro issues.
- ▶ Macro issues.

Question No: 9 (Marks: 1) - Please choose one

Suppose to hire the next worker, the firm pays \$50. This \$50 is the:

- ▶ Marginal input cost.
- ▶ **Marginal cost. douted**
- ▶ Marginal revenue product.
- ▶ Marginal revenue.

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Question No: 10 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 11 (Marks: 1) - Please choose one

An assumption of classical economics is:

- ▶ Investment and saving are seldom equal.
- ▶ Self-correction takes a long time.
- ▶ **Demand creates its own supply.**
- ▶ Prices and wages are flexible.

Question No: 12 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

- ▶ **Three.**
- ▶ Four.
- ▶ Five.
- ▶ Six.

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Question No: 13 (Marks: 1) - Please choose one

The trend of unemployment over the last forty years is:

- ▶ A decrease in unemployment.
- ▶ It has remained largely unchanged.
- ▶ **An increase in unemployment.**
- ▶ It is too difficult to tell so don't bother.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

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Question No: 15 (Marks: 1) - Please choose one

Growth rate of per capita income is equal to:

- ▶ Growth rate of total output / Growth rate of population.
- ▶ Growth rate of population / Growth rate of total output.
- ▶ **Growth rate of total output + Growth rate of population.**
- ▶ Growth rate of total output - Growth rate of population.

Question No: 16 (Marks: 1) - Please choose one

The similarity in the Perfect competition and monopolistic competition is that:

- ▶ Firms in both types of market structure will act as price takers.
- ▶ Firms in both types of market structure will produce a product that is exactly like one produced by other firms in the industry.
- ▶ **Firms in both types of market structure will produce a level of output where price equals marginal cost.**
- ▶ Firms in both types of market structure will earn zero profit in the long run.

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Question No: 17 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 18 (Marks: 1) - Please choose one

Which of the following best describes the total market value of all final goods and services produced within the boundary of a country in a year?

- ▶ **Gross domestic product.**
- ▶ Net national product.
- ▶ Net national income.
- ▶ Disposable personal income.

Question No: 19 (Marks: 1) - Please choose one

Which of the following would occur if injections are less than withdrawals at the full-employment level of income?

- ▶ A deflationary gap.
- ▶ Hysteresis.
- ▶ Hyperinflation.
- ▶ An inflationary gap.

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Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ **The same output level as before.**
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

GNP is a good indicator of:

- ▶ **The total payment of factor owners.**
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

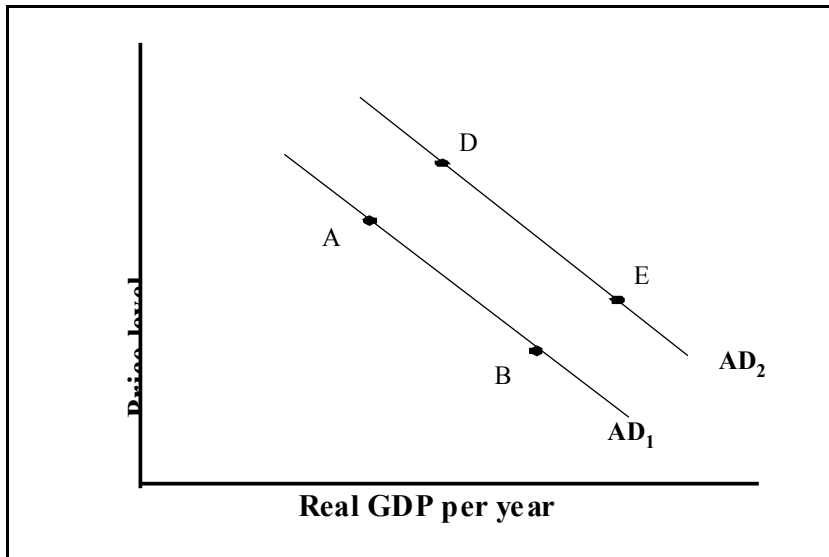
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Question No: 22 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

- ▶ **Horizontal wage rate lines and the marginal revenue product of labour.**
- ▶ Vertical wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of capital.
- ▶ Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 23 (Marks: 1) - Please choose one



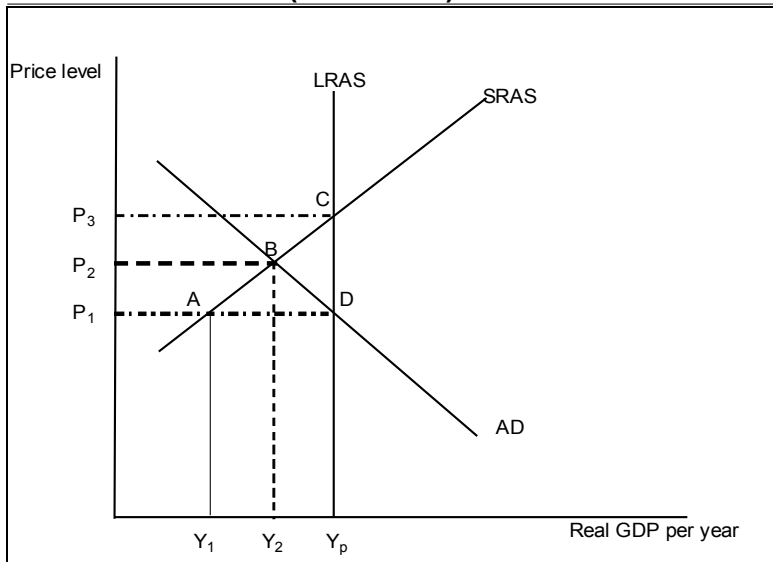
In the above figure, a movement from point A to point B:

- ▶ Is a change in aggregate demand resulting from a lower price level.
- ▶ **Is change in aggregate quantity demanded resulting from a lower price level.** doubted

- ▶ Could be due to an increase in investment demand.
- ▶ Occurs because aggregate output supplied has increased.

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Question No: 24 (Marks: 1) - Please choose one



Refer to the above figure, what are the prevailing price level and the output level in the economy?

- ▶ Price level = P_1 ; real GDP = Y_p .
- ▶ Price level = P_1 ; real GDP = Y_1 .
- ▶ **Price level = P_2 ; real GDP = Y_2 .** doubted
- ▶ Price level = P_3 ; real GDP = Y_p .

Question No: 25 (Marks: 1) - Please choose one

Which of the following is equal to personal savings?

- ▶ Gross domestic income – consumption.
- ▶ Personal disposable income – consumption.
- ▶ Gross domestic product – consumption.
- ▶ **Personal disposable income – taxes – consumption.**

Question No: 26 (Marks: 1) - Please choose one

In the definition of labor force, economists include:

- ▶ Only people who are working full-time.
- ▶ **People who are not working but are actively looking for a job and people who are working.**
- ▶ People who are working.
- ▶ None of the given options.

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Question No: 27 (Marks: 1) - Please choose one

If a country devalues its currency, what will be its results?

- ▶ Its imports will be cheaper for its citizens and its exports will be expensive from the point of view of foreigners.
- ▶ Both its imports and exports will be cheaper for the citizens and for foreigners.
- ▶ **Its imports will seem more expensive for the citizens and export will seem cheaper to the foreigners.**
- ▶ Both imports and exports will seem more expensive.

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Question No: 28 (Marks: 1) - Please choose one

If net exports are positive, this implies that the country has:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ **Government budget surplus.**
- ▶ Government budget deficit.

Question No: 29 (Marks: 1) - Please choose one

We can measure economic growth with the help of:

- ▶ The Consumer Price Index.
- ▶ The Producer Price Index.
- ▶ **Gross Domestic Product.**

P 161

- ▶ Marginal Propensity to Consume.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.

- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

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Question No: 31 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**

P 172 Government purchases are used to operate the government (administrative salaries, etc.) and to provide public goods (national defense, highways, etc.).

- ▶ Public investment.

Question No: 32 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

- ▶ Efficiency.
- ▶ **Equity.**

P 173 Equity represents that principle of taxation which emphasizes fairness or just sacrifice,

- ▶ Progressive tax.
- ▶ Regressive tax.

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Question No: 33 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.
- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ **Store of value.**

Question No: 34 (Marks: 1) - Please choose one

Suppose the central bank's primary goal is to stabilize the prices and it aims to keep the inflation rate at 6%. If the inflation rate rose above 6%, central bank should adopt which of the following policy?

- ▶ **An expansionary monetary policy.**
- ▶ A contractionary monetary policy.
- ▶ It should reduce the required reserve ratio.
- ▶ It should impose a temporary ceiling on the federal funds rate.

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Question No: 35 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ **Developing countries.**
- ▶ High income countries.

Question No: 36 (Marks: 1) - Please choose one

Developing countries have ----- unemployment than the developed countries.

- ▶ **Higher.**
- ▶ Lower.
- ▶ About the same.
- ▶ In some cases higher while in others lower.

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Question No: 37 (Marks: 1) - Please choose one

Why agriculture sector has an important role to play in the development process?

- ▶ Because a balanced approach to growth is necessary.
- ▶ Because the vast majority of an under developed country is engaged in agriculture.

▶ **Because agriculture may be a major bottleneck in the process of development.**

- ▶ Because of all of the given options.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

- ▶ **The demand curve for computers shifts to the right.**
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.
- ▶ The supply curve for computers shifts to the left.

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Question No: 39 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

- ▶ Heterogeneous products.
- ▶ Large competition.
- ▶ **Homogeneous products.**
- ▶ Less demand in market.

Question No: 40 (Marks: 1) - Please choose one

If different firms in the oligopolistic structures do not cooperate with each other is known as

► Collusive oligopoly.

► Cartel.

► Price leadership.

► **Non-collusive oligopoly.**

P 82 If different firms in the oligopolistic structures do not cooperate with each other is known as non collusive oligopoly.

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Question No: 41 (Marks: 1) - Please choose one

Slope and elasticity of demand have

► A direct relation.

► **An inverse relationship.**

P 27 Slope and elasticity of demand have an inverse relationship.

► No relation between slope and elasticity.

► None of the given options.

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Question No: 42 (Marks: 1) - Please choose one

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

► **The marginal utility for the consumption of the fifth unit.**

► The marginal utility for the consumption of the sixth unit.

► The total utility for the consumption of the first five units.

► The average utility for the consumption of the first five units.

Question No: 43 (Marks: 1) - Please choose one

Price war is often seen in which of the following markets:

► Perfect competition.

► **Monopoly.**

► Oligopoly.

► Duopoly.

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Question No: 44 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

► **0.80**

► 1.20

- ▶ 0.50
- ▶ 1.25

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Question No: 45 (Marks: 1) - Please choose one

If domestic interest rate is greater than foreign interest rate + expected depreciation then:

- ▶ **One should invest in domestic market. doubted**
- ▶ One should invest abroad.
- ▶ One should remain indifferent.
- ▶ Make half investment in domestic market and half investment in foreign market.

Question No: 46 (Marks: 1) - Please choose one

In endogenous growth model the permanent growth rate depends on the saving rate and:

- ▶ Labor participation rate.
- ▶ Capital stock.
- ▶ Investment.
- ▶ **Technological progress.**

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Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ **Interest rate reduces, investment and GDP increases. doubted**
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

In IS-LM model, a decrease in government spending should move the:

- ▶ IS curve leftward.
- ▶ IS curve rightward.
- ▶ LM curve rightward.
- ▶ LM curve leftward.

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Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

Question No: 50 (Marks: 3)

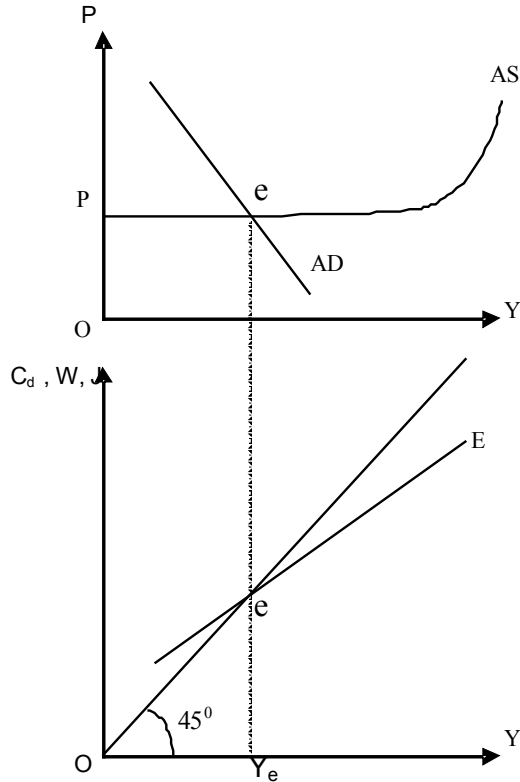
Explain the shape of money supply curve with the help of diagram.

Question No: 51 (Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

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Question No: 52 (Marks: 5)



In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

- If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.
- Is there any multiplier effect? How it works in this case?

(Marks: 3+2)

Question No: 53 (Marks: 5)

How crowding out of investment demand occur due to expansionary fiscal policy?

Eco 401 current paper solved with reference by Afaaq, Adeel and Shani bhai

Remember Us In Your Prayers

Best regard's

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0346-5329264***

If u like me than raise your hand with me

If not than raise ur standard

That's about me ... !

FINAL TERM EXAMINATION
Fall 2008
www.vutube.edu.pk
ECO401- Economics (Session - 3)

Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

_____ To
calculate the price elasticity of demand, you need to know _____ point(s)
on the _____ demand curve.

- ▶ One, same.
- ▶ Two, same.
- ▶ One, opposite.
- ▶ Two, opposite.

Question No: 2 (Marks: 1) - Please choose one

_____ Governments protect domestic industries from foreign competition by _____.

- ▶ Encouraging agreements like NAFTA.
- ▶ Using tariff and non tariff barriers.
- ▶ Discouraging union membership.
- ▶ Keeping the minimum wage low.

Question No: 3 (Marks: 1) - Please choose one

_____ To
make the equation of exchange in the quantity theory of money:

- ▶ V and Q are assumed to be constant.
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 4 (Marks: 1) - Please choose one

_____ In
the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ V is the number of times each dollar is spent per year.
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 5 (Marks: 1) - Please choose one

_____ What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 6 (Marks: 1) - Please choose one

Disposable income is:

- ▶ Total income plus transfer payments.
- ▶ Total income minus saving.
- ▶ Total income plus net taxes.
- ▶ **Total income minus net taxes.**

Question No: 7 (Marks: 1) - Please choose one

How should monetary policy be used during recessions?

- ▶ Decrease money supply to increase interest rate and increase aggregate demand.
- ▶ Increase money supply to increase interest rate and increase aggregate demand.
- ▶ **Decrease money supply to decrease interest rate and increase aggregate demand.**
- ▶ Increase money supply to decrease interest rate and increase aggregate demand.

Question No: 8 (Marks: 1) - Please choose one

Which of the following policy options would simultaneously increase interest rates and decrease output?

- ▶ **The central bank sells bonds through open market operations.**
- ▶ The federal government increases its defense purchases.
- ▶ The central bank expands the money supply.
- ▶ The federal government increases the tax rate.

Question No: 9 (Marks: 1) - Please choose one

increase in the money supply will cause interest rates to: **An**

- ▶ **Rise.**
- ▶ Fall.
- ▶ Remain unchanged.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 11 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ **Expenditure and tax revenue.**
- ▶ Increase in unemployment.
- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.

Question No: 12 (Marks: 1) - Please choose one

expansionary fiscal policy can: An

- ▶ Raise the national debt.
- ▶ **Decrease the national debt.**
- ▶ Have no effect on national debt.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ **The Golden Rule output level.**

Question No: 14 (Marks: 1) - Please choose one

If the prices of all goods and services rise during the year:

- ▶ Real GDP may fall.
- ▶ Nominal GDP must fall.
- ▶ Nominal GDP may increase.
- ▶ **Real GDP must rise.**

Question No: 15 (Marks: 1) - Please choose one

Is Gross Domestic Product (GDP) an accurate measure of a country's well being?

- ▶ Yes, it is the best measure of national well being.
- ▶ Yes, provided we use real GDP and not nominal GDP.
- ▶ **Uncertain, depending on whether GDP is rising or falling.**
- ▶ No, it is not.

Question No: 16 (Marks: 1) - Please choose one

Economic activity moves from a trough into a period of ----- until it reaches a ----- and then into a period of -----.

- ▶ Expansion; trough; recession
- ▶ Recession; trough; expansion
- ▶ **Expansion; peak; recession**
- ▶ Recession; peak; expansion

Question No: 17 (Marks: 1) - Please choose one

Phillips curve will shift to the right:

The

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ **If there is a favorable supply shock.**

Question No: 18 (Marks: 1) - Please choose one

decrease in the natural rate of unemployment will:

A

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 19 (Marks: 1) - Please choose one

unemployment rate is equal to:

The

- ▶ Number of employed / labour force x 100.
- ▶ Number of unemployed / labour force.
- ▶ **(Number of unemployed / labour force) x 100.**
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.
- ▶ **0.8.**

Question No: 21 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ **Capital.**
- ▶ The amount of money held by the public.
- ▶ Inventory investment.

Question No: 22 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ The balance in your savings account.
- ▶ **Your monthly consumption on food items.**
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 23 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP) is measured:

- ▶ At base year prices.
- ▶ At current year prices.
- ▶ At a constant output level but at current prices.
- ▶ **As the difference between the current year's GDP and last year's GDP.**

Question No: 24 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 25 (Marks: 1) - Please choose one

According to classical economics, the economy was unlikely to experience:

- ▶ **Full employment.**
- ▶ Flexible wages and prices.
- ▶ Equality between saving and investment.
- ▶ High rates of unemployment.

Question No: 26 (Marks: 1) - Please choose one

primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 27 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ From 1930s to 1970s.
- ▶ **Since 1970s.**

Question No: 28 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 29 (Marks: 1) - Please choose one

Which of the following will lead to an increase in aggregate demand?

- ▶ An increase in government tax revenues.
- ▶ An increase in household savings.
- ▶ **An increase in business capital investment.**
- ▶ An increase in demand for imports.

Question No: 30 (Marks: 1) - Please choose one

aggregate supply curve is the relationship between:

- ▶ The price level and the real domestic output purchased.
- ▶ **The price level and the real domestic output produced.**
- ▶ The price level which producers are willing to accept and the price level purchasers are willing to pay.

- ▶ The real domestic output purchased and the real domestic output produced.

Question No: 31 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 32 (Marks: 1) - Please choose one

Cartels are:

- ▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ Considered as part of monopolistic competition.

Question No: 33 (Marks: 1) - Please choose one

"The situation in which two or more firms set their prices and output according to a plan agreed upon between them in order to divide the market among themselves". Which of the following best describes this situation?

- ▶ Strategic interaction.
- ▶ Monopolistic competition.
- ▶ Oligopoly.
- ▶ **Collusion.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ Cartel.
- ▶ Market sharing monopoly.
- ▶ **Natural monopoly.**

Question No: 35 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ **A decrease in output level and an increase in price.**
- ▶ A decrease in output level and no change in price.
- ▶ Neither a change in output level nor a change in price.

Question No: 36 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 37 (Marks: 1) - Please choose one

welfare loss occurs in monopoly where:

A

- ▶ The price is greater than the marginal cost.
- ▶ The price is greater than the marginal benefit.
- ▶ The price is greater than the average revenue.
- ▶ **The price is greater than the marginal revenue.**

Question No: 38 (Marks: 1) - Please choose one

monopoly, which of the following is NOT true?

In

- ▶ **Products are differentiated.**
- ▶ There is freedom of entry and exit into the industry in the long run.
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 39 (Marks: 1) - Please choose one

Graphically, the Marginal Cost curve cuts through the Average Total Cost curve at:

- ▶ The lowest point on the MC curve.
- ▶ The highest point on the MC curve.
- ▶ **The lowest point on the ATC curve.**
- ▶ The middle of the upward-sloping portion of the total cost curve.

Question No: 40 (Marks: 1) - Please choose one

current output is less than the profit-maximizing output then which of the following must be TRUE?

If

- ▶ Total revenue is less than total cost.

- ▶ Average revenue is less than average cost.
- ▶ **Marginal revenue is less than marginal cost.**
- ▶ Marginal revenue is greater than marginal cost.

Question No: 41 (Marks: 1) - Please choose one

A

production function:

- ▶ **Relates inputs with output.**
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ All of the given options.

Question No: 42 (Marks: 1) - Please choose one

A

normal good can be defined as one which consumers purchase more of as:

- ▶ Prices fall.
- ▶ Prices rise.
- ▶ Incomes fall.
- ▶ **Incomes increase.**

Question No: 43 (Marks: 1) - Please choose one

If a

market basket is changed by adding more to at least one of the goods, then every consumer will:

- ▶ Rank the market basket more highly after the change.
- ▶ Rank the market basket more highly before the change.
- ▶ **Rank the market basket just as desirable after the change.**
- ▶ Be unable to decide whether he prefers the first market basket to the second or the second to the first.

Question No: 44 (Marks: 1) - Please choose one

The

concept of a risk premium applies to a person that is:

- ▶ All of the given options.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ **Risk loving.**

Question No: 45 (Marks: 1) - Please choose one

Law

of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ **Negative.**
- ▶ Positive.

Question No: 46 (Marks: 1) - Please choose one

The

extra value that consumers receive above what they pay for that good is called:

- ▶ Producer surplus.
- ▶ Utility.
- ▶ Marginal utility.
- ▶ **Consumer surplus.**

Question No: 47 (Marks: 1) - Please choose one

If a

decrease in price increases the total revenue then:

- ▶ **Demand is elastic.**
- ▶ Demand is inelastic.
- ▶ Supply is elastic.
- ▶ Supply is inelastic.

Question No: 48 (Marks: 1) - Please choose one

The

concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 49 (Marks: 1) - Please choose one

While moving from left to right, the typical production possibilities curve has:

- ▶ **An increasingly steep negative slope.**
- ▶ A decreasingly steep negative slope.
- ▶ An increasingly steep positive slope.
- ▶ A constant and negative slope.

Question No: 50 (Marks: 1) - Please choose one

economy is characterized by: Our

- ▶ **Unlimited wants and needs.**
- ▶ Unlimited material resources.
- ▶ No energy resources.
- ▶ Abundant productive labor.

Question No: 51 (Marks: 5)

Define foreign exchange markets. Also give some examples of foreign exchange markets.

Foreign exchange markets:

The foreign exchange market is a specific system of a country for a foreign trade and currency exchange. For example, if Pakistan imports a product from USA, Pakistan will buy dollars from rupees, so Pakistan exchanged its currency in foreign market.

Foreign markets depend on imports, exports and currency exchanged process. By these ways two countries exchange their markets.

Question No: 52 (Marks: 10)

What will be the role of government in the foreign exchange market in the following cases?

a. If the supply curve of dollars shifts to the right due to rise in exports.

if the supply curve of dollars shifts to the right due to rise in exports, the government role in foreign markets will be very good. Because due to rise in exports government will exchange money and they will gain high price against its currency. The government will increase its exports so it raises the price of its currency in foreign exchange.

b. If the demand curve for dollars shifts to right due to rise in imports.

If the demand curves for dollars shifts to right due to rise in imports, the government should decrease the imports rate to save the currency from falling its price. Basically rise in imports decreases the price of currency in foreign exchange markets. So government will slow down the imports and will try to increase its own products to complete the necessary requirement of the country.

(Marks:5+5)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Fiscal policy:

Fiscal policy is basically a government policy for expenses, imports, exports of goods, benefits from unemployment, interest on debts etc.

Expansionary fiscal policy:

When there is an increase in government spending, there will be more interest rate of bank loan which government has borrowed for spending.

Contractionary fiscal policy:

In this policy the aggregate demand rises due to increase in unemployment rate of country. Unemployment rise the government expenditures.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

A.

If there is a gradual increase in the saving rate over time, would this lead to sustained economic growth? Give your answer with brief explanation.

Definitely, it will increase economic growth rate. As we save more and more money or goods from spendings. Our economical position becomes good. If we have much more savings we can invest it in a good business or production. This savings will produce more goods and and may be more people will be employed in this process. So our country will develop gradually. By this way we will be able to increase our growth rate economically.

B. If this is true, why do people not increase their rate of saving?

Some times People are afraid because of decrease in saving rate and from low exchange rate. They don't put their money in banks. And they sometimes don't invest. For a good economical growth extra time is required which more people don't want to wait. Sometimes the savings rate from banks is too low.

C. If there is a higher participation rate and GDP per capita rises, would output per worker also rise? Give your answer with brief explanation.

Yes, because when the rate of GDP per capita rises, there will be more and more chances for employment and the life of people will become standard. They will increase the salaries and wages of workers. By this way the workers will be motivated and they will produce more output.

(Marks:4+3+3)

Question No: 1 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

The shape of a production possibility curve commonly drawn as concave downward to represent increasing opportunity cost with increased output of a good.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ▶ A decrease in equilibrium price and an increase in quantity of meal.
- ▶ An increase in equilibrium price and quantity of meal.
- ▶ **A decrease in equilibrium price and quantity of meal.**
- ▶ An increase in equilibrium price and a decrease in quantity of meal.

A decrease in equilibrium price and quantity. The demand curve shifts to the left because the town population declines, resulting in lower prices and quantity.

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

- ▶ **Changes in demand are proportionately greater than changes in price.**
- ▶ Changes in demand are equal to changes in price.
- ▶ None of the given options.
- ▶ Changes in demand are proportionately smaller than changes in price.

For elastic demand curve, firm does not increase its prices. Because as prices increases, quantity Demanded decreases much larger. Decrease in quantity demanded is greater than the increase in prices. So firm will earn less revenue. So TR decreases as price increases.

Question No: 4 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- ▶ Use.
- ▶ Pleasure.

- ▶ Utility.
- ▶ Satisfaction.

Utility is a numerical representation of a preference ranking

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.
- ▶ It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

The price consumption curve (PCC) traces out the optimal choice of consumption at different prices. The PCC can be used to derive the demand curve, which shows the relationship between price & quantity demanded.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ Marginal revenue minus marginal cost.
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

marginal profit is the term used to refer to total when marginal cost is subtracted from marginal revenue.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

A perfectly competitive firm's supply curve is that portion of its marginal cost curve that lies above the minimum of the average variable cost curve.

Question No: 8 (Marks: 1) - Please choose one

Second-degree price discrimination is the practice of charging:

- ▶ The reservation price to each customer.
- ▶ **Different prices for different blocks of the same good or service.**
- ▶ Different groups of customers different prices for the same products.
- ▶ Each customer the maximum price that he or she is willing to pay.

Second degree price discrimination, allows the supplier to set different prices to the different groups and capture a larger portion of the total market surplus.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.
- ▶ **Monopolistically competitive.**
- ▶ Oligopolistic.

Monopolistic competition is also characterized by a large number of buyers and sellers and absence of entry barriers.

Question No: 10 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 11 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
A good for which the "income elasticity of demand" is >0 & <1
- ▶ The good is a luxury.
A good for which the "income elasticity of demand" is > 1 .

- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Goods for which the "quantity demanded" of one good does not depend upon the price of the other. (i.e. Pencils & cars). The "cross elasticity of demand" will be 0.

Question No: 12 (Marks: 1) - Please choose one

Consumption spending, investment expenditures, government expenditures and net exports are:

- ▶ The components of household income.
- ▶ The components of aggregate supply.

▶ **The components of aggregate demand**

- ▶ The components of government revenue.

AD is the sum of consumption, investment, government spending and net exports (i.e. exports minus imports), and is inversely related to the aggregate price level through the wealth, interest rate and international purchasing power effects.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 14 (Marks: 1) - Please choose one

According to classical economics, the economy will always tend toward full employment due to:

- ▶ Minimum wages.
- ▶ **Flexible wages and prices.**
- ▶ Extended periods of unemployment.
- ▶ Inequality between saving and investment.

Question No: 15 (Marks: 1) - Please choose one

The real interest rate will increase:

- ▶ **If there is an excess supply of loanable funds in the financial markets.**
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

- ▶ Changes in government expectations of future output growth.
- ▶ Changes in household's expectations about future output growth.
- ▶ Changes in household's expectations about future risk.
- ▶ **Changes in investor's expectations about future profits.**

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

M1 includes currency held by the public, plus travelers' checks, demand deposits, other checkable deposits (including negotiable order of withdrawal (NOW) accounts, Automatic Transfer Service (ATS) accounts, and credit union share draft accounts).

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- ▶ Comparative advantage.
- ▶ Comparative disadvantage.
- ▶ **Absolute advantage.**
- ▶ Absolute disadvantage.

Absolute advantage.: Capability of one producer to produce a given good using fewer resources than any other producer.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

A currency is said to depreciate in value if its exchange rate decreases, such as a decrease in the exchange rate of dollars from 0.5 pounds per dollar to 0.33 pounds per dollar. Currency depreciation makes exports from the country relatively less expensive resulting in more exports and usually fewer imports.

Question No: 21 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ The dollar can now purchase more yen.
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ **The yen can now purchase more dollars.**
- ▶ The dollar has depreciated relative to the yen.

The exchange rate increases (i.e., a unit of your currency is worth more in foreign currency than previously), the currency is said to have *strengthened, appreciated, or increased in value* (revaluation). For example, assume that the exchange rate between the U.S. dollar and the Japanese yen changed from US\$1=104 yen to US\$1=110 yen. This would strengthen the value of the U.S. dollar in that you would receive more yen in exchange for your dollar

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

In the Keynesian cross model, the aggregate expenditure line has a slope of:

- ▶ 1.
- ▶ 0.
- ▶ Infinity.
- ▶ **Less than 1.**

In the Keynesian cross model If we draw a graph with expenditure on the vertical axis, we can see that the Expenditure line should have a slope of (<1),

Question No: 24 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.
- ▶ Equal to 1. unit elastic

If $P_{ed} > 1$, then demand responds more than proportionately to a change in price i.e. demand is elastic.

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

- ▶ These are considered as part of monopolistic competition.
- ▶ these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**

► These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

A cartel is a formal (explicit) agreement among firms. Cartels usually occur in an oligopolistic industry, where there are a small number of sellers and usually involve homogeneous products.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

- Raise price but not restrict output.
- Raise price and restrict output but not attain the monopoly profit.
- **Raise price and restrict output and therefore attain the monopoly profit.**
- Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

- Real GDP includes only goods; nominal GDP includes goods and services.
- **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- Real GDP is equal to nominal GDP multiplied by the CPI.

Nominal GDP: The total market value, measured in current prices,

Real GDP: The total market value, measured in constant prices

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

- Real GDP and nominal GDP will both remain constant.
- Real GDP will remain constant and nominal GDP will reduce by half.
- **Real GDP will remain constant and nominal GDP will double.**
- Real GDP will double and nominal GDP will remain constant.

Question No: 29 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to consume (MPC) is 0.9, then the value of multiplier will be equal to:

- 2.
- 5.
- 8.
- 10.

NO IDEA... MAY BE WRONGE QUESTION

Question No: 30 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ **1000+1500+2500 = Rs. 5000**
- ▶ 1000+500+2500 = Rs. 4000
- ▶ 1000+500+1000 = Rs. 2500
- ▶ 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

- ▶ Payment made to housewife.
- ▶ Pocket allowance to children.
- ▶ Maintenance allowance to old parents.
- ▶ **All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

- ▶ Competitive markets do not achieve equitable outcomes.
- ▶ Competitive markets do not achieve efficient outcomes.
- ▶ Government takes steps to intervene in markets.
- ▶ **All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

- ▶ **Aggregate demand curve.**
- ▶ Average price level.
- ▶ Circular flow model.
- ▶ GDP curve.

The aggregate demand curve illustrates the relationship between economic goods demanded and the price level, assuming all else is held constant (that is, under aceteris paribus assumption).

Question No: 35 (Marks: 1) - Please choose one

In the short run, the equilibrium price level and the equilibrium level of total output are determined by the intersection of:

- ▶ The aggregate demand, the short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The short-run aggregate supply and the long-run aggregate supply curves.
- ▶ The aggregate demand and the short-run aggregate supply curves.
- ▶ The aggregate demand and the long-run aggregate supply curves.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.**
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.**

Question No: 37 (Marks: 1) - Please choose one

In the long run, the output level is determined by:

- ▶ Aggregate demand.
- ▶ Aggregate supply.**
- ▶ The government.
- ▶ Household income.

Long run aggregate supply (LRAS): LRAS shows total planned output when both prices and average wage rates can change - it is a measure of a country's potential output and the concept is linked strongly to that of the **production possibility frontier**

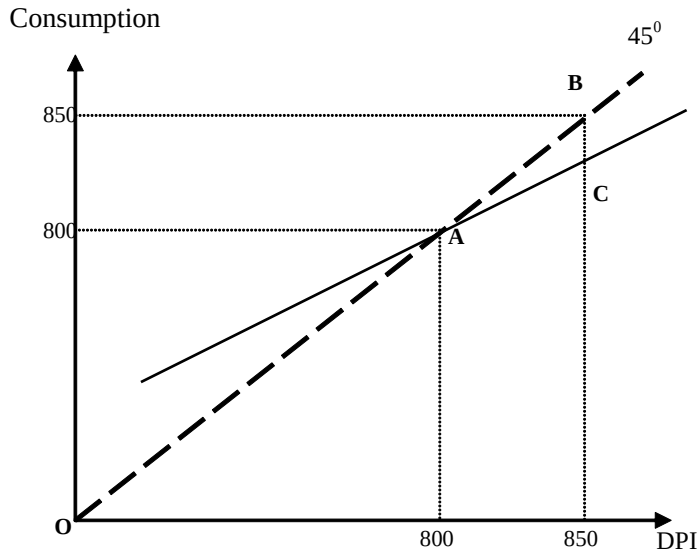
Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ $1 - \text{MPS} = \text{MPC}$**
- ▶ $1 + \text{MPS} = \text{MPC}$
- ▶ $1 / \text{MPS} = \text{MPC}$
- ▶ $1 \times \text{MPS} = \text{MPC}$

(MPS) is the fraction of the additional dollar of disposable income that is Saved. Thus, $\text{MPC} = 1 - \text{MPS}$.

Question No: 39 (Marks: 1) - Please choose one



The above figure shows disposable personal income on the horizontal axis and consumption per period on the vertical axis. Which of the following is TRUE at every point on the 45-degree line?

- ▶ The value of disposable income equals the sum of personal saving and consumption.
- ▶ The value of disposable income equals consumption.
- ▶ The value of disposable income equals personal saving.
- ▶ The value of disposable income and consumption equals 1.

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

- ▶ Reduce the real value of income tax free allowances.
- ▶ Reduce government spending on capital projects.
- ▶ Raise Value Added Tax (VAT).
- ▶ **Start public job training programs.**

Question No: 41 (Marks: 1) - Please choose one

In the long run, sustained inflation is due to:

- ▶ A one-time increase in money growth.
- ▶ **A continuous increase in the money growth rate.**
- ▶ A continuous increase in aggregate demand.
- ▶ The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

The situation when a country imports more than it exports is known as:

- ▶ **A trade deficit.**
- ▶ A trade surplus.
- ▶ An expansion.
- ▶ A recession.

A negative balance of trade, i.e. imports exceed exports. opposite of trade surplus.

Question No: 43 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**
- ▶ Public investment.

Question No: 44 (Marks: 1) - Please choose one

The government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

Question No: 45 (Marks: 1) - Please choose one

In general, personal income taxes:

- ▶ Rise automatically during a recession.
- ▶ **Rise automatically during an expansion.** Not sure
- ▶ Fall automatically during an expansion.
- ▶ Remains same in all phases of economic fluctuations.

Question No: 46 (Marks: 1) - Please choose one

A tax on individual's income is known as:

- ▶ Sales tax.
- ▶ . Excise tax
- ▶ Corporate income tax.
- ▶ **Personal income tax.**

Personal income tax: A tax on individual income. This is the primary source of revenue for the federal government, a big source for many state and local governments. In principle, personal income taxes are progressive, based on a graduated tax scale. However, it's much more proportional today than it was several decades ago.

Question No: 47 (Marks: 1) - Please choose one

Which of the following is TRUE for banks?

- ▶ **They deal with money only.**
- ▶ They deal with shares and assets.
- ▶ They not only deal with money but also create money.
- ▶ They deal with money but do not create money.

Question No: 48 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**

- ▶ Unchanged.
- ▶ Zero.

Question No: 49 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.** Not sure

Question No: 50 (Marks: 1) - Please choose one

To determine whether an economy's output is growing or shrinking, one must keep track of:

- ▶ Changes in nominal GDP.
- ▶ Changes in the growth rate of nominal GDP.
- ▶ Changes in the general price level.
- ▶ **Changes in real GDP.**

Economic growth is increase in an economy's level of production, output or income. We can talk about production or output in two broad definitional contexts. One, we can compare real GDP with some other measure of welfare (for e.g., one which adjusts for externalities, social indicators, the black market, purchasing power parity, income inequality etc.).

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

The demand curve shifts left. Rail and airline travel are substitutes. If the price of a substitute declines, then the demand curve for the substitute product shifts to the left.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ▶ A reduction in unemployment.
- ▶ **An increase in the production of capital goods.**
- ▶ A reduction in discrimination.
- ▶ All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

- ▶ Negative.
- ▶ **Positive.**
- ▶ Zero.
- ▶ Indeterminate from the given information.

As profit is maximized at the point where $MR = MC$, Depending upon the level of **AC at the point where $MR=MC$** , the monopolist might be earn supernormal profits, breaking even or minimizing short run losses.

Question No: 55 (Marks: 3)

Differentiate between the terms flow and stock.

Stocks and those which are flows; these differ in their units of measurement. A stock variable is measured at one specific time, and represents a quantity existing at that point in time, which may have been accumulated in the past. A flow variable is measured over an interval of time. Therefore a flow would be measured per unit of time.

Stocks and flows have different units and are thus not commensurable – they cannot be meaningfully compared, equated, added, or subtracted. However, one may meaningfully take ratios of stocks and flows, or multiply or divide them.

Question No: 56 (Marks: 5)

What should be the optimal role of government in an economy according to the Classical school of thought? Discuss.

Question No: 57 (Marks: 5)

Explain the difference between current account and capital account.

Current account :

Current account is one of the two primary components of the balance of payments, the other being the capital account. It is the sum of the balance of trade (exports minus imports of goods and services).

Current account = balance of trade + net factor income from abroad + net unilateral transfers from abroad

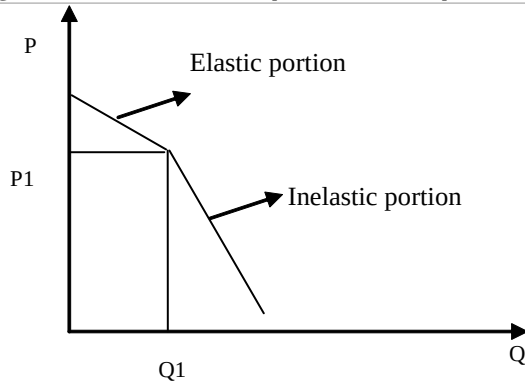
Current account deals with international trade in goods and services and with earnings on investments.

Capital account:

The capital account consists of capital transfers and the acquisition and disposal of non-produced, non-financial assets. A subdivision of the capital account, the financial account records transfers of financial capital and non-financial capital.

The official reserves account, which is part of the financial account, is the foreign currency held by central banks, and is used to pay balance-of-payment deficits. Each account is further divided into sub-accounts.

Question No: 58 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

Question No: 59 (Marks: 10)

The items of balance sheet of State Bank of Pakistan are given as follows:

Forex reserves = Rs. 500

Notes and coins = Rs. 800

Credit to government = Rs. 200

Government and commercial bank deposits = Rs. 300

Credit to private sector = Rs. 700

Liquidity paper = Rs. 300

Prepare the balance sheet in its proper format of asset and liabilities side. Also calculate total assets and total liabilities.

Solution: (this question solved by kash again)

Assets	Liabilities
Forex reserves = Rs. 500	Government and commercial bank deposits = Rs. 300
Credit to government = Rs. 200	Notes and coins = Rs. 800
Credit to private sector = Rs. 700	Liquidity paper = Rs. 300
Total= RS 1400	Total= RS 1400

Question No: 1 (Marks: 1) - Please choose one

_____ If
the quantity supplied of oranges exceeds the quantity demanded then:

- ▶ There is a shortage of oranges.
- ▶ **Market forces will cause the price to fall.**
- ▶ Market forces will cause the price to rise.
- ▶ The market is in equilibrium.

Question No: 2 (Marks: 1) - Please choose one

_____ Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 3 (Marks: 1) - Please choose one

_____ Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $\frac{1}{4}$ then to maximize total utility, a consumer should:

- ▶ Buy more pizzas and fewer jeans.
- ▶ **Buy fewer pizzas and more jeans.**
- ▶ Continue to buy the same quantities of pizza and jeans.
- ▶ Spend more time consuming pizza.

Question No: 4 (Marks: 1) - Please choose one

_____ As
long as all prices remain constant, an increase in money income results in:

- ▶ **An increase in the slope of the budget line.**

- ▶ A decrease in the slope of the budget line.
- ▶ An increase in the intercept of the budget line.
- ▶ A decrease in the intercept of the budget line.

Question No: 5 (Marks: 1) - Please choose one

_____ Ali initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ Fixed costs and variable costs.
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

_____ The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 8 (Marks: 1) - Please choose one

_____ A monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ Any of the given are possible.

Question No: 9 (Marks: 1) - Please choose one

_____ The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ Downward sloping due to the law of diminishing returns.
- ▶ Downward sloping due to the law of supply.

Question No: 10 (Marks: 1) - Please choose one

The

long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ Factors of production (such as labor and capital) increase.
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 11 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ Supply creates its own demand.
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ Direct use by the consumers.
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The

slope of the saving function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.
- ▶ Marginal propensity to consume.

Question No: 14 (Marks: 1) - Please choose one

investment demand curve shows the relationship between the levels of:

The

- ▶ Investment and consumption.
- ▶ Consumption and interest rate.
- ▶ Investment and interest rate.
- ▶ Investment and saving.

Question No: 15 (Marks: 1) - Please choose one

circular flow principle guarantees that in equilibrium:

The

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.
- ▶ The level of aggregate demand will be equal to real Gross Domestic Product.
- ▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

real interest rate will increase:

The

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 17 (Marks: 1) - Please choose one

trend of unemployment over the last forty years is:

The

- ▶ A decrease in unemployment.
- ▶ It has remained largely unchanged.
- ▶ An increase in unemployment.
- ▶ It is too difficult to tell so don't bother.

Question No: 18 (Marks: 1) - Please choose one

Phillips curve will shift to the right:

The

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 19 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ Private sector resource deficit + Government budget deficit.
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.
- ▶ Expenditure and tax revenue.
- ▶ Increase in unemployment.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics, an inflationary gap results if:

In

- ▶ Aggregate expenditures are less than aggregate production.
- ▶ Aggregate expenditures are greater than aggregate production.
- ▶ Aggregate expenditures are equal to aggregate production.
- ▶ There are no changes in inventories.

Question No: 22 (Marks: 1) - Please choose one

accelerator is a related concept which formalizes the investment response to:

The

- ▶ Consumption.
- ▶ Interest rate.
- ▶ Output.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

principle economic difference between a competitive and a non-competitive market is:

The

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 24 (Marks: 1) - Please choose one

The amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ The firm's output is a small fraction of the entire industry's output.
- ▶ The short run market price is determined solely by the firm's technology.

Question No: 25 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ Risk loving.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Rational.

Question No: 26 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

- ▶ Its currency will appreciate.
- ▶ Its currency will depreciate.
- ▶ There will be no effect on its currency.
- ▶ All of the given options can be possible.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements best reflects the implication of law of comparative advantage?

- ▶ Trade between two countries is always to the advantage of both.
- ▶ Trade between two countries can be to the advantage of both even though one may be more productively efficient at producing everything.
- ▶ Trade between two countries is to the advantage of both if countries import only those goods that they are incapable of producing themselves.
- ▶ Trade between two countries is beneficial to both if the exporter uses less resource than the importer would use to produce the same quantity of goods.

Question No: 29 (Marks: 1) - Please choose one

Firm A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200. Which figure has to be used for finding the economy's product?

- ▶ Rs. 500 of firm A.
- ▶ Rs. 700 of firm B.
- ▶ **Rs. 1200 of firm C.**
- ▶ Total of all three Rs. 2400.

Question No: 30 (Marks: 1) - Please choose one

largest contribution in value terms to Pakistan GNP is made by:

- ▶ Construction sector.
- ▶ Organized industries.
- ▶ Unorganized industries.
- ▶ **Agriculture sector.**

The

Question No: 31 (Marks: 1) - Please choose one

National income figures are:

- ▶ Very exact.
- ▶ Practically exact.
- ▶ **Only estimates.**
- ▶ Wrong.

Question No: 32 (Marks: 1) - Please choose one

marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ ΔC to ΔY_d is 0.95.
- ▶ **C / Y_d is 0.95.**
- ▶ ΔY_d to ΔC is 0.95.
- ▶ Y_d / C is 0.95.

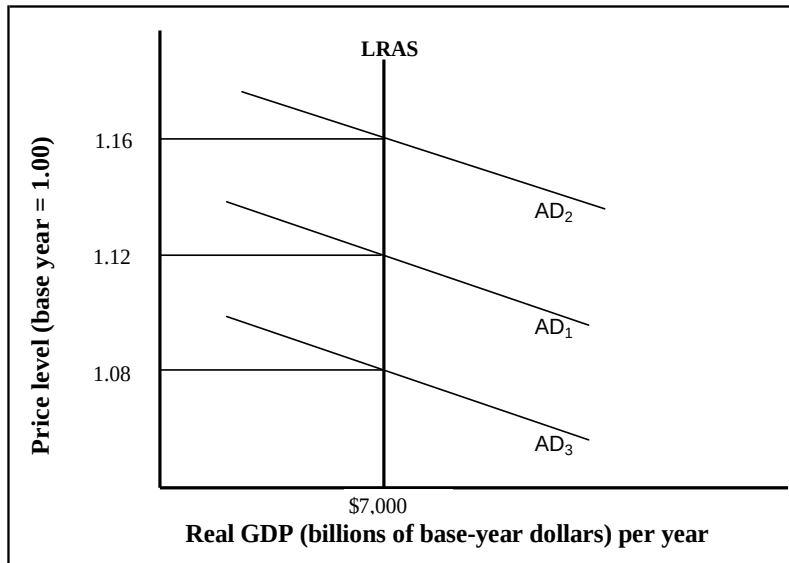
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Question No: 33 (Marks: 1) - Please choose one

Which of the following describes the four sources of aggregate demand?

- ▶ Consumption, private investment, taxes, and expenditures.
- ▶ Consumption, private investment, wage increases, and government expenditures.
- ▶ Consumption, private investment, expenditures, and net exports.
- ▶ **Consumption, private investment, government purchases, and net exports.**

Question No: 34 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ All of the given options.

Question No: 35 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 36 (Marks: 1) - Please choose one

The short run in macroeconomic analysis is a period:

- ▶ In which wages and some other prices do not respond to changes in economic conditions.
- ▶ In which full wage and price flexibility and market adjustment have been achieved.
- ▶ Of less than 12 months.
- ▶ In which all macroeconomic variables are fixed.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is TRUE?

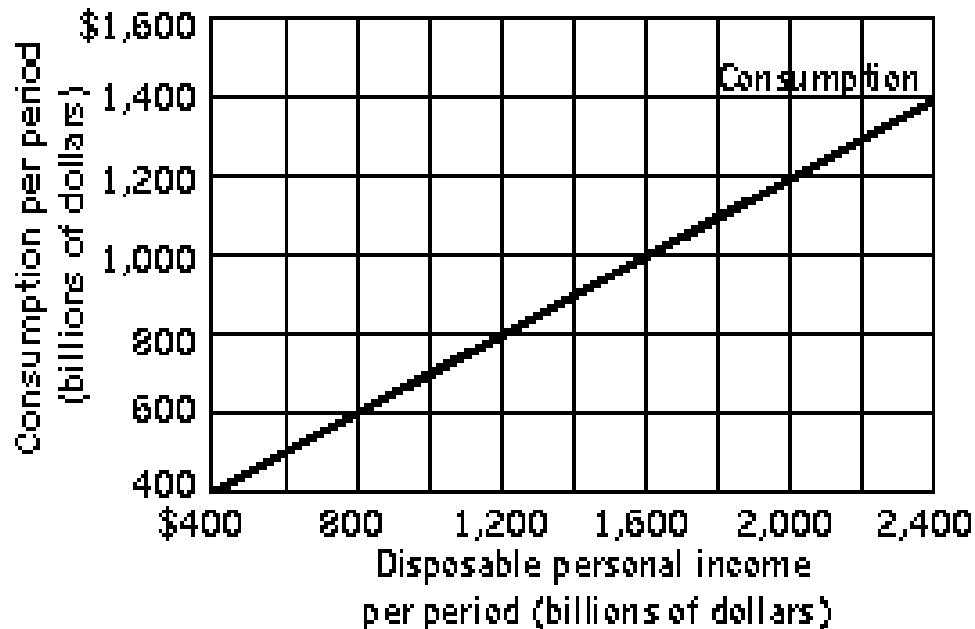
▶ $1 - \text{MPS} = \text{MPC}$

▶ $1 + \text{MPS} = \text{MPC}$

▶ $1 / \text{MPS} = \text{MPC}$

▶ $1 \times \text{MPS} = \text{MPC}$

Question No: 38 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$1,200 billion, consumption is:

▶ \$600 billion.

▶ \$800 billion.

▶ \$1,200 billion.

▶ **\$2,000 billion.**

Question No: 39 (Marks: 1) - Please choose one

Unemployment generally ----- when the "real" GDP grows rapidly.

▶ Remains the same.

▶ Decreases.

▶ **Increases.**

▶ All of the above are possible.

Question No: 40 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

▶ **Consumer tastes for domestic and foreign goods.**

▶ Prices of goods at home and abroad.

▶ Costs of transporting goods from country to country.

▶ All of the given options.

Question No: 41 (Marks: 1) - Please choose one

Free trade is favoured because:

- ▶ Countries have less work to do.
- ▶ It leads to greater world efficiency i.e. resources are better utilized.
- ▶ Wealthier countries gain an advantage over underdeveloped countries.
- ▶ All countries gain from tariff imposition.

Question No: 42 (Marks: 1) - Please choose one

Devaluation is done to:

- ▶ Encourage exports.
- ▶ Discourage exports.
- ▶ Encourage imports.
- ▶ Encourage inflation.

Question No: 43 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

- ▶ It will result in a movement up along the aggregate demand curve.
- ▶ It will reduce aggregate supply.
- ▶ It will reduce aggregate demand.
- ▶ It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 44 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
- II. Cash in your hand.
- III. Checking deposits.
- ▶ I and III.
- ▶ II and III.
- ▶ I only.
- ▶ II only.

Question No: 45 (Marks: 1) - Please choose one

Which of the following is (are) primary function (s) of a central bank?

- IV. Act as a regulator of banks.
- V. Issue government bonds.
- VI. Set monetary policy.
- ▶ I only.
- ▶ I and III.

- ▶ I and II.
- ▶ I, II and III.

Question No: 46 (Marks: 1) - Please choose one

What will be the impact of an increase of \$1 in government purchases?

- ▶ It will shift the expenditure line upward by \$1.
- ▶ It will shift the IS curve to the right by $\$1 / (1 - MPC)$.
- ▶ It will not shift the LM curve.
- ▶ All of the given options.

Question No: 47 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

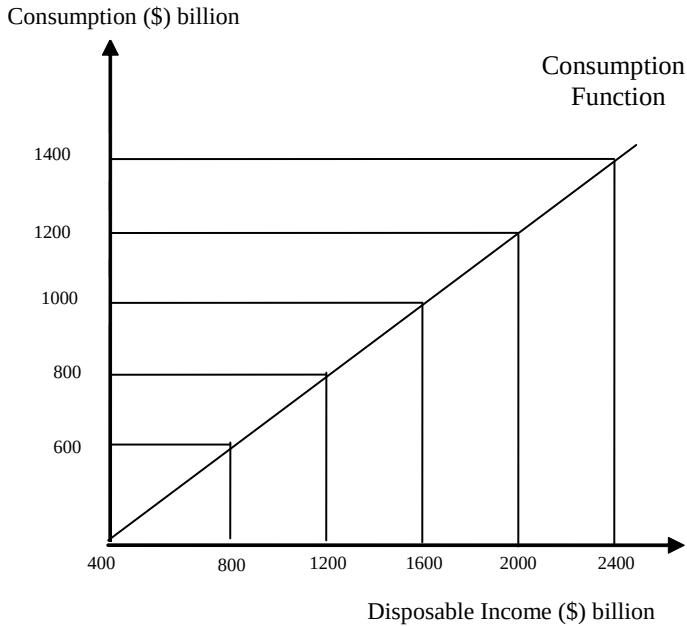
- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ Developing countries.
- ▶ High income countries.

Question No: 48 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- ▶ Higher rates of population growth.
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$2,000 billion:

- ▶ Personal saving is \$1,200 billion.
- ▶ Consumption is \$1,600 billion.
- ▶ Saving is \$800 billion.
- ▶ Consumption is \$800 billion.

Question No: 50 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ▶ One.
- ▶ Two.
- ▶ Three.
- ▶ Four.

Question No: 51 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ▶ It means that some resources are always unemployed.
- ▶ It means that an economy can produce more of one thing only by producing less of something else.
- ▶ It means that opportunity costs are constant.
- ▶ It means that business can sell more when prices are low.

Question No: 52 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

- ▶ There will be a surplus to accumulate.

▶ There will be downward pressure on the current market price.

▶ There will be upward pressure on the current market price.

▶ There will be lower production during the next time period.

Question No: 53 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

▶ For an inferior good.

▶ A substitute good.

▶ For an independent good.

▶ For a normal good.

Question No: 54 (Marks: 1) - Please choose one

Which of the following is TRUE about the marginal product of labour in any production process?

▶ It is total output divided by total labour inputs.

▶ It is total output minus the total capital stock.

▶ It is the change in total output resulting from a 'small' change on the labour input.

▶ It is total output produced by labour inputs.

Question No: 55 (Marks: 3)

What are the different components of aggregate demand? Discuss briefly.

Aggregate demand is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and services in the economy that will be purchased at all possible price levels. There are four components of aggregate demand which are most important:

1. **Consumption:** Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time.
2. **Investment:** Investment (I) or gross capital formation is any economic activity that forgoes consumption today with an eye to increase output in future.
3. **Net Exports:** It is net demand from rest of world for country's output.
4. **Government Spending:** These are gross investments and consumption expenditure done by government.

Question No: 56 (Marks: 5)

Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Difference between GNP and NNP:

- GNP is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country.

$$\text{GNP} = \text{GDP} + \text{net factor income from abroad}$$

- NNP is same application as NDP (National Domestic Product) which equal to GDP minus depreciation. Here, deprecation is amount which spends on capital goods that measure GNP. In other words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers.

Question No: 57 (Marks: 5)

Some economists suggest “growth through resource transfer” and “growth through stabilization and reforms” strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Growth trough resource transfer:

The businesses core resources transfer strategies are having close effect on customer satisfaction, production performance, and personnel expertise of the non-financial performance of business performances; but, these strategies show minor influences on the variance breadth of costs, sales performance, and development performance of business performances. For the growth of it, larger effect exists on the transfer of expertise, organizational learning, reputation and innovation of core resources. However, this strategy shows minor effect on the transfer of brand, management skills, interpersonal relationship, and management.

Growth through stabilization and reforms:

A stabilization strategy centers on addressing people's basic needs and opportunities at the local level by improving their access to basic services, by expanding economic opportunities and by promoting political/civic empowerment. Livelihood, for the purposes of this strategy, is defined as the combination of factors in a community that have a direct impact on the quality of individuals' lives. Those factors include the elements in a community that affect citizen well-being, prosperity, and future choices, such as income, health, education, security, water, small infrastructure and citizen participation.

Question No: 58 (Marks: 10)

(A)

Following are the items of balance sheet of bank A

Loans = 80
Deposits = 100
Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

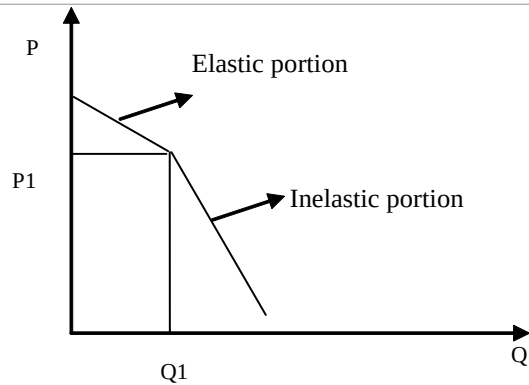
(B) Following are the items of balance sheet of bank A

Loans = 60
Deposits = 110
Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

(Marks: 5+5)

Question No: 59 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

FINAL TERM EXAMINATION
Fall 2009
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ECO401- Economics (Session - 4)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

- ▶ Less than 0.
- ▶ Equal to 0.
- ▶ Greater than 0.
- ▶ **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **Decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

An isoquant curve shows:

► **All the alternative combinations of two inputs that yield the same maximum total product.**

► All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.

► All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.

► None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

► Marginal costs and variable costs.

► **Fixed costs and variable costs.**

► Fixed costs and marginal costs.

► Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

► First-degree price discrimination.

► **Second-degree price discrimination.**

► Third-degree price discrimination.

► None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

► A higher price reduces demand.

► A lower price reduces demand.

► **A higher price reduces quantity demanded.**

► A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

► Elasticity of demand is < 1 .

► **Elasticity of demand is > 1 .**

► Demand is upward-sloping.

► Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

► **Wage.**

► Interest rate.

► Price of output.

- ▶ Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- ▶ Price level and quantity are flexible.
- ▶ Prices would get stuck at a low level.
- ▶ The long run aggregate supply would shift to the left.

▶ Prices and wages are flexible.

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

▶ Direct use by the consumers.

- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

▶ A change in consumption to a change in disposable income.

- ▶ A change in consumption to total disposable income at a specific income level.
- ▶ Total consumption to total disposable income at a specific income level.
- ▶ Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.**
- ▶ Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

- ▶ Structural Unemployment.
- ▶ Regional Unemployment.
- ▶ Frictional Unemployment.**

- ▶ Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

- ▶ **An increase in costs of production.**
- ▶ An increase in productive capacity.
- ▶ An increase in the level of direct taxation.
- ▶ An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

- ▶ Increase Government expenditure and decrease taxes to decrease aggregate demand.
- ▶ Increase Government expenditure and decrease taxes to increase aggregate demand.
- ▶ Decrease Government expenditure and increase taxes to increase aggregate demand.

▶ Decrease Government expenditure and increase taxes to decrease aggregate demand.

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ Can be normal or inferior.
- ▶ **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ **Both prices and output to rise.**
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE according to classical economists?

▶ **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**

▶ Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

▶ Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

▶ Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 22 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

▶ Because it is difficult to measure the prices of intermediate goods produced.

▶ Because these are the only goods and services that are purchased in an economy.

▶ **Because counting all goods and services would lead to double-counting of many activities.**

▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 23 (Marks: 1) - Please choose one

----- plays an important role in making sure that the economy reaches and stays at equilibrium at the potential output level.

▶ Real exchange rate.

▶ The production function.

▶ Real price level.

▶ **Real interest rate.**

Question No: 24 (Marks: 1) - Please choose one

Why a \$1 increase in government spending will have a larger impact upon national income than a \$1 tax cut?

▶ Because the government prints the currency it spends.

▶ **Because not all of the tax cut is spent.**

▶ Because when taxes are cut, government spending is also cut.

▶ Because taxes are an injection into the system.

Question No: 25 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

▶ **State bank of Pakistan.**

▶ National bank of Pakistan.

▶ Finance minister of Pakistan.

▶ World bank.

Question No: 26 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

- ▶ Two countries produce the same goods at the same costs.
- ▶ **Two countries produce different goods at different costs.**
- ▶ Two countries are isolated.
- ▶ Two countries have the same markets.

Question No: 27 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ **$1000+1500+2500 = \text{Rs. } 5000$**
- ▶ $1000+500+2500 = \text{Rs. } 4000$
- ▶ $1000+500+1000 = \text{Rs. } 2500$
- ▶ $1000+1500+1000 = \text{Rs. } 3500$

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines “subsidies”?

- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
- ▶ Payment by companies to share holders.
- ▶ **Payment by Government to business enterprises without buying any goods and services.**

Question No: 29 (Marks: 1) - Please choose one

National product at market prices incorporate:

- ▶ **Prices which buyers actually pay.**
- ▶ Payments made to the factor owners.
- ▶ Costs incurred in producing goods and services.
- ▶ Costs minus subsidies.

Question No: 30 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ **$\Delta C \text{ to } \Delta Y_d \text{ is } 0.95.$**
- ▶ C / Y_d is 0.95.
- ▶ $\Delta Y_d \text{ to } \Delta C$ is 0.95.
- ▶ Y_d / C is 0.95.

Question No: 31 (Marks: 1) - Please choose one

When MPC is 0.80 and APC is 0.95 then MPS is:

- ▶ **0.20 and APS is 0.05.**
- ▶ 0.05 and APS is 0.20.
- ▶ 0.20 and APS is 0.20.
- ▶ 0.05 and APS is 0.05.

Question No: 32 (Marks: 1) - Please choose one

Which of the following are leakages from the circular flow?

- ▶ Consumption and saving.
- ▶ **Saving and imports.**
- ▶ Imports and exports.
- ▶ Exports and savings.

Question No: 33 (Marks: 1) - Please choose one

The time that a laborer uses for relaxation and all activities other than work or necessary sleep is known as:

- ▶ Free time.
- ▶ **Leisure.**
- ▶ Time not used for earning.
- ▶ All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

The government supports research in basic science because:

- ▶ It is a public good.
- ▶ External costs are created.
- ▶ **Internal benefits are created.**
- ▶ Free markets would do so otherwise.

Question No: 36 (Marks: 1) - Please choose one

In classical theory, excess supply of a product would be associated with:

- ▶ Rising interest rates.
- ▶ Falling interest rates.
- ▶ **Rising price for the product.**
- ▶ Falling price for the product.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

- ▶ Domestic and foreign incomes.
- ▶ Relative price levels.
- ▶ Domestic and foreign trade policies.
- ▶ **Producers' expectations about future prices.**

Question No: 38 (Marks: 1) - Please choose one

A trade surplus occurs when:

- ▶ A country's firms open more stores abroad than foreign firms open in the country.
- ▶ **A country sells more abroad than it purchases from abroad.**
- ▶ Foreign firms open more stores in a country than the country opens in foreign countries.
- ▶ A country purchases more from abroad than other countries purchase from it.

Question No: 39 (Marks: 1) - Please choose one

A change from \$1.00 = Rs. 80.00 to \$1.00 = Rs. 85.00 represents:

- ▶ Depreciation of the dollar.
- ▶ An appreciation of the dollar.
- ▶ An appreciation of the rupee.
- ▶ **None of the given options.**

Question No: 40 (Marks: 1) - Please choose one

There is an increase in the economy's potential output when there is:

- ▶ An increase in government spending.
- ▶ A decrease in government spending.
- ▶ **An increase in the economy's capital stock.**
- ▶ An increase in the economy's depreciation rate.

Question No: 41 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 42 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ **High birth rate and low death rate.**
- ▶ Higher standard of living.

Question No: 43 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

- ▶ Efficiency.
- ▶ **Equity.**
- ▶ Progressive tax.
- ▶ Regressive tax.

Question No: 44 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ **Laffer curve.**
- ▶ Demand curve.
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 45 (Marks: 1) - Please choose one

The optimum tax rate in which government revenue is maximized lies somewhere between:

- ▶ 0% and 1%.
- ▶ **0% and 50%.**
- ▶ 50% and 100%.
- ▶ 0% and 100%.

Question No: 46 (Marks: 1) - Please choose one

Money is defined as an item that:

- ▶ **Serves as a medium of exchange for goods and services.**
- ▶ Can be converted into silver with relatively little loss in value.
- ▶ Can be converted into gold with relatively little loss in value.
- ▶ Facilitates a connecting link between credit instruments and debt instruments.

Question No: 47 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- ▶ Quota.
- ▶ **Tariff.**
- ▶ Non-tariff barrier.
- ▶ Trade embargo.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- ▶ **Vicious circle of poverty.**
- ▶ High level of investment.
- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

- ▶ It can be used if and only if individuals are not risk-loving.
- ▶ It can be used if and only if individuals are risk averse.
- ▶ It can be used if and only if individuals are risk neutral.
- ▶ **It can be used no matter what a person's preference to risk.**

Question No: 50 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

- ▶ Positive, negative.
- ▶ Negative, normative.
- ▶ Normative, positive.
- ▶ **Positive, normative.**

Question No: 51 (Marks: 1) - Please choose one

What will happen to the demand for product X, if there is an increase in consumer's income?

- ▶ It will necessarily remain unchanged.
- ▶ It will shift to the right if X is a complementary good.
- ▶ **It will shift to the right if X is a normal good.**
- ▶ It will shift to the right if X is an inferior good.

Question No: 52 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- ▶ **Output is being produced at minimum cost.**
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 53 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a firm will never operate?

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

A. Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

a) What is interest parity condition?

b) When does this condition hold?

c) What is the equation of this condition?

d) What will happen if the equality of the condition does not hold?

(Marks: 2+2+2+4)

FINAL TERM EXAMINATION

Spring 2009

ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

In a free-market economy, the allocation of resources is determined by:

- ▶ Votes taken by consumers.
- ▶ A central planning authority.
- ▶ **Consumer preferences.**
- ▶ The level of profits of firms.

Question No: 2 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ **Increasing opportunity cost for both goods.**
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 3 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**

- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 4 (Marks: 1) - Please choose one

The supply curve is upward-sloping because:

- ▶ As the price increases, consumers demand less.
- ▶ As the price increases, suppliers can earn higher levels of profit or justify higher marginal costs to produce more.
- ▶ None of the given options.
- ▶ As the price increases, so do costs.

Question No: 5 (Marks: 1) - Please choose one

When an industry's raw material costs increase, other things remaining the same:

- ▶ The supply curve shifts to the right.
- ▶ Output increases regardless of the market price and the supply curve shifts upward.
- ▶ Output decreases and the market price also decrease.
- ▶ The supply curve shifts to the left.

Question No: 6 (Marks: 1) - Please choose one

When the price of petrol rises by 12%, the quantity of petrol purchased falls by 8%. This shows that the demand for petrol is:

solution= $P_{ed} = \frac{\% \text{ change in } Q \text{ demand}}{\% \text{ change in } Q \text{ Price}} = \frac{10\%}{12\%} = 0.5$
where $e > 1$ elastic

$e < 1$ inelastic

- ▶ Perfectly elastic.
- ▶ Unit elastic.
- ▶ Elastic.
- ▶ Inelastic.

Question No: 7 (Marks: 1) - Please choose one

Suppose price rises from \$15 to \$17 and quantity demanded decreases by 20%. We can conclude:

- ▶ Demand is unitary elastic.
- ▶ Demand is elastic.
- ▶ The elasticity of demand is 2.
- ▶ Total revenue will decrease.

Question No: 8 (Marks: 1) - Please choose one

"Utility" is most closely related to the term:

- ▶ Useless.
- ▶ Require.
- ▶ Necessary.
- ▶ Satisfaction.

Question No: 9 (Marks: 1) - Please choose one

When the marginal utility of a good is zero, this implies that:

► The consumer would not spend any additional income to buy more of that good.

- Consumption of additional units would have positive marginal utility.
- Total utility is minimized.
- Total utility is also zero.

Question No: 10 (Marks: 1) - Please choose one

When the substitution effect of a lowered price is counteracted by the income effect, the good in question is:

► An inferior good.

- A substitute good.
- An independent good.
- A normal good.

Question No: 11 (Marks: 1) - Please choose one

Diminishing marginal returns implies:

- Decreasing marginal costs.
- Increasing marginal costs.
- Decreasing average variable costs.
- Decreasing average fixed costs.

Question No: 12 (Marks: 1) - Please choose one

A graph showing all the combinations of capital and labour available for a given total cost is the:

- Budget constraint.

- ▶ Expenditure set.
- ▶ Isoquant.
- ▶ Isocost.

Question No: 13 (Marks: 1) - Please choose one

When an isocost line is just tangent to an isoquant, we know that:

- ▶ Output is being produced at minimum cost.
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 14 (Marks: 1) - Please choose one

In order for a taxicab to be operated in New York City, it must have a medallion on its hood. Medallions are expensive but can be resold and are therefore an example of: mid question

- ▶ A fixed cost.
- ▶ A variable cost.
- ▶ An implicit cost.
- ▶ An opportunity cost.

Question No: 15 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ Has no close substitutes.
- ▶ Can be easily duplicated.

Question No: 16 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 17 (Marks: 1) - Please choose one

The oligopoly model which predicts that oligopoly prices will tend to be very rigid is the:

- ▶ Cournot model.
- ▶ Cobweb model.
- ▶ Dominant firm model.
- ▶ **Kinked demand model.**

Question No: 18 (Marks: 1) - Please choose one

The kinked demand curve model is based on which of the following assumptions?

- ▶ Each firm considers its rival's output to be fixed.
- ▶ Each firm considers its rival's price to be fixed.
- ▶ **Each firm believes rival will match all price changes.**
- ▶ None of the given options.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is NOT conducive to the successful operation of a cartel?

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ **Cartel members have substantial cost advantages over non-member producers.**
- ▶ The supply of non-cartel members is very price elastic.

Question No: 20 (Marks: 1) - Please choose one

Cartels are:

- ▶ **Organizations of independent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ Organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ Organizations of independent firms, producing different products, that work together to raise prices and restrict output.
- ▶ Considered as part of monopolistic competition.

Question No: 21 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 22 (Marks: 1) - Please choose one

A reason why some economists basically ignore the short run is because they believe that the economy:

- ▶ **Has self-correcting mechanisms. (no sure)**
- ▶ Can only be graphed with a horizontal curve.
- ▶ Never needs correction.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

The long run aggregate supply curve will shift to the right if:

- ▶ The price level increases.
- ▶ **Factors of production (such as labor and capital) increase.**
- ▶ Expenditures (such as consumption and net exports) increase.
- ▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 24 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- ▶ The best government is the least government.
- ▶ **Flexible wages and prices ensure full employment.**
- ▶ Monetary policy is far superior to fiscal policy.
- ▶ Business-cycle instability is best corrected through government policies.

Question No: 25 (Marks: 1) - Please choose one

The economic analysis most closely related to Say's Law is:

- ▶ Short-run aggregate market.
- ▶ Production possibilities.
- ▶ Imperfect competition.
- ▶ Circular flow.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is NOT a reason of downward slope of aggregate demand curve?

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ **The classical dichotomy / monetary neutrality effects.**
- ▶ The interest-rate effect.

Question No: 27 (Marks: 1) - Please choose one

The upward-sloping aggregate supply curve indicates that:

▶ **As firms increase their level of output, the cost of producing an extra unit increases.**

▶ An increase in aggregate demand causes little, if any increase in real output the economy is operating in the long run.

▶ Any increase in aggregate demand causes the output of producers to fall because the general price level rises.

- ▶ None of the given options.

Question No: 28 (Marks: 1) - Please choose one

An important difference between the Classical and Keynesian approaches to achieve a macroeconomic equilibrium is that:

▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.

▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.

▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.

▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 29 (Marks: 1) - Please choose one

According to classical economists, the:

▶ Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.

▶ Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

▶ Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

▶ Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 30 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

▶ Three.

► Four.

► Five.

► Six.

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a flow variable?

► The value of the house in which you live.

► The balance in your savings account.

► **Your monthly consumption on food items.**

► The number of carrots in your refrigerator at the beginning of the month.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

► Government debt.

► **Capital.**

► The amount of money held by the public.

► Inventory investment.

Question No: 33 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

$\text{delta consumption} / \text{delta income} = 40/50 = .8$

► 0.2.

► 0.4.

► 0.6.

► **0.8.**

Question No: 34 (Marks: 1) - Please choose one

Which of the following plays the key balancing role in making sure that the economy reaches and stays at equilibrium at the potential output level?

► Real exchange rate.

► The production function.

► Real price level.

► Real interest rate.

Question No: 35 (Marks: 1) - Please choose one

If injections are less than withdrawals at the full-employment level of income then there arises:

► A deflationary gap.

► Hysteresis.

► Hyperinflation.

► An inflationary gap.

Question No: 36 (Marks: 1) - Please choose one

The labour force is made up of:

► The number of people employed minus the number of people unemployed.

► **The number of people employed plus the number of people unemployed.**

- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 37 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following will result if there is a decrease in aggregate demand?

- ▶ Expansion; inflation.
- ▶ Recession; deflation.
- ▶ Expansion; deflation.
- ▶ Recession; inflation.

Question No: 39 (Marks: 1) - Please choose one

A decrease in the natural rate of unemployment will:

- ▶ Shift the Phillips curve to the left.
- ▶ Result in a decrease in the inflation rate along the Phillips curve.
- ▶ **Shift the Phillips curve to the right.**
- ▶ Result in an increase in the inflation rate along the Phillips curve.

Question No: 40 (Marks: 1) - Please choose one

The Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ **If there is a decrease in the natural rate of unemployment.**
- ▶ If there is a favorable supply shock.

Question No: 41 (Marks: 1) - Please choose one

If a country has flexible exchange rate and has more rapid inflation rate than other countries, its currency will:

- ▶ Appreciate.
- ▶ **Depreciate.**
- ▶ Not effect.
- ▶ All of the given are possible.

Question No: 42 (Marks: 1) - Please choose one

The nominal exchange rate is defined as the:

- ▶ Market on which currencies of various nations are traded for one another.
- ▶ Price of one unit of foreign good in terms of domestic good.
- ▶ **Price of one unit of foreign currency in terms of domestic currency.**
- ▶ All of the given options.

Question No: 43 (Marks: 1) - Please choose one

Current account deficit is equal to:

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ **Private sector resource deficit + Government budget deficit.**
- ▶ None of the given options.

Question No: 44 (Marks: 1) - Please choose one

In the exogenous growth model, if investment exceeds depreciation, the capital stock will -----
- and output will----- until the steady state is attained.

▶ **Increase; increase.**

- ▶ Increase; decrease.
- ▶ Decrease; decrease.
- ▶ Decrease; increase.

Question No: 45 (Marks: 1) - Please choose one

Endogenous growth theory differs in what essential aspect from the Solow theory of economic growth?

▶ Endogenous growth theory is a monetary theory whereas the Solow theory is a
real theory.

▶ Endogenous growth theory assumes diminishing returns to capital and the Solow theory
assumes constant returns.

▶ **In endogenous growth theory, economies with the same technology
and saving rate need not converge to the same steady state as in the Solow
model.**

- ▶ All of the given options are correct.

Question No: 46 (Marks: 1) - Please choose one

A currency appreciation should:

- ▶ Reduce net exports and therefore increase aggregate demand.
- ▶ Raise net exports and therefore decrease aggregate demand.
- ▶ Reduce net exports and therefore decrease aggregate demand.
- ▶ **Raise net exports and therefore increase aggregate demand.**

Question No: 47 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 48 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

- ▶ **State bank.**
- ▶ National bank.
- ▶ Finance minister.
- ▶ World bank.

Question No: 49 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ An increase in the price of imported computers.
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ **A fall in the price of imported computers.**
- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 50 (Marks: 1) - Please choose one

An example of hysteresis having a negative effect on a country's economy would be:

- ▶ Hyperinflation caused by excessive demand.
- ▶ Nervous investors selling all their shares, causing the stockmarket to crash.
- ▶ **Unemployed workers not taking available jobs.**
- ▶ Women being kept out of jobs traditionally held by men.

Question No: 51 (Marks: 5)

Briefly discuss the concept of comparative advantage with the help of example.

Question No: 52 (Marks: 10)

A. Differentiate between Marginal Propensity to Consume (MPC) and Marginal Propensity to Save (MPS).

B. Suppose a household has the consumption function (C) presented in the figure given below:

- a. Find consumption when disposable income is \$8,000 and \$10,000.
- b. Find consumption when disposable income is \$ 6,000. How can a household consume more than its disposable income?
- c. What is true for every point on the 45° line?

(Marks: 4+6)

Question No: 53 (Marks: 10)

Define M0 and M1. Briefly discuss the three broad motives of holding money.

(Marks:4+6)

Question No: 54 (Marks: 10)

Recall the Equation of Quantity theory of money and calculate the missing figure in each of the following cases:

- a) Money supply (M) =100, Price (P) = 3 and real output (Q) = 200. Calculate the missing figure.
- b) Velocity of money (V) = 4, Price (P) = 5 and output (Q) =100. Calculate the missing figure.
- c) Money supply (M) = 200, velocity of money (V) = 7 and output (Q) = 700. Calculate the missing figure.
- d) Money supply (M) =150, velocity of money (V) = 8, Price level (P) = 3. Calculate the missing value.

(Marks: 2.5 each)

FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 1)

Ref No: 1375585

Time: 90 min

Marks: 69

Student Info	
StudentID:	
Center:	OPKST
ExamDate:	07 Aug 2010

[illegible]

Question No: 1 (Marks: 1) - Please choose one

A

good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

At

the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

Question No: 3 (Marks: 1) - Please choose one

A

graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.
- ▶ **Isocost.**

Question No: 4 (Marks: 1) - Please choose one

The

supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ **Its marginal cost curve above the minimum point of the average variable cost curve.**
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 5 (Marks: 1) - Please choose one

A

perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ Price = Marginal Cost.
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ **Price < Marginal Cost.**

Question No: 6 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 7 (Marks: 1) - Please choose one

Value of Marginal Product of Labor (VMP_L) is equal to:

- ▶ MPP_L / P_i .
- ▶ MPP_L .
- ▶ P_i .
- ▶ **$MPP_L \times P_i$.**

Question No: 8 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 9 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- ▶ Price level and quantity are flexible.
- ▶ Prices would get stuck at a low level.
- ▶ The long run aggregate supply would shift to the left.
- ▶ **Prices and wages are flexible.**

Question No: 10 (Marks: 1) - Please choose one

An assumption of classical economics is:

- ▶ Investment and saving are seldom equal.

- ▶ Self-correction takes a long time.
- ▶ Demand creates its own supply.
- ▶ **Prices and wages are flexible.**

Question No: 11 (Marks: 1) - Please choose one

Gross Domestic Product is:

- ▶ A stock variable.
- ▶ **A flow variable.**
- ▶ Both a stock and a flow variable.
- ▶ Neither a stock nor a flow variable.

Question No: 12 (Marks: 1) - Please choose one

_____ The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ **The number of people employed plus the number of people unemployed.**
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 13 (Marks: 1) - Please choose one

_____ A government wishing to reduce a deficit on the current account of their balance of payments through the use of fiscal policy would be most likely to:

- ▶ Raise direct taxation.
- ▶ Introduce an import quota.
- ▶ Raise interest rates.
- ▶ **Reduce the rate of value added tax on all goods and services.**

Question No: 14 (Marks: 1) - Please choose one

_____ If imports = exports, then we have:

- ▶ Current account balance.
- ▶ Capital account balance.
- ▶ Statistical discrepancy.
- ▶ **Balanced Budget.**

Question No: 15 (Marks: 1) - Please choose one

_____ The principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.

- ▶ **The extent to which any firm can influence the price of the product.**
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 16 (Marks: 1) - Please choose one

Disposable Income is obtained by subtracting ----- from personal income.

- ▶ Indirect Taxes.
- ▶ **Direct Taxes.**
- ▶ Both direct and indirect taxes.
- ▶ Subsidies.

Question No: 17 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

- ▶ Equal to price.
- ▶ **Equal to average cost.**
- ▶ Less than price.
- ▶ More than price.

Question No: 18 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
- ▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 19 (Marks: 1) - Please choose one

Suppose an economy is at full employment equilibrium in the classical model. What will be the long run effect of an increase in government spending in this economy?

- ▶ Price level will increase.
- ▶ The aggregate demand curve will shift upward.
- ▶ Output level will remain constant.
- ▶ **All of the given options.**

Question No: 20 (Marks: 1) - Please choose one

This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

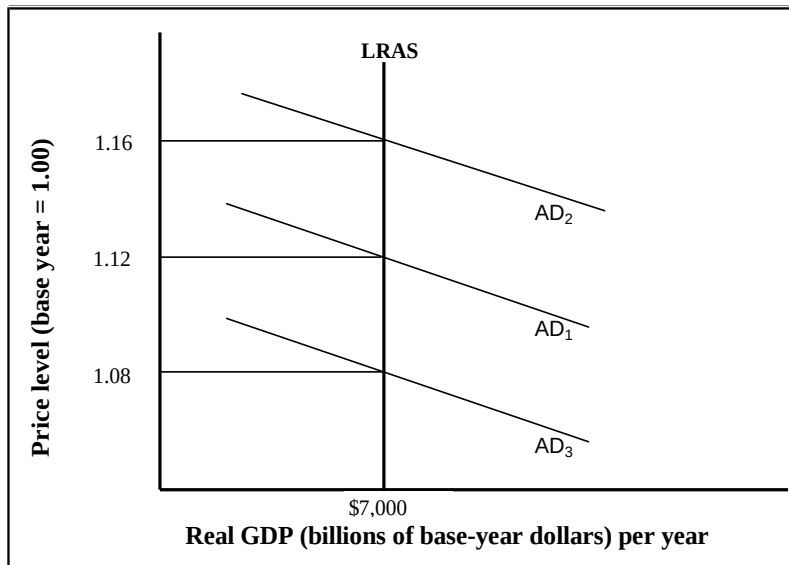
- ▶ **Rs. 700 billion.**
- ▶ Rs. 650 billion.
- ▶ Rs. 600 billion.
- ▶ Rs. 300 billion.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is an example of an injection?

- ▶ **Taxes.**
- ▶ Saving.
- ▶ Imports.
- ▶ Investment.

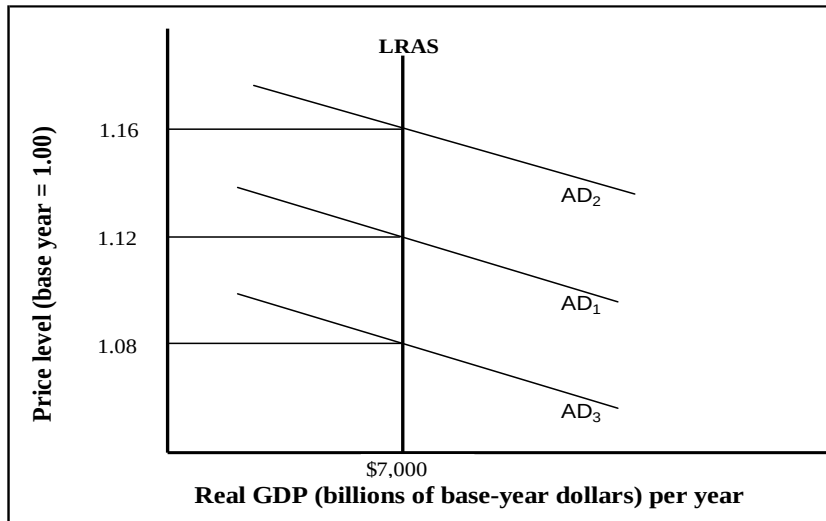
Question No: 22 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ **All of the given options.**

Question No: 23 (Marks: 1) - Please choose one



Refer to the above figure, if the real GDP is \$7,000 billion and the implicit price deflator is 1.16, what is the value of nominal GDP?

- ▶ \$6,034 billion.
- ▶ \$8,120 billion.
- ▶ \$9,120 billion.
- ▶ **Cannot be determined from the given information.**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ Accelerator coefficient = Marginal capital / output ratio.
- ▶ Accelerator coefficient > Marginal capital / output ratio.
- ▶ Accelerator coefficient < Marginal capital / output ratio.
- ▶ **None of the given options.**

Question No: 25 (Marks: 1) - Please choose one

Which of the following predictions can be made using the growth rates associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (Y_P) in the long run?

- ▶ **If the money supply grows at a faster rate than growth in Y_P , there will be inflation.**
- ▶ If the money supply grows at the same rate as growth in Y_P , the price level will fall and there will be deflation.
- ▶ If the money supply grows at the same rate as growth in Y_P , the price level will also increase at the same rate as growth in Y_P .
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

- ▶ All of the given options.

- ▶ **Consumer tastes for domestic and foreign goods.**
- ▶ Prices of goods at home and abroad.
- ▶ Costs of transporting goods from country to country.

Question No: 27 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$100, what is the amount of personal saving?

- ▶ **-\$40.**
- ▶ -\$20
- ▶ \$0.
- ▶ \$20.

Question No: 28 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ **\$20.**

Question No: 29 (Marks: 1) - Please choose one

The price of one unit of foreign good in terms of domestic good is known as:

- ▶ Inflation rate.
- ▶ **Real exchange rate.**
- ▶ Nominal exchange rate.
- ▶ Discount rate.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.
- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

- ▶ Improved rate of capital formation.
- ▶ **Increase in money supply.**
- ▶ Increase in investment in education and training.
- ▶ Rapid technical progress.

Question No: 32 (Marks: 1) - Please choose one

money multiplier is the reverse of:

- ▶ Legal reserves.
- ▶ Excess reserves.
- ▶ Checkable deposits.
- ▶ **The reserve ratio.**

The

Question No: 33 (Marks: 1) - Please choose one

primary function of a central bank is to:

- ▶ Regulate dividend payments by corporations.
- ▶ Control the bond market.
- ▶ **Set monetary policy.**
- ▶ Publish statistics on banking and related financial matters.

A

Question No: 34 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 35 (Marks: 1) - Please choose one

curve shows the equilibrium in:

IS

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is TRUE for investment function and the IS curve slope?

- ▶ It is upward because higher interest rates induce more investment.
- ▶ It is upward because higher interest rates induce less investment.
- ▶ It is downward because higher interest rates induce more investment.
- ▶ **It is downward because higher interest rates induce less investment.**

Question No: 37 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

Question No: 38 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 39 (Marks: 1) - Please choose one

What will happen if current output is less than the profit-maximizing output?

- ▶ **The next unit produced will decrease profit.**
- ▶ The next unit produced will increase cost more than it increases revenue.
- ▶ The next unit produced will increase revenue more than it increases cost.
- ▶ The next unit produced will increase revenue without increasing cost.

Question No: 40 (Marks: 1) - Please choose one

In which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ **When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**
- ▶ When there are many firms producing the same product.

- ▶ In all of the given situations.

Question No: 41 (Marks: 1) - Please choose one

Concentration ratio is used to assess:

- ▶ **The level of competition in an industry.**
- ▶ The degree of control over prices.
- ▶ The technological gaps between the firms.
- ▶ Marginal cost and marginal benefit analysis.

Question No: 42 (Marks: 1) - Please choose one

an increase in price increases the total revenue then:

If

- ▶ **Demand is elastic.**
- ▶ Demand is inelastic.
- ▶ Supply is elastic.
- ▶ Supply is inelastic.

Question No: 43 (Marks: 1) - Please choose one

Revaluation of the currency encourages:

- ▶ Imports.
- ▶ **Exports.**
- ▶ Poverty.
- ▶ Inflation.

Question No: 44 (Marks: 1) - Please choose one

Growth rate of total output is equal to:

- ▶ Growth rate of per capita income - Growth rate of population.
- ▶ Growth rate of population / Growth rate of per capita income.
- ▶ **Growth rate of population + Growth rate of per capita income.**
- ▶ Growth rate of population - Growth rate of per capita income.

Question No: 45 (Marks: 1) - Please choose one

Government can borrow from domestic banking system or general public by selling:

- ▶ Shares of any of its institute.
- ▶ Stocks.
- ▶ **Treasury bills.**
- ▶ Debentures.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an equilibrium condition in goods market?

- ▶ Investment = Saving.
- ▶ **Money supply = Money demand.**
- ▶ Aggregate demand = $C + I + G + NX$.
- ▶ Aggregate demand = Aggregate supply.

Question No: 47 (Marks: 1) - Please choose one

the exchange rate is fixed, expansionary fiscal policy would not have any:

If

- ▶ Investment multiplier effect.
- ▶ Crowding out effects.
- ▶ **Government spending effect .**
- ▶ None of the given options.

Question No: 48 (Marks: 1) - Please choose one

common characteristics of a developing country is:

The

- ▶ **High growth rate.**
- ▶ High literacy rate.
- ▶ Skilled labor.
- ▶ High unemployment rate.

Question No: 49 (Marks: 3)

Define balance of payment (BOP). How the BOP can be determined?

Answer:

A BOP is a sheet in other words an account sheet which is an accounting record of all monetary transactions between a country and the rest of the world.

These transactions include

→ Payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

The BOP summarizes international transactions for a specific period, usually a year, and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:

Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.

Deficit items:

Uses of funds, such as for imports or to invest in foreign countries, are recorded as a negative or deficit item.

It can be determined if we see the things in both perspective. In other words it is a non-complicated way, let's assume that we have two countries Pakistan and United States and things are viewed from Pakistan point of view.

For this purpose we must know the market for foreign exchange. Foreign exchange in a Pakistani context means US \$ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

Money demand M_d increases with income levels.

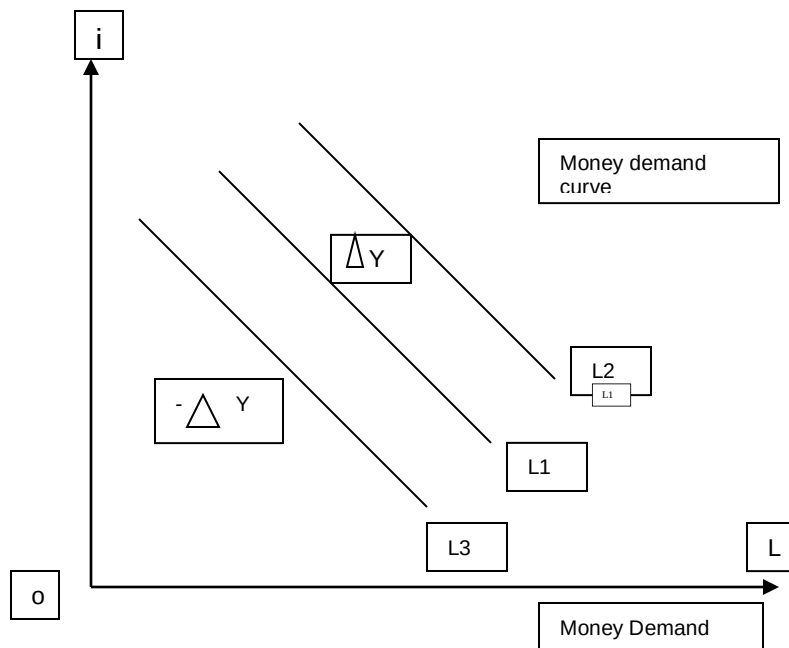
Money demand M_d falls with interest rates.

In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.

So this implies to the demand of real money.

Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

As you can see from the diagram where money demand is on the x-axis and income is on the y-axis, and there are various levels shown like L_1, L_2, L_3 .



Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **“Economic Deflation”**

Economic Deflation says When a country’s national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.

The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.

However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devalue or “devaluation”.

Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.

A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level,

i.e. a level consistent with international competitiveness.

Competitiveness is simply defined as the real exchange rate RER, where $RER = (P_f/P_d) \times NER$.
Where

NER → Nominal Exchange rate

P_f → is the price level prevailing in the foreign country (US)

P_d → is the price level prevailing in the home country (Pakistan).

The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative to the US), Pakistani exports will become less attractive in the international market. As a result, our exports will fall, and current account will go into deficit.

To fix this problem, the NER can be devalued so as to make our goods cheaper and competitive and it is to bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription.

Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)

+ → Incoming FDI, FPI or other private capital

- → Outgoing FDI, FPI or other private capital

+ → Borrowing, aid inflows

- → Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

- a) Unemployment → **Stock**
- b) Redundancies (job lay-offs) → **Flow**
- c) Profits → **Flow**
- d) A firm's stock market valuation (share price) → **Stock**
- e) The value of property after a period of inflation → **Stock**

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Ans:

World Bank has suggested following policies for the poor countries to grow,

1. **Governance and administrative reforms:** To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.
2. **Privatization of state-owned enterprises:** Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering from lack of competition, cost awareness and fear of bankruptcy.
3. **Financial liberalization:** It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation
4. **Liberalization of prices, removal of subsidies**
5. **Deregulation involving dismantling of licensing systems and red-tape**
6. **Trade liberalization:** including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof
7. **FDI liberalization:** To create a transparent, predictable environment for foreign investors to operate in.
8. **Capital account liberalization:** To remove controls on capital flows

These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.

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FINALTERM EXAMINATION

Spring 2010

ECO401- Economics (Session - 1)

Ref No:

Time: 90 min

Marks: 69

Student Info	
StudentID:	
Center:	
ExamDate:	08 Aug 2010

[illegible]

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ **Income elasticity of demand.**
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ **Encourage workers to retire earlier.**

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ **Hire more labor.**
- ▶ Hire less labor.
- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

An increase in the wage rate:

- ▶ **Will usually lead to more people employed.**
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.

- ▶ The real exchange rate.
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ The business and government sectors.

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

Labor	Total output
1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ 60.

Question No: 15 (Marks: 1) - Please choose one

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ The classical dichotomy / monetary neutrality effects.
- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

▶ Because it is difficult to measure the prices of intermediate goods produced.

▶ **Because these are the only goods and services that are purchased in an economy.**

▶ Because counting all goods and services would lead to double-counting of many activities.

▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

▶ Personal saving and private investment.

▶ Personal saving and personal consumption.

▶ Personal consumption and personal income.

▶ **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

▶ M has no effect on the price level.

▶ **V is the number of times each dollar is spent per year.**

▶ Q is the real price level.

▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

▶ **If labor force is fully employed.**

▶ If price level is stable.

▶ If trade balance is zero.

▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

▶ A higher output level than before.

▶ **The same output level as before.**

▶ A lower output level than before.

▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ **The same steady state.**
- ▶ Their own steady state.
- ▶ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ **With economic fluctuations; it increases during bad times and decreases during good times.**
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ **3%.**
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ **Demand curve.**
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ **Investment curve.**

Question No: 32 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- ▶ **Small.**

- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ **If it can produce a good at a lower opportunity cost than other nations.**
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- ▶ **Substantial rise in product per capita.**
- ▶ Increased productivity per unit of labor input.
- ▶ Increasing use of modern scientific knowledge.
- ▶ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- ▶ Total spending on good Y to rise.
- ▶ Total spending on good Y to fall.
- ▶ Total spending on good Y to remain unchanged.
- ▶ **An indeterminate effect on total spending on good Y.**

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- ▶ Shifts to the left.
- ▶ **Shifts to the right.**
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► **The assumption of a diminishing marginal rate of substitution will be violated.**

- The assumption of transitivity will be violated.
- The assumption of completeness will be violated.
- Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- **Increasing the inputs by 1% leads to a 0.75% increase in output.**
- Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- Increasing the inputs by 2% leads to a 4% increase in output.
- None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

- **Fixed costs and marginal costs**
- Average variable costs and marginal costs
- Average fixed costs and average variable costs
- Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

- Monopoly.
- Perfect competition.
- Oligopoly.
- **None of the given options.**

Question No: 42 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- Demand is inelastic.
- Demand is elastic.
- **Demand is perfectly elastic.**
- Total revenue will remain constant.

Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

- Consumption spending.
- Investment expenditures.
- **Government expenditures.**
- Household income.

Question No: 44 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

- 0.75
- 0.50

- ▶ 0.25
- ▶ **1.00**

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

- ▶ Lies above full-employment.
- ▶ None of the given options.
- ▶ Lies below full-employment.
- ▶ **Gravitated around a full-employment.**

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

- ▶ South Asian countries.
- ▶ Middle East.
- ▶ **Rest of the world.**
- ▶ USA and China.

Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ Interest rate reduces, investment and GDP increases.
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

The demand for money to buy bonds is called:

- ▶ Transactions demand for money.
- ▶ Precautionary demand for money.
- ▶ Speculative demand for money.
- ▶ **All of the given options.**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1". What is meant by this statement?

When we draw in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foregin exchange market
US \$ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

FINAL TERM EXAMINATION
Spring 2010
www.vutube.edu.pk
ECO401- Economics (Session - 5)

Question No: 1 (Marks: 1) - Please choose one

_____ As
more of a good is consumed, then total utility typically:

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 2 (Marks: 1) - Please choose one

_____ A
production function:

- ▶ Relates inputs with output.
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ **All of the given options.**

Question No: 3 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 4 (Marks: 1) - Please choose one

_____ Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 5 (Marks: 1) - Please choose one

_____ As
compared to existing firms, a new firm entering in monopolist market has:

- ▶ **High costs.**
- ▶ Low costs.

- ▶ Equal costs.
- ▶ None of the given options.

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Question No: 6 (Marks: 1) - Please choose one

_____ The
maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 7 (Marks: 1) - Please choose one

_____ The
market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 8 (Marks: 1) - Please choose one

_____ Price exceeds marginal revenue in which of the following market structure(s)?

- ▶ Differentiated oligopoly and monopoly only.
- ▶ Standardized oligopoly and pure competition only.
- ▶ Monopolistic competition and monopoly only.
- ▶ **Monopolistic competition, oligopoly and monopoly.**

Question No: 9 (Marks: 1) - Please choose one

_____ For
a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

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Question No: 10 (Marks: 1) - Please choose one

_____ Unlike the classical economists, Keynes believed that the economy could get stuck in the short run for a significant period of time because of:

- ▶ **Insufficient aggregate supply.**

- ▶ **Insufficient aggregate demand.**
- ▶ Quick self correcting mechanism.
- ▶ Government purchases of too many goods and services.

Question No: 11 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 12 (Marks: 1) - Please choose one

assumption of classical economics is: An

- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ **Supply creates its own demand.**
- ▶ Investment and saving are seldom equal.

Question No: 13 (Marks: 1) - Please choose one

real interest rate will increase: The

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ **If there is an excess demand for loanable funds in the financial markets.**
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

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Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 15 (Marks: 1) - Please choose one

Endogenous growth theory was developed in:

- ▶ 1980.
- ▶ 1965.
- ▶ 1970.
- ▶ 1950.

Question No: 16 (Marks: 1) - Please choose one

Per capita income is obtained by dividing national income by:

Per

- ▶ Total labor force in the country.
- ▶ Unemployed youth in the country.
- ▶ None of the given options.
- ▶ Total population of that country.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is deducted from Gross National Product to get Net National Product?

- ▶ Indirect taxes.
- ▶ Depreciation.
- ▶ Direct taxes.
- ▶ Transfer payments.

Question No: 18 (Marks: 1) - Please choose one

In the Keynesian cross model, the 45-degree line has a slope of:

In

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

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Question No: 19 (Marks: 1) - Please choose one

The principle economic difference between a competitive and a non-competitive market is:

The

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 20 (Marks: 1) - Please choose one

Those who hold the classical view of the labour market are likely to believe that:

- ▶ Monetary but not fiscal policy will have an effect on output and employment.
- ▶ Fiscal but not monetary policy will have an effect on output and employment.
- ▶ Both monetary and fiscal policy will have an effect on output and employment.
- ▶ Neither monetary nor fiscal policy will have an effect on output and employment.

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
- ▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 22 (Marks: 1) - Please choose one

What will be the primary result of inflation in an economy?

- ▶ A rise in personal wealth.
- ▶ A rise in wages.
- ▶ A decline in prices.
- ▶ A decline in the value of money.

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Question No: 23 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 24 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn

worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ $1000+1500+2500 = \text{Rs. } 5000$
- ▶ $1000+500+2500 = \text{Rs. } 4000$
- ▶ $1000+500+1000 = \text{Rs. } 2500$
- ▶ $1000+1500+1000 = \text{Rs. } 3500$

Question No: 25 (Marks: 1) - Please choose one

Which of the following is NOT an item of public consumption?

- ▶ Expenditure on health.
- ▶ Expenditure on education.
- ▶ Expenditure on general administration.
- ▶ Expenditure for transfer payments.

Question No: 26 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ The labor force minus the number of people employed.

Question No: 28 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

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Question No: 29 (Marks: 1) - Please choose one

If
net exports are positive, this implies that the country has:

- ▶ **Trade surplus.**
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 30 (Marks: 1) - Please choose one

The
rapid population growth in today's developing nations is due to the:

- ▶ **High birth rates only.**
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ Higher standard of living.

Question No: 31 (Marks: 1) - Please choose one

A
tax on the accounting profits of corporations is known as:

- ▶ Sales tax.
- ▶ Excise tax.
- ▶ **Corporate income tax.**
- ▶ Personal income tax.

Question No: 32 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.
- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ **Store of value.**

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Question No: 33 (Marks: 1) - Please choose one

What will be the impact of an increase in the money supply?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the LM curve downward (to the right) and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 34 (Marks: 1) - Please choose one

curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 35 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- ▶ **The balance of trade.**
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 36 (Marks: 1) - Please choose one

In

which of the following conditions, a current account deficit exists?

- ▶ When net exports are positive.
- ▶ **When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.**
- ▶ When a country has a trade deficit.
- ▶ When an economy buys less from foreigners than it sells to them.

Question No: 37 (Marks: 1) - Please choose one

Economists define economic growth as:

- ▶ Changes in real GDP from year to year that occur as aggregate demand and short-run aggregate supply change.
- ▶ An increase in the standard of living of a nation.
- ▶ An increase in nominal GDP combined with price stability.
- ▶ **The process through which the economy's potential output is increased.**

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Question No: 38 (Marks: 1) - Please choose one

What will be the impact if agriculture sector is neglected in the development process?

- ▶ It can lead to insufficient savings.
- ▶ It can lead to shortage of foreign exchange.
- ▶ It can lead to lower levels of production.
- ▶ **All of the given conditions can happen.**

Question No: 39 (Marks: 1) - Please choose one

In

which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
- ▶ When there are many firms producing the same product.
- ▶ In all of the given situations.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is not the property of production function?

- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ Marginal product at all levels is increasing.
- ▶ Relates inputs with output.

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Question No: 41 (Marks: 1) - Please choose one

long as all prices remain constant, a decrease in money income results in:

As

- ▶ An increase in the slope of the budget line
- ▶ A decrease in the slope of the budget line
- ▶ An increase in the intercept of the budget line
- ▶ A decrease in the intercept of the budget line

Question No: 42 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

- ▶ It shifts farther away from the origin of the graph.
- ▶ It shift inward.
- ▶ It shifts outward.
- ▶ None of the given options.

Question No: 43 (Marks: 1) - Please choose one

Monopoly profits can be invested in

- ▶ Advertisement.
- ▶ Research and development.
- ▶ Human resource development.
- ▶ Expansion of the market.

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Question No: 44 (Marks: 1) - Please choose one

The

characteristics of a monopolistically competitive market are almost the same as in

- ▶ Monopoly.
- ▶ Oligopoly.
- ▶ **Perfect competition.**
- ▶ Duopoly.

Question No: 45 (Marks: 1) - Please choose one

The multiplier is a related concept which formalizes the output response to:

- ▶ Saving.
- ▶ **Investment.**
- ▶ Taxes.
- ▶ Inflation.

Question No: 46 (Marks: 1) - Please choose one

Factor income from abroad like worker remittances, dividends and interest has positive impact on:

- ▶ **Current account balance.**
- ▶ Capital account balance.
- ▶ Trade balance.
- ▶ Unemployment.

Question No: 47 (Marks: 1) - Please choose one

Continuous technology progress is a necessary condition for the high rate of:

- ▶ Inflation reduction.
- ▶ **Economic growth.**
- ▶ Population growth.
- ▶ Employment.

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Question No: 48 (Marks: 1) - Please choose one

Expansionary fiscal policy includes:

- ▶ Increasing taxes and increasing government purchases.
- ▶ Raising interest rates, increasing taxes, and decreasing transfer payments.
- ▶ **Decreasing taxes and increasing government expenditures.**
- ▶ Raising interest rates, decreasing taxes, and decreasing government spending.

Question No: 49 (Marks: 3)

Differentiate between real exchange rate and nominal exchange rate.

Question No: 50 (Marks: 3)

Discuss the basic functions of money.

Question No: 51 (Marks: 5)

What will be the impact of following factors on Marginal Propensity to Consume?

- ☞ A fall in the rate of income tax.
- ☞ People anticipate that the rate of inflation is about to rise.
- ☞ The government redistributes income from the rich to the poor.
- ☞ The government gives the subsidies.
- ☞ If the assets of the people increase.

(Marks: 1 for each)

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Question No: 52 (Marks: 5)

Explain the difference between current account and capital account.

Question No: 53 (Marks: 5)

Assume that the reserve requirement ratio (rr) of United Bank Limited (UBL) is 15% and bank's initial deposit is \$2500.

- a. By using this information, make initial balance sheet of MCB.
- b. Calculate money multiplier.

(Marks: 3+2)

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FINAL TERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 4)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

If the quantity demanded of a product is greater than the quantity supplied of a product, then:

- ▶ **There is a shortage of the product.**
- ▶ There is a surplus of the product.
- ▶ The product is a normal good.
- ▶ The product is an inferior good.

Question No: 2 (Marks: 1) - Please choose one

The cross price elasticity of demand for complementary goods is:

- ▶ Less than 0.
- ▶ Equal to 0.
- ▶ Greater than 0.
- ▶ **Between 0 and 1.**

Question No: 3 (Marks: 1) - Please choose one

Assume leisure is a normal good. If income effect equals substitution effect then a wage rate increase will lead a person to:

- ▶ Increase hours of work.
- ▶ **Decrease hours of work.**
- ▶ Not change hours of work.
- ▶ None of the given options.

Question No: 4 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 5 (Marks: 1) - Please choose one

An isoquant curve shows:

- ▶ **All the alternative combinations of two inputs that yield the same maximum total product.**

- ▶ All the alternative combinations of two products that can be produced by using a given set of inputs fully and in the best possible way.
- ▶ All the alternative combinations of two products among which a producer is indifferent because they yield the same profit.
- ▶ None of the given options.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

A firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- ▶ **Second-degree price discrimination.**
- ▶ Third-degree price discrimination.
- ▶ None of the given options.

Question No: 8 (Marks: 1) - Please choose one

Which of the following best expresses the law of demand?

- ▶ A higher price reduces demand.
- ▶ A lower price reduces demand.
- ▶ **A higher price reduces quantity demanded.**
- ▶ A lower price shifts the demand curve to the right.

Question No: 9 (Marks: 1) - Please choose one

If a sales tax on beer leads to reduced tax revenue, this means:

- ▶ Elasticity of demand is < 1 .
- ▶ **Elasticity of demand is > 1 .**
- ▶ Demand is upward-sloping.
- ▶ Demand is perfectly inelastic.

Question No: 10 (Marks: 1) - Please choose one

For a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

Question No: 11 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- ▶ Price level and quantity are flexible.
- ▶ Prices would get stuck at a low level.
- ▶ The long run aggregate supply would shift to the left.
- ▶ **Prices and wages are flexible.**

Question No: 12 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

The average propensity to consume is the ratio of:

- ▶ **A change in consumption to a change in disposable income.**
- ▶ A change in consumption to total disposable income at a specific income level.
- ▶ Total consumption to total disposable income at a specific income level.
- ▶ Total consumption to a change in disposable income.

Question No: 14 (Marks: 1) - Please choose one

The slope of the saving function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ **Marginal propensity to save.**
- ▶ Marginal propensity to consume.

Question No: 15 (Marks: 1) - Please choose one

The government increases the number of job centres and uses more advanced computers to improve the information database. This creates:

- ▶ Structural Unemployment.
- ▶ Regional Unemployment.
- ▶ **Frictional Unemployment.**
- ▶ Demand Deficient Unemployment.

Question No: 16 (Marks: 1) - Please choose one

Which one of the following can lead to a rise in inflation?

▶ **An increase in costs of production.**

- ▶ An increase in productive capacity.
- ▶ An increase in the level of direct taxation.
- ▶ An increase in the exchange rate.

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.

▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

How should fiscal policy be used during inflation?

▶ Increase Government expenditure and decrease taxes to decrease aggregate demand.

▶ Increase Government expenditure and decrease taxes to increase aggregate demand.

▶ Decrease Government expenditure and increase taxes to increase aggregate demand.

▶ **Decrease Government expenditure and increase taxes to decrease aggregate demand.**

Question No: 19 (Marks: 1) - Please choose one

If the demand curve for a good is downward sloping, then the good:

- ▶ Must be inferior.
- ▶ Must be giffen.
- ▶ Can be normal or inferior.

▶ **Must be normal.**

Question No: 20 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

▶ **Both prices and output to rise.**

- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is TRUE according to classical economists?

► **Aggregate demand curve is downward sloping and the aggregate supply curve is vertical.**

► Aggregate demand curve is downward sloping and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is upward sloping.

► Aggregate demand curve is vertical and the aggregate supply curve is horizontal.

Question No: 22 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

► Because it is difficult to measure the prices of intermediate goods produced.

► Because these are the only goods and services that are purchased in an economy.

► **Because counting all goods and services would lead to double-counting of many activities.**

► Because one cannot calculate the quantities of intermediate goods produced.

Question No: 23 (Marks: 1) - Please choose one

----- plays an important role in making sure that the economy reaches and stays at equilibrium at the potential output level.

► Real exchange rate.

► The production function.

► Real price level.

► **Real interest rate.**

Question No: 24 (Marks: 1) - Please choose one

Why a \$1 increase in government spending will have a larger impact upon national income than a \$1 tax cut?

► Because the government prints the currency it spends.

► **Because not all of the tax cut is spent.**

► Because when taxes are cut, government spending is also cut.

► Because taxes are an injection into the system.

Question No: 25 (Marks: 1) - Please choose one

Commercial banks in Pakistan are supervised by:

► **State bank of Pakistan.**

► National bank of Pakistan.

► Finance minister of Pakistan.

► World bank.

Question No: 26 (Marks: 1) - Please choose one

Trade can be beneficial in which of the following situations?

- ▶ Two countries produce the same goods at the same costs.
- ▶ **Two countries produce different goods at different costs.**
- ▶ Two countries are isolated.
- ▶ Two countries have the same markets.

Question No: 27 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ **$1000+1500+2500 = \text{Rs. } 5000$**
- ▶ $1000+500+2500 = \text{Rs. } 4000$
- ▶ $1000+500+1000 = \text{Rs. } 2500$
- ▶ $1000+1500+1000 = \text{Rs. } 3500$

Question No: 28 (Marks: 1) - Please choose one

Which of the following best defines “subsidies”?

- ▶ Payment by Government for purchase of goods and services.
- ▶ Payment by business enterprises to factors of production.
- ▶ Payment by companies to share holders.
- ▶ **Payment by Government to business enterprises without buying any goods and services.**

Question No: 29 (Marks: 1) - Please choose one

National product at market prices incorporate:

- ▶ **Prices which buyers actually pay.**
- ▶ Payments made to the factor owners.
- ▶ Costs incurred in producing goods and services.
- ▶ Costs minus subsidies.

Question No: 30 (Marks: 1) - Please choose one

A marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ **$\Delta C \text{ to } \Delta Y_d \text{ is } 0.95.$**
- ▶ C / Y_d is 0.95.
- ▶ $\Delta Y_d \text{ to } \Delta C$ is 0.95.
- ▶ Y_d / C is 0.95.

Question No: 31 (Marks: 1) - Please choose one

When MPC is 0.80 and APC is 0.95 then MPS is:

- ▶ **0.20 and APS is 0.05.**
- ▶ 0.05 and APS is 0.20.
- ▶ 0.20 and APS is 0.20.
- ▶ 0.05 and APS is 0.05.

Question No: 32 (Marks: 1) - Please choose one

Which of the following are leakages from the circular flow?

- ▶ Consumption and saving.
- ▶ **Saving and imports.**
- ▶ Imports and exports.
- ▶ Exports and savings.

Question No: 33 (Marks: 1) - Please choose one

The time that a laborer uses for relaxation and all activities other than work or necessary sleep is known as:

- ▶ Free time.
- ▶ **Leisure.**
- ▶ Time not used for earning.
- ▶ All of the given options.

Question No: 34 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 35 (Marks: 1) - Please choose one

The government supports research in basic science because:

- ▶ It is a public good.
- ▶ External costs are created.
- ▶ **Internal benefits are created.**
- ▶ Free markets would do so otherwise.

Question No: 36 (Marks: 1) - Please choose one

In classical theory, excess supply of a product would be associated with:

- ▶ Rising interest rates.
- ▶ Falling interest rates.
- ▶ **Rising price for the product.**
- ▶ Falling price for the product.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a determinant of net exports?

- ▶ Domestic and foreign incomes.
- ▶ Relative price levels.
- ▶ Domestic and foreign trade policies.
- ▶ **Producers' expectations about future prices.**

Question No: 38 (Marks: 1) - Please choose one

A trade surplus occurs when:

- ▶ A country's firms open more stores abroad than foreign firms open in the country.
- ▶ **A country sells more abroad than it purchases from abroad.**
- ▶ Foreign firms open more stores in a country than the country opens in foreign countries.
- ▶ A country purchases more from abroad than other countries purchase from it.

Question No: 39 (Marks: 1) - Please choose one

A change from \$1.00 = Rs. 80.00 to \$1.00 = Rs. 85.00 represents:

- ▶ Depreciation of the dollar.
- ▶ An appreciation of the dollar.
- ▶ An appreciation of the rupee.
- ▶ **None of the given options.**

Question No: 40 (Marks: 1) - Please choose one

There is an increase in the economy's potential output when there is:

- ▶ An increase in government spending.
- ▶ A decrease in government spending.
- ▶ **An increase in the economy's capital stock.**
- ▶ An increase in the economy's depreciation rate.

Question No: 41 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 42 (Marks: 1) - Please choose one

The rapid population growth in today's developing nations is due to the:

- ▶ High birth rates only.
- ▶ Low death rates only.
- ▶ **High birth rate and low death rate.**
- ▶ Higher standard of living.

Question No: 43 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

- ▶ Efficiency.
- ▶ **Equity.**
- ▶ Progressive tax.
- ▶ Regressive tax.

Question No: 44 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ **Laffer curve.**
- ▶ Demand curve.
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 45 (Marks: 1) - Please choose one

The optimum tax rate in which government revenue is maximized lies somewhere between:

- ▶ 0% and 1%.
- ▶ **0% and 50%.**
- ▶ 50% and 100%.
- ▶ 0% and 100%.

Question No: 46 (Marks: 1) - Please choose one

Money is defined as an item that:

- ▶ **Serves as a medium of exchange for goods and services.**
- ▶ Can be converted into silver with relatively little loss in value.
- ▶ Can be converted into gold with relatively little loss in value.
- ▶ Facilitates a connecting link between credit instruments and debt instruments.

Question No: 47 (Marks: 1) - Please choose one

A tax imposed by a country on an imported good or service is called a:

- ▶ Quota.
- ▶ **Tariff.**
- ▶ Non-tariff barrier.
- ▶ Trade embargo.

Question No: 48 (Marks: 1) - Please choose one

Poor countries remained poor because of:

- ▶ Higher per capita income.
- ▶ **Vicious circle of poverty.**
- ▶ High level of investment.
- ▶ High rates of savings.

Question No: 49 (Marks: 1) - Please choose one

If other things remaining the same, expected income can be used as a direct measure of well-being in which of the following situations?

- ▶ It can be used if and only if individuals are not risk-loving.
- ▶ It can be used if and only if individuals are risk averse.
- ▶ It can be used if and only if individuals are risk neutral.
- ▶ **It can be used no matter what a person's preference to risk.**

Question No: 50 (Marks: 1) - Please choose one

What questions are related with explanation? What questions are related with what ought to be?

- ▶ Positive, negative.
- ▶ Negative, normative.
- ▶ Normative, positive.
- ▶ **Positive, normative.**

Question No: 51 (Marks: 1) - Please choose one

What will happen to the demand for product X, if there is an increase in consumer's income?

- ▶ It will necessarily remain unchanged.
- ▶ It will shift to the right if X is a complementary good.
- ▶ **It will shift to the right if X is a normal good.**
- ▶ It will shift to the right if X is an inferior good.

Question No: 52 (Marks: 1) - Please choose one

Which of the following occur when an isocost line is just tangent to an isoquant?

- ▶ **Output is being produced at minimum cost.**
- ▶ Output is not being produced at minimum cost.
- ▶ The two products are being produced at the medium input cost to the firm.
- ▶ The two products are being produced at the highest input cost to the firm.

Question No: 53 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 54 (Marks: 1) - Please choose one

In which of the following conditions, a firm will never operate?

- ▶ At the minimum of its average total cost curve.
- ▶ **At the minimum of its average variable cost curve.**
- ▶ On the downward-sloping portion of its average total cost curve.
- ▶ On the downward-sloping portion of its average variable cost curve.

Question No: 55 (Marks: 3)

How the central bank plays its role in order to control the activities of commercial banks?

Question No: 56 (Marks: 5)

Briefly discuss different types of taxes which a government can impose.

Question No: 57 (Marks: 5)

A.

Differentiate between final goods and intermediate goods with the help of examples.

B. See the following table:

Year	1979	1980	1981	1982	1983	1984	1985	1986
Real GDP Growth Rate	1.2%	-5.5%	1.8%	3.9%	4.5%	5.3%	2.6%	1.9%

a) Calculate the average growth rate from 1982 and 1985.

b) Calculate the average growth rate from 1979 and 1986.

(Marks: 3+2)

Question No: 58 (Marks: 10)

From the information given in the following table, calculate the number of unemployed persons and unemployment rate.

Year	Size of Labor Force	Number of persons Employed
1984	113544	105005
1985	115461	107150
1986	117834	109597
1987	119865	112440
1988	121669	114968

(Marks: 5+5)

Question No: 59 (Marks: 10)

Answer the following questions.

a) What is interest parity condition?

b) When does this condition hold?

c) What is the equation of this condition?

d) What will happen if the equality of the condition does not hold?

(Marks: 2+2+2+4)

FINAL TERM EXAMINATION
Fall 2009
ECO401- Economics (Session - 3)

Ref No: 1148947
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ If
the quantity supplied of oranges exceeds the quantity demanded then:

- ▶ There is a shortage of oranges.
- ▶ **Market forces will cause the price to fall.**
- ▶ Market forces will cause the price to rise.
- ▶ The market is in equilibrium.

Question No: 2 (Marks: 1) - Please choose one

_____ Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ **A decreasing marginal rate of substitution.**
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 3 (Marks: 1) - Please choose one

_____ Suppose that the price of a pizza is \$10 and price of a jeans is \$30. If ratio of marginal utility of pizza to marginal utility of jeans is $1/4$ then to maximize total utility, a consumer should:

- ▶ Buy more pizzas and fewer jeans.
- ▶ **Buy fewer pizzas and more jeans.**
- ▶ Continue to buy the same quantities of pizza and jeans.
- ▶ Spend more time consuming pizza.

Question No: 4 (Marks: 1) - Please choose one

_____ As
long as all prices remain constant, an increase in money income results in:

- ▶ **An increase in the slope of the budget line.**
- ▶ A decrease in the slope of the budget line.
- ▶ An increase in the intercept of the budget line.

- ▶ A decrease in the intercept of the budget line.

Question No: 5 (Marks: 1) - Please choose one

_____ Ali
initially leased one-room space and started a small day care centre with only 4 children and one staff member. But he found that the cost per child is very high. He wants to expand the centre. Which of the following will happen when Ali expand the centre?

- ▶ Economies of scale.
- ▶ Diseconomies of scale.
- ▶ Decreasing returns to the labor inputs.
- ▶ Increasing returns to the labor inputs.

Question No: 6 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ Fixed costs and variable costs.
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 7 (Marks: 1) - Please choose one

_____ The
supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 8 (Marks: 1) - Please choose one

_____ A
monopolistically competitive firm in short run equilibrium:

- ▶ Will make negative profit (lose money).
- ▶ Will make zero profit (break-even).
- ▶ Will make positive profit.
- ▶ Any of the given are possible.

Question No: 9 (Marks: 1) - Please choose one

_____ The
marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.

▶ Downward sloping due to the law of diminishing returns.

▶ Downward sloping due to the law of supply.

Question No: 10 (Marks: 1) - Please choose one

_____ The
long run aggregate supply curve will shift to the right if:

▶ The price level increases.

▶ Factors of production (such as labor and capital) increase.

▶ Expenditures (such as consumption and net exports) increase.

▶ The prices of inputs used to produce goods and services (such as wages and the price of oil) decrease.

Question No: 11 (Marks: 1) - Please choose one

_____ Keynesian economics rejected the classical assumption that:

▶ Supply creates its own demand.

▶ Prices and wages are inflexible.

▶ Self-correction takes a long time.

▶ Consumption expenditures depend on disposable income.

Question No: 12 (Marks: 1) - Please choose one

_____ Final goods are meant for:

▶ Direct use by the consumers.

▶ Further processing.

▶ The term do not exist.

▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one

_____ The
slope of the saving function (or line) is the:

▶ Average propensity to save.

▶ Average propensity to consume.

▶ Marginal propensity to save.

▶ Marginal propensity to consume.

Question No: 14 (Marks: 1) - Please choose one

_____ The
investment demand curve shows the relationship between the levels of:

- ▶ Investment and consumption.
- ▶ Consumption and interest rate.
- ▶ Investment and interest rate.
- ▶ Investment and saving.

Question No: 15 (Marks: 1) - Please choose one

_____ The
circular flow principle guarantees that in equilibrium:

- ▶ The level of investment spending will be equal to the level of private savings.
- ▶ The level of exports will be equal to the level of imports.
- ▶ The level of aggregate demand will be equal to real Gross Domestic Product.
- ▶ The level of government spending will be equal to tax revenue.

Question No: 16 (Marks: 1) - Please choose one

_____ The
real interest rate will increase:

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ If there is an excess demand for loanable funds in the financial markets.
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

Question No: 17 (Marks: 1) - Please choose one

_____ The
trend of unemployment over the last forty years is:

- ▶ A decrease in unemployment.
- ▶ It has remained largely unchanged.
- ▶ An increase in unemployment.
- ▶ It is too difficult to tell so don't bother.

Question No: 18 (Marks: 1) - Please choose one

_____ The
Phillips curve will shift to the right:

- ▶ If there is a decrease in the expected inflation rate.
- ▶ If there is an increase in the expected inflation rate.
- ▶ If there is a decrease in the natural rate of unemployment.
- ▶ If there is a favorable supply shock.

Question No: 19 (Marks: 1) - Please choose one

_____ **Current account deficit is equal to:**

- ▶ Private sector resource deficit.
- ▶ Government budget deficit.
- ▶ Private sector resource deficit + Government budget deficit.
- ▶ None of the given options.

Question No: 20 (Marks: 1) - Please choose one

Fiscal policy is the government program with respect to its:

- ▶ Steel Mill Privatization.
- ▶ Unemployment reduction.
- ▶ Expenditure and tax revenue.
- ▶ Increase in unemployment.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics, an inflationary gap results if:

In

- ▶ Aggregate expenditures are less than aggregate production.
- ▶ Aggregate expenditures are greater than aggregate production.
- ▶ Aggregate expenditures are equal to aggregate production.
- ▶ There are no changes in inventories.

Question No: 22 (Marks: 1) - Please choose one

accelerator is a related concept which formalizes the investment response to:

The

- ▶ Consumption.
- ▶ Interest rate.
- ▶ Output.
- ▶ None of the given options.

Question No: 23 (Marks: 1) - Please choose one

principle economic difference between a competitive and a non-competitive market is:

The

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 24 (Marks: 1) - Please choose one

amount of output that a firm decides to sell has no effect on the market price in a competitive industry because:

The

- ▶ The market price is determined (through regulation) by the government.
- ▶ The firm supplies a different good than its rivals.
- ▶ The firm's output is a small fraction of the entire industry's output.
- ▶ The short run market price is determined solely by the firm's technology.

Question No: 25 (Marks: 1) - Please choose one

The concept of a risk premium applies to a person that is:

- ▶ Risk loving.
- ▶ Risk averse.
- ▶ Risk neutral.
- ▶ Rational.

Question No: 26 (Marks: 1) - Please choose one

Keeping in view the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ Prices to rise and output to remain unchanged.

Question No: 27 (Marks: 1) - Please choose one

Suppose a country has flexible exchange rate and has more rapid inflation rate than other countries. What will happen to its currency in this situation?

- ▶ Its currency will appreciate.
- ▶ Its currency will depreciate.
- ▶ There will be no effect on its currency.
- ▶ All of the given options can be possible.

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements best reflects the implication of law of comparative advantage?

- ▶ Trade between two countries is always to the advantage of both.
- ▶ Trade between two countries can be to the advantage of both even though one may be more productively efficient at producing everything.
- ▶ Trade between two countries is to the advantage of both if countries import only those goods that they are incapable of producing themselves.
- ▶ Trade between two countries is beneficial to both if the exporter uses less resource than the importer would use to produce the same quantity of goods.

Question No: 29 (Marks: 1) - Please choose one

Firm A produces and sells cotton to firm B for Rs. 500. Firm B makes yarn out of it and sells to firm C for Rs. 700. Firm C makes cloth and sell to consumers for Rs. 1200. Which figure has to be used for finding the economy's product?

- ▶ Rs. 500 of firm A.
- ▶ Rs. 700 of firm B.
- ▶ Rs. 1200 of firm C.
- ▶ Total of all three Rs. 2400.

Question No: 30 (Marks: 1) - Please choose one

largest contribution in value terms to Pakistan GNP is made by:

- ▶ Construction sector.
- ▶ Organized industries.
- ▶ Unorganized industries.
- ▶ Agriculture sector.

The

Question No: 31 (Marks: 1) - Please choose one

National income figures are:

- ▶ Very exact.
- ▶ Practically exact.
- ▶ Only estimates.
- ▶ Wrong.

Question No: 32 (Marks: 1) - Please choose one

marginal propensity to consume (MPC) of 0.95 indicates that:

- ▶ ΔC to ΔY_d is 0.95.
- ▶ C / Y_d is 0.95.
- ▶ ΔY_d to ΔC is 0.95.
- ▶ Y_d / C is 0.95.

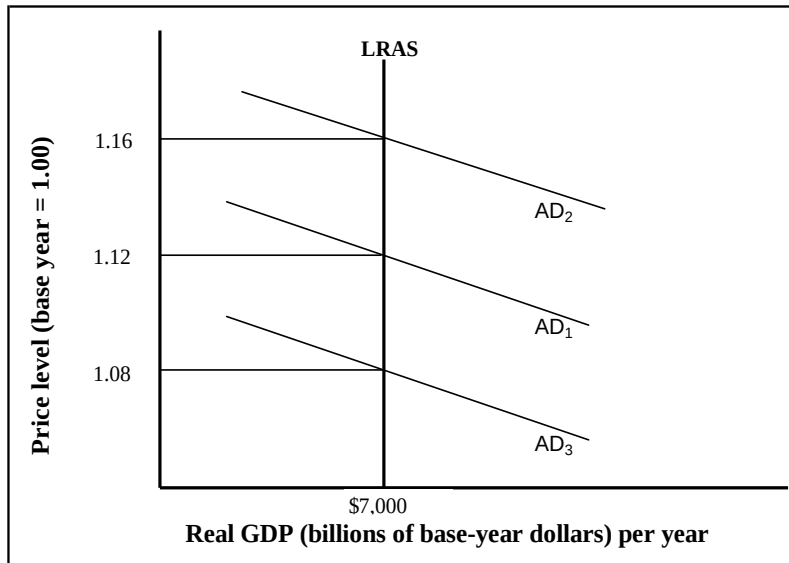
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Question No: 33 (Marks: 1) - Please choose one

Which of the following describes the four sources of aggregate demand?

- ▶ Consumption, private investment, taxes, and expenditures.
- ▶ Consumption, private investment, wage increases, and government expenditures.
- ▶ Consumption, private investment, expenditures, and net exports.
- ▶ Consumption, private investment, government purchases, and net exports.

Question No: 34 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ All of the given options.

Question No: 35 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 36 (Marks: 1) - Please choose one

The short run in macroeconomic analysis is a period:

- ▶ In which wages and some other prices do not respond to changes in economic conditions.
- ▶ In which full wage and price flexibility and market adjustment have been achieved.
- ▶ Of less than 12 months.
- ▶ In which all macroeconomic variables are fixed.

Question No: 37 (Marks: 1) - Please choose one

Which of the following is TRUE?

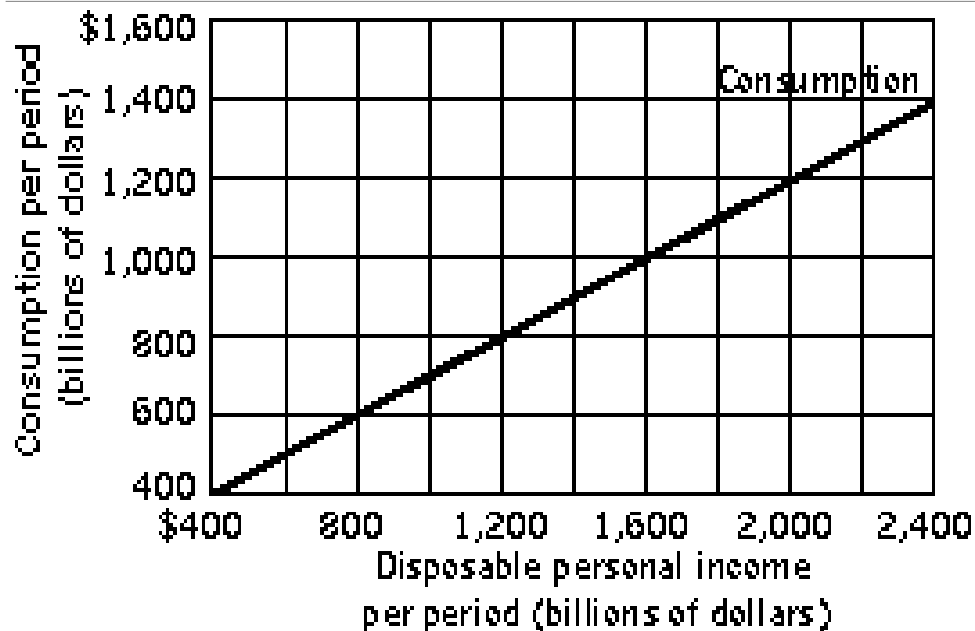
▶ $1 - \text{MPS} = \text{MPC}$

▶ $1 + \text{MPS} = \text{MPC}$

▶ $1 / \text{MPS} = \text{MPC}$

▶ $1 \times \text{MPS} = \text{MPC}$

Question No: 38 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$1,200 billion, consumption is:

▶ \$600 billion.

▶ \$800 billion.

▶ \$1,200 billion.

▶ \$2,000 billion.

Question No: 39 (Marks: 1) - Please choose one

Unemployment generally ----- when the "real" GDP grows rapidly.

▶ Remains the same.

▶ Decreases.

▶ Increases.

▶ All of the above are possible.

Question No: 40 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

▶ Consumer tastes for domestic and foreign goods.

▶ Prices of goods at home and abroad.

▶ Costs of transporting goods from country to country.

▶ All of the given options.

Question No: 41 (Marks: 1) - Please choose one

Free trade is favoured because:

- ▶ Countries have less work to do.
- ▶ It leads to greater world efficiency i.e. resources are better utilized.
- ▶ Wealthier countries gain an advantage over underdeveloped countries.
- ▶ All countries gain from tariff imposition.

Question No: 42 (Marks: 1) - Please choose one

Devaluation is done to:

- ▶ Encourage exports.
- ▶ Discourage exports.
- ▶ Encourage imports.
- ▶ Encourage inflation.

Question No: 43 (Marks: 1) - Please choose one

Which of the following will happen by a reduction in net exports all other things being equal?

- ▶ It will result in a movement up along the aggregate demand curve.
- ▶ It will reduce aggregate supply.
- ▶ It will reduce aggregate demand.
- ▶ It will not change aggregate demand or aggregate supply in the domestic economy.

Question No: 44 (Marks: 1) - Please choose one

Which of the following is part of M1?

- I. Savings deposits.
- II. Cash in your hand.
- III. Checking deposits.
- ▶ I and III.
- ▶ II and III.
- ▶ I only.
- ▶ II only.

Question No: 45 (Marks: 1) - Please choose one

Which of the following is (are) primary function (s) of a central bank?

- IV. Act as a regulator of banks.
- V. Issue government bonds.
- VI. Set monetary policy.
- ▶ I only.
- ▶ I and III.

- ▶ I and II.
- ▶ I, II and III.

Question No: 46 (Marks: 1) - Please choose one

What will be the impact of an increase of \$1 in government purchases?

- ▶ It will shift the expenditure line upward by \$1.
- ▶ It will shift the IS curve to the right by $\$1 / (1 - MPC)$.
- ▶ It will not shift the LM curve.
- ▶ All of the given options.

Question No: 47 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

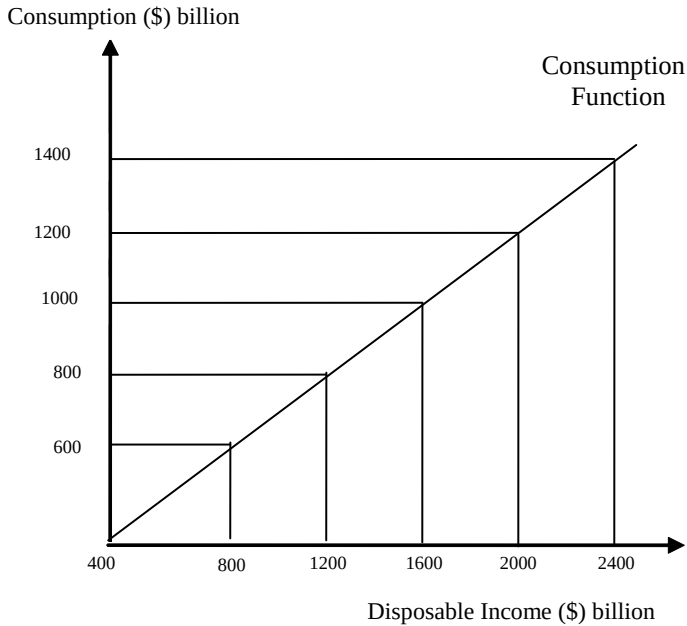
- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ Developing countries.
- ▶ High income countries.

Question No: 48 (Marks: 1) - Please choose one

Which of the following is a characteristic of low income countries?

- ▶ Higher rates of population growth.
- ▶ Greater government control.
- ▶ A larger share of income used for investment.
- ▶ A smaller proportion of the labor force in agriculture.

Question No: 49 (Marks: 1) - Please choose one



Refer to the above figure, when disposable personal income is \$2,000 billion:

- ▶ Personal saving is \$1,200 billion.
- ▶ Consumption is \$1,600 billion.
- ▶ Saving is \$800 billion.
- ▶ Consumption is \$800 billion.

Question No: 50 (Marks: 1) - Please choose one

How many points you need to know to calculate the price elasticity of demand on the same demand curve?

- ▶ One.
- ▶ Two.
- ▶ Three.
- ▶ Four.

Question No: 51 (Marks: 1) - Please choose one

What is meant by the negative slope of a production possibilities curve?

- ▶ It means that some resources are always unemployed.
- ▶ It means that an economy can produce more of one thing only by producing less of something else.
- ▶ It means that opportunity costs are constant.
- ▶ It means that business can sell more when prices are low.

Question No: 52 (Marks: 1) - Please choose one

Which of the following will happen if the current market price is set below the market clearing level?

- ▶ There will be a surplus to accumulate.

▶ There will be downward pressure on the current market price.

▶ There will be upward pressure on the current market price.

▶ There will be lower production during the next time period.

Question No: 53 (Marks: 1) - Please choose one

For which of the following good, the substitution effect of a lowered price is counteracting by the income effect?

▶ For an inferior good.

▶ A substitute good.

▶ For an independent good.

▶ For a normal good.

Question No: 54 (Marks: 1) - Please choose one

Which of the following is TRUE about the marginal product of labour in any production process?

▶ It is total output divided by total labour inputs.

▶ It is total output minus the total capital stock.

▶ It is the change in total output resulting from a 'small' change on the labour input.

▶ It is total output produced by labour inputs.

Question No: 55 (Marks: 3)

What are the different components of aggregate demand? Discuss briefly.

Aggregate demand is the total demand for final goods and services in the economy at a given time and price level. It is the amount of goods and services in the economy that will be purchased at all possible price levels. There are four components of aggregate demand which are most important:

1. **Consumption:** Consumption (C) is the amount of national income that is spent on goods and services produced by domestic firms in a given period of time.
2. **Investment:** Investment (I) or gross capital formation is any economic activity that forgoes consumption today with an eye to increase output in future.
3. **Net Exports:** It is net demand from rest of world for country's output.
4. **Government Spending:** These are gross investments and consumption expenditure done by government.

Question No: 56 (Marks: 5)

Explain the difference between Gross National Product (GNP) and Net National Product (NNP) with the help of their formulas.

Difference between GNP and NNP:

- GNP is the value, at current market prices, of all final goods and services produced during a year by the factors owned by the citizens of a country.

$$\text{GNP} = \text{GDP} + \text{net factor income from abroad}$$

- NNP is same application as NDP (National Domestic Product) which equal to GDP minus depreciation. Here, deprecation is amount which spends on capital goods that measure GNP. In other words, it is the net output of commodities and services flowing during the year from the country's production system in the hands of ultimate consumers.

Question No: 57 (Marks: 5)

Some economists suggest “growth through resource transfer” and “growth through stabilization and reforms” strategies to tackle the problem of poverty of under developed countries. What is the basic theme of both these strategies? Discuss.

Growth trough resource transfer:

The businesses core resources transfer strategies are having close effect on customer satisfaction, production performance, and personnel expertise of the non-financial performance of business performances; but, these strategies show minor influences on the variance breadth of costs, sales performance, and development performance of business performances. For the growth of it, larger effect exists on the transfer of expertise, organizational learning, reputation and innovation of core resources. However, this strategy shows minor effect on the transfer of brand, management skills, interpersonal relationship, and management.

Growth through stabilization and reforms:

A stabilization strategy centers on addressing people's basic needs and opportunities at the local level by improving their access to basic services, by expanding economic opportunities and by promoting political/civic empowerment. Livelihood, for the purposes of this strategy, is defined as the combination of factors in a community that have a direct impact on the quality of individuals' lives. Those factors include the elements in a community that affect citizen well-being, prosperity, and future choices, such as income, health, education, security, water, small infrastructure and citizen participation.

Question No: 58 (Marks: 10)

(A)

Following are the items of balance sheet of bank A

Loans = 80
Deposits = 100
Reserves = 20

Prepare the balance sheet in proper form and find out total assets and total liabilities.

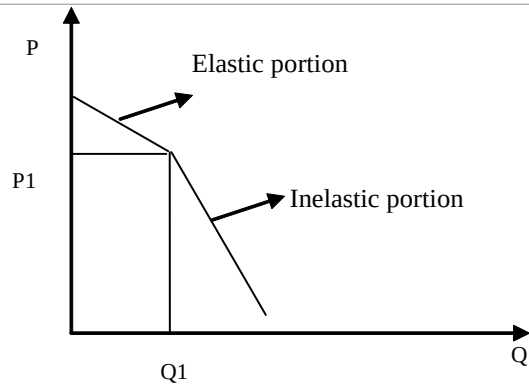
(B) Following are the items of balance sheet of bank A

Loans = 60
Deposits = 110
Reserves = 50

Firm A deposits Rs. 50 in bank A. Prepare the balance sheet in proper form and find out total assets and total liabilities after the deposits of firm A.

(Marks: 5+5)

Question No: 59 (Marks: 10)



(A) The above demand curve has two distinct segments which have different elasticities that join to form a corner or kink. Why the firms are reluctant to change the price in these two segments?

(B) What are the major advantages that an oligopoly offers for public interests?

(Marks: 5+5)

FINAL TERM EXAMINATION
Spring 2009
ECO401- Economics (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Aslam decides to stay at home and study for his exam rather than going out with his friends to a movie. His dilemma is an example of:

- ▶ The economic perspective.
- ▶ Marginal analysis.
- ▶ Allocative efficiency.
- ▶ **Opportunity cost.**

Question No: 2 (Marks: 1) - Please choose one

_____ **A**
good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

_____ **An**
increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 4 (Marks: 1) - Please choose one

_____ **Price floor results in:**

- ▶ All of the given options.
- ▶ Excess supply.
- ▶ Equilibrium.
- ▶ **Excess demand.**

Question No: 5 (Marks: 1) - Please choose one

_____ **The**
price elasticity of demand measures the responsiveness of quantity demanded to:

- ▶ Quantity demanded.
- ▶ Quantity supplied.
- ▶ **Price.**

- ▶ Output.

Question No: 6 (Marks: 1) - Please choose one

Assume that the total utilities for the fifth and sixth units of a good consumed are 83 and 97, respectively. The marginal utility for the sixth unit is:

- ▶ -14.
- ▶ 14.
- ▶ 83.
- ▶ 97.

Question No: 7 (Marks: 1) - Please choose one

Indifference curves that are convex to the origin reflect:

- ▶ An increasing marginal rate of substitution.
- ▶ A decreasing marginal rate of substitution.
- ▶ A constant marginal rate of substitution.
- ▶ A marginal rate of substitution that first decreases, then increases.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

As compared to existing firms, a new firm entering in monopolist market has:

- ▶ High costs.
- ▶ Low costs.
- ▶ Equal costs.
- ▶ None of the given options.

Question No: 10 (Marks: 1) - Please choose one

firm is charging a different price for each unit purchased by a consumer. This is called:

- ▶ First-degree price discrimination.
- ▶ Second-degree price discrimination.
- ▶ **Third-degree price discrimination.**
- ▶ None of the given options.

Question No: 11 (Marks: 1) - Please choose one

McDonald's restaurant located near the high school offered a Tuesday special for high school students. If high school students showed their student ID cards, they would be given 50 cents off any special meal. This practice is an example of:

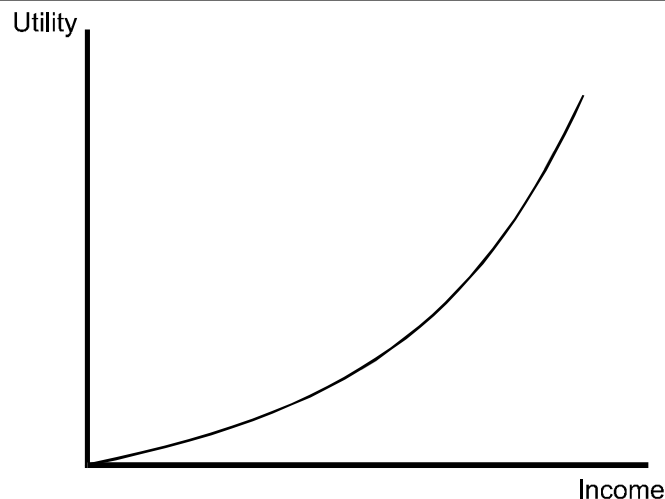
- ▶ Collusion.
- ▶ Price discrimination.
- ▶ Two-part tariff.
- ▶ **Bundling.**

Question No: 12 (Marks: 1) - Please choose one

The price elasticity of demand for any good must be less than or equal to zero unless:

- ▶ The good is a necessity.
- ▶ The good is a luxury.
- ▶ **The good is a Giffen good.**
- ▶ None of the given options.

Question No: 13 (Marks: 1) - Please choose one



Figure

In figure given above, the marginal utility of income is:

- ▶ **Increasing as income increases.**
- ▶ Constant for all levels of income.
- ▶ Diminishes as income increases.
- ▶ None of the given options.

Question No: 14 (Marks: 1) - Please choose one

monopoly, which of the following is NOT true?

In

- ▶ Products are differentiated.
- ▶ **There is freedom of entry and exit into the industry in the long run.**
- ▶ The firm is a price maker.
- ▶ There is one main seller.

Question No: 15 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.
- ▶ **Normative issues.**
- ▶ Micro issues.
- ▶ Macro issues.

Question No: 16 (Marks: 1) - Please choose one

Under the kinked demand curve model, an increase in marginal cost will lead to:

- ▶ An increase in output level and a decrease in price.
- ▶ A decrease in output level and an increase in price.
- ▶ **A decrease in output level and no change in price.**
- ▶ Neither a change in output level nor a change in price.

Question No: 17 (Marks: 1) - Please choose one

Which of the following market situation is much like a pure monopoly except that its member firms tend to cheat on agreed upon price and output strategies?

- ▶ Duopoly.
- ▶ **Cartel.**
- ▶ Market sharing monopoly.
- ▶ Natural monopoly.

Question No: 18 (Marks: 1) - Please choose one

the complete classical model, a rightward shift of the labor supply curve will:

In

- ▶ Decrease the price level and increase the nominal wage.

- ▶ Decrease the nominal wage and increase the price level.
- ▶ Decrease both the price level and the nominal wage.
- ▶ **Increase both the price level and the nominal wage.**

Question No: 19 (Marks: 1) - Please choose one

Which of the following events could cause the aggregate demand curve to shift to the right?

- ▶ An increase in the rate of inflation.
- ▶ A decrease in government expenditures.
- ▶ A decrease in investment spending.
- ▶ **A decrease in income tax rates.**

Question No: 20 (Marks: 1) - Please choose one

_____ The Great Depression of 1930s opened the door to the _____ revolution in macroeconomic theory.

- ▶ **Keynesian.**
- ▶ New classical.
- ▶ Old classical.
- ▶ New Keynesian.

Question No: 21 (Marks: 1) - Please choose one

Keynesian economics was the predominant economic theory:

- ▶ Prior to the late 1700s.
- ▶ From the late 1700s to the early 1900s.
- ▶ **From 1930s to 1970s.**
- ▶ Since 1970s.

Question No: 22 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 23 (Marks: 1) - Please choose one

According to the model of aggregate supply and aggregate demand, in the long run, an increase in the money supply should cause:

- ▶ Both prices and output to rise.
- ▶ Prices to fall and output to remain unchanged.
- ▶ Both prices and output to fall.
- ▶ **Prices to rise and output to remain unchanged.**

Question No: 24 (Marks: 1) - Please choose one

Intermediate goods are meant for:

- ▶ Direct use by the consumers.
- ▶ **Further processing.**
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 25 (Marks: 1) - Please choose one

Final goods are meant for:

- ▶ **Direct use by the consumers.**
- ▶ Further processing.
- ▶ The term do not exist.
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a flow variable?

- ▶ The value of the house in which you live.
- ▶ **The balance in your savings account.**
- ▶ Your monthly consumption on food items.
- ▶ The number of carrots in your refrigerator at the beginning of the month.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is NOT a stock variable?

- ▶ Government debt.
- ▶ Capital.
- ▶ **The amount of money held by the public.**
- ▶ Inventory investment.

Question No: 28 (Marks: 1) - Please choose one

other things remain the same, Gross Domestic Product (GDP) will rise if:

- ▶ Imports rises.
- ▶ Exports falls.
- ▶ **Durable goods consumption rises.**
- ▶ Military spending falls.

All

Question No: 29 (Marks: 1) - Please choose one

If disposable income increases from \$5 trillion to \$6 trillion and as a result, consumption expenditure increases from \$7 trillion to \$7.8 trillion, the Marginal Propensity to Consume is:

- ▶ 1.0.
- ▶ **0.8.**
- ▶ $5/7 = 0.71$.
- ▶ $6/7.8 = 0.77$.

Question No: 30 (Marks: 1) - Please choose one

The slope of the consumption function (or line) is the:

- ▶ Average propensity to save.
- ▶ Average propensity to consume.
- ▶ Marginal propensity to save.
- ▶ **Marginal propensity to consume.**

Question No: 31 (Marks: 1) - Please choose one

Suppose that your income increases from \$100,000 to \$150,000 and your consumption increases from \$80,000 to \$120,000. Your Marginal Propensity to Save (MPS) is:

- ▶ 0.2.
- ▶ 0.4.
- ▶ 0.6.
- ▶ **0.8.**

Question No: 32 (Marks: 1) - Please choose one

The unemployment rate is equal to:

- ▶ Number of employed / labour force x 100.
- ▶ **Number of unemployed / labour force.**
- ▶ (Number of unemployed / labour force) x 100.
- ▶ None of the given options.

Question No: 33 (Marks: 1) - Please choose one

The traditional Phillips Curve shows the:

- ▶ **Inverse relationship between the rate of inflation and unemployment rate.**
- ▶ Inverse relationship between the nominal and real wage.
- ▶ Direct relationship between unemployment and demand-pull inflation.

- ▶ Tradeoff between the short run and long run.

Question No: 34 (Marks: 1) - Please choose one

Deflation is:

- ▶ An increase in the overall level of economic activity.
- ▶ An increase in the overall price level.
- ▶ A decrease in the overall level of economic activity.
- ▶ **A decrease in the overall price level.**

Question No: 35 (Marks: 1) - Please choose one

Gross Domestic Product (GDP) an accurate measure of a country's well being?

Is

- ▶ Yes, it is the best measure of national well being.
- ▶ **Yes, provided we use real GDP and not nominal GDP.**
- ▶ Uncertain, depending on whether GDP is rising or falling.
- ▶ No, it is not.

Question No: 36 (Marks: 1) - Please choose one

Real Gross Domestic Product (GDP):

- ▶ **Is nominal GDP adjusted for changes in the price level.**
- ▶ Is also called nominal GDP.
- ▶ Measures GDP minus depreciation of capital.
- ▶ Will always change when prices change.

Question No: 37 (Marks: 1) - Please choose one

If a war destroys a large portion of a country's capital stock but the saving rate is unchanged, the exogenous model predicts that output will grow and the new steady state will approach:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ **A lower output level than before.**
- ▶ The Golden Rule output level.

Question No: 38 (Marks: 1) - Please choose one

currency appreciation:

A

- ▶ **Reduces aggregate demand and increases aggregate supply.**
- ▶ Reduces both aggregate demand and aggregate supply.
- ▶ Increases aggregate demand and reduces aggregate supply.
- ▶ Increases both aggregate demand and aggregate supply.

Question No: 39 (Marks: 1) - Please choose one

M1

component of money supply consists of:

- ▶ Paper currency and coins.
- ▶ **Paper currency, coins and check writing deposits.**
- ▶ Paper currency, coins, check writing deposits and savings deposits.
- ▶ Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 40 (Marks: 1) - Please choose one

Personal income:

- ▶ Is income received by individuals during a given year.
- ▶ Is the income individuals have available for spending during a given year.
- ▶ Equals national income minus indirect taxes.
- ▶ **Is the sum of wages plus interest received by individuals during a given year.**

Question No: 41 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.
- ▶ **The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.**

Question No: 42 (Marks: 1) - Please choose one

Which of the following statements describes the difference between nominal and real Gross Domestic Product (GDP)?

- ▶ Real GDP includes only goods; nominal GDP includes goods and services.
- ▶ **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- ▶ Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- ▶ Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 43 (Marks: 1) - Please choose one

If we compare Gross Domestic Product (GDP) with Gross National Product (GNP) then:

- ▶ $GNP = GDP - \text{Net income from abroad.}$
- ▶ **$GNP = GDP + \text{Net income from abroad.}$**
- ▶ $GNP = NNP - \text{Net income from abroad.}$
- ▶ $GNP = NNP + \text{Net income from abroad.}$

Question No: 44 (Marks: 1) - Please choose one

Gross domestic product (GDP) is the market value of:

- ▶ All transactions in an economy during one-year period.
- ▶ All goods and services exchanged in an economy during one-year period.
- ▶ All final goods and services exchanged in an economy during one-year period.
- ▶ **All final goods and services produced in a domestic economy during one-year period.**

Question No: 45 (Marks: 1) - Please choose one

Which of the following shows the Fisher equation of exchange?

- ▶ $MT = PV.$
- ▶ $VT = PM.$
- ▶ **$MV = PQ.$**
- ▶ $MY = VP.$

Question No: 46 (Marks: 1) - Please choose one

An exchange rate that varies according to the supply and demand for the currency in the foreign exchange market is called:

- ▶ Overvalued exchange rate.
- ▶ Undervalued exchange rate.
- ▶ Fixed exchange rate.
- ▶ **Flexible exchange rate.**

Question No: 47 (Marks: 1) - Please choose one

In the equation $MV = PQ$, according to the crude quantity theory of money:

- ▶ M has no effect on the price level.
- ▶ **V is the number of times each dollar is spent per year.**
- ▶ Q is the real price level.
- ▶ P rises as V falls, other things constant.

Question No: 48 (Marks: 1) - Please choose one

In
the Keynesian cross model, the 45-degree line has a slope of:

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

Question No: 49 (Marks: 1) - Please choose one

In
Keynesian economics, equilibrium can occur:

- ▶ Only at full employment level.
- ▶ Only at levels less than full employment.
- ▶ Only at levels greater than full employment.
- ▶ **At any level of aggregate output which is equal to aggregate expenditures.**

Question No: 50 (Marks: 1) - Please choose one

After a decrease in the wage, the substitution effect implies that:

- ▶ Only the amount demanded of capital decreases.
- ▶ Only the amount demanded of labor decreases.
- ▶ **Only the amount demanded of capital increases.**
- ▶ The amount demanded of all inputs increases.

Question No: 51 (Marks: 5)

Briefly discuss the private cost of advertising. How we can calculate the marginal social cost?

ANSWER: Private Cost Of Advertising: The private cost of advertising is the cost incurred by firm in making the advertisement i.e newspaper adds, tv commercials etc. The firms do not take into account the nuisance faced by people due to these advertisements otherwise the firms would do less advertisement.

Marginal Social Cost: Marginal social cost is not a monetary based cost. It is the cost borne by the society as a whole. It is the cost of consumption of one next unit.

Question No: 52 (Marks: 10)

A.

What conclusions are derived from exogenous growth theory?

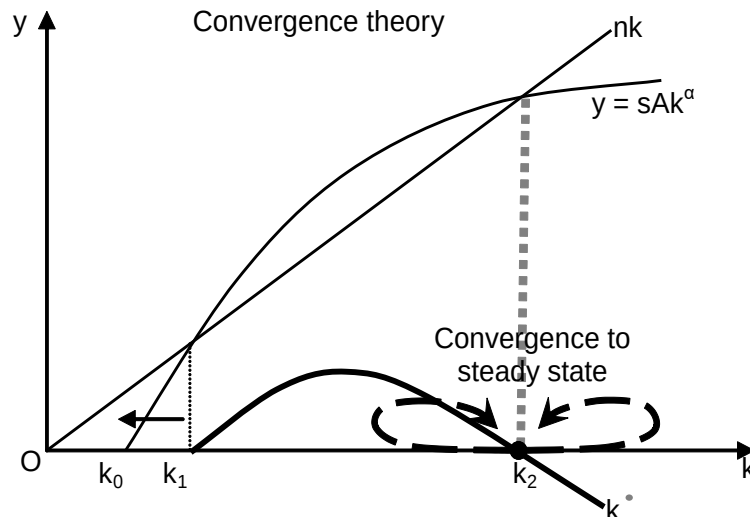
ANSWER: Exogenous Growth Theory: The major conclusions derived from the exogenous growth are as follows:

- The steady growth rate of real GDP depends on exogenous rates of growth of population (n) and technology (t). There are no policies for government for how to

affect the steady growth rate of a country. Higher savings can only have a little effect on income it cannot cause long term growth because savings cause diminishing returns to investment and capital accumulation.

- If one country started with lower income and capital than another country, the poorer country will grow faster to catch up the richer country and then both the countries will grow together.

B. What is meant by convergence theory? Explain the convergence theory in the given graph.



(Marks: 4+6)

Question No: 53 (Marks: 10)

Define fiscal policy. Differentiate between contractionary and expansionary fiscal policy. In which situations, budget deficit and budget surplus exist?

Answer: Fiscal Policy: Fiscal policy is the government's about the

- expenditure in form of purchases, subsidies and interest payments on debt etc.
- revenue in form of taxes etc.

Difference between Contractionary and Expansionary Fiscal Policy:

Contractionary Fiscal Policy	Expansionary Fiscal Policy
In contractionary fiscal policy government decreases its expenditure.	In expansionary fiscal policy government increases its expenditure.

Budget Deficit and Budget Surplus: Budget deficit exists if government expenditure increases the revenue earned. In this case government needs to finance its expenditure through borrowing.

Budget surplus exists when revenue exceeds the government expenditure. In this condition government can easily pay off its debt borrowings.

(Marks: 2+4+4)

Question No: 54 (Marks: 10)

Discuss the basic theories regarding IMF's stabilization program. Are these theories successful? If not, give reasons.

Answer: IMF's Stabilization Theories:

- **Tight Fiscal Policy:** It works through higher revenues and reduced government expenditure.
- **Devaluation:** Switching from imports to home produced goods. It increases competitiveness, exports and increase investors confidence in local currency.
- **Tight Monetary Policy:** Higher interest rates resulting in reduced private sector consumption and investment demand. It reduces inflation and increases savings. High interest rates also results in higher capital inflow.

Theses theories are generally not successful in lower income countries (LICs). Because they caused the problems of:

- **Devaluation:** It raises the price of imports and also increased the inflation while the real wage rate could not increase.
- **Stabilization hurts poor:** decrease in expenditure always badly effects the poor which can then cause political instability.

FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 4)
www.vuaskari.com

Question No: 1 (Marks: 1) - Please choose one

increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ **Shifting the supply curve to the right.**
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

An

Question No: 2 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ **An increase in price will increase total revenue.**
- ▶ None of the given options.

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Question No: 3 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ **All of the given options.**

Question No: 4 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ **Indifference curves slope downwards.**
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 5 (Marks: 1) - Please choose one

If a consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

▶ The consumer's indifference curve must be positively sloped.
▶ The consumer's indifference curve must be convex with respect to the origin of the graph.

▶ **The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.**

▶ All of the given options.

Question No: 6 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

▶ Flatter.

▶ **Steeper.**

▶ Identical.

▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

▶ **All inputs are variable.**

▶ All inputs are paid for.

▶ All outputs are determined.

▶ All loans are repaid.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

▶ Price equals marginal cost.

▶ Marginal revenue and average total cost.

▶ Price equals marginal revenue.

▶ **None of the given options.**

Question No: 9 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

▶ **Price = Marginal Cost.**

▶ Price = Average Total Cost.

▶ Average Total Cost = Marginal Cost.

▶ Price < Marginal Cost.

Question No: 10 (Marks: 1) - Please choose one

In
the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.
- ▶ Only normal profits are earned.
- ▶ **Production losses exceed fixed costs.**
- ▶ Fixed costs are zero.

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Question No: 11 (Marks: 1) - Please choose one

Loud music from a neighbor's party is:

- ▶ **A negative externality whether or not you like it.**
- ▶ A positive externality whether or not you like it.
- ▶ A positive externality if you like the music and a negative externality if you don't.
- ▶ A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 13 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ **Unemployment benefits reduce the cost of job search.**
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) - Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

- ▶ Cyclically unemployed.
- ▶ Employed.
- ▶ **Structurally unemployed.**
- ▶ Frictionally unemployed.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Reference:

http://wps.prenhall.com/bp_hubbard_econ_2/85/21856/5595147.cw/-/5595174/index.html

Question#10

Question No: 16 (Marks: 1) - Please choose one

increase in "per capita" national income implies that:

An

- ▶ Everyone in the nation is enjoying a better standard of living.
- ▶ The population has increased.
- ▶ **National income has risen faster than the population has risen.**
- ▶ The distribution of income has improved.

Reference:

<http://www.ecoteacher.asn.au/devel2/devel2.htm>

Question No: 17 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

- ▶ **Interest rate rises and investment falls.**
- ▶ Interest rate rises and velocity of circulation also rises.
- ▶ Higher interest rates encourage the central bank to increase the money supply.
- ▶ Interest rate falls and exports rise.

Question No: 18 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

▶ **The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.**

▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.

► The current pound value of all new and used goods produced and sold in the economy during a particular time period.

► The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 19 (Marks: 1) - Please choose one

_____ The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

► **The dollar can now purchase more yen.**

► The US trade balance with the Japanese economy has improved.

► The yen can now purchase more dollars.

► The dollar has depreciated relative to the yen.

Question No: 20 (Marks: 1) - Please choose one

_____ The Marginal Propensity to Save (MPS) is:

► **One Minus Marginal Propensity to Consume (MPC).**

► Saving divided by consumption.

► The slope of the consumption function (or line).

► The proportion of disposable income used for consumption.

Question No: 21 (Marks: 1) - Please choose one

_____ Which of the following is true about supply curve under monopoly?

► It is same as the competitive market supply curve.

► **It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.**

► It is the result of market power and production costs.

► None of the given statements is true.

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Question No: 22 (Marks: 1) - Please choose one

_____ All of the following conditions lead to the successful operation of a cartel EXCEPT:

► Market demand for the good is relatively inelastic.

► The cartel supplies all of the world's output of the good.

► Cartel members have substantial cost advantages over non-member producers.

► **The supply of non-cartel members is very price elastic.**

Question No: 23 (Marks: 1) - Please choose one

_____ Which of the following is required to make the equation of exchange in the quantity theory of money?

► **V and Q are assumed to be constant.**

- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 24 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- ▶ **If labor force is fully employed.**
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 25 (Marks: 1) - Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

- ▶ Trade restriction.
- ▶ **Quota.**
- ▶ Import restriction.
- ▶ Legislative restriction.

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Question No: 26 (Marks: 1) - Please choose one

GNP is a good indicator of:

- ▶ **The total payment of factor owners.**
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

Question No: 27 (Marks: 1) - Please choose one

demand for factors of production is derived from:

- ▶ Money market.
- ▶ **Goods market.**
- ▶ Stock market.
- ▶ Financial market.

The

Question No: 28 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ **The income effect of higher income dominates the substitution effect of higher wages.**

- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 29 (Marks: 1) - Please choose one

The discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

- ▶ Future value.
- ▶ **Net present value.**
- ▶ Discounted value.
- ▶ Disposal value.

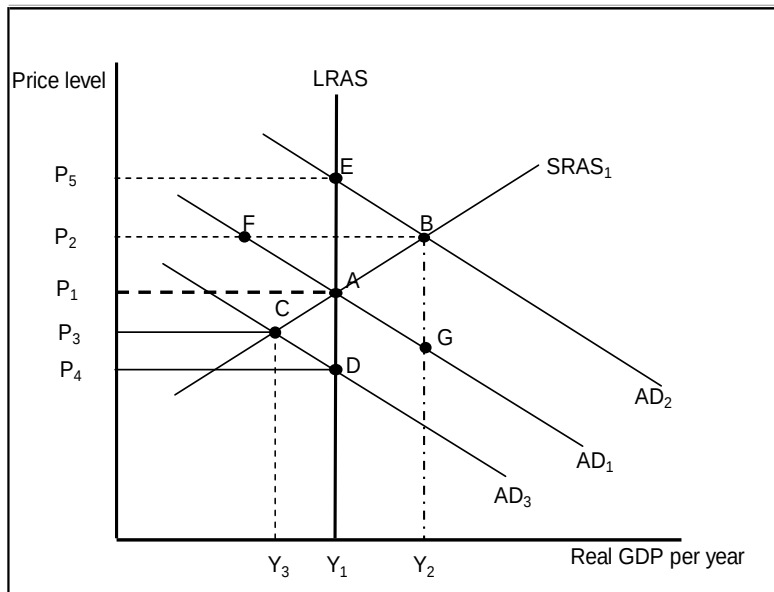
Question No: 30 (Marks: 1) - Please choose one

Information products are also known as:

- ▶ Inferior products.
- ▶ Superior products.
- ▶ **Internet products.**
- ▶ Expensive products.

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Question No: 31 (Marks: 1) - Please choose one



Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

- ▶ Real GDP remains at Y_1 but the price level falls to P_3 .

► The quantity of real GDP demanded falls resulting in a movement from point A to point F.

► **Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3 .**

► The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a cost of rising unemployment?

I. Output foregone.

II. Unemployment compensation that must be paid.

III. Rising inflation that erodes the value of money.

► I, II, and III.

► **I and II.**

► I and III.

► II and III.

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Question No: 33 (Marks: 1) - Please choose one

Rising inflation means:

► That the price level is increasing by a given percentage rate.

► That the prices of all goods and services increase from year to year.

► **That the price level is rising at an increasing rate.**

► That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) - Please choose one

Economic growth occurs by an outward shift of:

► **The production possibility frontier.**

► The gross domestic barrier.

► The marginal consumption frontier.

► The minimum efficient scale.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

► **Continuous technology progress.**

► High rate of population growth.

► Development of urban centers.

► Expansion of railways.

Question No: 36 (Marks: 1) - Please choose one

government has a balanced budget if:

► **Its total revenues are equal to its total expenditures.**

The

- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

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Question No: 37 (Marks: 1) - Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ▶ Moral suasion.
- ▶ Reserve requirements.
- ▶ The discount rate.
- ▶ **Open market operations.**

Question No: 38 (Marks: 1) - Please choose one

When the comparative advantage in production of a good does occur?

- ▶ When a country can produce that good using fewer resources than other countries.
- ▶ When a country can produce that good at a greater opportunity cost than other countries.
- ▶ **When a country can produce that good at a lower opportunity cost than other countries.**
- ▶ When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Question No: 39 (Marks: 1) - Please choose one

A

quota is defined as:

- ▶ A restriction on exports.
- ▶ A unit tax imposed on a product.
- ▶ A limit on the quantity of a good that can be exported.
- ▶ **A limit on the quantity of a good that can be imported.**

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

- ▶ **The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.**
- ▶ The agricultural sector is by far the largest producer and the most productive sector in low-income countries.
- ▶ Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.
- ▶ The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

Question No: 41 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ **A decrease in the size of the working-age population.**
- ▶ Increased production of capital goods.

Question No: 42 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ▶ **10.**
- ▶ 20.
- ▶ 30.
- ▶ 40.

Question No: 43 (Marks: 1) - Please choose one

_____ If
marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

- ▶ Expand output.
- ▶ Do nothing without information about your fixed costs.
- ▶ Expand output until marginal revenue equals zero.
- ▶ **Reduce output until marginal revenue equals marginal cost.**

Question No: 44 (Marks: 1) - Please choose one

_____ The
average annual income per head for all the inhabitants of the country is known as:

- ▶ Gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- ▶ **Per capita income.**

Question No: 45 (Marks: 1) - Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- ▶ **Real gross domestic product.**
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 46 (Marks: 1) - Please choose one

_____ The principle which states that a change in income causes a magnified change in investment is termed as the:

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- ▶ **Accelerator effect.**

Question No: 47 (Marks: 1) - Please choose one

_____ If central bank increased the money supply, then what will be happen to IS curve?

- ▶ **IS curve will Shifts rightward.**
- ▶ IS curve will Shifts leftward.
- ▶ IS curve will remain unaffected.
- ▶ IS curve will become vertical.

Question No: 48 (Marks: 1) - Please choose one

_____ The value of world trade has increased -----over the period of 1930-2000.

- ▶ **20 fold**
- ▶ 10 fold
- ▶ 5 fold
- ▶ 14 fold

Question No: 49 (Marks: 3)

_____ Write down the functions of commercial banks.

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Question No: 50 (Marks: 3)

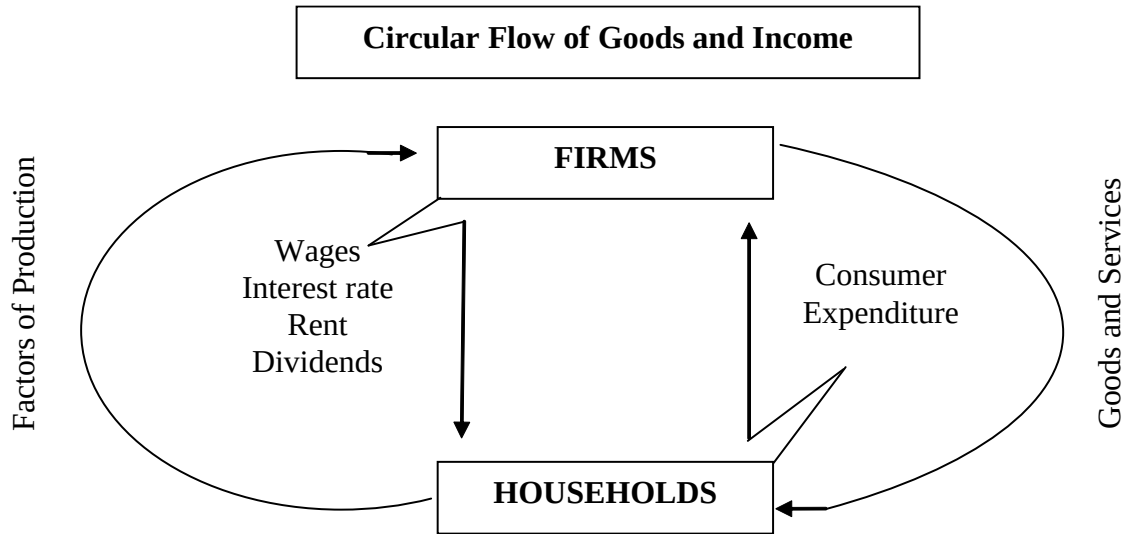
_____ How the growth rate of output is determined in the exogenous growth model?

Question No: 51 (Marks: 5)

_____ Why is taxation necessary? What are the principles of taxation?

Question No: 52 (Marks: 5)

_____ Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.



Question No: 53 (Marks: 5)

Explain the difference between current account and capital account.

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Time: 90 min
Marks: 69

Student Info	
StudentID:	
Center:	OPKST
ExamDate:	07 Aug 2010

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Question No: 1 (Marks: 1) - Please choose one

A

good for which income and quantity demanded are inversely related is known as:

- ▶ **Inferior good.**
- ▶ Complementary good.
- ▶ Normal good.
- ▶ None of the given options.

Question No: 2 (Marks: 1) - Please choose one

At

the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

Question No: 3 (Marks: 1) - Please choose one

A

graph showing all the combinations of capital and labour available for a given total cost is the:

- ▶ Budget constraint.
- ▶ Expenditure set.
- ▶ Isoquant.
- ▶ **Isocost.**

Question No: 4 (Marks: 1) - Please choose one

The

supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ **Its marginal cost curve above the minimum point of the average variable cost curve.**
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 5 (Marks: 1) - Please choose one

A

perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ Price = Marginal Cost.
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ **Price < Marginal Cost.**

Question No: 6 (Marks: 1) - Please choose one

Which of the following is true in long run equilibrium for a firm in a monopolistic competitive industry?

- ▶ **The demand curve is tangent to marginal cost curve.**
- ▶ The demand curve is tangent to average cost curve.
- ▶ The marginal cost curve is tangent to average cost curve.
- ▶ The demand curve is tangent to marginal revenue curve.

Question No: 7 (Marks: 1) - Please choose one

Value of Marginal Product of Labor (VMP_L) is equal to:

- ▶ MPP_L / P_i
- ▶ MPP_L
- ▶ P_i
- ▶ **$MPP_L \times P_i$**

Question No: 8 (Marks: 1) - Please choose one

The marginal revenue product is:

- ▶ Upward sloping due to the law of demand.
- ▶ Upward sloping due to the law of marginal utility.
- ▶ **Downward sloping due to the law of diminishing returns.**
- ▶ Downward sloping due to the law of supply.

Question No: 9 (Marks: 1) - Please choose one

The classical economists thought that the economy would quickly overcome any short run instability because:

- ▶ Price level and quantity are flexible.
- ▶ Prices would get stuck at a low level.
- ▶ The long run aggregate supply would shift to the left.
- ▶ **Prices and wages are flexible.**

Question No: 10 (Marks: 1) - Please choose one

An assumption of classical economics is:

- ▶ Investment and saving are seldom equal.

- ▶ Self-correction takes a long time.
- ▶ Demand creates its own supply.
- ▶ **Prices and wages are flexible.**

Question No: 11 (Marks: 1) - Please choose one

Gross Domestic Product is:

- ▶ A stock variable.
- ▶ **A flow variable.**
- ▶ Both a stock and a flow variable.
- ▶ Neither a stock nor a flow variable.

Question No: 12 (Marks: 1) - Please choose one

_____ The labour force is made up of:

- ▶ The number of people employed minus the number of people unemployed.
- ▶ **The number of people employed plus the number of people unemployed.**
- ▶ Just the number of people employed.
- ▶ The whole population.

Question No: 13 (Marks: 1) - Please choose one

_____ A government wishing to reduce a deficit on the current account of their balance of payments through the use of fiscal policy would be most likely to:

- ▶ Raise direct taxation.
- ▶ Introduce an import quota.
- ▶ Raise interest rates.
- ▶ **Reduce the rate of value added tax on all goods and services.**

Question No: 14 (Marks: 1) - Please choose one

_____ If imports = exports, then we have:

- ▶ Current account balance.
- ▶ Capital account balance.
- ▶ Statistical discrepancy.
- ▶ **Balanced Budget.**

Question No: 15 (Marks: 1) - Please choose one

_____ The principle economic difference between a competitive and a non-competitive market is:

- ▶ The number of firms in the market.

- ▶ **The extent to which any firm can influence the price of the product.**
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 16 (Marks: 1) - Please choose one

Disposable Income is obtained by subtracting ----- from personal income.

- ▶ Indirect Taxes.
- ▶ **Direct Taxes.**
- ▶ Both direct and indirect taxes.
- ▶ Subsidies.

Question No: 17 (Marks: 1) - Please choose one

Under monopoly, when the demand curve is downward sloping, marginal revenue is:

- ▶ Equal to price.
- ▶ **Equal to average cost.**
- ▶ Less than price.
- ▶ More than price.

Question No: 18 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ **Keynesian economists actively promote the use of fiscal policy while the classical economists do not.**
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
- ▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 19 (Marks: 1) - Please choose one

Suppose an economy is at full employment equilibrium in the classical model. What will be the long run effect of an increase in government spending in this economy?

- ▶ Price level will increase.
- ▶ The aggregate demand curve will shift upward.
- ▶ Output level will remain constant.
- ▶ **All of the given options.**

Question No: 20 (Marks: 1) - Please choose one

This year, if national product at factor cost is Rs. 500 billion, indirect taxes 150 billion and subsidies Rs. 50 billion, then national product at market prices will be:

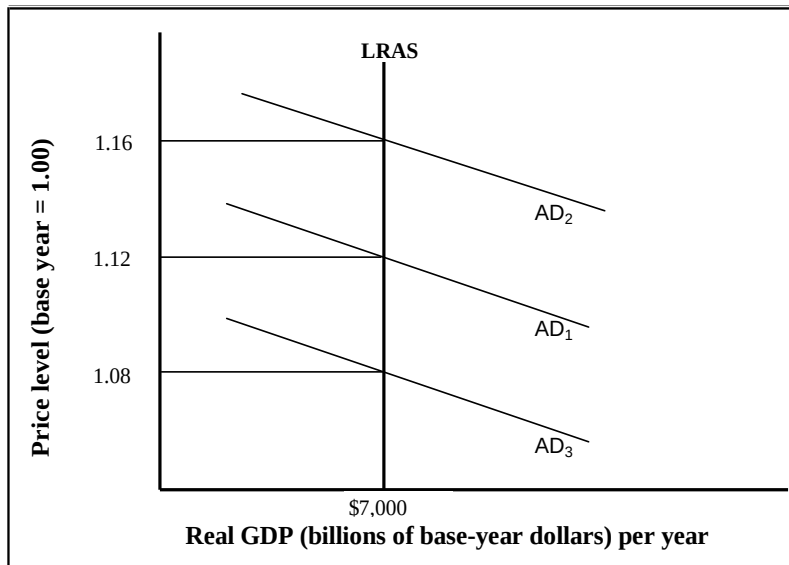
- ▶ **Rs. 700 billion.**
- ▶ Rs. 650 billion.
- ▶ Rs. 600 billion.
- ▶ Rs. 300 billion.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is an example of an injection?

- ▶ **Taxes.**
- ▶ Saving.
- ▶ Imports.
- ▶ Investment.

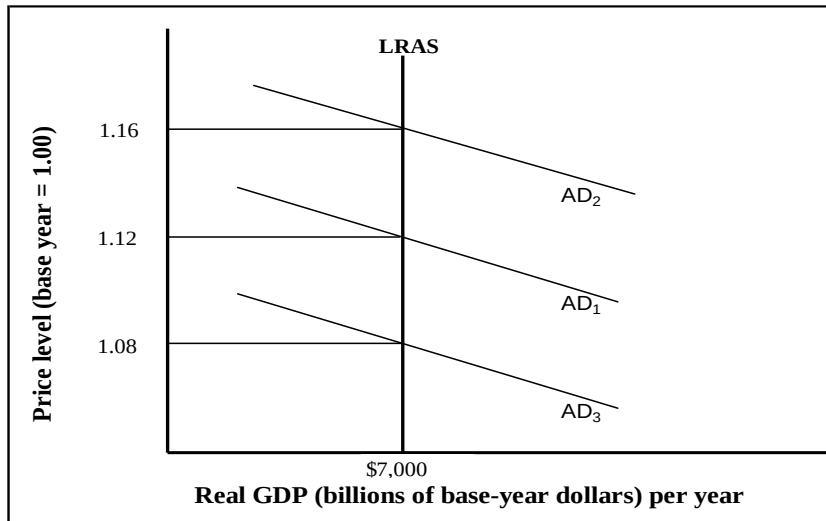
Question No: 22 (Marks: 1) - Please choose one



Refer to the above figure, the potential output in this economy is:

- ▶ \$7,000 billion at a price level of 1.16.
- ▶ \$7,000 billion at a price level of 1.12.
- ▶ \$7,000 billion at a price level of 1.08.
- ▶ **All of the given options.**

Question No: 23 (Marks: 1) - Please choose one



Refer to the above figure, if the real GDP is \$7,000 billion and the implicit price deflator is 1.16, what is the value of nominal GDP?

- ▶ \$6,034 billion.
- ▶ \$8,120 billion.
- ▶ \$9,120 billion.
- ▶ **Cannot be determined from the given information.**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is TRUE?

- ▶ Accelerator coefficient = Marginal capital / output ratio.
- ▶ Accelerator coefficient > Marginal capital / output ratio.
- ▶ Accelerator coefficient < Marginal capital / output ratio.
- ▶ **None of the given options.**

Question No: 25 (Marks: 1) - Please choose one

Which of the following predictions can be made using the growth rates associated with the equation of exchange, given that velocity is stable and that the economy moves to its potential output (Y_P) in the long run?

- ▶ **If the money supply grows at a faster rate than growth in Y_P , there will be inflation.**
- ▶ If the money supply grows at the same rate as growth in Y_P , the price level will fall and there will be deflation.
- ▶ If the money supply grows at the same rate as growth in Y_P , the price level will also increase at the same rate as growth in Y_P .
- ▶ None of the given options.

Question No: 26 (Marks: 1) - Please choose one

Which of the following will influence a country's exports?

- ▶ All of the given options.

- ▶ **Consumer tastes for domestic and foreign goods.**
- ▶ Prices of goods at home and abroad.
- ▶ Costs of transporting goods from country to country.

Question No: 27 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$100, what is the amount of personal saving?

- ▶ **-\$40.**
- ▶ -\$20
- ▶ \$0.
- ▶ \$20.

Question No: 28 (Marks: 1) - Please choose one

Disposable Personal Income \$	Consumption \$
100	140
200	220
300	300
400	380
500	460

Refer to the above table, when disposable personal income is \$400, what is the amount of personal saving?

- ▶ -\$40.
- ▶ -\$20.
- ▶ \$0.
- ▶ **\$20.**

Question No: 29 (Marks: 1) - Please choose one

The price of one unit of foreign good in terms of domestic good is known as:

- ▶ Inflation rate.
- ▶ **Real exchange rate.**
- ▶ Nominal exchange rate.
- ▶ Discount rate.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.
- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not likely to be a cause of economic growth?

- ▶ Improved rate of capital formation.
- ▶ **Increase in money supply.**
- ▶ Increase in investment in education and training.
- ▶ Rapid technical progress.

Question No: 32 (Marks: 1) - Please choose one

money multiplier is the reverse of:

- ▶ Legal reserves.
- ▶ Excess reserves.
- ▶ Checkable deposits.
- ▶ **The reserve ratio.**

The

Question No: 33 (Marks: 1) - Please choose one

primary function of a central bank is to:

- ▶ Regulate dividend payments by corporations.
- ▶ Control the bond market.
- ▶ **Set monetary policy.**
- ▶ Publish statistics on banking and related financial matters.

A

Question No: 34 (Marks: 1) - Please choose one

What will be the impact of an increase in taxes?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 35 (Marks: 1) - Please choose one

curve shows the equilibrium in:

IS

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 36 (Marks: 1) - Please choose one

Which of the following is TRUE for investment function and the IS curve slope?

- ▶ It is upward because higher interest rates induce more investment.
- ▶ It is upward because higher interest rates induce less investment.
- ▶ It is downward because higher interest rates induce more investment.
- ▶ **It is downward because higher interest rates induce less investment.**

Question No: 37 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

Question No: 38 (Marks: 1) - Please choose one

Suppose all inputs are increased by 20% but output increases by less than 20% in a production process. This means that the firm experiences:

- ▶ **Decreasing returns to scale.**
- ▶ Constant returns to scale.
- ▶ Increasing returns to scale.
- ▶ None of the given options.

Question No: 39 (Marks: 1) - Please choose one

What will happen if current output is less than the profit-maximizing output?

- ▶ **The next unit produced will decrease profit.**
- ▶ The next unit produced will increase cost more than it increases revenue.
- ▶ The next unit produced will increase revenue more than it increases cost.
- ▶ The next unit produced will increase revenue without increasing cost.

Question No: 40 (Marks: 1) - Please choose one

In which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ **When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.**
- ▶ When there are many firms producing the same product.

- ▶ In all of the given situations.

Question No: 41 (Marks: 1) - Please choose one

Concentration ratio is used to assess:

- ▶ **The level of competition in an industry.**
- ▶ The degree of control over prices.
- ▶ The technological gaps between the firms.
- ▶ Marginal cost and marginal benefit analysis.

Question No: 42 (Marks: 1) - Please choose one

an increase in price increases the total revenue then:

If

- ▶ **Demand is elastic.**
- ▶ Demand is inelastic.
- ▶ Supply is elastic.
- ▶ Supply is inelastic.

Question No: 43 (Marks: 1) - Please choose one

Revaluation of the currency encourages:

- ▶ Imports.
- ▶ **Exports.**
- ▶ Poverty.
- ▶ Inflation.

Question No: 44 (Marks: 1) - Please choose one

Growth rate of total output is equal to:

- ▶ Growth rate of per capita income - Growth rate of population.
- ▶ Growth rate of population / Growth rate of per capita income.
- ▶ **Growth rate of population + Growth rate of per capita income.**
- ▶ Growth rate of population - Growth rate of per capita income.

Question No: 45 (Marks: 1) - Please choose one

Government can borrow from domestic banking system or general public by selling:

- ▶ Shares of any of its institute.
- ▶ Stocks.
- ▶ **Treasury bills.**
- ▶ Debentures.

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an equilibrium condition in goods market?

- ▶ Investment = Saving.
- ▶ **Money supply = Money demand.**
- ▶ Aggregate demand = $C + I + G + NX$.
- ▶ Aggregate demand = Aggregate supply.

Question No: 47 (Marks: 1) - Please choose one

_____ If
the exchange rate is fixed, expansionary fiscal policy would not have any:

- ▶ Investment multiplier effect.
- ▶ Crowding out effects.
- ▶ **Government spending effect .**
- ▶ None of the given options.

Question No: 48 (Marks: 1) - Please choose one

_____ The
common characteristics of a developing country is:

- ▶ **High growth rate.**
- ▶ High literacy rate.
- ▶ Skilled labor.
- ▶ High unemployment rate.

Question No: 49 (Marks: 3)

_____ Define balance of payment (BOP). How the BOP can be determined?

Answer:

A BOP is a sheet in other words an account sheet which is an accounting record of all monetary transactions between a country and the rest of the world.

These transactions include

→ Payments for the country's exports and imports of goods, services, and financial capital, as well as financial transfers.

The BOP summarizes international transactions for a specific period, usually a year, and is prepared in a single currency, typically the domestic currency for the country concerned.

Surplus items:

Sources of funds for a nation, such as exports or the receipts of loans and investments, are recorded as positive/surplus items.

Deficit items:

Uses of funds, such as for imports or to invest in foreign countries, are recorded as a negative or deficit item.

It can be determined if we see the things in both perspective. In other words it is a non-complicated way, let's assume that we have two countries Pakistan and United States and things are viewed from Pakistan point of view.

For this purpose we must know the market for foreign exchange. Foreign exchange in a Pakistani context means US \$ and in a US point of view it is Pak rupees.

Question No: 50 (Marks: 3)

Explain the shape of money demand curve with the help of diagram.

Answer:

Money demand M_d increases with income levels.

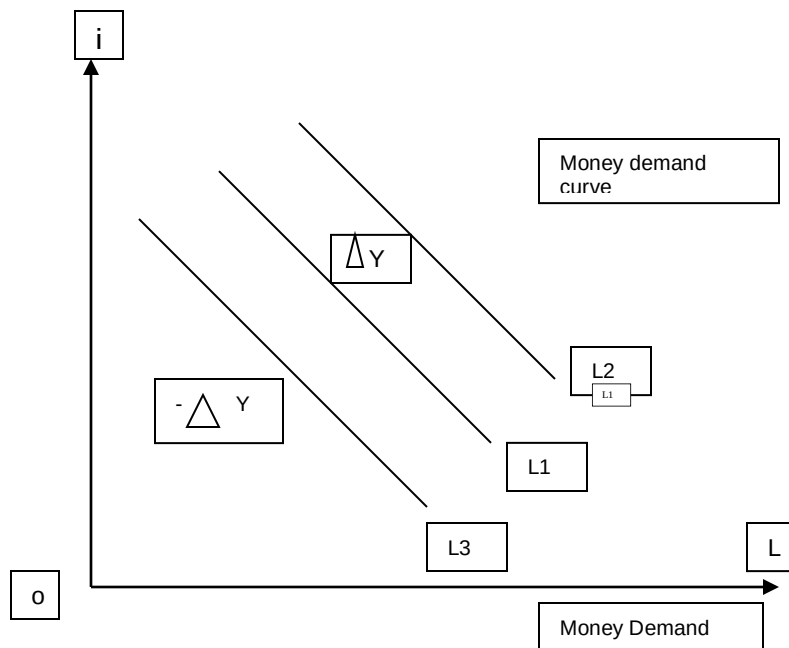
Money demand M_d falls with interest rates.

In this concept we are talking about real income and real interest rate not the nominal income and nominal interest rate.

So this implies to the demand of real money.

Whether nominal and real money supply is equal or not depends much on the assumption regarding prices. If prices are assumed fixed, then the two are equal, otherwise not.

As you can see from the diagram where money demand is on the x-axis and income is on the y-axis, and there are various levels shown like L_1, L_2, L_3 .



Question No: 51 (Marks: 5)

How can a current account, which is in deficit, be restored to balance under fixed exchange rate regimes?

Answer:

There is solution for how can a current account which is in deficit be restored to balance under fixed exchange rate regimes. The answer is **“Economic Deflation”**

Economic Deflation says When a country’s national income rises, it spends more; part of that spending falls on imported goods; higher imports cause the current account to worsen.

The reverse is also true for this lower income must reduce import spending and therefore improve the current account spending.

However, economic contraction is not a good idea to restore current account equilibrium the other alternative solution presented by economist is to devalue or “devaluation”.

Devaluation is the phenomena related to exchange rate where exchange rate faces depreciation but in the context of fixed exchange rates. The complement of devaluation is revaluation.

A concept of devaluation is to bring the exchange rate in line with its long-run equilibrium level,

i.e. a level consistent with international competitiveness.

Competitiveness is simply defined as the real exchange rate RER, where $RER = (P_f/P_d) \times NER$.
Where

NER → Nominal Exchange rate

P_f → is the price level prevailing in the foreign country (US)

P_d → is the price level prevailing in the home country (Pakistan).

The formula implies that, for a fixed NET if inflation is higher in Pakistan (relative to the US), Pakistani exports will become less attractive in the international market. As a result, our exports will fall, and current account will go into deficit.

To fix this problem, the NER can be devalued so as to make our goods cheaper and competitive and it is to bring competitiveness back to its original higher level. However, there are many provisos attached to the devaluation policy prescription.

Devaluation only works if the country's exports and imports are elastic, otherwise the price effect of the devaluation will dominate the volume effect and the current account will worsen. Secondly, the country must have excess productive capacity in order to meet the higher demand for exports that is created as a result of the devaluation. Thirdly, the country should not have a very high foreign debt whose burden increases so much as a result of the devaluation that the negative effects associated therewith overwhelm any positive competitiveness effects.

Capital account (+ or -)

+ → Incoming FDI, FPI or other private capital

- → Outgoing FDI, FPI or other private capital

+ → Borrowing, aid inflows

- → Payments of debt principal, aid outflows

Question No: 52 (Marks: 5)

Identify which of the following are stock variables and which are flow variables?

- a) Unemployment → **Stock**
- b) Redundancies (job lay-offs) → **Flow**
- c) Profits → **Flow**
- d) A firm's stock market valuation (share price) → **Stock**
- e) The value of property after a period of inflation → **Stock**

(Marks: 1 for each)

Question No: 53 (Marks: 5)

World Bank suggests some structural reform policies for the poor countries to grow. Discuss those policies briefly.

Ans:

World Bank has suggested following policies for the poor countries to grow,

1. **Governance and administrative reforms:** To reduce over employment in public sector, reduce wastes and to improve the quality and reliability of public services. To strengthen the administration of taxes, to eliminate the corruption. To decentralize the control of fiscal policy making. To enrich the legal and regulator framework.
2. **Privatization of state-owned enterprises:** Abbreviated as SOEs. These are influenced by political interference and it is one of the reasons SOEs are considered inefficient. SOEs are also suffering from lack of competition, cost awareness and fear of bankruptcy.
3. **Financial liberalization:** It involves ending of financial repression policies including artificially low interest rates, credit rationing, restrictions on banking competition and government involvement in investment allocation
4. **Liberalization of prices, removal of subsidies**
5. **Deregulation involving dismantling of licensing systems and red-tape**
6. **Trade liberalization:** including tariffication of non-tariff-barriers, harmonization of tariffs and an eventual reduction thereof
7. **FDI liberalization:** To create a transparent, predictable environment for foreign investors to operate in.
8. **Capital account liberalization:** To remove controls on capital flows

These policies are suggested by world bank and the successful implementation of these policies depend on the political and economic system of poor countries. In general these policies are expected to provide the poor nation with better understanding and help them to raise their growth.

Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ **Income elasticity of demand.**
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ **Encourage workers to retire earlier.**

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ **Hire more labor.**
- ▶ Hire less labor.
- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

An increase in the wage rate:

- ▶ **Will usually lead to more people employed.**
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.

- ▶ The real exchange rate.
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ The business and government sectors.

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

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1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ 60.

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All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ The classical dichotomy / monetary neutrality effects.
- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

▶ Because it is difficult to measure the prices of intermediate goods produced.

▶ **Because these are the only goods and services that are purchased in an economy.**

▶ Because counting all goods and services would lead to double-counting of many activities.

▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

▶ Personal saving and private investment.

▶ Personal saving and personal consumption.

▶ Personal consumption and personal income.

▶ **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

▶ M has no effect on the price level.

▶ **V is the number of times each dollar is spent per year.**

▶ Q is the real price level.

▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

▶ **If labor force is fully employed.**

▶ If price level is stable.

▶ If trade balance is zero.

▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

▶ A higher output level than before.

▶ **The same output level as before.**

▶ A lower output level than before.

▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ **The same steady state.**
- ▶ Their own steady state.
- ▶ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ **With economic fluctuations; it increases during bad times and decreases during good times.**
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ **3%.**
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ **Demand curve.**
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ **Investment curve.**

Question No: 32 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- ▶ **Small.**

- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ **If it can produce a good at a lower opportunity cost than other nations.**
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- ▶ **Substantial rise in product per capita.**
- ▶ Increased productivity per unit of labor input.
- ▶ Increasing use of modern scientific knowledge.
- ▶ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- ▶ Total spending on good Y to rise.
- ▶ Total spending on good Y to fall.
- ▶ Total spending on good Y to remain unchanged.
- ▶ **An indeterminate effect on total spending on good Y.**

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- ▶ Shifts to the left.
- ▶ **Shifts to the right.**
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► **The assumption of a diminishing marginal rate of substitution will be violated.**

- The assumption of transitivity will be violated.
- The assumption of completeness will be violated.
- Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- **Increasing the inputs by 1% leads to a 0.75% increase in output.**
- Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- Increasing the inputs by 2% leads to a 4% increase in output.
- None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

- **Fixed costs and marginal costs**
- Average variable costs and marginal costs
- Average fixed costs and average variable costs
- Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

- Monopoly.
- Perfect competition.
- Oligopoly.
- **None of the given options.**

Question No: 42 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- Demand is inelastic.
- Demand is elastic.
- **Demand is perfectly elastic.**
- Total revenue will remain constant.

Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

- Consumption spending.
- Investment expenditures.
- **Government expenditures.**
- Household income.

Question No: 44 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

- 0.75
- 0.50

- ▶ 0.25
- ▶ **1.00**

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

- ▶ Lies above full-employment.
- ▶ None of the given options.
- ▶ Lies below full-employment.
- ▶ **Gravitated around a full-employment.**

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

- ▶ South Asian countries.
- ▶ Middle East.
- ▶ **Rest of the world.**
- ▶ USA and China.

Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ Interest rate reduces, investment and GDP increases.
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

The demand for money to buy bonds is called:

- ▶ Transactions demand for money.
- ▶ Precautionary demand for money.
- ▶ Speculative demand for money.
- ▶ **All of the given options.**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1". What is meant by this statement?

When we draw in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foregin exchange market
US \$ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

FINAL TERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 1)
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- ▶ **60.**

Reference:

5th worker MPL = 41 - 38 = 3

3*20 = 60

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International data suggest that economies which have different steady states level will converge to:

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Reference:

[http://www.econ.ucdavis.edu/faculty/amtaylor/teaching/ecn101/samplemidterm.p
df](http://www.econ.ucdavis.edu/faculty/amtaylor/teaching/ecn101/samplemidterm.pdf)

Question#16

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Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ A producer has the comparative advantage on both products.
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ Positive.
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ The labor force minus the number of people employed.

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ With economic fluctuations; it increases during bad times and decreases during good times.
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

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Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ A decrease in unemployment.
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ An increase in the level of unemployment compensation paid to unemployed workers.
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ 3%.
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Reference:

Domestic interest rate = Foreign interest rate + Expected depreciation

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ Be poorer than countries with lower population growth.
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ Demand curve.
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ Investment curve.

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Question No: 32 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- ▶ Small.
- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- ▶ Money Market.
- ▶ Goods Market.
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ If it can produce a good at a lower opportunity cost than other nations.
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- ▶ Substantial rise in product per capita.
- ▶ Increased productivity per unit of labor input.
- ▶ Increasing use of modern scientific knowledge.
- ▶ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- ▶ Total spending on good Y to rise.
- ▶ Total spending on good Y to fall.
- ▶ Total spending on good Y to remain unchanged.
- ▶ An indeterminate effect on total spending on good Y.

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- ▶ Shifts to the left.
- ▶ Shifts to the right.
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

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Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

- ▶ The assumption of a diminishing marginal rate of substitution will be violated.
- ▶ The assumption of transitivity will be violated.
- ▶ The assumption of completeness will be violated.
- ▶ Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- ▶ Increasing the inputs by 1% leads to a 0.75% increase in output.
- ▶ Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- ▶ Increasing the inputs by 2% leads to a 4% increase in output.
- ▶ None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

- ▶ Fixed costs and marginal costs
- ▶ Average variable costs and marginal costs
- ▶ Average fixed costs and average variable costs
- ▶ Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

- ▶ Monopoly.
- ▶ Perfect competition.
- ▶ Oligopoly.
- ▶ None of the given options.

Question No: 42 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- ▶ Demand is inelastic.
- ▶ **Demand is elastic.**
- ▶ Demand is perfectly elastic.
- ▶ Total revenue will remain constant.

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Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

- ▶ Consumption spending.
- ▶ Investment expenditures.
- ▶ Government expenditures.
- ▶ **Household income.**

Question No: 44 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

- ▶ 0.75
- ▶ 0.50
- ▶ 0.25
- ▶ **1.00**

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

- ▶ Lies above full-employment.
- ▶ None of the given options.
- ▶ Lies below full-employment.
- ▶ **Gravitated around a full-employment.**

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

- ▶ South Asian countries.
- ▶ Middle East.
- ▶ **Rest of the world.**
- ▶ USA and China.

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Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ **Interest rate reduces, investment and GDP increases.**

- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

The demand for money to buy bonds is called:

- ▶ Transactions demand for money.
- ▶ Precautionary demand for money.
- ▶ **Speculative demand for money.**
- ▶ All of the given options.

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

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Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

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Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1".What is meant by this statement?

When we drawn in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foreign exchange market
US \$ - UK POUND Foreign exchange market

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Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Heckscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

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